EDITORIAL

US MIDTERMS: THE COST OF LIVING IS NOW A PIVOTAL ISSUE

In the United States, growth is holding up, unemployment remains low and consumer spending shows no sign of slowing. On paper, that should flatter the president's party ahead of the midterms. Yet, Republicans could lose control of Congress. The rise in the cost of living, which weighs on households far more than macroeconomic aggregates suggest, could be one of the reasons. On top of persistent inflation, rekindled by the war in Iran, there is also a slowdown in wage growth and rising housing costs. The election could hinge on affordability, yet whichever party wins will lack the means to address it. A change in the majority in Congress will nonetheless have an impact on the country's economy.

On 3rd November, Americans will elect a new Congress for the next two years. With Republicans currently in control of the White House, the House of Representatives and the Senate, the balance of power in Washington could shift. Polls suggest that the House, at least, could swing to the Democrats. Beyond the new balance of power, the vote will reflect how voters view the way the country is being run. Here, we focus on the cost of living.

INFLATION: THE INCUMBENTS' BURDEN

The incumbent party goes into the election with two handicaps. The first is structural: no matter who holds the White House, the president's party almost always loses seats in midterm elections. The second stems from the combination of robust but uneven growth and persistent inflation, which is undermining household confidence. Pre-election polls[1] confirm this assessment: the economy and the cost-of-living top voters' worries.

Inflation has overshot the Fed's target every year since 2021. Prices are up 28% over five years: 31% for housing (not including mortgage rates, which have more than doubled), and 29% for food. This shock is felt all the more keenly as it is the most severe in forty years and follows on from decades of low inflation[2]. Furthermore, it hits the lowest-income households the hardest. In addition, the election comes after an energy-driven rise in inflation. Energy accounts for the entire gap between the latest CPI reading (3.7% y/y in September) and the last figure recorded before the conflict in the Middle East started (2.4% y/y).

Fuel has made things worse. The rise in the price of a gallon (46% between February and October) caused by the Iran war — which is unpopular even amongst Republican voters[3] — is an aggravating factor. In 2026, inflation only slightly crossed the 'attention threshold', the 3.6%y/y rate beyond which households start to regard it as problematic[4]. Fuel is a recurring, unavoidable expense whose price is directly observable, unlike many items in the CPI basket. This results in a substantial gap between perceived inflation and measured inflation.

Inflation must be viewed alongside the other drivers of households' well-being. Today, wages, payrolls and the housing market are moving the wrong way for most Americans.

IT'S NOT JUST PRICES

The 2022 midterms suggest caution in reading the polls. Democrats defied expectations of a 'Republican wave', retaining control of the Senate and losing the House by just a few seats, even though inflation averaged 8% that year. This reminds us that inflation must be viewed alongside the other drivers of households' well-being. Indeed, how people experience the cost of living depends on the interplay between prices, wages and housing. In 2022, wages, payrolls and the housing market were all growing faster than in 2026. Today, all three are moving the wrong way for most Americans.

Wage growth is slowing just as inflation picks up again. In September 2026, average hourly earnings were up 3% y/y in nominal terms, the slowest rate since 2018, and now below inflation. Real wage earnings are therefore falling (-0.7% y/y in September, with six out of nine months showing a decline in 2026). The rise in the cost of living is thus compounded by a net loss of purchasing power. The Atlanta Fed reports that wage growth is lower for the bottom quartile of earners (the 25% of employees with the lowest pay) than for the top quartile (the 25% with the highest pay): 3.8% y/y *vs.* 4.4% on average since late 2024, following 10 years in which the gap favoured the bottom quartile. Top earners also benefit most from the wealth effect linked to stock market valuations. This explains the resilience of aggregate consumption. However, this rests on a relatively narrow base, mostly households earning more than USD 125,000/year[5]. Meanwhile, a falling saving rate (3.8% in September 2026, down 1.4pp y/y) suggests households are drawing on their savings to offset price rises. A large share of the population is therefore excluded from the growth that has been observed.

Beyond wages, there is the question of employment prospects. The unemployment rate remains low and consistent with full employment. Yet the labour market looks stagnant: low firing despite repeated shocks and low hiring despite solid growth. Payroll growth (an average of 68,000 per month since January) is well below that of the previous decade (nearly 200,000 per month between 2011 and 2019[6]). Combined with a workforce that is no longer growing due to an ageing population and a restrictive immigration policy, this is enough to keep the unemployment rate low and the labour market looking healthy.

1 AP-NORC, October 2026.
2 Jared Bernstein, Daniel Posthumus, 'The way we were: Price-level shocks and consumers' memories', SIEPR, May 2026.
3 72% of registered voters rank ending the war with Iran as one of the top priorities for the next Congress, including 60% of Republicans (AP-NORC, October 2026).
4 Oleg Korenok, David Munro, Jiayi Chen, 'Inflation and attention thresholds', GLO Discussion Paper Series, No. 1175, Global Labour Organization, 2022.
5 Rajashri Chakrabarti, Thu Pham, Beck Pierce, Maxim L. Pinkovskiy, 'Tracking the K-shaped economy: who's driving spending?', Federal Reserve Bank of New York, Liberty Street Economics, 1st May 2026.
6 The year 2020 is excluded due to the disruptions caused by lockdowns.

But households are likely to be suffering from a lack of opportunities, and consequently from a lack of prospects for wage growth that would help them to increase their purchasing power. The Conference Board's labour differential, a gauge of perceived job availability, says as much: outside the pandemic, it is at its lowest since 2015.

Housing is the area that has deteriorated the most. The rise in mortgage rates that began in 2022, from under 4% to over 7%, has dampened the property market. This is true on the demand side, as expected, but also on the supply side. The sharp rise in interest rates is deterring homeowners with low-interest mortgages from selling, as they would have to borrow again at current rates. This 'lock-in effect' prevents prices from falling despite weaker demand. The lock-in effect is also affecting tenants, as the decline in the availability of housing is driving up rents. Housing lies at the heart of the disconnect between the macroeconomic picture and voters' perception of it, as they face a multifaceted rise in the cost of living. That rise is also driven by credit: monthly repayments on a home of the same value have risen sharply. This additional cost, which inflation figures do not capture[7], erodes households' purchasing power in the property market.

A CONGRESS POWERLESS ON THE COST OF LIVING

The next Congress will, in all likelihood, have little room for manoeuvre. Neither party is within reach of the thresholds required to override the filibuster (which allows 41 out of 100 senators to block a bill from coming to a vote) and the presidential veto (two-thirds of both chambers).

Affordability is likely to be a key issue in the election, but the winners will lack the tools to address it. The Democrats' agenda relies notably on the reintroduction of schemes that were abolished or scaled back under the current administration (Affordable Care Act tax credits, Medicaid). Even if Congress passed them, they would be subject to a presidential veto. There is no question of direct support for households or a restrictive fiscal policy.

Whether inflation falls will depend on two factors: how the conflict in Iran unfolds and the effectiveness of monetary policy. The labour market should hold its current balance: robust growth (see our EcoFlash) is supporting demand, whilst failing to alleviate supply-side pressures, and the unemployment rate could continue to fall. Household sentiment will continue to depend on how prices develop. As for housing, it is unlikely to improve in the short term. With the 10-year Treasury yield still at 4.8% at the end of 2027 (BNP Paribas forecast), 30-year mortgage rates would, at best, remain around 7%.

THE OTHER ECONOMIC STAKES OF THE VOTE

Historically, divided governments have brought legislative stability, which is viewed favourably by the markets. But polarisation has increased in recent years and is likely to feature prominently in the budget vote and the debt-ceiling debate. The debt limit, in particular, could be reached as early as Q1 2027, depending on the Treasury's borrowing requirements. The current administration, meanwhile, has taken major decisions (on tariffs, immigration and Iran) without involving Congress, a practice that is likely to continue.

Risks to the deficit remain tilted to the upside. According to our baseline scenario, it is expected to remain stable at 6.3% of GDP in 2027, but the post-election balance of power could add to the cost of the war in Iran and rising debt-service costs. In particular, interests could align in favour of increased spending should the Democrats gain control of both houses of Congress. Avoiding, or ending, a shutdown could require a trade-off involving mutual concessions from the presidency on key, popular aspects of the Democratic agenda (such as healthcare), and from the Democrats on defence.

The AI sector is exposed to the vote. The economic stakes are high given how much the associated investment cycle and the wealth effect contribute to US growth. However, at this stage, the risk is not legislative. As with the cost of living, sweeping legislation is unlikely, all the more so with a president holding a pro-AI stance, and who holds the right of veto. The risk lies rather in sentiment and further out. A Democratic sweep could lead to increased congressional activism on regulation, on concentration in the AI industry, and on the knock-on effects on the cost of living (data centres and electricity) and on jobs. Putting these issues on the agenda could create a climate conducive to tighter regulation in the medium term and weigh on the sector's valuations. Furthermore, the mid-term elections will see 36 governors' seats up for election. These governors have extensive powers (regarding authorisations and incentives) when it comes to the establishment of data centres in their states.

Finally, the midterms will matter for monetary policy. The Senate confirms, by simple majority, the president's nominees to the Fed's Board of Governors. Consequently, should the Senate come under Democratic control, President Trump would need a consensus pick to replace Governor Powell from 2028 — or to fill any other seat that might become vacant during the next Congress.

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Whatever the outcome of the election, disinflation and, more broadly, relief from the cost of living, depend less on Congress than on the White House and, to a lesser extent, the Fed. The key factor lies in the resolution of the conflict in Iran, coupled with an effective monetary policy to enable a sustainable return to price stability.

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7 Marijn A. Bolhuis, Judd N. L. Cramer, Karl Oskar Schulz, Lawrence H. Summers, 'The cost of money is part of the cost of living: new evidence on the consumer sentiment anomaly', NBER Working Paper, No. 32163, 2024.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

In brief. Data releases confirmed resilient to strong growth and above-forecast inflation in most advanced economies, with France lagging behind and earning a rating outlook downgrade from Fitch as a result. Fed, ECB and BoJ remained on hold, as expected, and on track for December hikes. Oil continues to fluctuate between escalation fears and hopes for a return to the negotiating table. The tech sell-off in equity markets intensified despite strong earnings, as markets balk at large capex plans. This helped bond yields ease from recent highs.

EUROZONE

Resilience confirmed despite tightening credit. GDP expanded by a stronger-than-expected 0.4% q/q in Q3 (0.2% ex-Ireland), with Spain, Germany and the Netherlands contributing to the bulk of non-Irish growth. We increase our growth forecast to 1.6% in 2027 (+0.1pp), driven by further improving sentiment in manufacturing. Bank lending conditions tightened further in Q3 for businesses, especially SMEs, driven by France and Germany, while corporate and housing-loan demand weakened. The ECB kept its deposit rate at 2.5% and signaled it was firmly on track for a (likely final) December hike. President Lagarde also confirmed she would step down early, on February 7, setting off the succession race. EU leaders are expected to decide jointly on the three Board members departing between January and May (President, chief economist, and market operations), likely at their mid-December meeting. Official candidates to succeed Lagarde are BIS Head Pablo Hernandez de Cos and former Dutch central bank Governor Klaas Knot.

To watch next week: October flash CPI (Wednesday).

France: Another growth setback, with silver linings

GDP contracted by 0.1% q/q in Q3 as a sharp drop in aeronautical production hit exports and investment. However, services output grew by a robust 0.3% q/q, and household consumption also grew more strongly than forecasted (+0.4%). While 2026 will inevitably be knocked down (to 0.3%), we forecast 0.8% for 2027. Nevertheless, Fitch issued an unscheduled rating outlook downgrade to negative territory, on grounds that fiscal, growth and adjustment prospects have deteriorated since its August review. A new review could be concluded as early as February. Harmonised inflation accelerated to 3.8% y/y in October, with both energy and non-energy contributing. Meanwhile, producer price inflation accelerated to 8.2% y/y in September. Insee's index of household confidence fell to 80, matching its 2013 all-time low, driven by a decline in expectations of its own financial situation. Private payroll employment declined by 26,000 over Q3 (-0.1%). However, in previous quarters, the decline in payroll employment was more than offset by the increase in self-employment (not released until November 27).

To watch next week: September industrial production (Thursday); September foreign trade (Friday).

Germany: Growth holds up as inflation slows

GDP grew by 0.2% q/q in Q3, with consumption rising slightly but investment declining and export growth slowing. HICP inflation fell from 3.3% to 2.8% in October following energy-tax cuts and fuel discounts, but core inflation also slowed, to 2.1%. Business confidence (Ifo survey) reached its highest level in more than three years, led by manufacturing, which is back in positive territory for the first time since 2023. By contrast, consumer confidence deteriorated to its lowest since May, due to growing concerns about inflation, which are weighing on consumers' spending intentions.

To watch next week: September retail sales (Monday); September factory orders (Thursday); September industrial production (Friday).

Italy: Stagnant growth meets energy-driven inflation surge

GDP was flat in Q3, missing expectations, as positive domestic demand was offset by net exports. Economic sentiment improved, but HICP inflation jumped from 4.2% to 5.6% in October, its highest level since September 2023, mainly because of regulated energy prices; core inflation also rose, to a more moderate 2%. More positively, economic sentiment rose to 100.2 in October 2026 (from 99.4 in September), despite the Eurozone decline. The improvement was driven by services and construction. The Italian cabinet approved a budget focused on middle-class tax cuts, financed partly by levies on banks, energy and gambling companies. x

UNITED KINGDOM

A cautious budget buys breathing space. The budget offered 98 small cost-of-living alleviation measures and £4.1 billion in household energy cost relief, while only modestly increasing taxes, including a temporary rise in the bank surcharge. Its short-term stance is slightly expansionary, while major structural decisions on defence, pensions and welfare have been postponed. The official budget watchdog, OBR, cut its 2027 growth forecast to 1%, and firms' inflation expectations continued to rise. UK gilts outperformed and equities advanced after the budget. GBP rose to a six-week high against the dollar and a 19-month high versus the euro as markets price a near-certain Bank of England rate hike (to 4%) at this week meeting. We agree but, unlike market pricing, we do not expect it to hike further.

To watch next week: Bank of England interest-rate decision (Thursday).

UNITED STATES

Fed awaiting more information despite strong growth. The Federal Reserve held its target range at 3.75–4.0%, with two members voting for a 25 bp increase, as Chair Warsh highlighted stronger growth, favourable employment conditions and inflation that remains too high. Q3 GDP accelerated to 3.4% annualised, powered by resilient consumption and a 12.7% jump in business investment. Despite jobless claims remaining near multi-decade lows, compensation costs adjusted for inflation declined 0.4%, marking the second consecutive quarter in which labour cost growth trailed price increases.

To watch next week: Midterm elections (Tuesday); October ISM manufacturing (Monday) and non-manufacturing (Wednesday); Q3 non-farm productivity (Thursday); October non-farm payrolls (Friday).

JAPAN

BoJ on hold with underlying inflation "consistent with the 2% target". The Bank of Japan kept its policy rate at 1.25%, with one dissent in favour of a hike. Its outlook judged underlying inflation to be consistent with the 2% target, a major shift in its assessment, although Governor Ueda mentioned risks on both sides in his remarks, stressing in particular the risk of inflation overshooting the target. It signals continued gradual monetary adjustment, with a next hike expected in December. Alongside the rate hold, the BOJ announced it would nearly triple the pace of ETF sales starting in January, to approximately JPY 860 billion per year. Japanese equities shrugged off the announcement.

To watch next week: Minutes of the September Bank of Japan meeting (Thursday); September wage growth (Friday).

Find out more in our scenario and forecasts

EMERGING ECONOMIES

ASIA

China: Monetary policy reform and no growth signals

The PBOC disclosed a 1.25% overnight reverse-repo rate and announced that the overnight rate would become its principal policy lever, starting 2nd November. It also pledged to develop cross-border renminbi payments and introduced a liquidity backstop for non-bank financial institutions. The 5th Plenum of the 20th Central Committee of the CCP focused on party discipline and crackdown on corrupt cadres, without broader policy signals. Chinese equities had their worst month since 2016, falling 8.5% in October, as doubts over AI earnings deepened investor pessimism. The PMIs published on 30th October suggest economic activity is losing momentum; in the manufacturing sector, the RatingDog PMI fell slightly to 52 (from 52.1) while the official PMI fell more sharply and dropped below 50 (49.3 *vs.* 50.1 in the previous month).

South Korea and Taiwan: AI boom lifts growth even higher

In Korea, GDP grew by 1.0% q/q and 3.4% y/y in Q3, supported by booming semiconductor exports linked to global AI demand. The expansion was uneven, however, as private-consumption growth slowed markedly. In Taiwan, GDP surged by 3.2% q/q and 14.4% y/y in Q3, beating expectations and accelerating from the previous quarter as technology firms expanded capacity to meet strong demand.

EMEA

Poland: Lower inflation gives monetary policy some room

Headline inflation declined from 4.0% to 3.5% in October as electricity, gas and transport fuel prices rose more slowly, helped by a temporary fuel-price cap. Rates are likely to remain unchanged in the near term, although renewed zloty weakness means a hike cannot be ruled out.

Saudi Arabia: Reserves fall as regional pressures intensify

Official reserve assets declined by 4.4% m/m in September to SAR 1.75 tn, their lowest level since December, with foreign-currency assets recording particularly sharp monthly and annual declines.

Türkiye: Pressure on lira and FX reserves

The lira headed for its largest monthly fall in 15 months and central-bank reserves came under renewed pressure. This is the consequence of the warning by MSCI that Türkiye could lose its emerging-market status if measures to improve transparency and market supervision following the Fund scandal are deemed insufficient.

LATIN AMERICA

Brazil's post-election rout: stocks and real plunge, yields surge. Brazilian markets, expecting a Flavio Bolsonaro victory, sold off sharply after Luiz Inacio Lula da Silva won a fourth presidential term. The Ibovespa fell 14% Monday — its largest daily drop since COVID-19 — and ended the week down 18%. The real fell over 11% intraday and ended the week down 8% against the euro. Meanwhile the yield on Brazil's 10-year government bonds rose 250 bp to 15.5%, reaching its highest level in over a decade. The selloff reflects fiscal concerns over pledges to raise the minimum wage and Bolsa familia benefits and to offer free public transport on weekends and bank holidays. Finance Minister Dario Durigan's pledge to seek a higher 2027 primary surplus, without a new target, did little to reassure markets.

COMMODITIES

The oil market continues to fluctuate between escalation fears and hopes for a return to the negotiating table. Brent prices were down by 5% over the week, reaching USD 109/b on Monday. Tensions on physical supply continue to decline. Ditto for diesel crack spreads. On the back of geopolitical tensions, lower-than-requested EU stock level and speculation over a cold snap in Europe in November, European gas prices (TTF) recorded another strong weekly rise and have breached the EUR 100/MWh for the first time since Dec 2022). The Asian gas benchmark (JKM) is following the same trend but at a slower pace (4.6% w/w to USD 32 /MBtu, equivalent to around EUR 96.3 /MWh).

TO WATCH NEXT WEEK

Global: Manufacturing PMIs for EM and final DM prints (Monday); final services and composite PMIs (Wednesday).

y/y = year-on-year
m/m = month-on-month
bp = basis point
pp = percentage point
mb = million barrels
MBtu = Million British Thermal Units

MARKETS OVERVIEW

Bond Markets

	In %	In bps			
	30/10/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	3.02	-7.0	-17.3	+93.3	+105.5
Bund 5Y	3.11	-11.0	-22.1	+64.8	+90.8
Bund 10Y	3.29	-13.2	-26.0	+43.2	+69.6
OAT 10Y	4.87	+4.2	+13.2	+137.7	+152.6
BTP 10Y	4.49	-7.9	-14.8	+99.7	+110.9
BONO 10Y	3.90	-11.8	-19.7	+65.9	+80.7
Treasuries 2Y	4.58	-18.9	-28.9	+110.2	+95.3
Treasuries 5Y	4.70	-24.5	-37.9	+97.3	+98.1
Treasuries 10Y	4.90	-1.2	-38.2	+73.7	+3.2
Gilt 2Y	4.73	-5.2	-4.7	+97.5	+93.3
Treasuries 5Y	4.95	-9.9	-3.8	+109.8	+114.4
Gilt 10Y	5.29	-3.9	-13.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	30/10/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.12	-0.5	-1.7	-5.0	-3.5
GBP/USD	1.34	+0.6	+0.8	-0.4	+1.9
USD/JPY	157.48	-0.6	+0.2	+0.5	+2.2
DXY	101.88	-0.1	+0.4	+3.6	+1.6
EUR/GBP	0.83	-1.1	-2.5	-4.6	-5.3
EUR/CHF	0.92	-0.8	-3.1	-1.3	-0.9
EUR/JPY	175.80	-1.1	-1.5	-4.5	-1.4
Oil, Brent ($/bbl)	117.60	+7.5	+13.6	+93.3	+81.3
Gold ($/ounce)	3896	-6.0	-6.4	-9.9	-2.5

Equity Indices

	Level	Change, %			
	30/10/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4862	-1.0	-0.8	+9.7	+11.0
North America					
S&P500	7580	-1.4	-0.9	+10.7	+11.1
Dow Jones	51770	-0.4	+1.7	+7.7	+8.9
Nasdaq composite	25437	-3.8	-5.3	+9.4	+7.9
Europe					
CAC 40	7969	+1.3	+0.1	-2.2	-2.3
DAX 30	25818	+2.0	+2.5	+5.4	+7.0
EuroStoxx50	6131	-0.2	-2.2	+5.9	+7.6
FTSE100	10730	-0.3	+1.2	+8.0	+9.9
Asia					
MSCI, loc.	1906	-1.6	-2.7	+12.8	+14.4
Nikkei 225	63290	-2.5	-5.2	+25.7	+23.3
Emerging					
MSCI Emerging ($)	1567	-3.2	-8.1	+11.5	+11.0
China	66	-5.0	-7.2	-19.6	-24.4
India	900	-0.0	+1.2	-15.0	-14.9
Brazil	1672	-22.1	-12.1	+1.6	+5.7

Performance by sector

Eurostoxx600

Year 2026 to 30-10, €

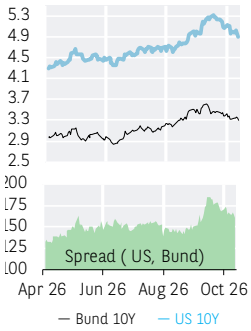
+46.4%	Oil & Gas
+22.4%	Chemical
+21.9%	Technology
+14.6%	Utilities
+11.3%	Commodities
+10.5%	Food industry
+9.6%	Health
+9.3%	Insurance
+9.2%	**Eurostoxx600**
+8.7%	Telecoms
+7.7%	Financial services
+6.3%	Banks
+5.6%	Industry
+3.1%	Retail
+1.0%	Media
-0.1%	Travel & leisure
-4.6%	Real Estate
-5.5%	Construction
-12.9%	Consumption Goods

S&P500

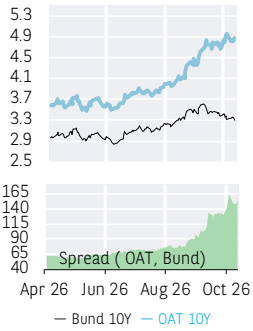
Year 2026 to 30-10, $

+56.6%	Energy
+32.7%	Tech. Hardware & Equip.
+30.6%	Pharmaceuticals
+24.5%	Semiconductors
+18.7%	Food, Beverage & Tobacco
+14.6%	Retail
+14.5%	Materials
+10.7%	**S&P500**
+9.2%	Insurance
+8.3%	Capital Goods
+1.9%	Consumer Discretionary
+1.7%	Utilities
+1.7%	Commercial & Pro. Services
+1.1%	Healthcare
+0.6%	Bank
-4.5%	Consumer Services
-8.8%	Telecoms
-10.2%	Automobiles
-12.2%	Media
-33.2%	Real Estate

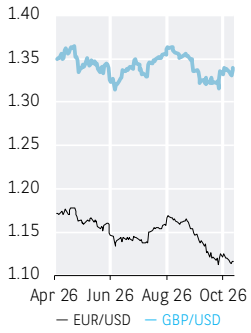
Bund 10Y & US Treas. 10Y



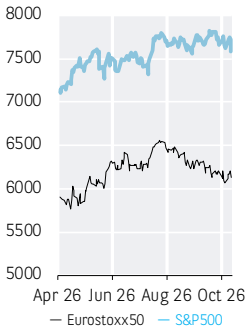
Bund 10Y & OAT 10Y



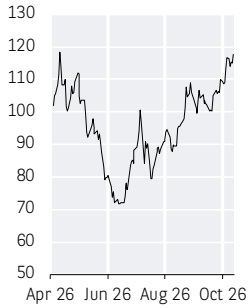
EUR/USD & GBP/USD



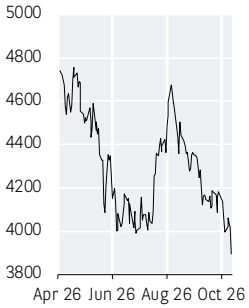
EUROSTOXX 50 & S&P500



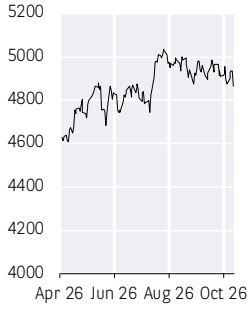
Oil, Brent ($/bbl)



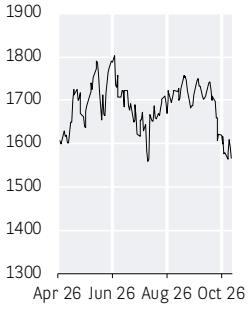
Gold ($/ounce)



MSCI World ($)



MSCI Emerging ($)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 2nd November 2026

Check out the economic research nowcasts on November 9.
In the meantime, you can read our analysis of the third-quarter growth figures here

ECONOMIC SCENARIO AND FORECASTS

GDP growth and inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.3	2.2	2.3	2.9	2.7	3.5	2.5
Japan	-0.2	1.2	1.0	1.2	2.7	3.2	1.9	2.6
United Kingdom	1.0	1.2	1.3	1.3	2.5	3.4	3.2	3.5
Euro Area	0.9	1.3	1.1	1.6	2.4	2.1	3.1	3.2
Germany	-0.5	0.3	1.0	1.3	2.5	2.3	2.7	2.8
France	1.1	0.9	0.3	0.8	2.3	0.9	2.5	2.4
Italy	0.6	0.7	0.8	0.8	1.1	1.6	3.4	3.1
Spain	3.5	2.6	2.6	2.3	2.8	2.7	4.0	4.0
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	7.1	6.9	4.6	2.1	5.1	4.9
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)
* Fiscal year from April 1 of year N to March 31 of year N+1

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Interest and exchange rates

Interest rates, %		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.75	2.75	2.75	2.75	2.75
	Bund 10y	3.50	3.40	3.30	3.25	3.20
	OAT 10y	4.43	4.40	4.25	4.18	4.10
	BTP 10y	4.38	4.33	4.18	4.08	3.98
	BONO 10y	3.98	3.90	3.74	3.65	3.55
UK	Base rate	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.50	1.75	1.75	1.75	2.00
	JGB 10y	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	1.14	1.14	1.16	1.18	1.20
	USD / JPY	163	163	163	163	163
	GBP / USD	1.34	1.36	1.38	1.40	1.43
EUR	EUR / GBP	0.85	0.84	0.84	0.84	0.84
	EUR / JPY	186	186	189	192	196

Brent		2026	2027			
Quarter Average		Q4	Q1	Q2	Q3	Q4
Brent	USD/bbl	81	78	79	81	80

Source: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy)

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.5% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4.25% - 4.50%.

CHINA

Economic growth rebounded to 4.5% y/y in Q3 2026 (1.2% q/q) after 4.3% y/y in Q2 and 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterised by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has widened this year. Retail sales barely increased in the first nine months of 2026, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting investment and private consumption will increase over the last months of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.6% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.1% in 2026 (from 2.1% in 2025), and 3.2% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP contracted by 0.1% q/q in Q3 2026 (following stagnation in Q2), weighed down by a decline in aeronautics production (delay in the delivery of inputs) but supported by service sector output and purchases of electric vehicles. Overall, growth is expected to slow to 0.3% in 2026 (after 0.9% in 2025) before rebounding to 0.8% in 2027. In parallel, inflation should reach 2.5% in 2026 (compared with 0.9% in 2025), before edging down slightly in 2027 (2.4%).

UNITED KINGDOM

UK GDP growth would improve slightly to 1.3% in 2026 and remain at this level in 2027 (1.2% in 2025). The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in 2026 and 3.5% in 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single insurance hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy’s overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of “adjustment in the degree of monetary accommodation” in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of 2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.

Paris, 30 October 2026

EcoFlash

European resilience, American vigour

Eurozone growth continues to prove resilient, notwithstanding the volatility of the Irish figures. The Q3 data reinforce our forecast of 1.1% growth this year, which could even be slightly exceeded, as German and Spanish momentum shows no sign of fading. In France, the negative surprise (-0.1% q/q against a consensus of +0.1% q/q) stems from a new one-off factor (the sharp fall in aerospace output caused by delays in input deliveries) and masks an encouraging rebound in household consumption. In the United States, growth reached its highest level since Q2 2025 (0.8% q/q), driven by buoyant private domestic demand.

Eurozone: The resilience of growth is confirmed

Eurozone GDP grew by 0.4% q/q in Q3 according to Eurostat's preliminary flash estimate, above both the consensus and our *Nowcast* (0.3%). The ever-volatile Irish figures contributed 0.2 pp to this outcome. Excluding Ireland, growth (0.2% q/q) nonetheless remains in line with the pace of recent quarters (0.2-0.3% q/q on average). This illustrates the Eurozone's capacity to withstand the current shocks, thanks in particular to the strength of Spain (+0.07 pp contribution to the q/q change in Eurozone's GDP) and the Netherlands (+0.04 pp), and to Germany's gradual recovery (+0.06 pp). France (-0.03 pp) and Italy (zero growth), by contrast, posted disappointing results, although in France's case these partly reflect temporary factors (aerospace output). The growth carry-over for 2026 now stands at 1.0%, which supports our forecast of 1.1% in annual average terms and even points to upside risk. The European Commission's October surveys remain upbeat, with a further improvement in industrial activity expectations.

The German recovery continues. As anticipated by our Nowcast, real GDP grew by 0.2% q/q in Q3 (after 0.3% in Q2). According to Destatis, consumption (private and public) increased slightly, while investment edged down. Export momentum slowed markedly compared with Q2. This is Germany's fourth consecutive quarter of growth.

Italian GDP surprised on the downside, stagnating in Q3 (against a consensus of 0.1%). According to Istat, this reflects a decline in value added in industry, offset by increases in services and agriculture. The positive contribution from domestic demand was reportedly cancelled out by a negative contribution from net trade.

Spanish growth remained robust in Q3, in line with expectations (0.6% q/q, after 0.7% in Q2), driven mainly by domestic demand (0.5 pp contribution) and, to a lesser extent, by net exports (0.1 pp). Consumption remains the main engine of growth (+0.6% q/q for private consumption and +0.9% for public consumption). Investment rose by 0.7%. Export growth (1.3%) once again outpaced import growth (1.1%) this quarter. All sectors except construction recorded positive changes in value added, with industry and services both up 0.7%.

France: A sharp drop in aerospace output prevents a return to growth in Q3

GDP contracted by 0.1% q/q in Q3 (after stagnating in Q2), weighed down by a sharp fall in aerospace output (-4.5% q/q in the production of other transport equipment, which includes aerospace). This steep decline dragged down goods production (down 1.2% q/q) and explains the sharp contraction in exports (-1.7% q/q) and business investment (-0.4% q/q). Net trade thus subtracted 0.6 pp from GDP (imports were flat over the same period). Conversely, **household consumption surprised on the upside (+0.4% q/q), boosted by purchases of electric vehicles (registrations up 112% y/y in Q3). Public consumption (+0.3% q/q) also supported growth, as did activity in market services (+0.3% q/q).** Despite the sharp drop in aerospace output in Q3, Airbus has confirmed its delivery targets for the year (with engine supply problems expected to be resolved), pointing to a strong rebound in growth in Q4 (0.3% q/q according to our forecasts). Overall, growth is expected to reach 0.3% in 2026, before picking up to 0.8% in 2027.

United States: Growth at a one-year high

GDP growth picked up in Q3 to 3.4% at a seasonally adjusted annualised rate (AR; *i.e.* 0.8% q/q), from 2.2% in Q2 (0.6% q/q). This is the fastest pace since Q3 2025, confirming that activity is almost immune to the energy shock. Private domestic demand remains particularly strong. Private non-residential investment accelerated to 12.7% AR, a performance unmatched since the post-Covid reopening. AI-related components are driving this figure (18.5% AR), but other types of investment are also rising for a second consecutive quarter (3.8% AR) after contracting uninterruptedly throughout 2025. Household consumption, steady at 2.5% AR in real terms, is growing faster than it did before inflation picked up again, but at the cost of a significant drop in the saving rate (3.8% at the end of the quarter, down from 4.4% at the end of the previous quarter). The United States nonetheless continues to "import its growth": net trade is weighing on GDP owing to a surge in imports (19.7% AR), driven by AI-related components – IT, semiconductors and telecommunications (103.8% AR).

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Paris, 30 October 2026

EcoFlash

Central banks: a pause while waiting for more information

As expected, the Fed, the ECB, and the BoJ left their rates unchanged this week. This pause, however, does not mark the end of the cycle. The ECB's tone is becoming more balanced, weighing inflationary risks against tightening financial conditions, but one final rate hike in December remains our base case. Across the Atlantic, Kevin Warsh describes an environment conducive to further tightening, while remaining cautious about the risk of a credit shock. In Japan, the lasting exit from the deflationary cycle is taking shape, and monetary policy adjustment is expected to continue gradually. We anticipate two rate hikes by the Fed by January and four by the BoJ by the second half of 2028.

Eurozone: A more balanced tone, but the course remains unchanged. The ECB's statement marks a shift from September. It now explicitly acknowledges both upside risks to inflation (the magnitude and persistence of the energy shock) and downside pressures (tightening financial conditions). The statement that inflation would remain "well above target for an extended period" no longer appears. In essence, however, there is little change. A rate hike in December remains our base case scenario, widely anticipated and implicitly signaled by Christine Lagarde during the Q&A ("If the current situation is not called into question by the next set of economic data, the path is clear"). Lagarde presented the rise in sovereign yields as a global phenomenon that is tightening financial conditions; regarding the TPI, she stuck to the usual stance: the ECB will intervene if monetary policy transmission were to be hampered "by disorderly movements not justified by fundamentals". By December, the indirect and second-round effects of the energy shock will be closely scrutinised. From our perspective, September's producer prices offer clearer signals, but the increase remains limited to a few sectors: energy, electricity-intensive industries and electrical equipment, driven by IA[1]. For now, companies in the Eurozone, particularly in the services sector, appear to be absorbing the shock. The European Commission's survey released this Thursday indicates a rise in the sales price index in October, which remains in line with recent months.

United States: The Fed navigates between risks. The FOMC pauses after September's rate hike and maintains the federal funds target at 3.75%-4.0%. However, Fed Chairman Kevin Warsh outlined a landscape conducive to further tightening: stronger growth, "rather positive" labor market conditions, and, above all, inflation that is "too high." As a result, two dissenting votes (out of 12) were cast in favor of a 25bps hike. But the committee also appears to fear the adverse consequences of tightening too quickly, which is why it is waiting to "accumulate more information." AI is increasingly at the heart of monetary policymaking. In particular, K. Warsh warned against the risks of an abrupt tightening of interest rate conditions, including for the AI investment cycle - which triggered a steepening of the yield curve. He also announced that he would soon (on November 16) attend a hearing of the "Productivity and Employment" task force to "refine his views" on the implications of AI for the dual mandate. Governor Lisa Cook, who voted for a 25bps hike, had noted ahead of the committee meeting "ongoing inflationary pressures" and a risk that they might not "subside quickly". In addition, K. Warsh announced that there would be fewer meetings resulting in rate decisions: 7 in 2027 and 6 in 2028, compared with 8 today. The change is expected to take effect starting in the fall of 2027. The meetings freed up by this change would allow the committee to focus on "strategic deliberations" and long-term issues.

Japan: A *status quo*, but a tightening cycle set to continue as the economy emerges from deflation. The Bank of Japan decided, in line with our forecasts and the consensus, to keep its policy rate target steady at 1.25% at its October 29-30 meeting. One dissenting vote called for a rate hike (25bps), contrasting with the two dovish dissenting votes (opposed to a rate hike) at the previous meeting. As in the US, the decision is justified by the need to further analyse risks to economic activity, prices, and financial conditions. Above all, the central bank's outlook for economic activity and prices marks a turning point: it explicitly states that "core inflation has reached a level generally in line with price stability" and that it is "expected to remain there." Governor Ueda refined this by noting that it is now necessary to "anchor" inflation at this level before declaring the target achieved. Furthermore, the emphasis on "upside risks to prices" and the fact that any rise in core inflation is now deemed "undesirable" indicate that monetary tightening will continue.

The monetary tightening cycle continues. The next steps are likely to be more significant in the United States, where inflation has exceeded the target for nearly six years and coexists with a favorable outlook for growth and employment. In the Eurozone, the rise in inflation is primarily due to a supply shock in energy costs (though it is also fueled by demand in the United States). It continues to have little impact on measures of core inflation, including those tracked by the ECB, such as the HICP; and households' long-term inflation expectations remain anchored. The degree of monetary tightening also differs. In real terms, the ECB's current rates (the deposit facility rate deflated by the core CPI) hover around 0%, a level that more or less corresponds to estimates of the natural rate. The Fed, meanwhile, remains in accommodative territory: the real rate (*Fed Funds* deflated by Core

[1] This is a point underscored by the first PPI releases for September (Spain, Italy).

PCE) is at around 0.8%, 40bps below the committee's implied long-term level (1.2%). Japan remains an outlier: the rise in rates preceded the inflationary shock and, until now, has been more a matter of normalization. It is therefore more extensive and spread out over time. The central bank is adjusting to the new inflation regime and remains cautious in its exit from accommodative policies. The starting point is significantly lower, with real rates still negative, but the adjustment cycle should ultimately bring it to the upper end of the neutral range estimated by the BoJ (1.1%-2.5%). We therefore anticipate one final rate hike by the ECB in December, two more hikes by the Fed, first in December and then in January, and four spaced-out hikes by the BoJ through the second half of 2028.

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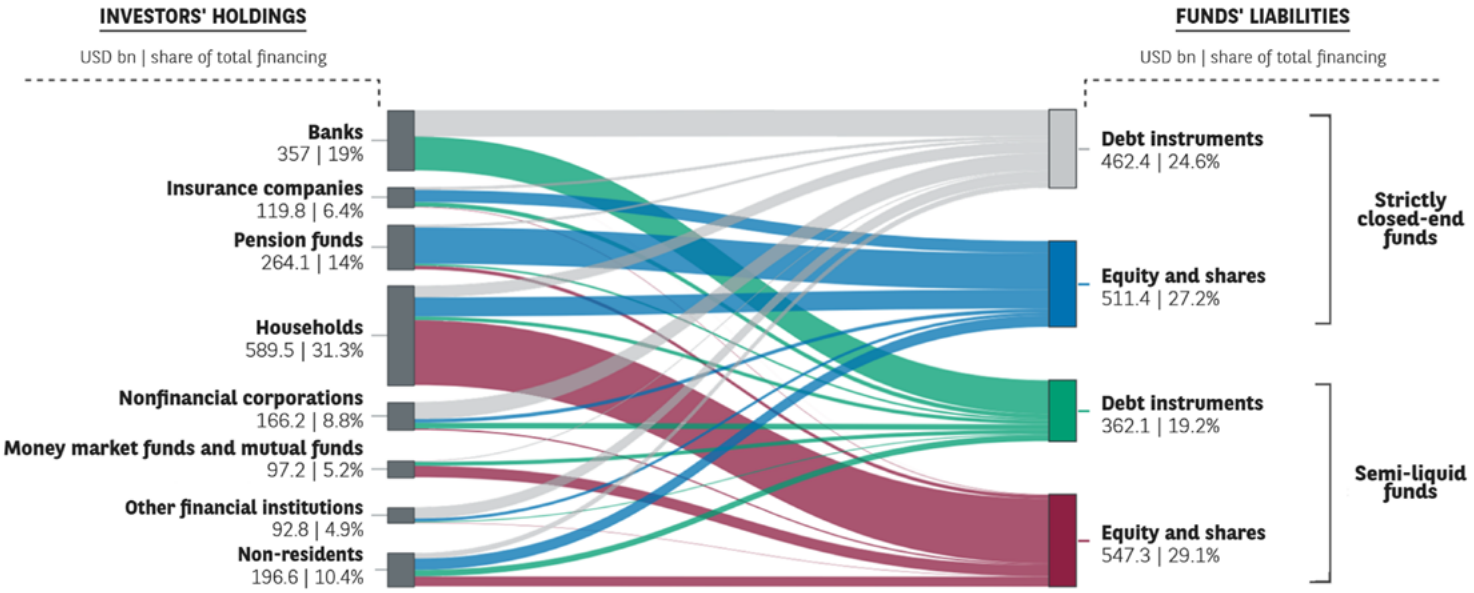
WHO FINANCES PRIVATE CREDIT IN THE UNITED STATES? WHAT THE FEDERAL RESERVE'S DATA REVEAL

Céline Choulet

The private credit market raises many questions, and its lack of transparency is not helping. Official public data remain scarce. The available estimates come mainly from private sources, whose methodologies vary widely. The Financial Accounts of the Federal Reserve (Fed) now shed new light on the matter. They reveal that private credit finances 7.1% of US corporate debt through households (31% of funds' total financing), insurers and pension funds (20%), and banks (19%).

Who finances US private credit funds?

Funding sources by investor type, fund structure and instrument - data at end of Q2 2026



SOURCE: FEDERAL RESERVE (ENHANCED FINANCIAL ACCOUNTS), BNP PARIBAS

Private credit can take several forms. The most common is loans granted by closed-end funds[1] to small and medium-sized, unlisted and highly indebted companies. These loans are generally variable-rate, with flexible terms based on cash flow rather than a measure of profitability. While this asset class has inherent vulnerabilities[2] (Bank of France, 2025), it is also particularly well-suited to financing innovative and long-term projects (such as digital[3], infrastructure, renewable energy and healthcare), especially when combined with an equity stake in the company. Its slower growth in Europe likely explains, in part, the region's lag in innovation financing.

Private credit finances 7.1% of US corporate debt...

Private credit has grown rapidly in the United States over the past decade and has established itself as an alternative to bank loans for a category of borrowers. It now accounts for 17.3% of the total outstanding loans to American non-financial corporations (NFCs)[4] and 7.1%

1 Strictly speaking, a closed-end fund has a fixed term during which investors cannot withdraw their invested capital. However, the sector has diversified since 2020. The Fed distinguishes between 1) strictly closed-end private funds (private debt funds), 2) business development companies, which may have an indefinite lifespan and allow for occasional redemptions of shares, and 3) interval and tender offer funds, which offer the possibility of scheduled redemptions.
2 Notably, high credit risk, high leverage, difficulty in valuing loans, opaque credit ratings, occasionally complex credit structures, high concentration within the sector and increasing liquidity risk.
3 In 2025, nearly half of the direct loans made by private credit funds went to the tech sector (software, data centres and artificial intelligence) (Abbassi et al., 2026).
4 No comparable data exist for the Eurozone. According to France Invest (2026) data, private credit issued by French funds accounted for 4% of annual bank credit flows to NFCs in 2025.

of their debt. Approximately one-third (35%) is managed by strictly closed-end funds, with another third (36%) by semi-open-end funds that allow occasional early redemptions. The remaining third is held on the balance sheets of non-resident private debt funds (25%) and securitisation vehicles (4%).

... through banks, insurers and pension funds, and households

In yet another example of the lengthening of the credit intermediation chain in the United States (following that of the mortgage market), banks are among the main creditors of private credit funds (65% of their debt and 19% of their total financing). The low risk weighting of loans granted by banks to these vehicles, compared to that of direct bank loans to non-financial corporations, is undoubtedly a factor (Chernenko et al., 2024). The holdings of insurers and pension funds – consisting mainly of shares in strictly closed-end funds – make them among the leading investors in private debt funds (30% of issued shares and 20% of total financing). This asset class offers them the opportunity to diversify their portfolios and attractive returns. The rise of semi-open-end funds has expanded the investor base to include retail investors (31% of total financing), albeit at the cost of increased liquidity risk, as evidenced by the significant wave of redemptions in late 2025 and early 2026[5]. American households directly hold 70% of the equity issued by semi-open funds and 22% of the shares issued by strictly closed funds[6].

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5 Triggered by concerns regarding private credit funds' high exposure to the software sector and the quality of the loans granted.
6 This exposure is likely overestimated because, in the Fed's financial accounts, the household sector includes individuals and non-profit institutions, as well as resident private equity funds, which form partnerships with private credit funds. In order to align more closely with the European definition, households here include sole proprietors.

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EDITORIAL

WHY CHINA RESISTS REBALANCING ITS GROWTH MODEL?

China has never exported as much as it does now, and its trade surplus has never been higher. At the same time, its economic growth is slowing, held back by weak domestic demand. The imbalances in China's growth model, and the external imbalances they give rise to, are therefore continuing to worsen. With Europe taking a tougher line and the United States, with which China shares nothing more than 'strategic stability', the standoff looks set to continue. However, the European Union and China would have a great deal to lose from a lasting deterioration in their relationship. It is in the interests of both parties to seek to restore the balance. To this end, it is important to understand Beijing's objectives and the constraints facing China. Why does the country resist adjusting its growth model? Whilst exports are a vital asset for sustaining economic activity and asserting China's technological and industrial power, this strategy also comes at a cost.

IMBALANCES ARE WORSENING

A K-shaped economy. China's economic growth slowed to 4.6% year-on-year (y/y) over the first three quarters of 2026, from 5.0% in 2025. More worryingly, the gap is widening between weak domestic demand and the very strong performance of exports, driven by artificial intelligence equipment and green technologies. Furthermore, the dynamism of export-oriented industries has not, so far, had any positive knock-on effects on other sectors or on households.

Domestic demand is struggling. The property crisis, now in its sixth year, and a sluggish labour market are weighing on household confidence and consumption. Since the start of 2026, households have been prioritising debt reduction (bank loans to households have fallen by 1% y/y), house sales have continued to fall, and retail sales have been stagnating (*Chart 1*). On the investment front, the decline is becoming more pronounced and widespread: it is affecting not only the property sector but also infrastructure and many manufacturing sectors (with the exception of the textile industry, transport and communications, and electronic and electrical equipment).

Exports remain very buoyant. Exports continue to be the main driver of growth (their net contribution is expected to account for around a third of real GDP growth in 2026, as it did in 2024–2025). Against a backdrop of rebound in global trade, Chinese companies maintained their market share at 14.6% of total exports (measured in US dollars) in the first half of 2026, as they had in 2025. Growth in goods exports accelerated (21.9% y/y in USD over the first nine months, compared with 5.2% in 2025), driven by both volumes and prices. These have rebounded after three years of decline, driven by rising costs of raw materials and the prices of goods required for AI, but they have increased at a slower rate than the global price average. Exports from high-tech sectors (batteries, electric vehicles, robots and AI equipment) are posting the highest growth rates (+55.8% y/y for all AI-related goods over the first nine months of 2026).

Record external surpluses. Imports, which had been stagnating since 2022, have been recovering since the start of the year (up 27.2% y/y over the first nine months), also driven by both volumes and prices. The countries benefiting from this rebound in the Chinese market are commodity exporters and Asian producers integrated into AI value chains (South Korea in particular). Otherwise, China has significantly reduced its reliance on imports over the past few years. Overall, the trade surplus has grown at a slower rate in 2026 than in previous years. Nevertheless, it has still reached a record high: USD1,249 billion over the twelve months to September 2026, which is three times its 2019 level (*see Chart 2*).

Chinese growth: solid exports, sluggish domestic demand

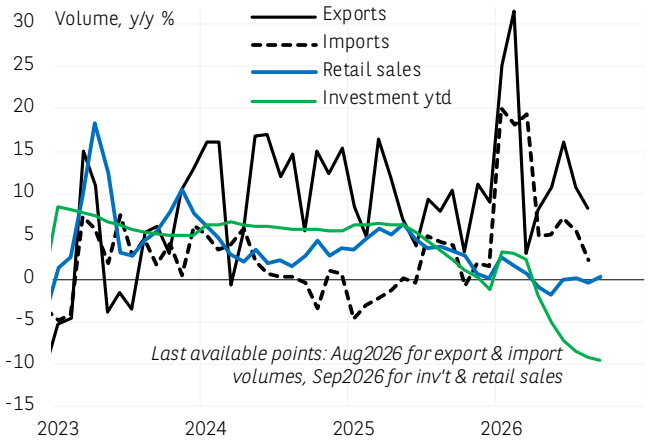

CHART 1 SOURCE: CPB, NBS, BNP PARIBAS

Record-high trade surpluses and a still relatively weak yuan

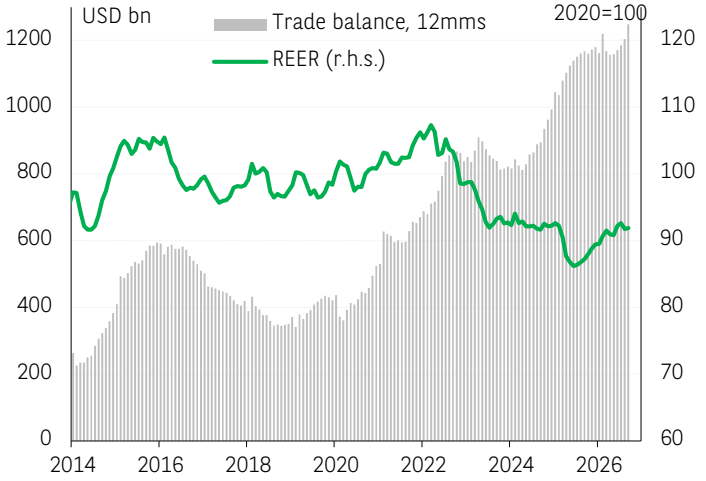

CHART 2 SOURCE: GENERAL ADM. OF CUSTOMS, BIS, BNP PARIBAS

Meanwhile, the current account surplus is expected to approach a record level of USD 800 billion in 2026, representing nearly 4% of China's GDP (a ratio already seen in the late 2000s). As a proportion of global GDP, this is unprecedented (at 0.6%).

Imbalances set to persist. The imbalances inherent in the growth model are likely to persist, fuelled notably by the strong price and non-price competitiveness of Chinese goods. This competitiveness remains underpinned by: i/ innovation efforts and the move up the value chain in high-tech sectors and the low-carbon transition; ii/ low production costs (labour, low-cost credit, land and energy, tax benefits[1]); iii/ the yuan's exchange rate. Its slow appreciation since mid-2025 has not offset the cumulative depreciation from 2022 to 2025 (nominal and real depreciation due to low inflation), and its real effective exchange rate (REER) remains 10% below its 2021 average. At the end of 2025, the IMF estimated that the REER was undervalued by between 12% and 20%.

Beijing's economic strategy is exacerbating imbalances. The 15th Five-Year Plan[2], launched this year, prioritises innovation, high-tech (export-oriented) sectors and technological self-reliance above all else, whilst reforms to the social security system and private consumption remain on the back burner (*see Chart 3*). Furthermore, fiscal policy, which had provided moderate support for household spending for a time in 2025, was tightened in 2026 (until the recent announcements of new measures for the final quarter).

WHY BEIJING IS DIGGING ITS HEELS IN

Beijing is not giving ground on any key issues. Faced with trading partners calling on China to rebalance its economic model, reduce industrial subsidies and strengthen the yuan, Beijing responds that the trade surplus reflects the competitiveness of its goods, points to the United States' insufficient savings, and uses critical materials as a bargaining chip in negotiations.

The need for growth. Exports are a key driver of growth at a time when the Chinese economy is undergoing a period of transition. The country has moved away from its pre-2022 model, which was based on investment in property and traditional industries and financed by debt. Growth is now driven by 'new productive forces', and exports must provide producers with the market that domestic demand does not. Furthermore, innovation and the roll-out of AI must stimulate productivity gains and offset the impact of the shrinking labour force on economic growth. It is essential to limit the slowdown of growth in order to support job creation and absorb the economy's excess debt.

The strategic argument. Exports are a means of asserting China's industrial and technological supremacy, weakening its competitors, and strengthening 'national security'. They place China at the heart of value chains in the most strategic industries, such as AI and the low-carbon transition. Furthermore, the pursuit of self-sufficiency and import substitution — which exacerbate external imbalances — also help to build national sovereignty by reducing dependencies.

A political and fiscal choice. Expanding the social safety net is seen as a solution for providing long-term support for household consumption[3] by reducing their savings rate (estimated at 35.7% of disposable income in 2025, which is more than double the average rate for the euro area).

R&D is a higher budget priority than social spending

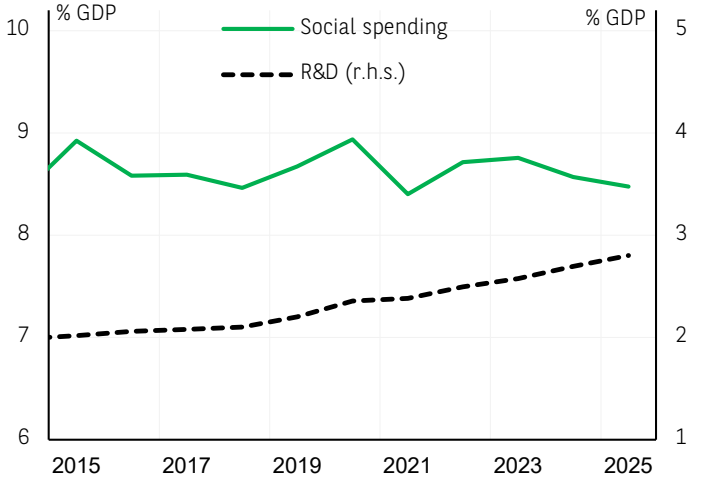

CHART 3 SOURCE: MOF, NBS, BNP PARIBAS

However, this is not a priority for Beijing, certainly due to 'ideological' mistrust of the welfare state and a desire for fiscal prudence. A major reform of the healthcare or pension systems would place a strain on public finances in both the short and long term, particularly as the population ages. Whilst the central government remains in a sound financial position, local governments are already under strain following several years of falling land sales proceeds, high deficits and rising debt. The authorities do not have a large fiscal room for manoeuvre and wish to preserve it in anticipation of future shocks.

LIMITATIONS AND POSSIBLE ADJUSTMENTS

In China, a society gripped by anxiety... Economic imbalances are taking their toll on households. The emphasis placed on manufacturing rather than services is having a negative impact on employment and wages (the share of value added allocated to employees' pay is estimated at 50% in the services sector and 41% in manufacturing). The downturn in the property market is eroding households' wealth, and their savings are mainly held in low-yield bank accounts. Finally, social spending is rising slowly (by 5.2% a year since 2020, compared with 9.7% over the previous five years).

... and enterprises under pressure. The low prices of Chinese goods, both for export and on the domestic market — resulting from excess production capacity and 'involution' — are eroding corporate profit margins. Total profits for industrial enterprises have recovered this year but they are highly concentrated, particularly in AI-related sectors, while the proportion of industrial companies reporting losses has continued to rise (30%, compared with 26% in 2022). These vulnerabilities are having increasing contagion effects on the rest of the economy, notably through worsening payment delays and rising pressure on the profitability of financial institutions.

1 According to the IMF, the cost of China's industrial policy amounts to about 4% of GDP. See IMF, 'Industrial Policy in China: Quantification and Impact on Misallocation', August 2025: https://doi.org/10.5089/9798229017855.001

2 See BNP Paribas, EcoWeek, China's 15th Five-Year Plan: prioritising power over addressing imbalances

3 The IMF estimates, for example, that doubling social expenditure (health, education, social services and basic pensions) in rural areas could reduce savings and raise the ratio of private consumption to GDP by 1.8 pp in the medium term, at an annual fiscal cost of 1% of GDP. See IMF, People's Republic of China 2025 Article IV, February 2026: https://doi.org/10.5089/9798229038911.002

Abroad, trading partners are becoming increasingly intolerant. This is particularly the case of the United States and the European Union[4], which have absorbed 24% and 28% respectively of China's trade surplus over the last twelve months (data from China's General Administration of Customs). Tensions between the US and China could rise again in 2027 when the current truce (which has mainly led to a reduction in tariffs following the peak in H1 2025) comes to an end. Against a backdrop of competition for technological supremacy and industrial sovereignty, the trend towards decoupling between China and the US could continue, thereby reducing market opportunities for Chinese producers. Europe, for its part, is reinforcing its strategic approach and expanding its toolkit of measures, moving towards more targeted restrictions and stricter market access conditions, especially in case of serious market distortions). Rather than pursuing a strategy of decoupling, the EU is seeking to reduce risks and provide greater protection for critical sectors (including the automotive and chemical industries) without closing its market and whilst continuing to attract Chinese investment. This strategy will also lead to tensions. With imbalances becoming increasingly unsustainable, what course of action would make it possible to avoid a sudden adjustment precipitated by episodes of crises?

A 'concerted' adjustment is difficult to envisage. A negotiated adjustment, along the lines of the 1985 Plaza agreements, seems unlikely in the current international and military context. Furthermore, China and its trading partners largely disagree on the diagnosis and the causes of the imbalances. Moreover, a simple revaluation of the yuan would, on its own, have only a limited effect on China's competitiveness.

A gradual adjustment may be possible... in the long term. However, the reduction of imbalances will need to come both from partner countries (through increased savings) and from China. In the short term, China can ease trade tensions by investing more abroad, which is all the easier given that it has huge current account surpluses. This would enable it to maintain its access to foreign markets and support the production capacity of its trading partners. More structural changes (a more flexible exchange rate regime, less fiscal support for industries and more support for households) will only be feasible once Beijing considers that the costs of its export-led model will outweigh the strategic gains. A key challenge for trading partners will be to work out how to shift this cost-benefit balance.

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4 See BNP Paribas, EcoWeek, When it comes to China, Europe should focus less on its trade deficits and more on its investments

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

In brief. The week was dominated by a continued global selloff in tech stocks, leading to safe haven flows into US Treasuries, Japanese Government bonds and German bunds. As a result, their yields fell despite energy prices surging to or past their Spring highs. Economic data generally showed continued resilience. French bonds were under rising pressure, but Moody's unexpected decision to maintain its France rating unchanged could, at the margin, help stabilise the spread. The Fed, ECB and BOJ should be on hold next week while signaling further rate action is likely.

EUROPEAN UNION

A win for securitization. The Council and the European Parliament have reached a provisional political agreement on measures to revive and simplify the EU's securitization market. The updated framework will reduce banks' capital requirements for the safest and most well-structured transactions, notably for a newly introduced "resilient" category of securitization. As a key component of the "One Europe, One Market" initiative and the EU's Savings and Investment Union agenda, this aims to channel increased lending to households and businesses. The relevant legal texts must now be finalised.

EUROZONE

Expansion continues. The flash PMIs weakened in October, mainly on the back of a decline in France. The EZ composite index dipped to 51.9 (-1.2 m/m), dragged down by services (51.7, -1.3 m/m), although manufacturing also dipped (52.4, -0.5 m/m). Both remain in expansion territory, and manufacturing new export orders rose to their highest level since early 2022. Price signals were also rather reassuring, with the services output price index easing to 54.9 (-1.7 m/m). Households are more cautious: consumer confidence fell for a second consecutive month to a five-month low (-17.9). Households' inflation expectations edged up at short horizons (+0.1 pp to 3.6% at one year and 3.1% at three years), but long-term expectations remained anchored, with the five-year median stable at 2.5%.

France

Rising market stress despite decent economic news; a reprieve from Moody's. The spread on French 10-year bond relative to Germany's peaked to 174 bps on Friday, the highest since 2011 and only 16 bps short of its all-time high, as markets price in anticipation of worst-case scenarios regarding the country's ability to repair its public finances. The 10Y yield briefly exceeded 5.1% before falling back to 5% (above the US equivalent). Nonetheless, services output was stable in August, following a 0.6% m/m increase in July, a much higher pace than in Q2. The rebound is driven by the catering sector, the digital sector, business services, and real estate. The INSEE business climate improved from 96 to 97 (long-term average = 100) in October, but the survey was conducted before the riots. The main improvement was in manufacturing, which rose from 101 to 105, driven by increased new orders in the aeronautics sector, and to a lesser extent by the services sector (from 98 to 99). The PMI survey (conducted partially after the riots) was less positive: the composite index fell to 48.4 (-2.7 m/m), with a sharp decline in services (48.4; -2.8 m/m) and a slightly smaller decline in manufacturing (49.3; -1.3 m/m). Moody's unexpectedly announced after the market close on Friday that it was maintaining France's rating at Aa3 on account of France's diversified economic structure and sound public institutions, but maintained its negative outlook. This is on par with the UK and one notch above S&P and Fitch. Moody's made clear keeping this rating is conditional on a budget being adopted that reduces the fiscal deficit, along with an easing of social and market stress going forward. Saturday's demonstrations across the country saw strong attendance but only limited violent incidents.

Germany

Prices continue to rise, but confidence surveys remain on an upward trend. Producer prices rose 6.7% y/y in September (+2.1pp m/m; the highest level in 3.5 years) due to higher prices for energy and intermediate goods, primarily metals. The ZEW Economic Sentiment Index improved beyond consensus forecasts in October and returned to its highest level since May 2023 (-35.9; +11.2 m/m), albeit the Economic Expectations Index fell to its lowest level since July (28.1; -6.6 m/m). The recovery in economic activity continues, although a slowdown is evident: the flash Composite PMI slowed (52.8; -1 m/m; the lowest in 2 months) due to weaker growth in the services sector (51.7; -1.1 m/m; the lowest in 2 months) and in manufacturing output (55.1; -0.9 m/m; the lowest in 3 months). Nevertheless, in both sectors, hiring is rising slightly, supported by growth in export sales and the spillover effects of investment plans. Despite persistently high input prices, selling prices are slowing (reaching their lowest level since February in the manufacturing sector).

UNITED KINGDOM

Inflation, wage growth and activity accelerate. CPI inflation overshot consensus on energy prices, printing at 0.4% m/m and 3.5% y/y in September (consensus: 3.4%, prior: 3.1%), its highest in 11 months. Core CPI came in at 2.8% y/y (up 0.2 pp), in line with consensus. Pressures remained persistent according to the PPI at 8.3% y/y (prior: 6.7%). Labour market and activity data also surprised positively. Payroll growth reached 102k in August (3m/3m), bringing the unemployment rate to 4.7% (down 0.2 pp), its lowest since July 2025. October PMI surveys beat expectations in both manufacturing (52.8, consensus: 51.8, prior: 51.9) and services (53.1, consensus: 51.8, prior: 52.1). The only negative news came from headline retail sales, falling 0.4% m/m in September, with the core gauge (excluding petrol) deteriorating by -0.7% m/m.

UNITED STATES

Construction struggling, GENIUS Act implemented. Housing starts dropped -5.2% m/m in September (-7.4% y/y). This third consecutive monthly decline dragged the Q3 average to its lowest since Q2 2020. Building permits also came in negative, at -0.2% m/m (-3.0% y/y), while the NAHB homebuilder sentiment index plunged to its weakest since 2012. The average 30-year fixed mortgage rate eased to 7.32% (still 134bp above pre-war level), as the ongoing AI selloff pushed down US treasury yields. The GENIUS Act final implementation rule from the Office of the Comptroller of the Currency's (OCC) leaves the door open for stablecoin customers to receive yield or rewards. Issuers remain prohibited from paying holders any form of interest or yield solely in connection with the holding, use, or retention of payment stablecoins. This represents a shift from the OCC's February proposal and has renewed concerns within the banking industry about deposit flight. The rule will take effect on January 18, 2027.

JAPAN

Activity and inflation keep rising. Composite PMI was unchanged in September at 52.3, solidly in expansion territory, as an improvement in services activity offset slower output growth in manufacturing. The Manufacturing PMI disappointed at 53.3 (-0.8 m/m; an 8-month low). Underlying price pressures, meanwhile, extended. Headline CPI was

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flat on a monthly basis, bringing the annual rate up to 2.1% (up 0.4 pp). Core CPI (excl. fresh food) matched it at 2.1% y/y (up 0.4 pp), in line with consensus. More importantly, the New Core index, which strips out fresh food and energy, rose sharply to 2.4% y/y (up 0.5 pp), its fastest pace since January.

EMERGING ECONOMIES

ASIA

China

New monetary policy tool and export controls. The central bank's Governor Pan Gongsheng unveiled a plan to switch ("when appropriate") its key policy rate from the 7-day reverse repo rate (at 1.4% since May 2025) to the overnight reverse repo rate, in order to reflect developments in the interbank market. New export controls: The government plans to add 40 key technologies to the list of technologies prohibited or restricted for export, including in the AI (for ex. LLMs, computing clusters), biotechnology and photovoltaic sectors.

Indonesia

BI kept policy rate unchanged at 5.75%, raised its deposit facility rate by 25bp to 5% and announced a phased cut in reserve requirements from 9% to 7% by December. This combination of limited FX support and measures to support credit growth sends mixed signals amidst pressures on the rupiah following MSCI's downgrade warning and undermines the central bank's credibility. The rupiah has lost 1% against the USD since mid-October, with little contagion effect on other Asian currencies.

South Korea

The Bank of Korea (BoK) kept its policy rate unchanged at 3.0%, but the tightening cycle may not be over. CPI inflation was 2.9% y/y in September, above the central bank's target of 2%, while high oil prices, rapid growth in Seoul housing prices and wage pressures (though concentrated in the electronics sector) raise the risk of lasting inflation pressure. As economic activity remains robust, supported by strong exports and recovering investment, the BoK has scope to raise rates further.

EMEA

Hungary

Monetary *status quo* and 2027 budget in consolidation mode. The Central Bank kept its policy rate unchanged at 5.5%, as expected. A cautious stance will likely prevail in the short term. Inflation has been picking up in recent months, albeit mildly, and will continue to move upward as the government recently removed the margin cap on fuel. Separately, the Budget for 2027 and the medium-term fiscal plan show Hungary's goal to join the Eurozone; the government expects to reduce the fiscal deficit to 4.9% of GDP in 2027 (from 7% expected in 2026) and towards 2.8% of GDP by 2030.

Türkiye

Cautious monetary loosening. The Central Bank lowered its policy rate by 100 bp to 36% at its October Monetary Policy Committee meeting, in line with market expectations. The overnight lending and borrowing rates were also reduced by 100 bp, to 39% and 34.5%, respectively. The improvement in underlying inflation has yet to translate into a sustained period of low inflation, justifying the CBRT's preference for a measured pace of monetary easing.

LATIN AMERICA

Brazil

President Lula da Silva was re-elected on Sunday for a fourth term (with 51.8% of the vote), defeating far right-wing candidate Flavio Bolsonaro (48.2%). Lula will enter this new term facing significant economic and political challenges. Public debt has risen to more than 82% of GDP, while high borrowing costs and rigid mandatory spending leave limited room to reconcile fiscal consolidation with social spending and investment. Restoring confidence in the fiscal outlook will be a key challenge in the short term.

COMMODITIES

Pressure rising. Amid growing rumours of imminent re-escalation of military operations in the Gulf, energy prices rose sharply this week, with brent touching $117/b – near its April peak, and European gas prices (TTF) rising to 97 €/MWh on Monday, their highest level since Dec 2022. The Asian gas benchmark (JKM) is following the same trend (4.6% w/w to 31.4 $/mbtu, equivalent to around 96 €/MWh). Diesel crack spreads are slightly decreasing in Europe (-2.8% w/w on Monday) and in the US (-4% w/w on Monday). The first Russian diesel tanker intended to the US market left Russia this Friday and should supply the US market in 2 weeks. US diesel average retail prices remain oriented to the upside (0.7% w/w at 6.32 $/gallon on Monday). US commercial crude inventories fell by 3.1 mb in the week ending 16 October, significantly exceeding market expectations for a 340,000-barrel decline.

TO WATCH THIS WEEK

- **Eurozone:** ECB meeting, October European Commission Survey (Thursday) and Q3 GDP (Friday). France Household Confidence (Tuesday), Q3 GDP, October Inflation and Q3 Employment (Friday). Germany IFO Business Climate (Monday), Household Confidence (Wednesday), Q3 GDP and October Inflation (Friday)
- **United Kingdom**: HM Treasury Autumn Statement (Wednesday)
- **United States**: FOMC (Wednesday) and Q3 GDP (Thursday)
- **Japan**: October Household Confidence (Thursday), BOJ meeting, September Industrial Production and Retail Sales (Friday).

y/y = year-on-year
m/m = month-on-month
bp = basis point
pp = percentage point
mb = million barrels

ECOINSIGHT

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INDIA: A MIDDLE CLASS TOO SMALL TO SUPPLANT CHINA'S ECONOMIC ROLE

Johanna Melka

At a time when Chinese consumption is slowing significantly, could India become a driver of global consumption? For now, this prospect presents considerable difficulties, with many obstacles to overcome. Despite dynamic growth and the Indian economy's expanding share of global output (8.2% of worldwide GDP in 2025), the middle-class consumer population remains modest and is nowhere near the size of China's.

This is due to the concentration of employment in low-value-added and largely informal sectors. The few manufacturing sectors with high value-added and strong job potential – electrical equipment, electronics, automotive, chemicals and pharmaceuticals – continue to face constraints from an unfavourable business environment and a skills shortage that is holding back their move into premium market segments.

Furthermore, the highest-paying service sector jobs, particularly in information technology, are now threatened by the rise of artificial intelligence. Without concrete measures, the "demographic window" – which is expected to remain favourable for another 15 to 25 years – could close before India establishes a solid industrial base and a sufficiently large middle class.

ECONOMIC RESEARCH

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INDIA IS STRUGGLING TO ESTABLISH A ROBUST MIDDLE CLASS

With an annual growth rate of 7.3% over the past decade (excluding the pandemic), India has one of the highest growth rates among the world's major economies. Yet, its middle-class consumer base remains surprisingly small. When measured in current U.S. dollars, total consumption is very high in India (USD 2,241 billion in 2025), but this figure primarily reflects the country's overall population size. By comparison, this consumption level falls 3.5 times short of China's corresponding figure. Furthermore, per capita consumption adjusted for purchasing power parity (PPP) is 1.3 times lower than that of Indonesia, the Philippines and Vietnam. When evaluated at constant prices, consumption per capita has increased only slightly over the past thirty years compared to China and even Vietnam (*Chart 1*).

According to our estimates, based on the research conducted by López-Calva and Ortiz-Juarez (2014)[1], India's middle-class consumer segment accounts for just 1.6% of the total population (*see Table 1*), or fewer than 24 million people. This is less than in Thailand and Vietnam (more than 30 million each) and far below China (approximately 490 million, according to the same definition).

The majority of households identified as middle class by standard Indian research institutions (the Centre for Monitoring Indian Economy [CMIE] and the National Council of Applied Economic Research [NCAER]) would, in fact, be categorised as "vulnerable" according to World Bank criteria: households that have officially emerged from poverty yet lack the financial stability necessary for sustained economic security.

Highly concentrated consumption and limited upward mobility

The structure of Indian household consumption reveals significant disparities between urban and rural areas. In 2024, average monthly consumption per capita amounted to 6,996 rupees in urban areas (approximately USD 84.5), compared with 4,122 rupees in rural areas (less than USD 50). The wealthiest 5% of urban consumers spent an average equivalent of USD 245 per month per person. Consequently, discretionary spending power remained concentrated among the highest income brackets.

Per capita consumption in India, at constant PPP, grew much more slowly than in China, Vietnam, and Indonesia

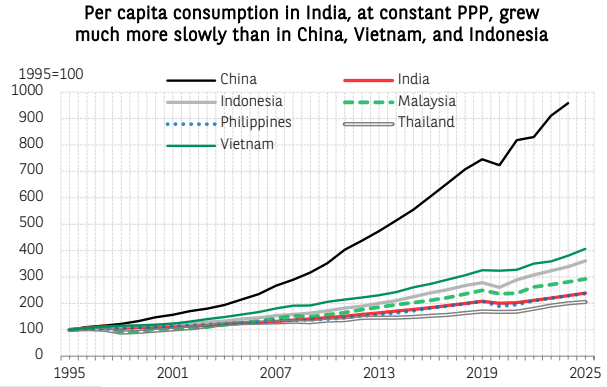


CHART 1 SOURCE: WORLD BANK, BNP PARIBAS

The structure of consumption has changed over the past decade. The proportion allocated to food purchases (34.8% of total spending on average) declined by 4.3 percentage points between 2011–12 and 2023–24, while allocations to transportation and communications increased to 12.4% (+3.8 pp). Although the allocation to durable goods has increased, it remains below 7% of total household spending. This increase was driven more by a rise in the use of credit than by income growth. Over the past ten years, consumer loans have been the main source of household debt. Although still modest relative to GDP, household debt rose by 12.2 pp to reach 47.8% of GDP by the end of 2025, according to the Bank for International Settlements (BIS).

1 These authors define the middle class as individuals for whom the risk of falling back into poverty is limited (less than 4% over four years), corresponding to daily per capita income ranging from 17 to 98 2021 PPP dollars (with vulnerability thresholds at 6.85 and 14 2017 PPP dollars, according to the World Bank). In the absence of reliable national income data collection mechanisms in India, our study applies these thresholds to the World Bank's consumer expenditure data, an approach aligned with the objective of assessing actual purchasing capacity deployed in the market (although this tends to slightly underestimate the middle class in terms of income, as household savings remain unaccounted for in expenditure measurements).

India: a very small consumer middle class

% population	<17 USD PPP 2021 (lower consumer group)	17-98 (middle consumer group)	>USD98 USD PPP (higher consumer group)
India	98.4	1.6	0.004
China	64.7	34.9	0.4
Indonesia	92.5	7.4	0.1
Philippines	95.0	4.9	0.0
Thailand	55.3	44.4	0.3
Vietnam	66.3	33.5	0.3

TABLE SOURCE: WORLD BANK, POVERTY AND INEQUALITY PLATFORM (PIP), CALCULS BNP PARIBAS.

THE LABOUR MARKET SUFFERS FROM STRUCTURAL WEAKNESSES

The limited size of the middle class and the low level of household consumption in India can be attributed, in particular, to the enduring structural weaknesses of the labour market. The labour market faces two major problems: insufficient job creation and the fact that most of the jobs created are low-skilled and low-paid.

Insufficient job creation

Despite the Indian economy's robust growth, its employment rate remains substantially lower than in comparable Asian economies: 52.7% in 2025 according to the International Labour Organization (ILO), compared with 65.6% in Indonesia and 71.3% in Vietnam. This disparity is mainly due to low labour force participation among women (34% compared with 53.4% and 68%) and young people (40.8% of those aged 20-24 compared with 66.7% and 69.4%).

Over the past ten years, employment growth has averaged just 2.4% annually, whereas GDP growth was close to 6% per year.

The services sector (representing 33.2% of employment in 2025) accounted for the bulk of job creation during this period (+3.2% per year), far ahead of the manufacturing sector (+1.4%) and, above all, agriculture (+0.1%), which nevertheless remains the country's largest employer (41.5% of the workforce). This is not enough to absorb the 10 to 12 million new entrants to the labour market each year.

A limited number of sectors have significant potential for creating high-quality, well-paid jobs

To identify sectors with high potential for job creation, we calculate employment elasticity both for aggregate economy (KLEMS data) and for the formal manufacturing sector alone (Annual Survey of Industries, 2025).

Over the period 1981–2023, aggregate employment elasticity remained low at a virtually unchanged level, close to 0.3. This stability, however, masks significant sectoral divergences: elasticity remained stable in the services sector throughout the period (0.5), but it declined sharply in the manufacturing sector (from 0.4 during 1981–1990 to just 0.1 during 2012–2023[2]): at the same growth rate, India now creates far fewer industrial jobs per unit of growth than it did forty years ago (*Table 2*). In the formal manufacturing sector alone, employment elasticity reached 0.7 over the past ten years, driven by very robust job creation. However, this positive trend has not been sufficient to offset the decline in informal sector employment, which accounts for 73.4% of total manufacturing employment but only 38% of the sector's value added. Labour productivity in the formal manufacturing sector is thus estimated to be 5.4 times higher than in the informal sector.

In capital-intensive sectors, employment elasticity ranged from 0.5 to 0.6 (including electrical equipment, transportation, chemicals and metals), whereas in labour-intensive sectors — specifically wood, textiles and apparel, and manufacturing food — employment elasticities remained particularly low, or in certain cases, negative.

2 Employment elasticity remained relatively stable between 1990 and 2012.

Over the 2012–2023 period, India's strong GDP growth did not translate into job creation in labour-intensive manufacturing sectors

Sector	CAGR: Employment	CAGR: VA	Labour intensity (employment/capital stock)	Employment elasticity
Agriculture	1.4	4.1	524	0.3*
Mining	-2.7	1.8	25	-0.9**
Manufacturing	1.3	5.4	73	0.1
Food, beverage, tobacco	0.3	3.1	88	-0.2*
Textiles, clothing, leather	0.0	4.7	121	-0.1
Wood and wood products	-2.9	4.6	345	-0.4***
Coal, petrochemicals	3.1	-1.0	5	0.1
Chemicals	4.0	7.6	29	0.5***
Rubber & plastics	2.3	9.2	38	0.2***
Metals	3.8	6.2	51	0.6***
Electrical & optical equipment	4.0	5.0	93	0.7***
Transport equipment	4.0	6.5	33	0.4***
Water, gas, electricity	3.7	6.1	6	0.7***
Construction	4.0	5.3	227	0.8***
Total services	3.6	6.5	63	0.6***

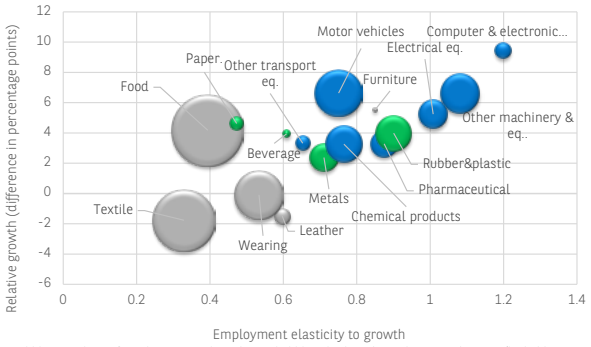
TABLE 2

SOURCE: KLEMS (FORMAL AND INFORMAL SECTORS), ILO, BNP PARIBAS CALCULATIONS (LOG-LOG REGRESSION WITH DUMMY VARIABLES FOR THE TWO PANDEMIC YEARS 2020-21 *** ** * = SIGNIFICANCE AT 1%, 5%, 10%). CAGR: COMPOUND ANNUAL GROWTH RATE.

In other words, growth in value added in these sectors with high labour absorption potential is primarily driven by productivity gains rather than job creation. Furthermore, even among companies operating in the formal sector, employment elasticity remains low at an average of 0.4. Consequently, the traditional mechanism facilitating labour mobility from the agricultural sector to the labour-intensive manufacturing sector has been very limited over the past forty years.

The only manufacturing subsectors that combine strong growth, high employment elasticity, and high productivity — thereby offering real potential for creating high-quality jobs — are electronics and information technology, electrical equipment, the automotive industry, the chemical industry, and, to a lesser extent, the pharmaceutical industry. In these subsectors, the formal employment elasticity ranges from 0.8 to 1.2 (*Chart 2*). However, in 2025, these jobs accounted for just 1.4% of total employment and 5.9% of GDP. The potential therefore remains negligible at the macroeconomic level.

Chemicals, pharmaceuticals, electrical engineering, electronics, and the automotive industry are the most promising sectors in terms of creating high-quality jobs



Bubble size: share of employment in the industry; bubble color based on relative productivity (high: blue, medium: green, and low: gray).

CHART 2 SOURCE: ANNUAL SURVEY OF INDUSTRIES, BNP PARIBAS ESTIMATES

Several structural constraints limit job creation in India

- The high rigidity of the labour market: it consists mainly of small, informal businesses — those with fewer than 50 employees account for 65% of the productive sector — largely due to the stringency of labour legislation (for example, companies with more than 300 employees cannot carry out mass layoffs without authorisation).

- Numerous obstacles impede the growth of industrial and job-creating businesses: an unfavourable business environment (particularly difficulties in accessing land acquisition to build factories); high costs of accessing capital (particularly for small and medium-sized enterprises); insufficient export competitiveness in labour-intensive sectors (textiles, clothing), which encounter disadvantages, including less advantageous tariff conditions[3] than competing Asian economies.

- The mismatch between the skills of the available workforce and the needs of businesses. This mismatch constrains wage growth and the development of household purchasing power, obstructs industrial advancement, and, consequently, the creation of high-quality jobs.

INADEQUATE JOB QUALITY DUE TO A LACK OF APPROPRIATE SKILLS

A predominantly informal and low-paid labour market

According to the ILO, 87.2% of total employment in India is informal, with 73.4% concentrated in the manufacturing sector alone, predominantly engaged in low-value-added activities that require few skills. Furthermore, the Periodic Labour Force Survey (PLFS) 2023/24 indicates that 58.4% of Indian workers are self-employed, 19.8% are day labourers, and only 21.7% are regular employees — the highest-paying status, with a wage gap of more than 60% compared to the other two categories. According to the ILO, 20% of the population captures 79% of aggregate labour income. The agricultural sector, which still employs 41.5% of the labour force while contributing less than 15% to GDP, is 3.7 times less productive than the services sector, with a median hourly wage that is 40 to 50% lower.

A widespread skills shortage

This concentration of earnings reflects the low skill levels of the jobs held: according to the PLFS, 88.2% of workers hold jobs requiring little or no skill. The proportion of skilled jobs is just 11.2% and has declined by 4.6 pp since 2018. The underlying challenge is not a shortage of graduates but rather a misalignment between what the labour market needs and the educational preparation provided to graduates[4], which results in their gradual downward mobility into positions far below their formal qualifications.

Unemployment, the downward mobility of graduates, and a shortage of technical skills

This disparity between skills and business needs directly contributes to unemployment among graduates, which reached 13.5% in 2025 according to the ILO, compared with 1.3% for individuals without a degree. Within the 25- to 34-year-old demographic, the unemployment rate stands at 15.2% for graduates (19.2% for those with a master's degree), compared with an average of 6.1% across this age group. Only 8.3% of graduates secure positions that genuinely correspond to their educational attainment; 53% of bachelor's degree holders and 36% of master's degree holders are overqualified for their positions.

In low-skilled jobs, the lack of technical training represents a significant barrier to youth employment: according to the World Bank's Enterprise Survey (2022), 17.8% of traditional service companies and 14% of "intermediate" manufacturing companies cite this as a major obstacle. In India's manufacturing sector, 32.9% of positions are reportedly held by underqualified workers, according to the ILO, compared with 28.8% in Indonesia and just 16.5% in Vietnam.

A direct impediment to industrial advancement

A survey conducted by the Ministry of Skill Development & Entrepreneurship across seven key sectors — automotive, textiles, agriculture, livestock, IT, commerce and green energy — reveals that the pace of

3 Historically, tariff rates imposed on Indian products exported to Europe have been higher than those applied to certain other Asian countries (Bangladesh, Vietnam, Pakistan).
4 According to the World Bank and the NCAER, educational and training programmes are too theoretical and fail to develop cognitive and interpersonal skills. Vocational education and training are not designed to meet the needs of high-demand sectors. Collaborative relationships between educational institutions and employers — particularly regarding internships and on-the-job training — remain inadequately developed.

"Low-skilled" workers will hold the majority of jobs in India in 2025

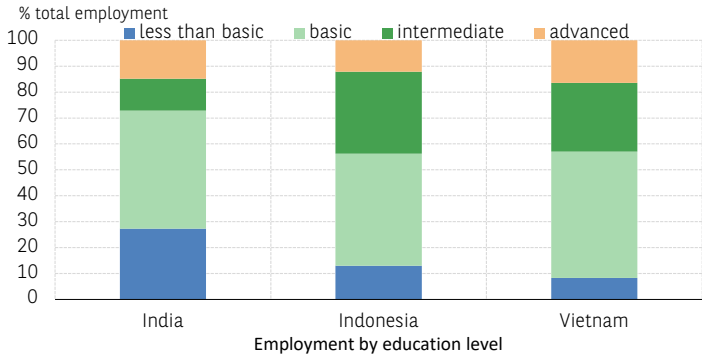


CHART 3 SOURCE: PLFS, ILO, BNP PARIBAS

The share of skilled jobs has been declining since 2018

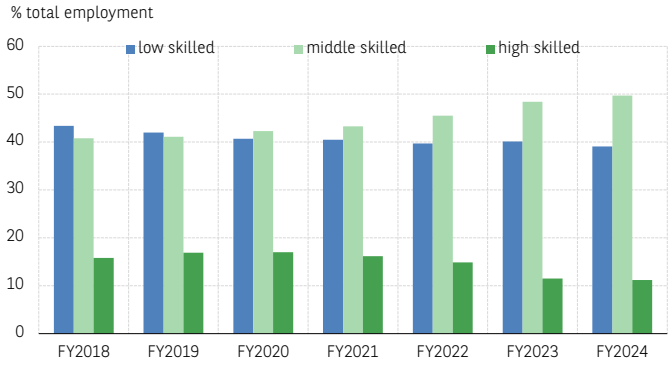


CHART 4 SOURCE: PLFS, ILO, BNP PARIBAS

workforce training development significantly lags behind industry requirements. This forces companies to train a considerable number of young graduates themselves before they are ready for the workforce. According to the Telecom Talent in the 5G Era report by the Telecom Sector Skill Council, only 40% of IT and telecommunications graduates are actually immediately employable.

This disparity in skills particularly constrains the transition towards higher-value-added manufacturing activities within the sectors identified above (automotive, electronics and chemicals). Their growth trajectory depends on technological advancement — electric vehicles, semiconductors, specialty chemicals — and therefore on intermediate to advanced technical skills that are currently lacking. Should training provision fail to align with industry demand, employment elasticity and growth in these sectors will stagnate or decline, undermining the only source of high-quality job creation currently available — and consequently, the Indian economy's ability to expand its middle class.

These structural limitations affecting national industrial development diminish its appeal to foreign investors, despite its size. The stock of foreign investment in India stood at USD 560 billion in Q2 2026, representing just 15% of GDP (compared with 20% in China, more than 52% in Vietnam, and around 67% of GDP in Thailand and Malaysia).

ARTIFICIAL INTELLIGENCE: A NEW RISK TO JOB CREATION

Artificial intelligence (AI) may also limit the expansion of high-paid employment opportunities in the service sector. Its deployment poses a significant threat to employment in India, particularly in the highest-paying service sectors — the same sectors that possessed significant potential for expanding India's middle-class consumer base.

Agriculture (41.5% of the labour force), construction (12%), and trade/transportation (18%) remain largely immune to the direct replacement of workers by AI, which reduces the overall macroeconomic scale of the coming shock. The service sectors offering the most lucrative employment — IT, finance and insurance — account for just 1.3% and 1.2% of total employment, yet these remain the primary targets of automation. In IT services companies, the adoption of AI is expected to reduce the need for entry-level roles (quality assurance, software testing and support roles) but increase demand for positions centred on platform development and management oversight. Current sector-specific evidence indicates a notable slowdown in job creation within IT services but no widespread contraction. A study by the Indian Council for Research on International Economic Relations (ICRIER) on the IT sector confirms a decline in job creation for routine and entry-level roles.

While new professions are emerging such as data centre operators, AI DevOps engineers who serve as intermediaries between software development and systems operations teams, and ethical AI specialists, the volume of employment opportunities generated remains substantially lower than the number of jobs at risk. Furthermore, the skill requirements for these newly created positions exceed those possessed by the existing cohort of graduates.

REFORMS ARE A STEP IN THE RIGHT DIRECTION BUT DO NOT GO FAR ENOUGH

Since 2019, the Modi government has implemented a series of measures to develop industry, attract foreign direct investment, and gain greater integration in global trade (after decades of protectionist policies).

Corporate subsidy programmes (Production-Linked Incentives) have helped support the development of those sectors with the greatest potential for job creation (electrical, electronics, chemicals, and automotive). Similarly, labour market reform (which came into force in late 2025) may alleviate impediments to business expansion and the creation of formal jobs. However, its actual impact will depend on its adoption by the states, which retain considerable discretionary autonomy over labour law, and on its effective implementation on the ground. The free trade agreement signed between India and the European Union in late January 2026 (which is expected to take effect in 2027 at the earliest) should mitigate the tariff disadvantage experienced by labour-intensive industries: the EU has pledged to remove tariffs, which currently range from 4% to 12% on textiles and clothing.

However, these measures alone will be inadequate for creating high-quality jobs if the education system fails to meet the needs of Indian businesses. It is therefore imperative that India continues to improve its business environment and, even more importantly, reform its education system to promote job creation in high-value-added and well-paying sectors. Without concrete measures, the "demographic window" — which is expected to remain favourable for another 15 to 25 years — could close before India establishes a robust industrial foundation and a substantial middle class.

*****

While India's economic growth has demonstrated considerable dynamism, this growth has not translated into the development of the middle class. The real medium-term concern involves the emergence of a "neo-precarious" middle class — substantial in terms of numbers but lacking the foundations necessary for advancing towards a high-income economy (households with stable employment, the ability to save, and social protection). The creation of formal, high-quality jobs is currently inadequate to sustain industrial expansion and its progression towards higher-value segments. The cultivation of certain niche activities, while promising, remains very limited and is far from benefiting the entire population. Finally, the development of AI poses more of a risk than a genuine opportunity for the country's development. India lacks both the infrastructure and the educational system necessary to deploy AI in a way that would yield tangible benefits for its economy and labour market.

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Paris, 23 October 2026

EcoFlash

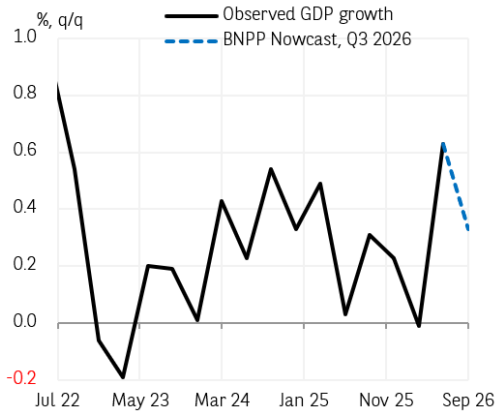
Q3 Growth in advanced economies: solid despite shocks

Growth looks to have held up in Q3 despite successive shocks (see our analysis), as it did in 2025 and H1 2026. A longer Middle East conflict has fed into more persistent inflation; drought has worsened in many countries, and interest rates have risen further – at the short end, with both the ECB and the Fed raising policy rates in September, and even more at the long end. However, our nowcasts show that growth is bending without breaking in most advanced economies. GDP figures (due on 29 October in the US and 30 October for the euro area and its member states) are expected to confirm that. In the Euro area, momentum looks stable (excluding Ireland, whose GDP is volatile). In Germany, growth has been uninterrupted since Q4 2025, while France is likely to have returned to growth after stagnating in H1. In the US, growth is likely to have gathered pace, according to the GDP Now, still driven by AI, but increasingly by other sectors as well.

Euro area: resilience beneath the surface. Our nowcast points to growth slowing to 0.3% in q/q, though the pace is stable excluding Ireland (Irish GDP is volatile and had markedly boosted the Q2 figure). Excluding Ireland, growth should hold at its H2 average, a sign of the bloc's underlying resilience. Also, momentum has broadened to a growing number of sectors (see our analysis). While industrial production stalled over the summer, services remained buoyant. The services PMI rebounded sharply in Q3 and sits firmly in expansion territory (53.0 in September). Improving job-related survey data (PMI and European Commission surveys) and a stable unemployment rate (6.4% in August) hint at more hiring in Q3 – a support for household consumption that partly offsets purchasing-power losses from persistent inflation. Corporate investment is underpinned by buoyant new investment lending (8.7% y/y In August, 12-month cumulative).

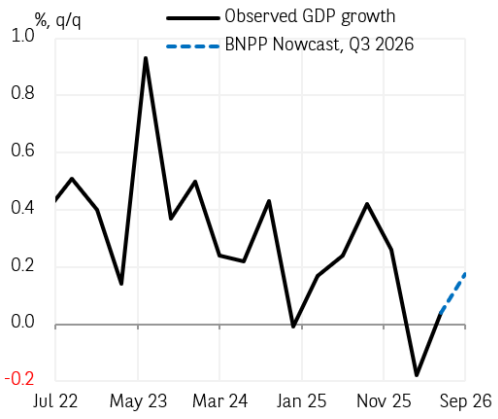
France: growing, nevertheless. The succession of shocks does not appear to have prevented France from returning to growth in Q3, at 0.2% q/q, according to our nowcast. One-off factors accounted for the stall in activity in H1. In Q3, the drought worsened and industrial production remained subdued. However, market services production rebounded in July and August, notably in business services, restaurants, digital and real estate. The latter points to residential investment recovering after a weak H1. Corporate investment likely followed, as reflected in buoyant credit flows and AI-related investment. Household consumption is likely to have improved slightly on higher electric vehicle sales.

Euro area



Source: Refinitiv, BNP Paribas

France



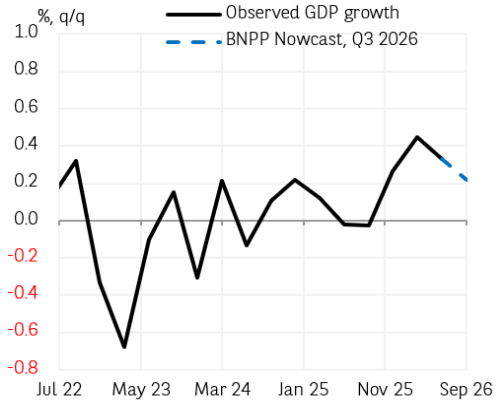
Source: Refinitiv, BNP Paribas

Germany: growth still solid. The H1 rebound in activity is moderating but continues. **Our nowcast points to a fourth straight quarter of growth in Q3, at 0.2% q/q (after 0.3% in Q4 2025, 0.4% in Q1 2026, and 0.3% in Q2).** Manufacturing activity eased slightly, according to the September PMI survey (53.9, down 0.4 m/m). Government spending will remain growth-supportive, with defence and infrastructure outlays gaining traction. Infrastructure spending continues to underpin activity in public works, which stands at its highest since November 2021 (2.5% 3m/3m in August). Exports (4.4% y/y between January and August) remain the main growth engine, helped by a pivot towards Europe (7.2%).

United States: an expansion undeterred by inflation. Growth is likely to have gathered pace in Q3. **The Atlanta Fed's GDP Now points to a 3.5% annualized growth rate (AR), close to our own 3.7% forecast (0.9% non-AR) and up from 2.2% in Q2**. Domestic demand remains the engine. Consumption is weathering the pickup in inflation, while the AI-driven capex cycle remains robust – as reflected in retail sales and nondefence capital-goods orders (excl. aircraft). As a result, growth in final sales

to private domestic purchasers[1] should print above 4% AR again. By contrast, external trade should remain a drag on growth, reflecting AI-related import needs. Survey data point to momentum that is both solid and broad-based. The ISM indices have remained firmly in growth territory (54.9 quarterly average for manufacturing and services alike). At the same time, they highlight persistent price and supply-chain pressures.

Germany



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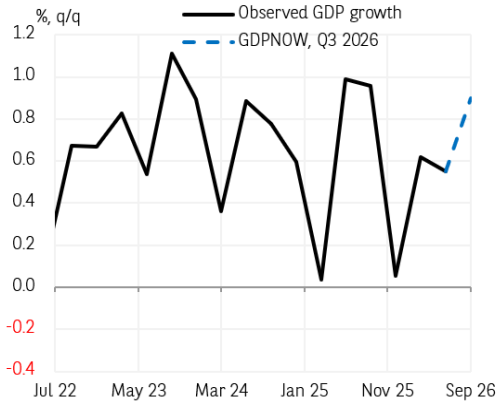
United States



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[1] The sum of household consumption and private fixed investment.

ECOINSIGHT

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WHAT LESSONS CAN WE LEARN TO KEEP EUROPEAN INDUSTRY COMPETITIVE FROM THE MEASURES TAKEN BY GERMANY, AS THE COST OF ELECTRICITY CONTINUES TO TURN THE SCREW?

Marianne Mueller and Pascal Devaux

The 2022 energy crisis clearly highlighted the issue of electricity prices in Europe – and, more broadly, the issue of energy prices. As a result, European manufacturers' competitiveness has been severely undermined when compared with the United States and China. By reigniting tensions over electricity prices, the conflict that began in the Middle East in late February 2026 further underscores the continent's vulnerability to fossil fuel imports, despite the expansion of renewable energy. Faced with an environment of potential sharp and sudden price rises, European governments do not have the same room for manoeuvre.

While the additional costs borne by European manufacturers are mainly linked to the share of gas in national electricity mixes, we will first illustrate that, in Germany, grid operation and maintenance costs, as well as taxation, are also contributing significantly to these costs.

We will then explore the solutions proposed by the German government under the new European measures regulating state aid to electricity-intensive industries.

Finally, our estimates will show that, while these measures make Germany more competitive against some European countries, they do not place it on an equal competitive footing with the United States or China. Nevertheless, Germany has made significant progress in decarbonising and making its electricity mix more flexible from a European perspective. This should help to ensure that electricity costs are reduced in the medium term.

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WHAT LESSONS CAN WE LEARN TO KEEP EUROPEAN INDUSTRY COMPETITIVE FROM THE MEASURES TAKEN BY GERMANY, AS THE COST OF ELECTRICITY CONTINUES TO TURN THE SCREW?

GAS: A KEY FACTOR IN THE ADDITIONAL ELECTRICITY COSTS FACED BY EUROPEAN INDUSTRY

European manufacturers are still paying significantly higher electricity costs than their American and Chinese competitors. In 2019, there was a 30% difference between the prices charged to European electricity-intensive industries (corresponding to the lower end of the industrial price range) and the average US industrial price. In 2025, it stood at nearly 100% according to the IEA (2026)[1], after peaking at an average of 148% between 2022 and 2023. There is currently a 50% difference with their Chinese competitors[2].

The disruption to Russian gas supplies since 2022 is behind the rising gas prices, particularly as the EU has had to turn to liquefied natural gas[3] (LNG), which is more expensive than gas transported via pipeline and, above all, exposes Europe to global gas market conditions. The growth of LNG has, in fact, intensified competition between the major consumption regions, primarily Europe and Asia. European and Asian prices now tend to move more in tandem (*Chart 1*). However, in China, the prevalence of coal — a widely available local resource — and a more regulated electricity price help to keep industrial prices lower. At the same time, the United States enjoys plentiful domestic gas, which is produced at a low cost, driven by the sharp rise in shale oil and gas production over the past decade. By contrast, since 2022, Europe has been more exposed to the cost of imported gas (90% of its total consumption, according to Eurostat), while the United States and China have enjoyed plentiful domestic resources.

THE 'MERIT ORDER' PRINCIPLE IN SETTING ELECTRICITY PRICES IN EUROPE

Fluctuations and the level of gas prices are passed on to European electricity prices via the 'merit order' marginal pricing mechanism, with the wholesale price determined by the marginal cost of the last (and most expensive) electricity source called upon to meet demand.

As a result, gas plays a decisive role, with gas-fired power stations setting the price in around 40% of cases in Europe[4], with significant variations depending on national electricity mixes. It is close to this average in Germany, below it in Spain (26%) and France (17%), and above it in Italy (73%)[5] in 2025[6] [7]. Therefore, electricity prices are still sensitive to fluctuations in gas prices, even when electricity is not generated from gas (*Chart 2*). This pass-through is particularly pronounced when demand rises and requires the use of more expensive sources, or when supply constraints arise (for example, during extreme heatwaves that reduce wind-power generation or disrupt the cooling of nuclear power plants).

The price of US gas: a decisive advantage

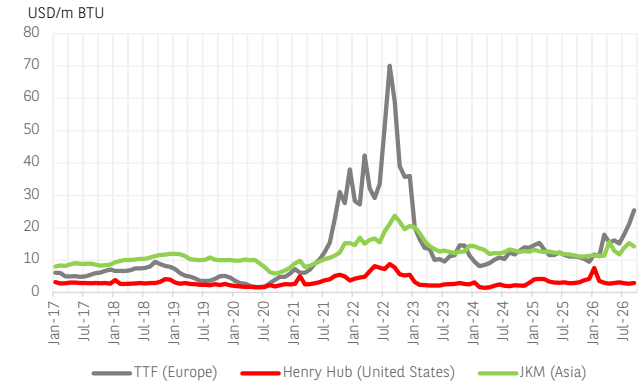


CHART 1 SOURCE: CEIC, BNP PARIBAS

There is still a major link between gas prices and wholesale electricity prices in Europe

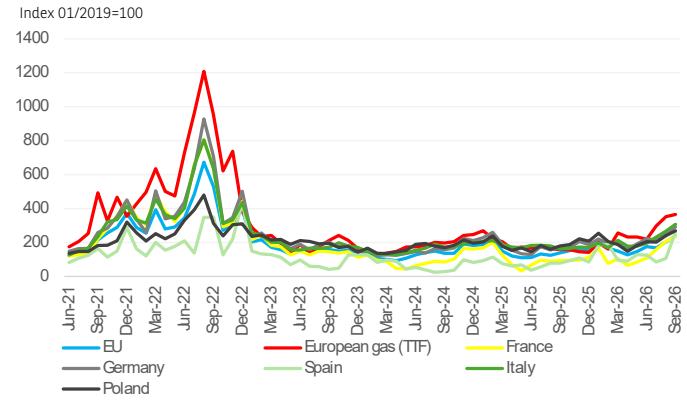


CHART 2 SOURCE: EMBER, BLOOMBERG, BNP PARIBAS

However, for the time being, the 2026 energy crisis is having a far smaller effect on electricity prices than in 2022. On the one hand, the 2026 peak reached by the European TTF benchmark is still well below that recorded in 2022[8].

In addition, there has been significant progress in decarbonising European electricity mixes since 2022, which has helped to mitigate, on average, the pass-through of gas prices to electricity prices.

1 Prices – Electricity 2026 – Analysis – IEA
2 The difference may be even larger for other manufacturers who do not receive the same support as electricity-intensive sectors.
3 Imports of Russian gas (via pipeline and LNG) accounted for around 45% of total European imports in 2021, compared with 14% in Q2 2026 (Bruegel, natural gas imports).
4 ACER, 2026, Key developments in EU electricity and gas markets, 2026 Monitoring report.
5 In Italy, in response to sharply rising gas prices in 2026, the government is currently negotiating a potential option of capping the prices of gas supplied to power stations in order to limit the rise in the wholesale price of electricity. However, this can only be a temporary general mechanism, with the potentially major cost being borne by public funds and/or households.
6 Eurelectric, 2026, *Power Barometer*.
7 EMBER, 2026, Latest energy shock reminds Europe of its risky reliance on gas.
8 Energy shock: 2026 vs. 2022 dashboard – 2nd October 2026 – Economic Studies – BNP Paribas

Europe is diversifying its electricity mixes as part of its decarbonisation agenda

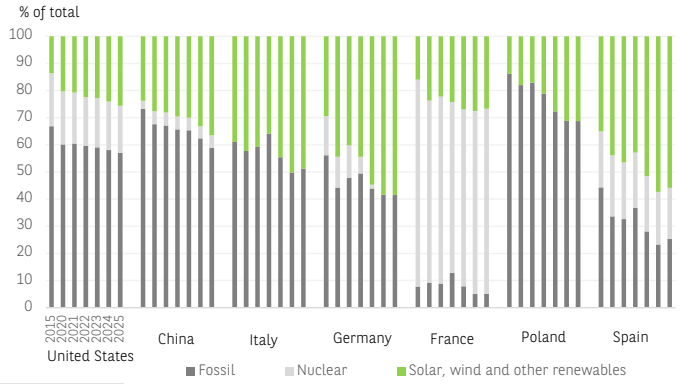
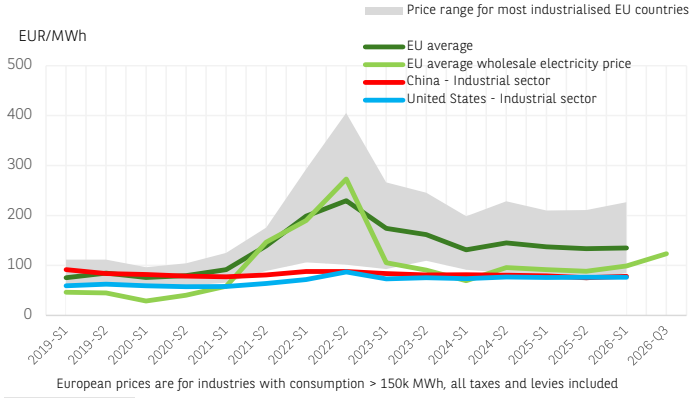


CHART 3

SOURCE: EMBER, BNP PARIBAS

Electricity prices for energy-intensive industries: differences in competitiveness that still need to be qualified

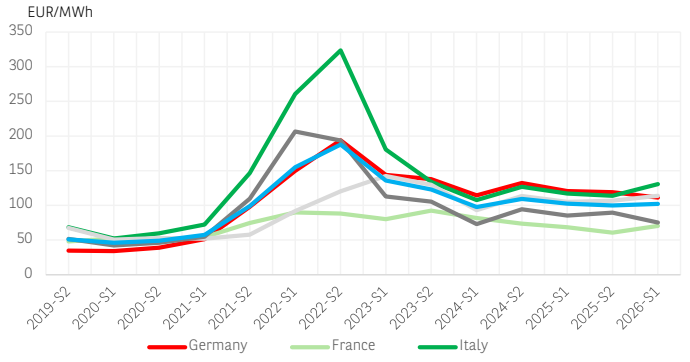


European prices are for industries with consumption > 150k MWh, all taxes and levies included

CHART 5

SOURCE: EUROSTAT, EIA, CEIC, BNP PARIBAS

There are major differences in electricity prices for electricity-intensive industries within Europe



European prices are for non household with consumption > 150k MWh, excl. taxes and levies

CHART 4

SOURCE: EUROSTAT, BNP PARIBAS

Breakdown of electricity prices for European manufacturers

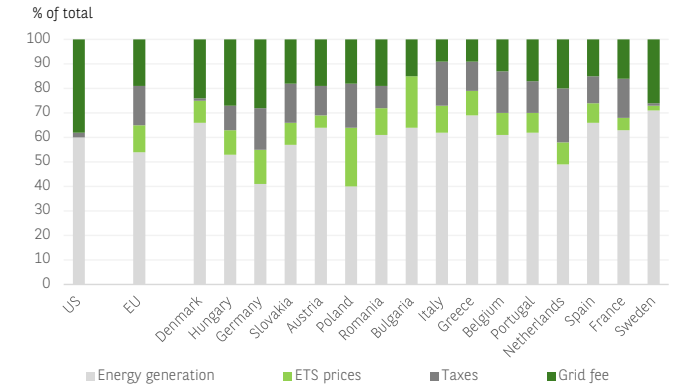


CHART 6

SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

SOME EUROPEAN COUNTRIES HAVE MANAGED TO STAY COMPETITIVE, BUT GERMANY IS STILL THE EXCEPTION

Electricity prices partly vary due to countries' electricity mixes (*Chart 3*). Electricity-intensive manufacturers in countries where the share of fossil energy is high face higher costs (Poland, Italy and Ireland) (*Chart 4*). Conversely, countries with a less carbon-intensive mix (particularly France and Spain in recent times) are less directly exposed to these fluctuations, with costs closer to the United States and China (*Chart 5*).

The situation in Germany is paradoxical, as, despite progressively greening its electricity mix and wholesale electricity prices (averaging 90 EUR/MWh over the 2023–2025 period) and average electricity costs (across all industrial sectors) in line with the European average, the most energy-intensive industries face higher costs than the European average (and even more so compared with international competitors). This is mainly due to grid costs and a tax burden above EU standards (*Chart 6*).

In the first half of 2026, for the most electricity-intensive industries, the difference compared with the European average was 9%, based on the prices excluding taxes and levies provided by Eurostat. This gap is mainly due to the cost of accessing the grid. If all taxes and levies are included, the difference rises to 21% (*Chart 7*)[9].

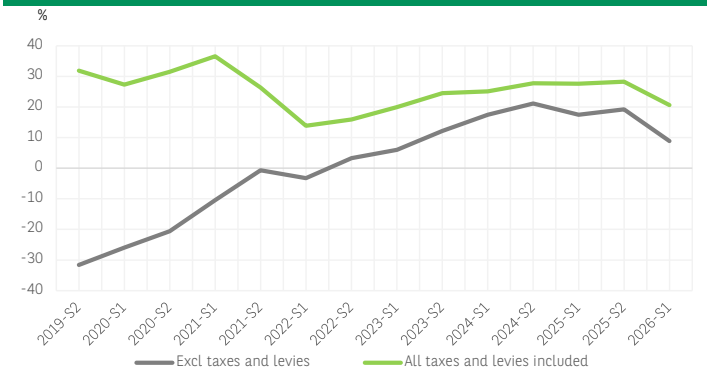
EUROPE'S APPROACH OF ADOPTING BOTH STRUCTURAL PROGRAMMES AND TARGETED SUPPORT MEASURES

European programmes to support the low-carbon transition pursue objectives relating to climate action (reducing greenhouse gas emissions), sovereignty[10] (increasing energy self-sufficiency) and competitiveness (reducing the volatility and costs associated with fossil fuels). The RePowerEU programme, which was launched in 2022 in response to the energy crisis, primarily aims to reduce imports of Russian gas and, more generally, to accelerate the low-carbon transition. Although Europe has reduced its dependence on imports of Russian fossil fuels, there has still not been enough progress around the energy transition and cross-border connectivity. This is due to governance constraints

9 Eurostat data are used to compare prices with the rest of the EU. However, given that electricity prices are not uniform for businesses at a European level, there may be differences between Eurostat and national sources. Jäger P., 2025, "*Cautionary tale or model for Europe? How member states should react to Germany's new electricity subsidy*", Hertie School, Jacques Delors Centre.

10 P. Devaux, 2026, "European Union: low carbon transition and energy sovereignty, a path fraught with obstacles"

A system of taxes and levies that harms Germany's electricity-intensive industries



Electro-intensive industry electricity prices gap between Germany and average EU (>150k MWh)

CHART 7 SOURCE: EUROSTAT, BNP PARIBAS

Germany: sharp decline in output from energy-intensive industries

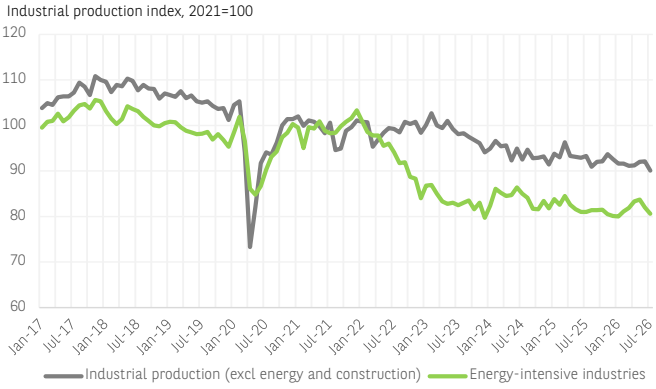


CHART 8 SOURCE: DESTATIS, BNP PARIBAS

and struggles in implementing the programme in practice within each Member State[11].

State aid is still the main vehicle for this. In response to the 2021–2022 energy crisis, the European Union temporarily relaxed the rules on this type of aid in order to support businesses facing rising energy prices. Any intervention of this kind, provided that it is selective and could affect trade within the single market, must be authorised in advance by the European Commission in principle. Since June 2025, the Clean Industrial Deal State Aid Framework (CISAF) has provided a more sustainable framework for these kinds of interventions. In particular, this framework, which runs until the end of 2030, authorises Member States to grant temporary aid to electricity-intensive businesses to offset the cost of electricity. The aid must be targeted and come with decarbonisation commitments[12]. Against the backdrop of the crisis in the Middle East, the temporary METSAF scheme, adopted in April 2026, helped (in relation to measures falling under the CISAF) to increase the proportion of additional costs offset by governments from 50% to 70%, thereby offering additional support to the most at-risk sectors.

GERMANY IS STILL SUFFERING FROM INSUFFICIENT INVESTMENT IN ITS ELECTRICITY NETWORKS, WHICH THE AID SCHEMES ARE ATTEMPTING TO OFFSET

The issue of electricity costs is a particularly hot issue in Germany, given the importance of industry to the economy (around 20% of value added, one of the highest levels in Europe) and its exposure to international competition. Furthermore, the delay in modernising electricity infrastructure (only 22.6% of the high-voltage lines planned for 2025 had actually been completed by that date) is causing bottlenecks between the production areas in the north and the consumption centres in the south. As a result, the costs of accessing services have increased fivefold over 10 years (rising from EUR 1 bn in 2014 to EUR 5.2 bn in 2024[13]). At the same time, as we have already seen, taxation and grid charges are hitting industry hard, with levies on large consumers far exceeding the European average despite some support mechanisms being put in place for the most electricity-intensive companies (such as the Bandlastprivileg measure to reduce grid tariffs). As a result, German industrial production has suffered in particular due to rising energy prices in recent years, including electricity, with electricity-intensive industries being especially affected (*Chart 8*).

In order to cope with these higher electricity costs than the European average, Germany has been using European support schemes to reduce the cost of electricity for businesses, particularly since the Merz government took office in May 2025. The main scheme — the Industriestrompreis[14], made possible by the CISAF — has been approved by the European Commission for the 2026–2028 period. While it is less beneficial than the indirect carbon cost (ICC) offsetting included in electricity prices[15], it has a broader scope, meaning that businesses ineligible for the ICC can benefit from it. Other measures complement this targeted support by addressing other components of the electricity bill. As a result, the electricity tax has been set at the European minimum for manufacturing sectors, while the gas-storage tax has been abolished. The government is also subsidising grid fees, which should halve them.

Overall, according to our estimates based on 2024 prices, the final price of electricity for these industries could fall by around a quarter (to 116 EUR/MWh for industries with annual consumption of between 70 and 150 GWh, compared with a European average of 123 EUR/MWh) (*Chart 9*). Germany's advantage over Central and Eastern European countries, where electricity costs are generally already higher, looks set to increase.

11 European Court of Auditors, 2026, "Implementation of the REPowerEU plan must be stepped up".
12 It applies to the most electricity-intensive activities, which are seeing their competitiveness threatened by international competition, and follows the 4x50 principle: 50% of electricity consumption is eligible for a subsidy; Of the eligible proportion, the subsidy may not exceed 50% of the wholesale price;
The final wholesale price paid by the company must not be less than €50/MWh;
50% of the aid received must be reinvested in decarbonisation (renewable energy generation, storage and improvements in energy efficiency); Around 90 sectors are covered by this reform, accounting for approximately 2,000 companies, including in the chemical, steel and paper industries. The scheme, which is strictly regulated, will run for just three years (from 1st January 2026 to the end of 2028) at an estimated total cost of between EUR 3 and 5 bn, financed by the special Climate and Transformation Fund.
13 Bundesnetzagentur Monitoring Report (2015) and Bundesnetzagentur Monitoring Report (2025). These costs mainly cover the costs of physical infrastructure; operational, regulatory and compliance costs; and costs associated with using the transmission and distribution network.
14 The *Industriestrompreis* (industrial electricity price) is the public subsidy mechanism aiming to reduce the price of electricity for some industries.
15 The indirect carbon cost compensation mechanism is a government support measure for electricity-intensive industries, which aims to offset the cost of carbon-emission allowances for energy producers.

However, even when taking all of the subsidies into account, the price of electricity in Germany would remain higher than the levels seen in France, Spain or Portugal (and even more so in the United States and China).

FISCAL MEASURES: LIMITED ROOM FOR MANOEUVRE

There are a number of limitations to these European schemes. For the country implementing them, lower electricity costs mean that its industry becomes more competitive against industries from other EU countries, but this does very little to address the disadvantage that it faces compared with the United States and China. Therefore, this measure will unlikely be enough to counteract the loss of market share seen vis-à-vis the United States and China. In addition, the support schemes are restrictive (conditional on investment in the low-carbon transition) and are transitional. Finally, their cost is partly passed on to the public purse or to consumers who do not receive this support (in Germany, the cost of the new energy price support measures is estimated at EUR 14.3 bn in 2026, or 0.3% of GDP[16]).

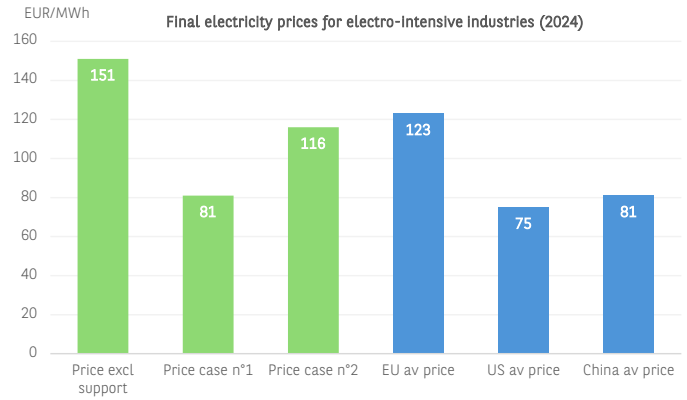
Some European manufacturers have proposed abolishing or reducing the carbon tax as a solution to getting electricity prices down quickly. In Germany, this tax accounted for 14% of the electricity price in the first half of 2025, which is higher than the EU average (11%). However, this proposal is already covered by the indirect carbon cost offsetting mechanism for electricity-intensive industries exposed to carbon allowance prices. In addition, while adjustments are being made — notably to slow the rate at which allowances are reduced — it seems highly unlikely that the scheme will be significantly challenged. It is one of the cornerstones of Europe's policy to combat climate change, which has been effective thus far, as shown by the falling greenhouse gas emissions from industry. More broadly, the gradual introduction of a carbon border adjustment mechanism (CBAM) should mitigate competition distortions caused by environmental practices[17].

IN GERMANY AND THE REST OF EUROPE, HEAVY INVESTMENT IS DRIVING UP ELECTRICITY BILLS IN THE SHORT TERM

In response to the challenge of the low-carbon transition and industrial competitiveness, European governments must strike a balance between decarbonising the electricity mix and ensuring a supply of energy that is flexible enough (particularly from controllable sources) to guarantee stable electricity systems. The integration of an increasing proportion of intermittent renewable energy sources requires massive investment in transmission and storage infrastructure (stationary batteries). This expenditure, which places a long-term burden on grid costs, reduces the scope for support schemes (particularly public ones) to address competitiveness gaps. In Germany, the cost of the transition is estimated at between EUR 122 bn, according to the government (2.8% of GDP), and EUR 200 bn, according to the DIHK[18] (4.6% of GDP), by 2030–2035. If we take the ECB's assumption[19] that governments will cover around 17% of these investments, the annual public expenditure burden of the transition in Germany would be between 0.5 and 0.8 percentage points of GDP by 2030. However, this budgetary pressure comes at the same time as three other budgetary increases: rising social expenditure linked to an ageing population; the necessary increase to defence budgets to meet NATO's target of 3.5% of GDP by 2029; and the rising cost of debt-servicing[20].

Germany has already made significant progress in maximising its use of renewable energy, putting it at the head of the pack in Europe. The country generates 20% of Europe's renewable electricity (solar and wind) and accounts for 30% of installed storage capacity (BESS)[21], far ahead of other European countries (ranking third globally). However, despite this momentum, Germany's dependence on gas has not yet decreased. As a matter of fact, it is only partially offsetting the planned closure of coal-fired power stations and the phasing out of nuclear reactors. Furthermore, the intermittent nature of solar and wind power could prolong this dependence in the short and medium term. In order to ensure that the German electricity system is flexible, new investments in gas-fired power plants, supported by public subsidies, are planned[22].

Estimated impact of Germany's measures



Notes:
The data for electricity-intensive industries are from Eurostat. Annual electricity consumption ranges from 70 to 150 GWh. Case 1: Electricity price charged to an industry benefiting from the existing indirect carbon cost compensation (ICC) mechanism and complementary support schemes. Case 2: Price charged to industries benefiting from the new Industriestrompreis measures under the European CISAF, combined with complementary support schemes.

CHART 9 SOURCE: EUROSTAT, BDEW, IEA, NDRC, BNP PARIBAS CALCULATION

16 The *Industriestrompreis* is estimated at around EUR 1.3 bn per year, the subsidy for network charges is projected to amount to EUR 6.5 bn in 2026, the abolition of the gas surcharge around EUR 3.4 bn, and the reduction in the electricity tax nearly EUR 3 bn per year. Furthermore, the ICC had cost EUR 2.3 bn in 2024 for costs incurred in 2023.
17 Jean-Luc Proutat, European Union: the carbon tax at the border in six questions, 6 October 2025.
18 German Chamber of Commerce and Industry, "Frontier economics, DIHK, 2025, New pathways for the energy transition ('Plan B')".
19 ECB, 2025, *Investing in Europe's green future. Green investment needs, outlook and obstacles to funding the gap, Occasional Paper Series*, No. 367.
20 Interest expenditure is expected to rise from 1.4% to 1.7% of GDP by 2030, due to rising refinancing rates.
21 Energy Institute, 2026, *Statistical Review Home* / Statistical Review of World Energy
22 Calls for tender are currently under way to build 12 GW of additional electricity generation capacity, with 10 GW covering gas-fired power stations (equivalent to one-third of the existing gas-fired power stations) and 2 GW potentially allocated to batteries (accounting for 80% of existing large-capacity stationary batteries intended for the wholesale market).

SUBSIDIES ARE HELPING TO ADDRESS THE EMERGENCY CAUSED BY ENERGY CRISES WITHOUT RESTORING THE INTERNATIONAL COMPETITIVENESS OF ENERGY-INTENSIVE INDUSTRIES

In response to the impact of energy crises on industrial competitiveness, European governments are finding themselves having to strike a delicate balance between providing short-term support to industries exposed to increased international competition and continuing — if not, accelerating — energy transition policies which will result in higher costs for electricity-network users for several years to come.

Beyond direct economic support measures, which are difficult to sustain long term, four priority areas are emerging:

1/ Demonstrating flexibility in implementing European directives in order to factor in national specificities and the differing timeframes between energy crises (which can lead to irreversible industrial consequences) and reforms (which have a longer-term horizon). The relaxation of the European carbon tax mechanism[23] appears to be a step towards this.

2/ Continuing efforts to decarbonise the electricity mix, which are still the main vehicle for sustainably reducing electricity prices for European industries in the medium and long term.

3/ Optimising the use of electricity networks on the demand side, in particular through smart grids, a flagship element of the Commission's COM (2026) 600 reform presented last July[24].

4/ Coordinating European electricity networks in order to harness the complementarities between national systems.

Article completed on 19 October 2026

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23 In particular, the extension of the period for allocating emission allowances free of charge to sectors most exposed to international competition, and the reduction in the linear reduction factor.
24 EUR-Lex - 52026PC0600 - EN - EUR-Lex and EUR-Lex - 52026DC0595 - EN - EUR-Lex

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CHART OF THE WEEK

21 October 2026

FOLLOWING THE OIL SHOCK, EL NIÑO THREATENS TO HURT MACROECONOMIC RESILIENCE IN SUB-SAHARAN AFRICA FURTHER

Lucas Plé

Seven months after the start of the war in the Middle East, which has led to a sharp rise in oil prices, sub-Saharan Africa is holding up well overall. The deterioration in external accounts and the rise in inflation are more contained than in 2022, during the last oil shock. However, this resilience is fragile and is eroding as the conflict drags on. Furthermore, an exceptional El Niño event could significantly worsen the macroeconomic environment in 2027[1].

Sub-Saharan Africa is highly vulnerable to climate shocks via the agricultural commodities channel

	Agriculture (% GDP), 2025	Food & non-alcoholic beverages (% of consumption basket)	Food imports (% GDP, 2025)
South Africa	2.8	19.9	1.7
Angola	25.2	68.5	1.8
Côte d'Ivoire	16.8	31.9	4.1
Ghana	21.3	42.7	3.2
Kenya	23.2	32.9	2.6
Nigeria	23.0	40.0	1.9
Senegal	17.1	45.5	6.4
Tanzania	22.9	28.2	1.5
Uganda	26.1	27.1	3.0
Zambia	4.1	53.5	3.9
Subsaharan Africa (1)	18.3	39.0	3.0
Latin America (2)	6,6	22.0	1.6
Asia excl. China (3)	11.1	34.0	3.8
Central Europe (4)	2.5	25.7	4.5

(1) Average of the 10 countries listed above
(2) Argentina, Brazil, Colombia, Mexico, Peru (average)
(3) India, Indonesia, Malaysia, Philippines, Thailand, Vietnam (average)
(4) Bulgaria, Hungary, Poland, Romania, Slovakia (average)

Source: World Bank, National statistics, ITC, IMF

Reading note: the level of risk exposure ranges from green (least exposed) to red (most exposed)

Economic growth remains robust

For countries with available data, GDP growth held up well in the first half of 2026[2]. In mid-October, the IMF revised its regional forecast for the full year upwards to 4.5% (+0.2 percentage points compared with April), in line with the performance for 2025.

1 El Niño 2026–2027: multiple pressures on prices and supplies
2 1.4% year-on-year (y/y) in South Africa, 4.2% in Nigeria, 5.1% in Kenya, 7% in Angola, 7.3% in Ghana.

A mitigated shock on terms of trade

High prices for export commodities (gold, copper, platinum) have helped to cushion the impact on terms of trade and the external accounts of hydrocarbon-importing countries. For the 10 countries in our sample (see *heatmap*), the depreciation of their currencies against the US dollar since last February has been moderate overall (2.3% on average).

Inflation has started to rise again, but it is still being contained so far

In the ten countries in our sample, although inflation is rising again, it is lower year-on-year for the first eight months of 2026 than it was for the same period in 2022. This is due to:

1. Monetary policies that were still restrictive before the conflict started;
2. Fuel subsidies;
3. Macroeconomic reforms implemented in recent years (a return to orthodox monetary policy in Nigeria, and efforts towards fiscal consolidation in many countries);
4. Moderate currency depreciation since February.

As a result, few central banks have tightened their monetary policy since February (South Africa, Uganda and Tanzania).

However, this resilience is still fragile…

On the one hand, governments that have chosen to cap fuel price rises are seeing their public finances deteriorate. In Senegal, energy subsidies will go above 3% of GDP in 2026, which is unsustainable. On the other hand, the region's external accounts are exposed to volatile global commodity prices and tighter international financing conditions.

… and the macroeconomic environment could quickly worsen in 2027, due to an exceptional El Niño event

The region is particularly vulnerable to climate shocks via the agricultural commodities channel. Given agriculture's high share in its GDP, sub-Saharan Africa is more exposed to downside risks to growth than Latin America, Asia or Central Europe (1st column of the *heatmap*). It is also more exposed than other regions of the world to the inflationary effect of rising food prices, given their higher share in the consumer basket (2nd column). Finally, even though its dependence on food imports is lower than in Asia and Europe (3rd column), the region is highly vulnerable to rising international food commodity prices due to its fragile external accounts. For several countries in our sample, foreign exchange reserves cover less than four months' worth of imports of goods and services (Uganda, Tanzania, Ghana and Zambia), leaving little room for manoeuvre for absorbing a further external shock.

In addition to shocks via the agricultural commodities channel, other localised risks must be considered. In Southern Africa, El Niño is expected to intensify droughts and threaten electricity generation as a result, particularly in Zambia (where hydropower accounts for nearly 80% of domestic electricity generation). In East Africa, the increased flooding that El Niño is expected to cause will threaten infrastructure – particularly logistics infrastructure – which is already less efficient than the global average[3]. These two sources of vulnerability could also increase pressure on growth, prices and the external accounts.

In conclusion, if oil prices remain high and El Niño is exceptionally severe, the region will struggle to absorb this double shock in 2027. Despite their status as net exporters of hydrocarbons, Nigeria and Angola are also exposed to a deterioration in the macroeconomic environment in 2027. Only South Africa appears to be better positioned to absorb the shock.

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3 See the World Bank's Logistics Performance Index.

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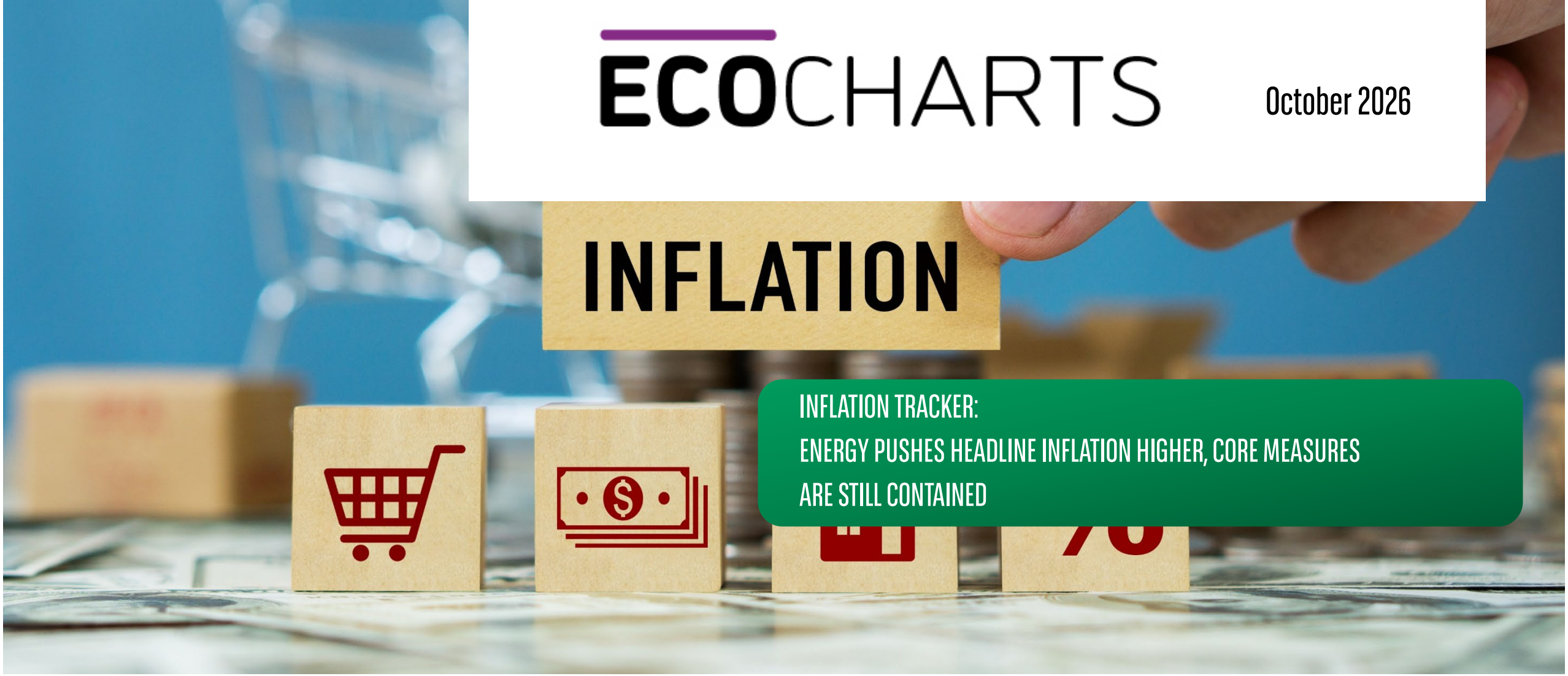
ECOCHARTS

October 2026



INFLATION TRACKER:
ENERGY PUSHES HEADLINE INFLATION HIGHER, CORE MEASURES ARE STILL CONTAINED

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Key takeaways

1 A rise in inflation still confined to energy

Rising energy prices are pushing inflation higher in Europe and the United States, while energy's contribution is slightly negative in Japan.

2 Some recent pressure on core measures

Over recent months (3m/3m), core indices have been firming in the euro area and Japan: a signal to watch.

3 Mounting pressure on producer prices

In Europe and Japan, pressure on producer prices is building. The risk of the energy shock spilling over to other CPI items is increasing.

4 Rising short-term market expectations

Markets (swaps) are pricing this rise in inflation into short-term measures. Long-term expectations (5y5y) are rising in Japan and the UK.

		Realised inflation (% y/y)		Upstream pressures		Expectations	
Region	Latest month (CPI/HICP)	Headline	Core	Producer prices (% y/y)	Price pressures (50 = neutral)*	Households: 1 year ahead (%)	Market: 5y5y (%)
United States	Sep 26	3.7	2.6	6.4	61.2	4.7	2.3
Euro area	Sep 26	3.8	2.5	8.2	62.0	3.0	2.1
Germany	Sep 26	3.3	2.5	4.6	62.2	2.9	2.1
France	Sep 26	3.4	1.7	4.9	62.5	2.5	2.3
Italy	Sep 26	4.1	1.8	10.9	60.5	4.0	1.8
Spain	Sep 26	5.0	3.5	13.2	61.7	3.1	2.1
UK	Aug 26	3.1	2.6	3.7	61.2	4.5	3.1
Japan	Aug 26	1.9	2.0	6.8	61.1	3.6	2.6

* Colour code specific to this indicator

Source: national data, BNP Paribas

Dashboard – Energy drives inflation, core barely follows

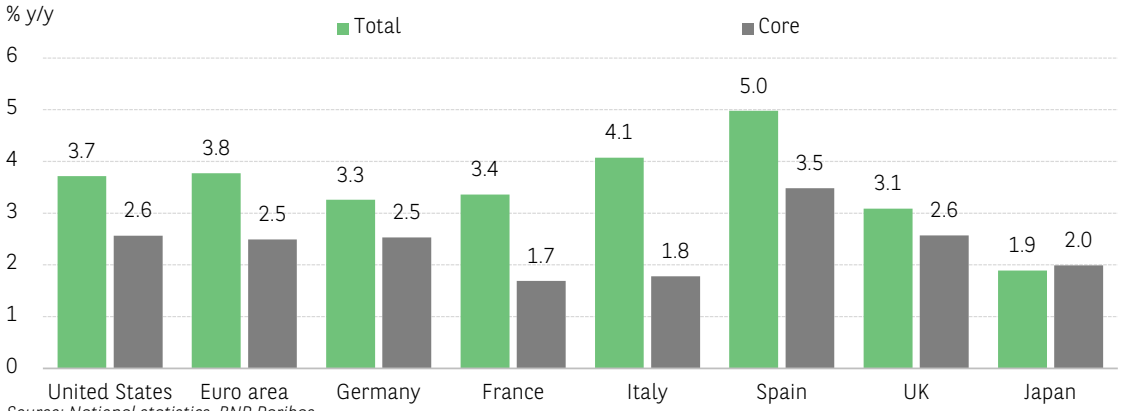
Europe leads the recent pickup in inflation

	Latest month published	Realised inflation (% y/y) Headline	1-month chg. in y/y (pp)	Core	1-month chg. in y/y (pp)	Market expectations (%) Date	2y swap	5y5y swap
US	Sep.	3.7	▲ +0.36 pp	2.6	▲ +0.1 pp	12/10/26	2.54	2.32
Euro area	Sep.	3.8	▲ +0.53 pp	2.5	▲ +0.1 pp	12/10/26	2.86	2.13
Germany	Sep.	3.3	▲ +0.33 pp	2.5	▼ -0.0 pp	12/10/26	3.53	2.12
France	Sep.	3.4	▲ +0.73 pp	1.7	▲ +0.4 pp	12/10/26	2.07	2.34
Italy	Sep.	4.1	▲ +0.86 pp	1.8	▲ +0.1 pp	12/10/26	2.61*	1.79
Spain	Sep.	5.0	▲ +0.43 pp	3.5	▼ -0.1 pp	12/10/26	3.15	2.05
UK	Aug.	3.1	▲ +0.22 pp	2.6	▼ -0.0 pp	12/10/26	4.42	3.12
Japan	Aug.	1.9	▼ -0.01 pp	2.0	▲ +0.1 pp	12/10/26	2.38	2.56

*Source: Bloomberg, BNP Paribas *2-year inflation breakeven Note: UK swaps indexed to RPI, Japan to CPI excluding fresh food*

Headline inflation exceeds core everywhere except Japan

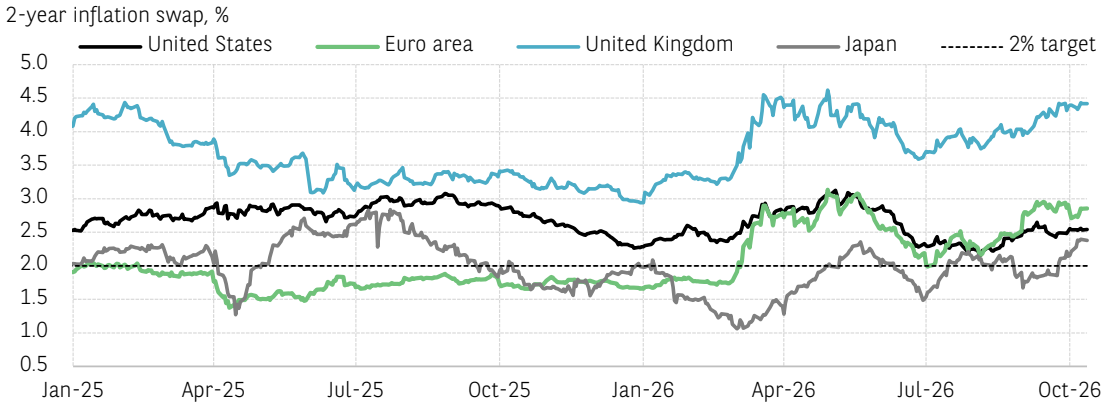
Headline and core inflation: latest data



Source: National statistics, BNP Paribas

Markets are pricing in higher short-term inflation

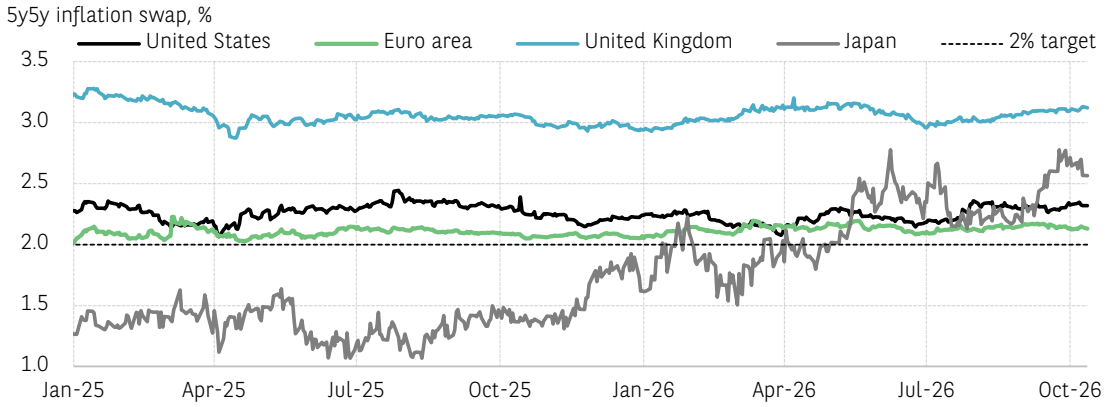
Short-term market expectations



Source: Bloomberg, BNP Paribas

Long-term expectations are rising in Japan and the UK

Long-term market expectations



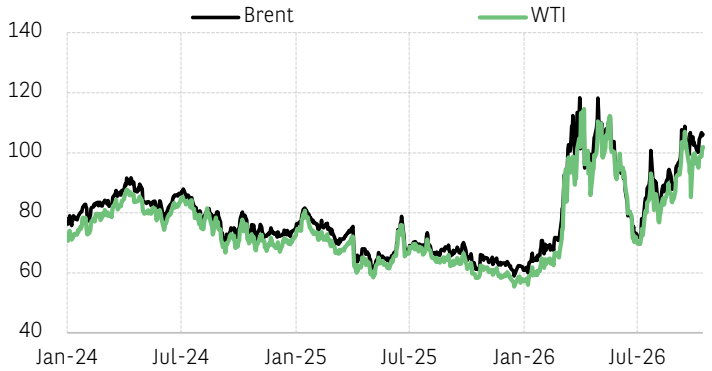
Source: Bloomberg, BNP Paribas

Inflation backdrop – Energy, food and freight: a broadening supply shock

Oil is back at spring levels after the summer respite

Crude oil

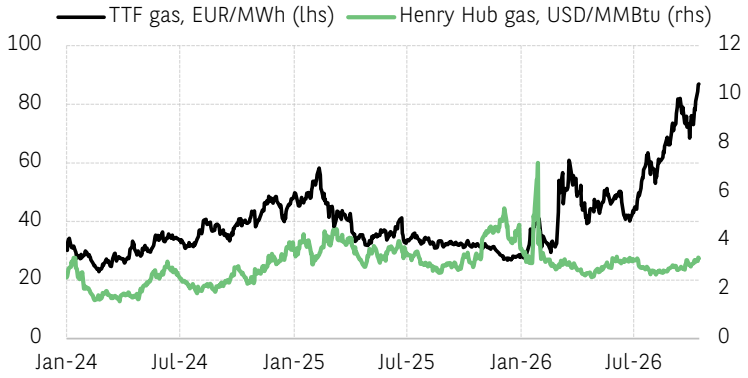
USD/barrel



Source: ICE Endex, NYMEX, Macrobond

European gas prices are rising sharply, US gas remains stable

Natural gas

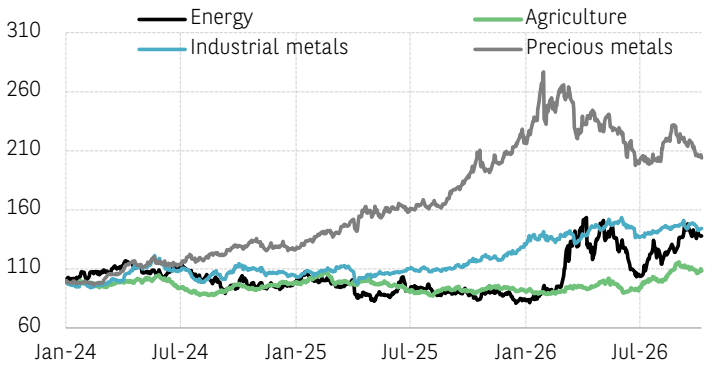


Source: ICE Endex, NYMEX, Macrobond

All major commodity categories are up year-on-year

S&P GSCI indices by component

Index, Jan. 2024 = 100



Source: S&P, BNP Paribas.

Food price inflation is picking up

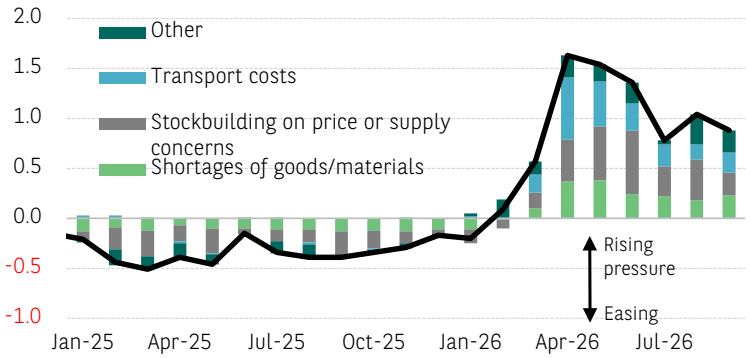
FAO Food Price Index

% y/y

Source: FAO, BNP Paribas

Value chains still under strain

Global supply chain pressure index

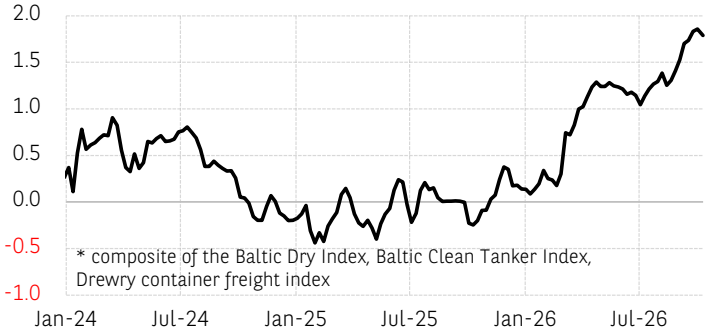


Source: S&P Global, BNP Paribas

Freight adds a further cost shock

Composite shipping cost index*

z-score (10-year average)

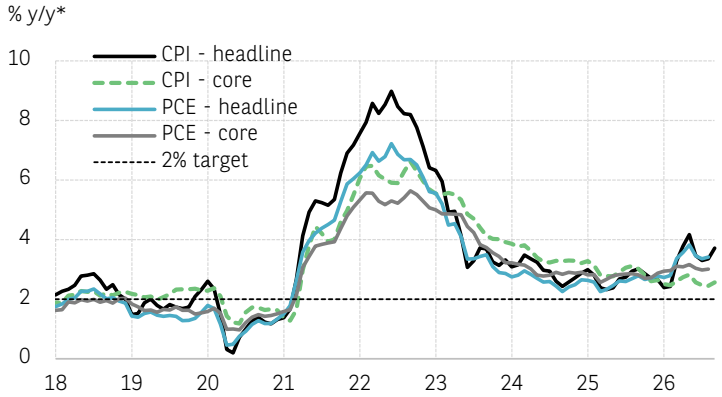


Source: Bloomberg, BNP Paribas

United States – Contrasting dynamics

The decline in core is more marked in CPI than in PCE

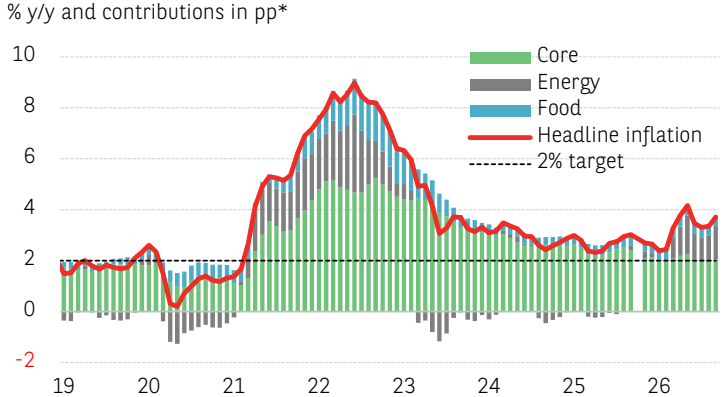
CPI and PCE deflator



*Source: BLS, BEA * October 2025 not published (federal shutdown)*

Energy's contribution is climbing while core's is stabilising

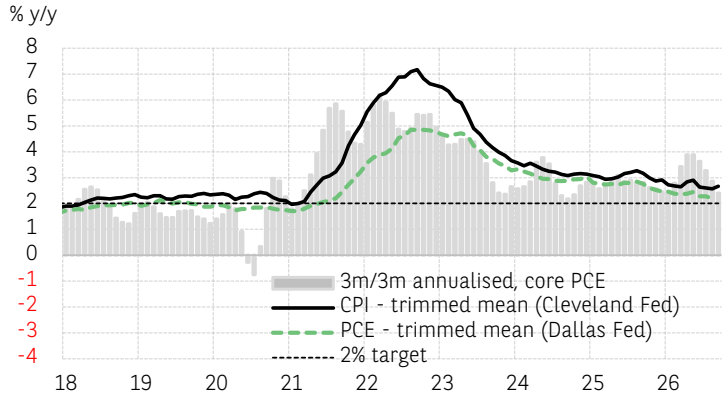
Contributions to CPI inflation



*Source: BLS, BNP Paribas * October 2025 not published (federal shutdown)*

Alternative core measures are closer to 2%

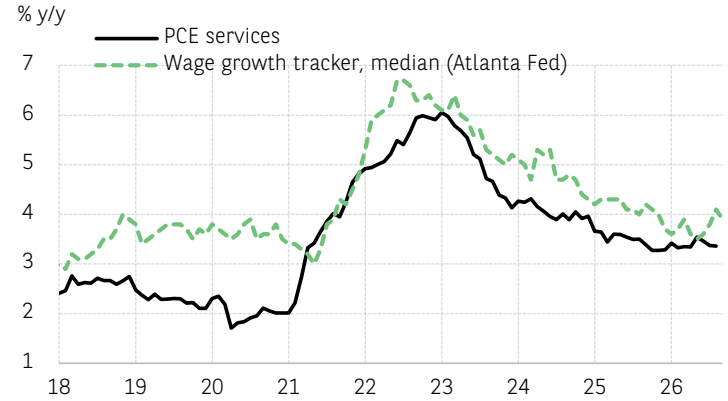
Alternative inflation measures



Source: Cleveland Fed, Dallas Fed

Services and wages are slowing only slightly and remain above 3%

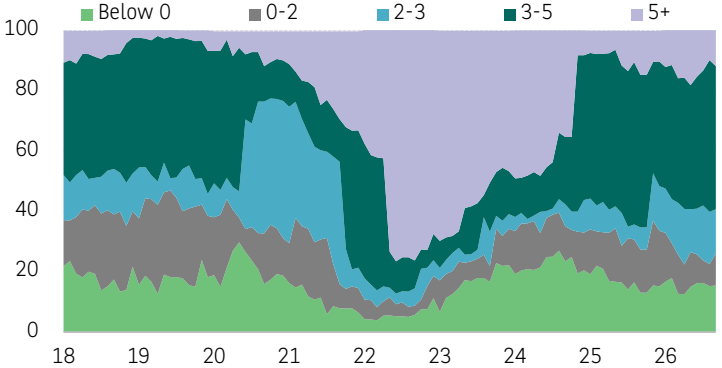
Services and wages



Source: BEA, Atlanta Fed, BNP Paribas

A majority of items still above 3%

Breadth of inflation

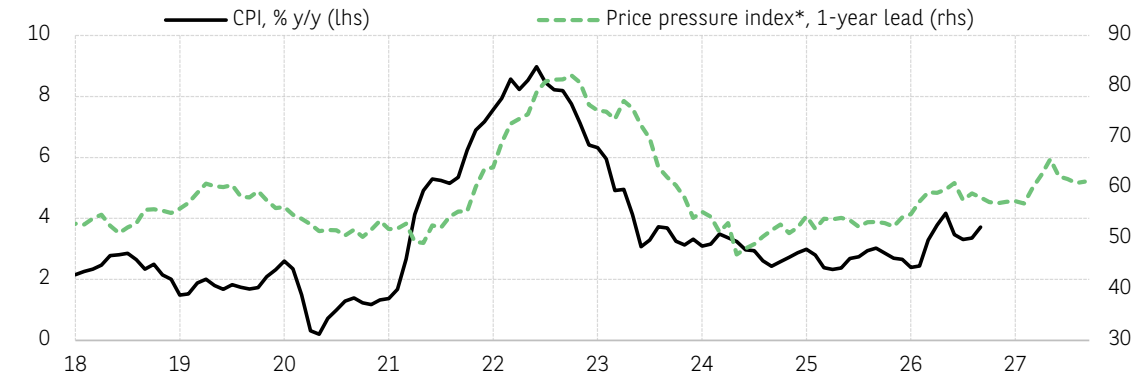


Source: BLS, BNP Paribas calculations

United States – An energy shock with significant short-term effects

Renewed pressure on input prices

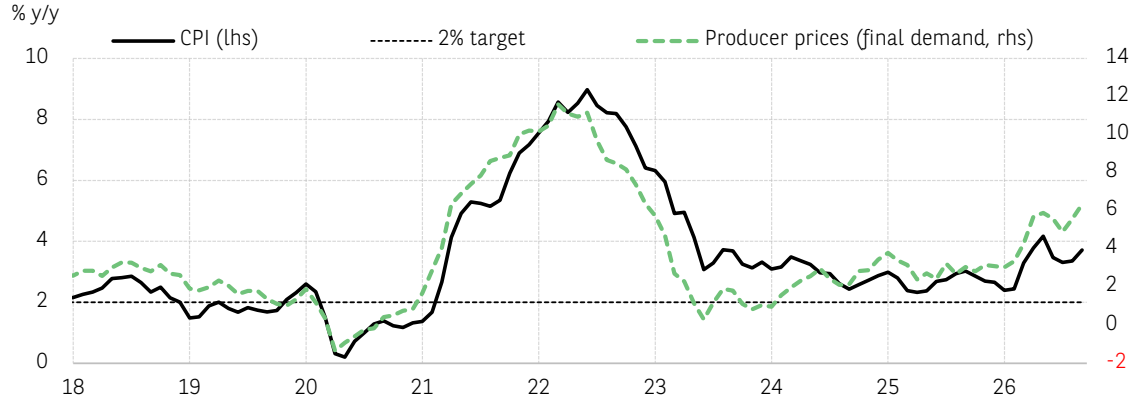
Price pressures and inflation



*Source: S&P Global, BLS, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Producer price inflation has stabilised since May

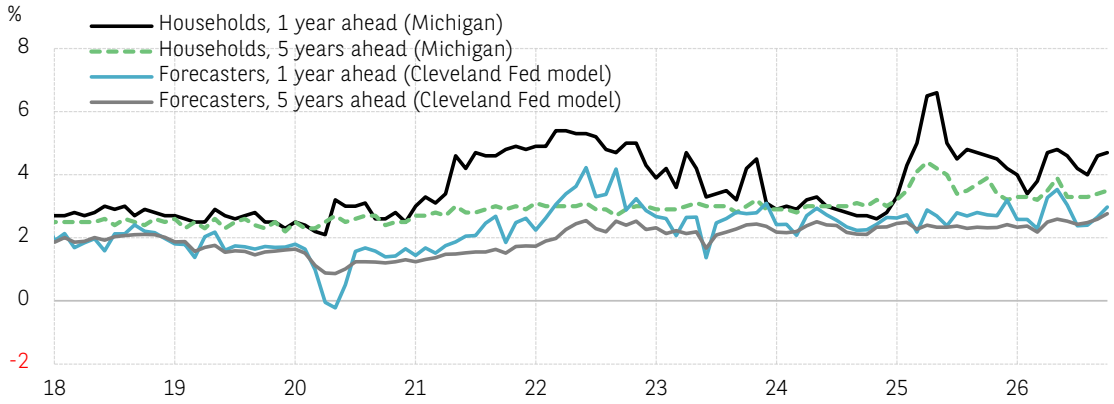
Producer and consumer prices



Source: BLS

US households' 1-year-ahead expectations remain high

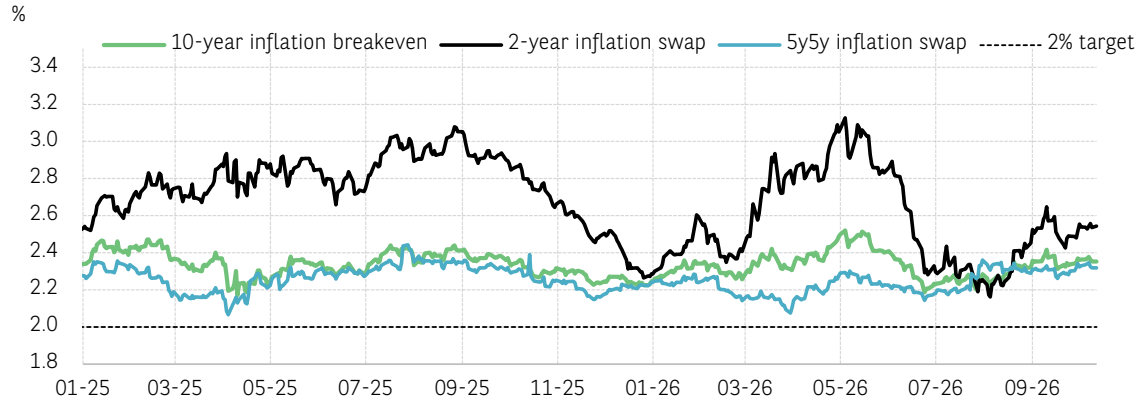
Household and forecaster expectations



Source: University of Michigan, Philadelphia Fed

2-year expectations have been rising since August, long-term ones are little changed

Market expectations

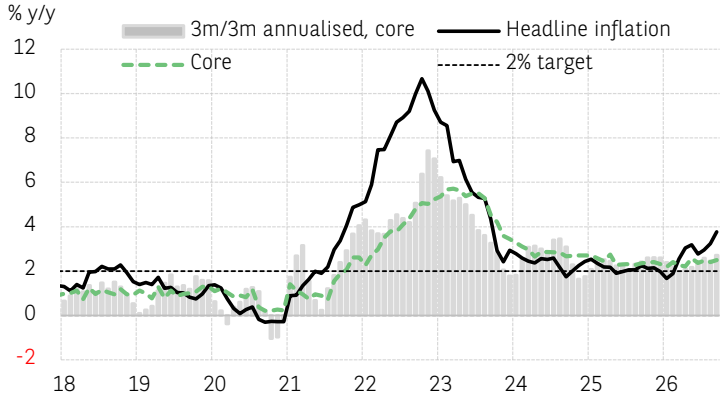


Source: Bloomberg, BNP Paribas

Euro area – Behind the energy rebound, a relative stability…

Headline inflation is approaching 4% while core remains stable

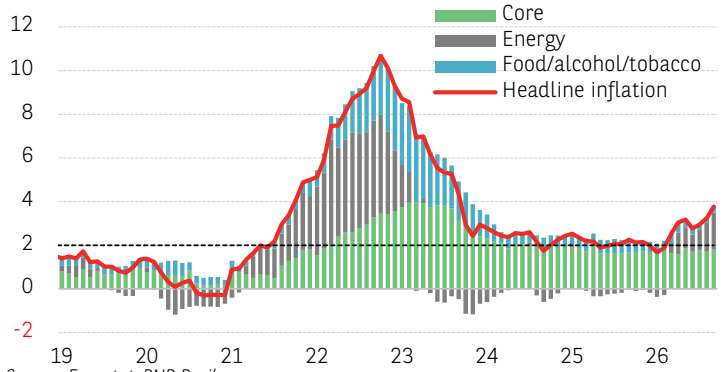
Headline and core HICP



Source: Eurostat

Energy weighs almost as much as core in inflation

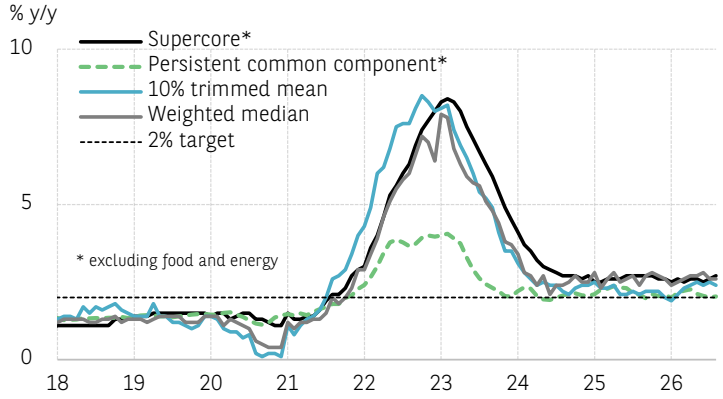
Contributions to HICP inflation



Source: Eurostat, BNP Paribas

Alternative measures remain well anchored

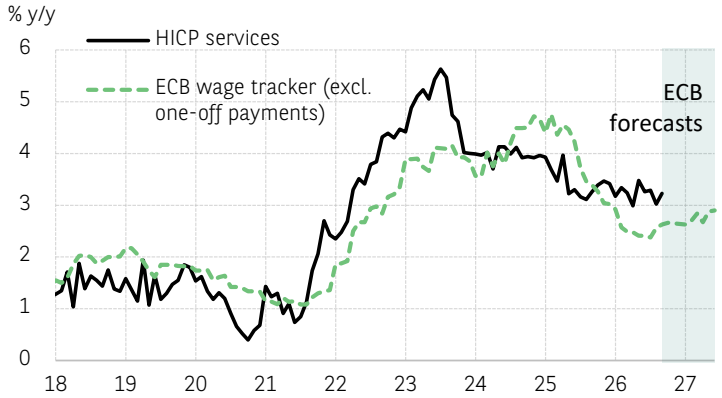
ECB alternative measures



Source: ECB

Services inflation is no longer easing and stronger wage growth is looming

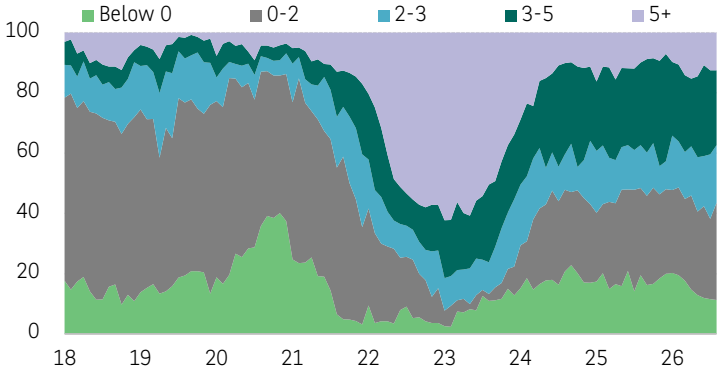
Services and wages



Source: Eurostat

Unlike in 2022-23, few components show significant increases

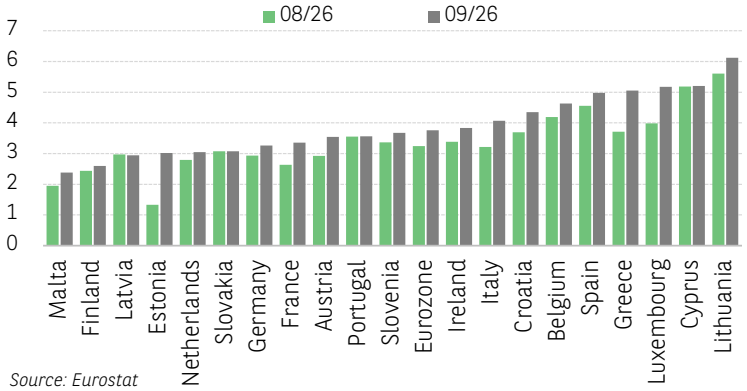
Breadth of inflation



Source: Eurostat, BNP Paribas calculations

Inflation accelerated in almost every euro area country in September

HICP by country

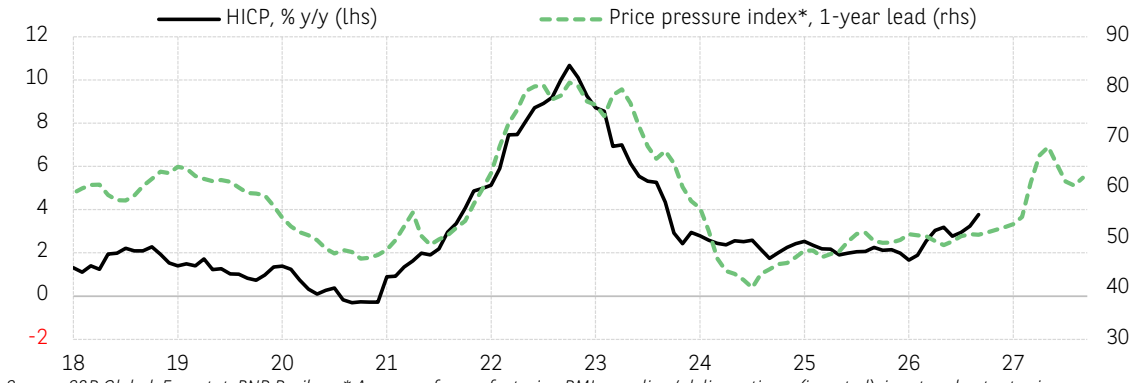


Source: Eurostat

… which may not last

Price pressures rising again

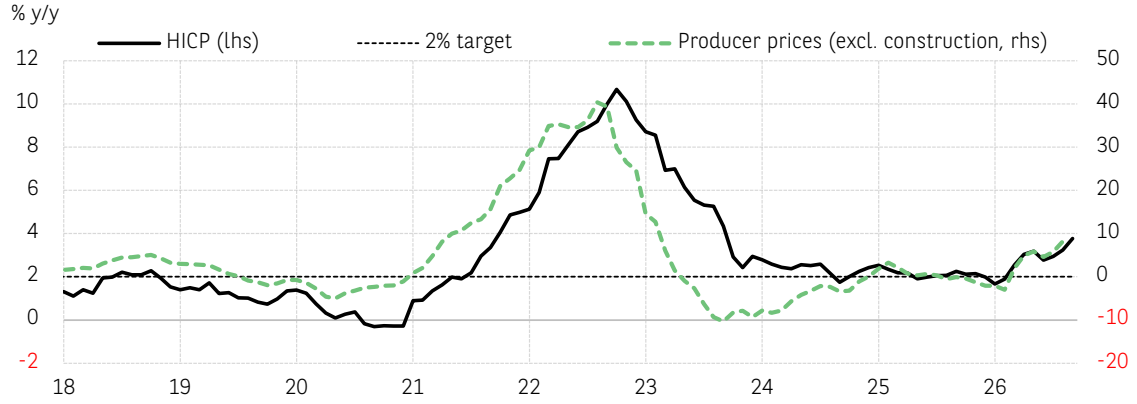
Price pressures and inflation



*Source: S&P Global, Eurostat, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Producer prices are accelerating much faster than HICP, squeezing corporate margins

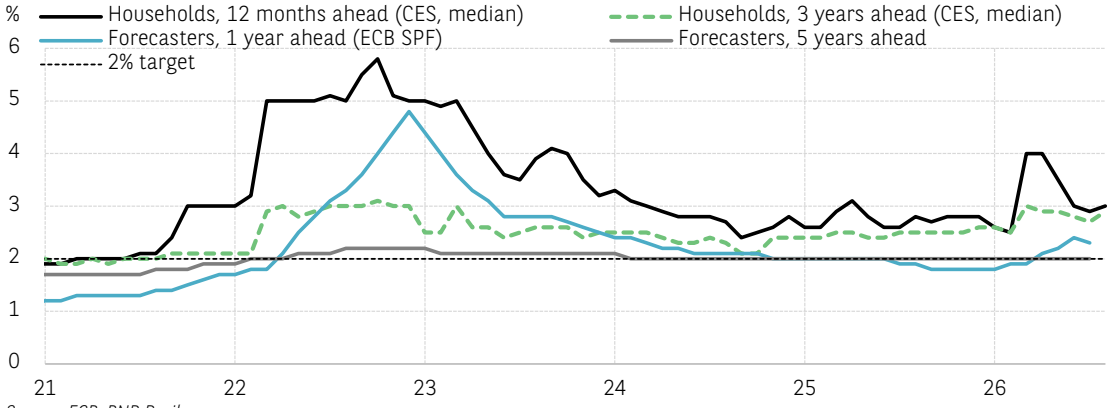
Producer and consumer prices



Source: Eurostat

Households' 3-year expectations on a high plateau

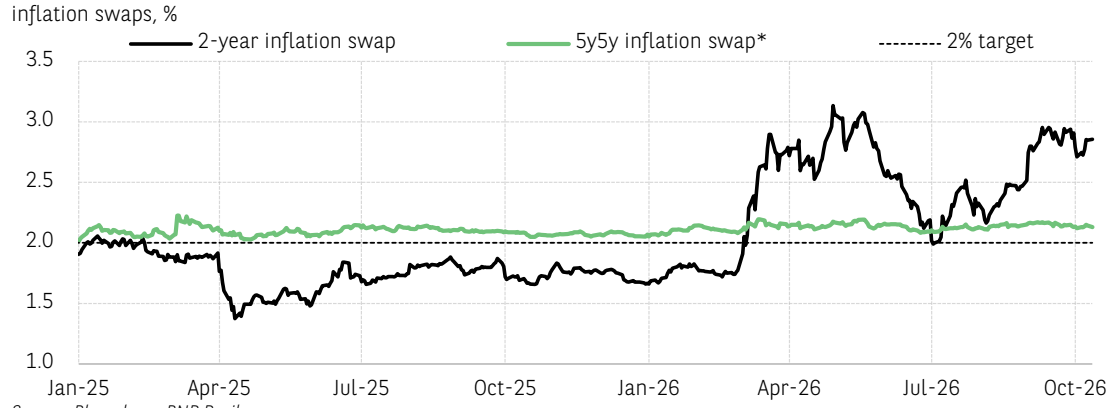
Household and forecaster expectations



Source: ECB, BNP Paribas

The 2-year swap is rising, the 5y5y remains close to 2%

Market expectations

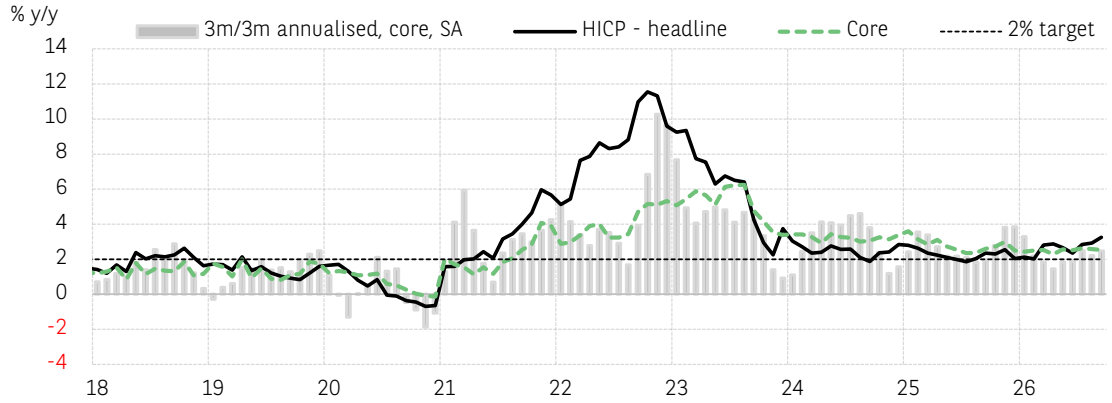


Source: Bloomberg, BNP Paribas

Germany – A shock still confined to energy…

Headline inflation is gradually accelerating, core is stable

Headline and core HICP

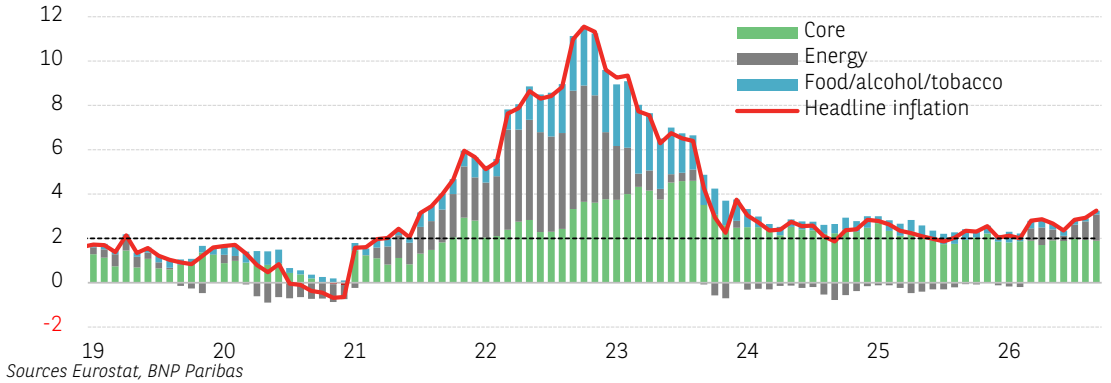


Source: Eurostat

Since June, energy alone has accounted for the rise in German inflation

Contributions to HICP inflation

% y/y and contributions in pp

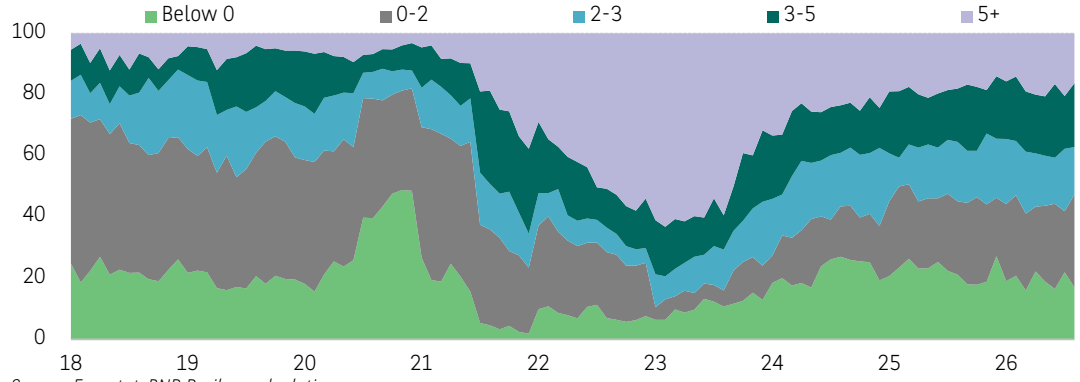


Sources Eurostat, BNP Paribas

Half of HICP goods and services remain below 2%

Breadth of inflation

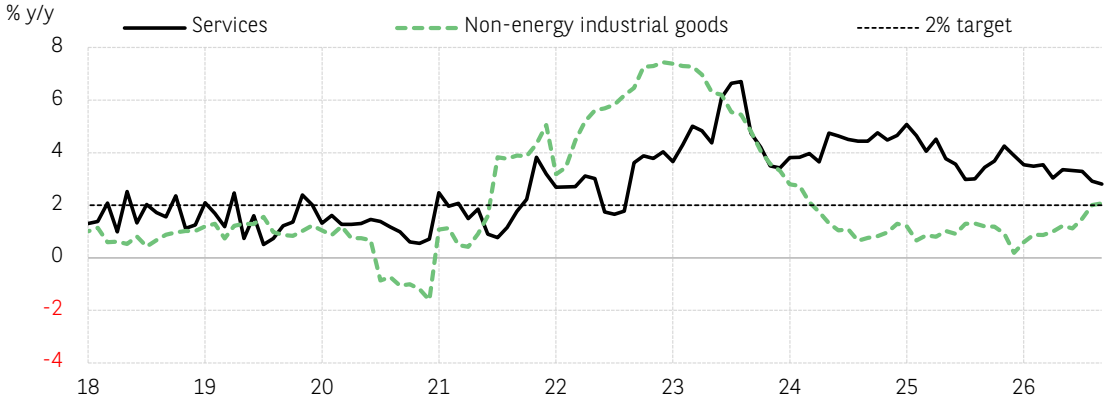
% of HICP basket components (basket of 291 items)



Source: Eurostat, BNP Paribas calculations

Rising costs are beginning to affect industrial goods

Core inflation

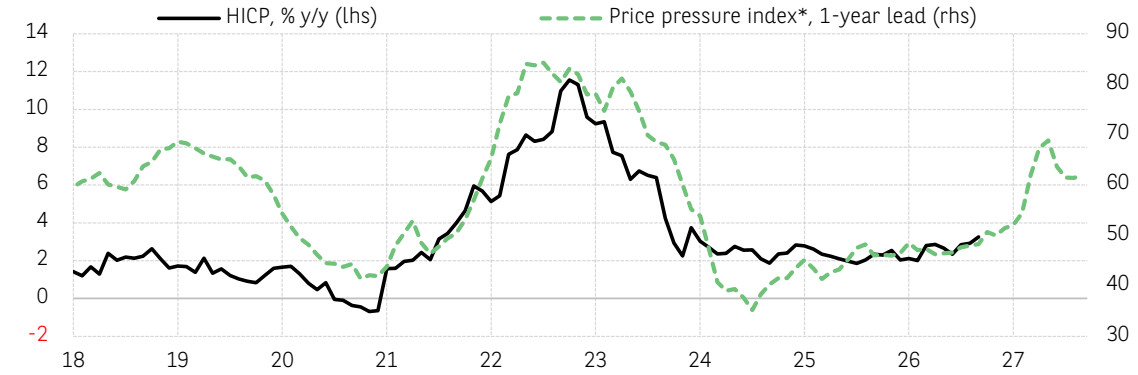


Source: Eurostat

… which should keep pushing inflation higher

1-year price pressures are stabilising but remain high

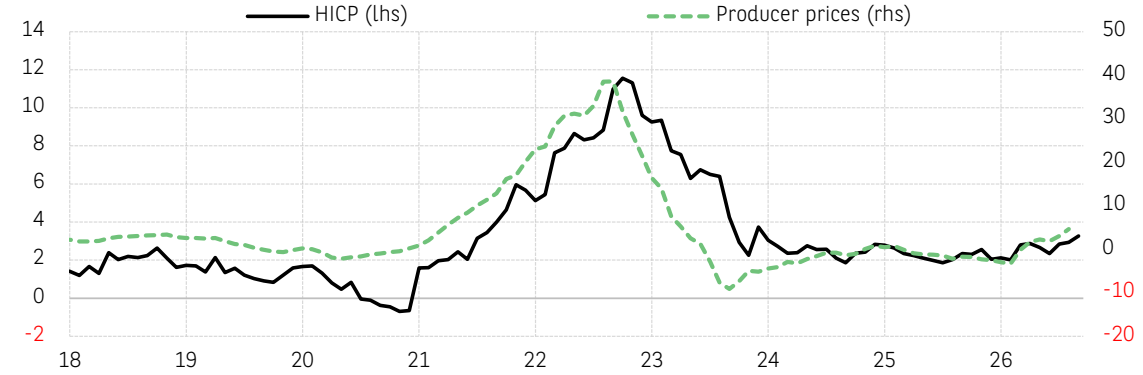
Price pressures and inflation



*Source: S&P Global, Eurostat, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

The rebound in producer prices is gaining strength

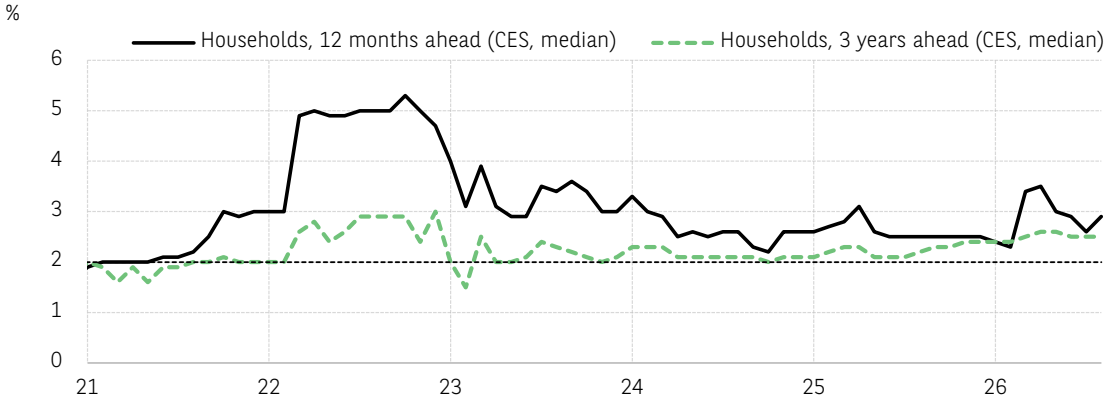
Producer and consumer prices



Source: Destatis, Eurostat

Households' inflation expectations are slowly drifting above 2%

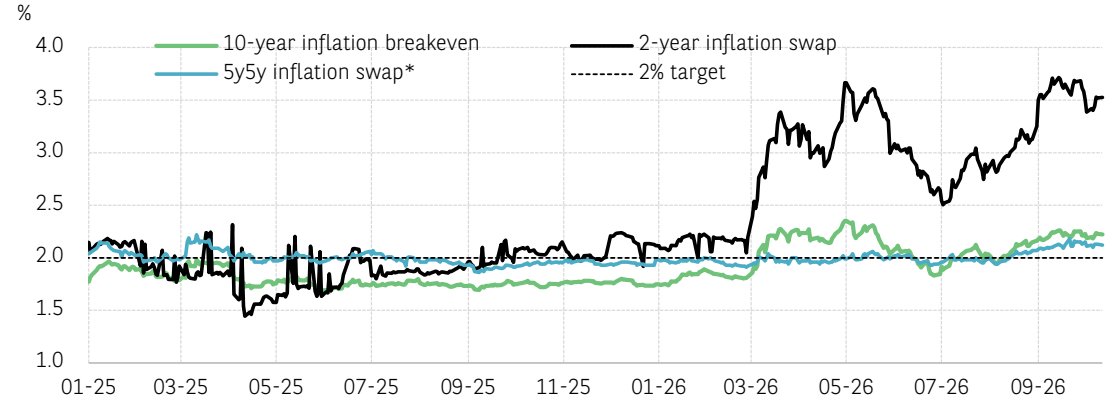
Household expectations



Source: ECB, BNP Paribas

The 2-year swap is climbing sharply

Market expectations

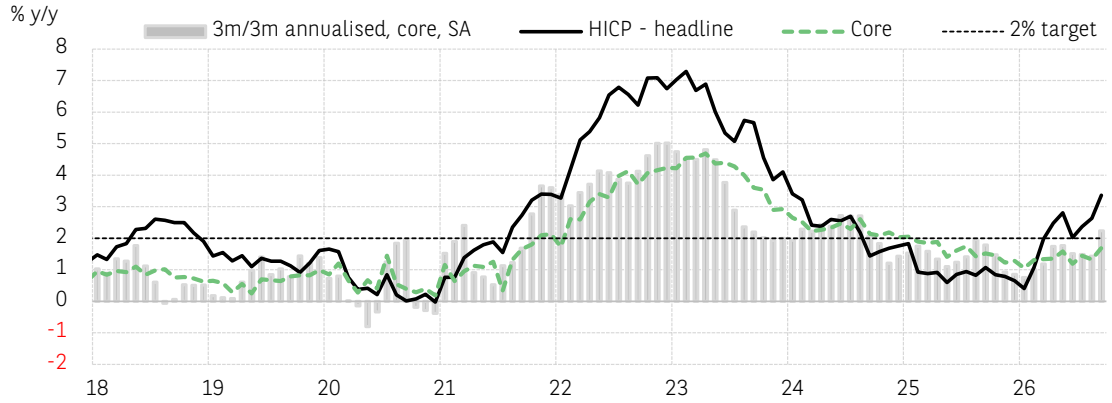


Source: Bloomberg, BNP Paribas

France – A highly concentrated rise in inflation…

Headline inflation exceeds 3% but core remains below 2%

Headline and core HICP

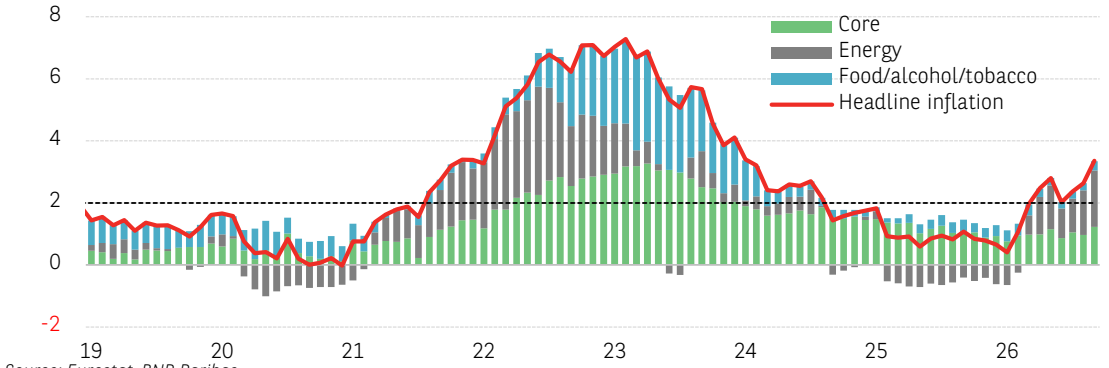


Source: Eurostat

Energy contributes more than core to French inflation

Contributions to HICP inflation

% y/y and contributions in pp

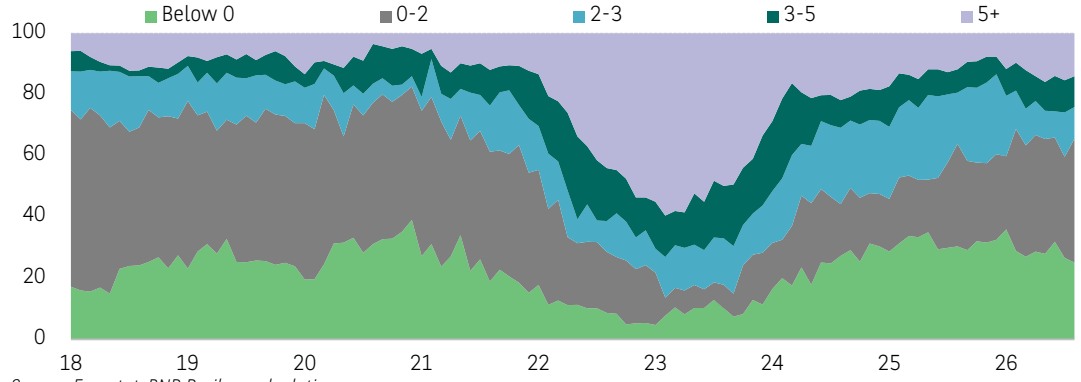


Source: Eurostat, BNP Paribas

Two-thirds of HICP components remain below 2%

Breadth of inflation

% of HICP basket components (basket of 291 items)

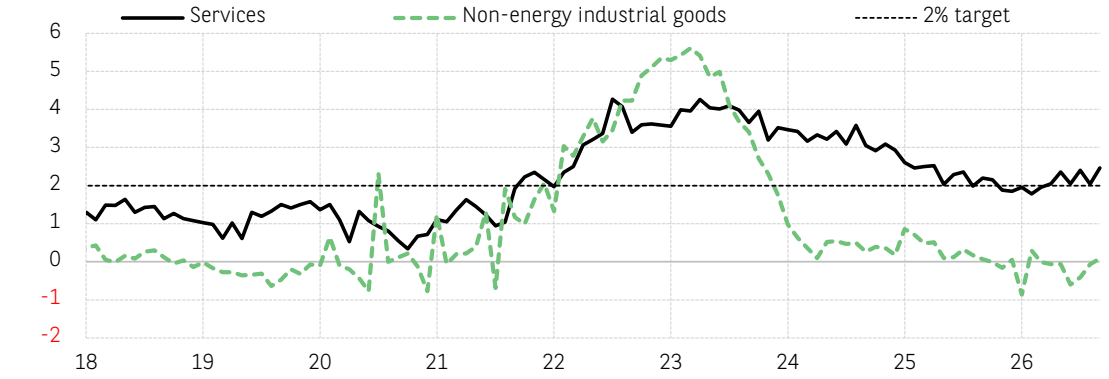


Source: Eurostat, BNP Paribas calculations

Second-round effects still barely visible

Core inflation

% y/y

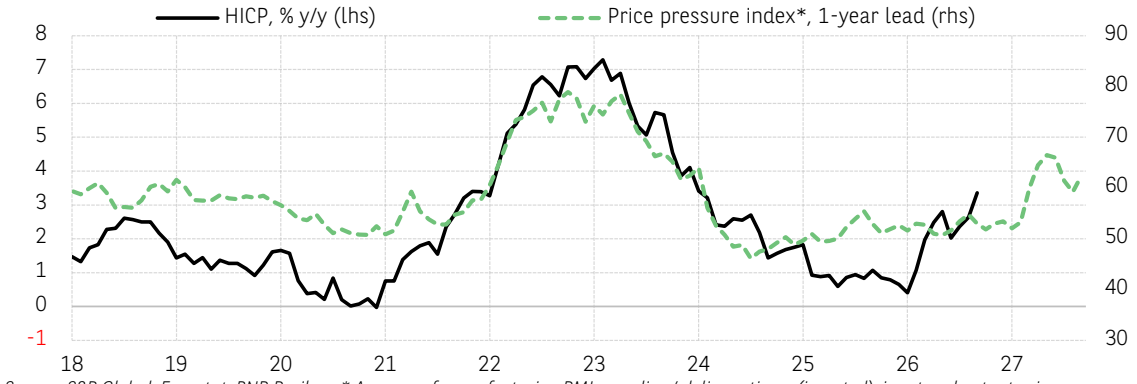


Source: Eurostat

… marked by diverging expectations

Inflation is rebounding, price pressures point to a pick-up in 2027

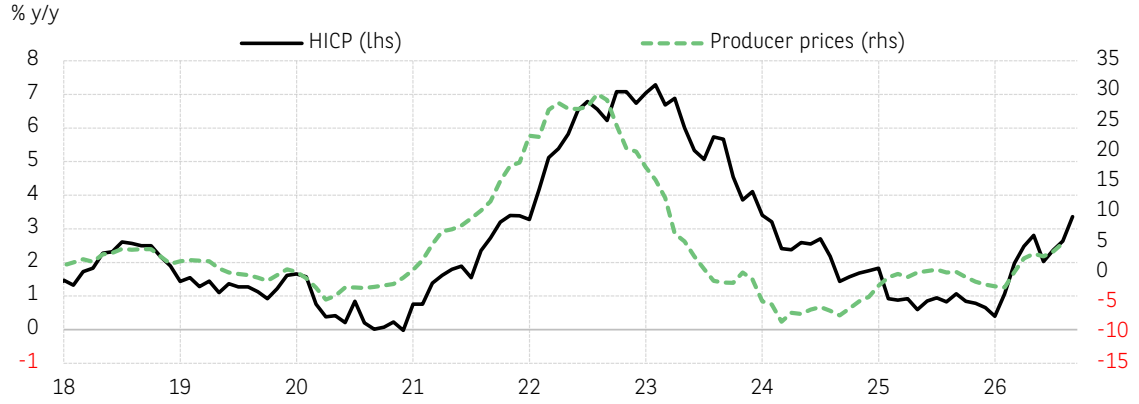
Price pressures and inflation



*Source: S&P Global, Eurostat, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Producer and consumer prices are accelerating in tandem

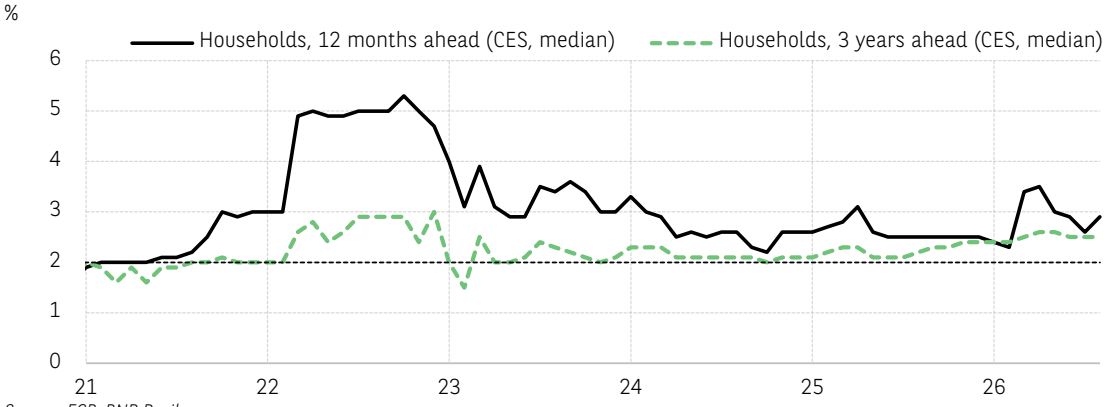
Producer and consumer prices



Source: Eurostat

Households' 3-year expectations moved away from 2% in August

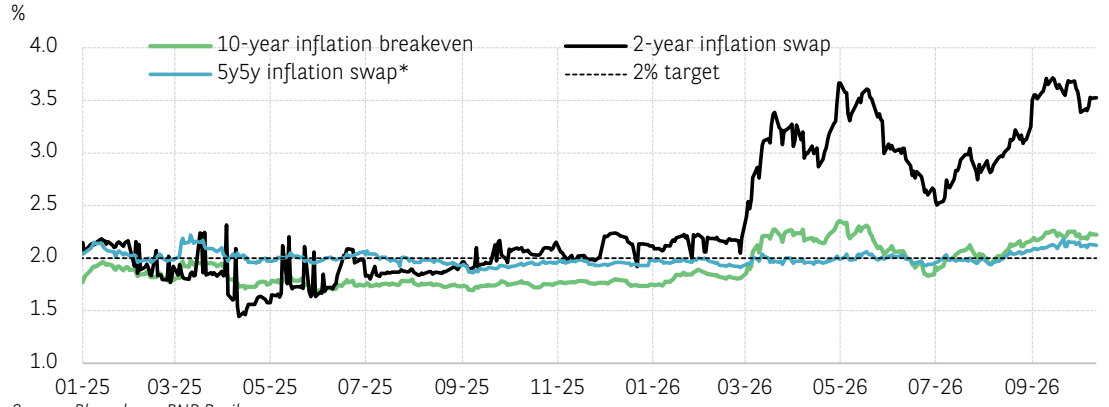
Household expectations



Source: ECB, BNP Paribas

5y5y swaps are rising

Market expectations

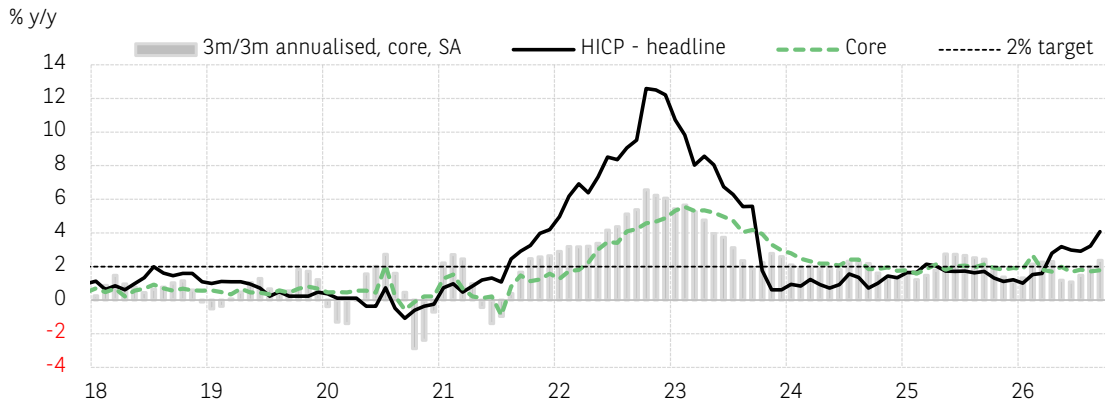


Source: Bloomberg, BNP Paribas

Italy – A purely energy-driven shock, for now…

Headline and core inflation are diverging

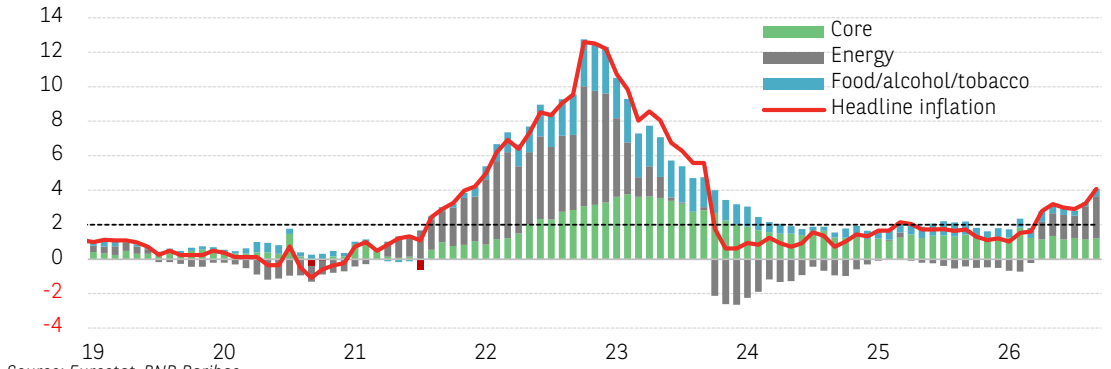
Headline and core HICP



Source: Eurostat

More than half of inflation is driven by energy

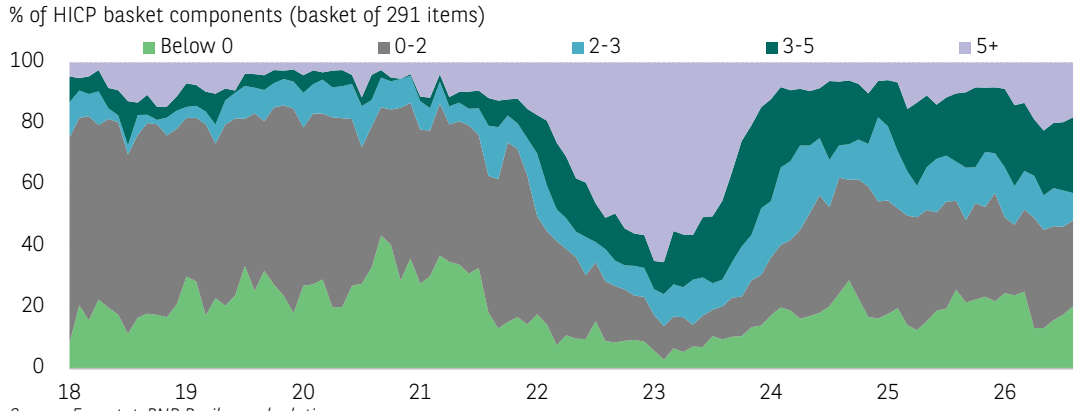
Contributions to HICP inflation



Source: Eurostat, BNP Paribas

The share of HICP items rising sharply is increasing

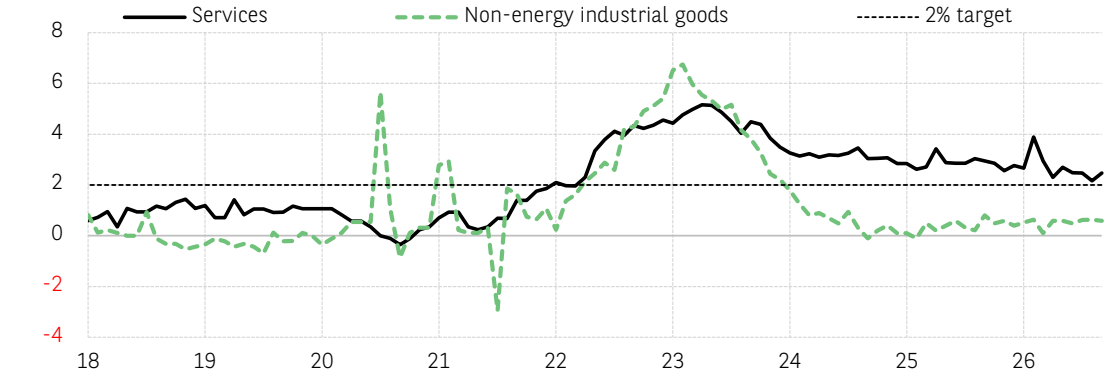
Breadth of inflation



Source: Eurostat, BNP Paribas calculations

Services and non-energy goods inflation is stable

Core inflation

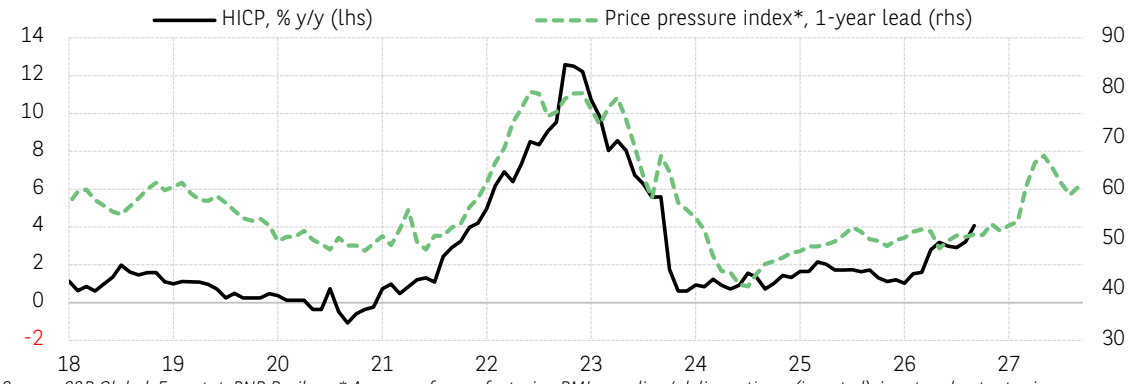


Source: Eurostat

… but input price inflation is strengthening

Price pressures are rising from an already high level

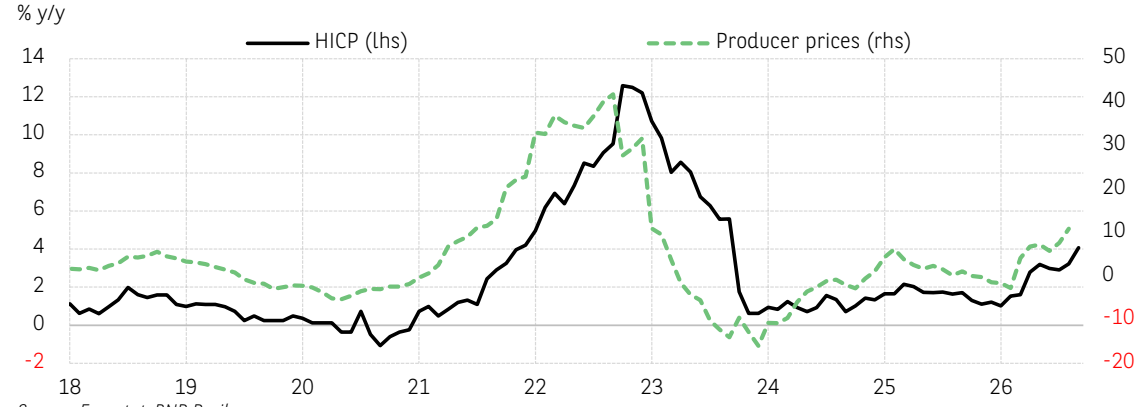
Price pressures and inflation



*Source: S&P Global, Eurostat, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Italian producer prices are accelerating sharply

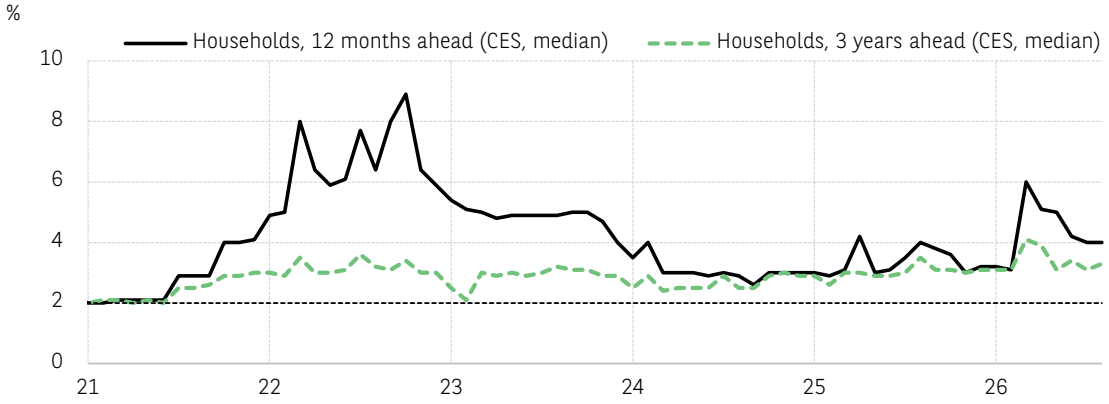
Producer and consumer prices



Source: Eurostat, BNP Paribas

Households' inflation expectations have been easing since March, but remain high

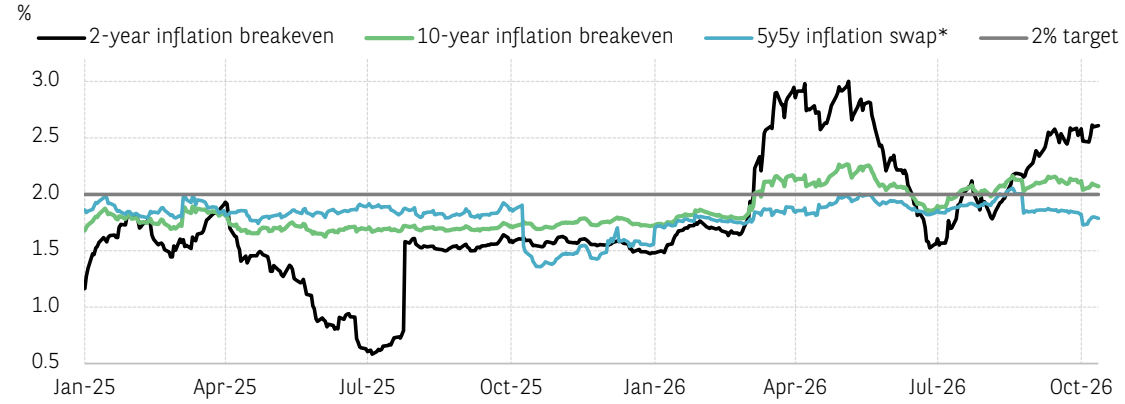
Household expectations



Source: ECB, BNP Paribas

Long-term expectations are well anchored

Market expectations

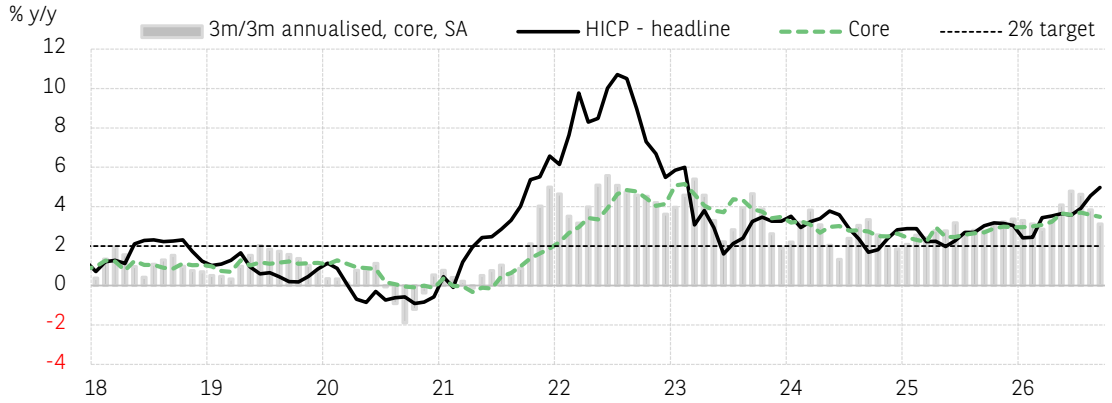


Source: Bloomberg, BNP Paribas

Spain – Stronger inflationary pressures…

Headline inflation is moving away from the 2% target, core remains stable

Headline and core HICP

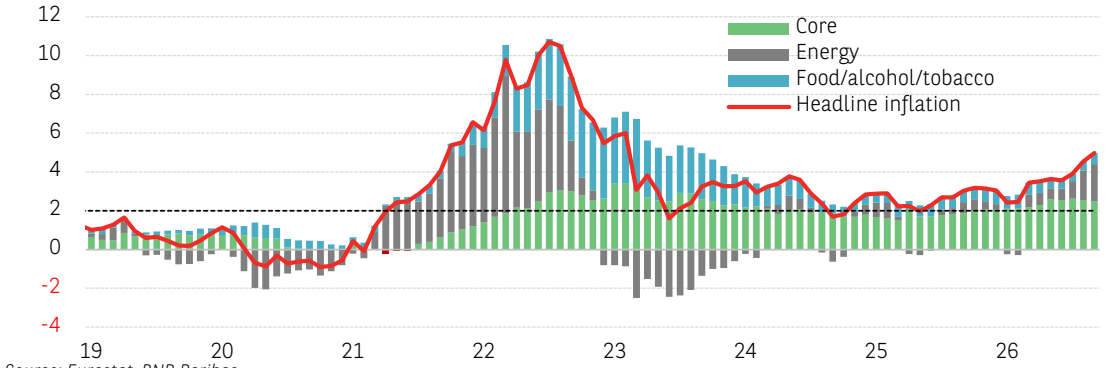


Source: Eurostat

The rise in inflation is energy-driven; core is comparatively higher than elsewhere

Contributions to HICP inflation

% y/y and contributions in pp

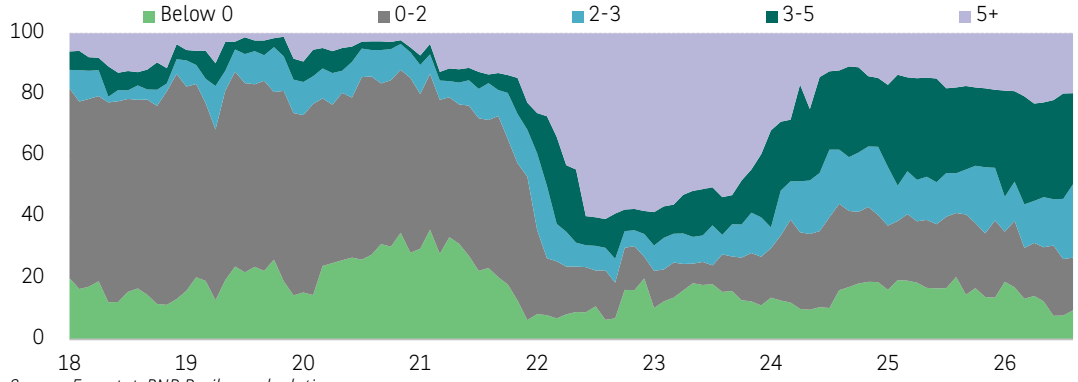


Source: Eurostat, BNP Paribas

The share of items above 2% has risen markedly over the year

Breadth of inflation

% of HICP basket components (basket of 291 items)

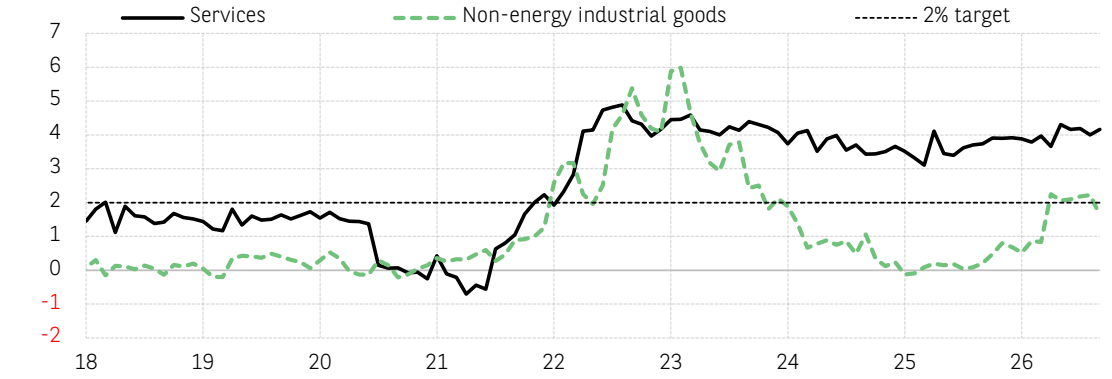


Source: Eurostat, BNP Paribas calculations

Services inflation remains strong, non-energy goods inflation is stabilising

Core inflation

% y/y

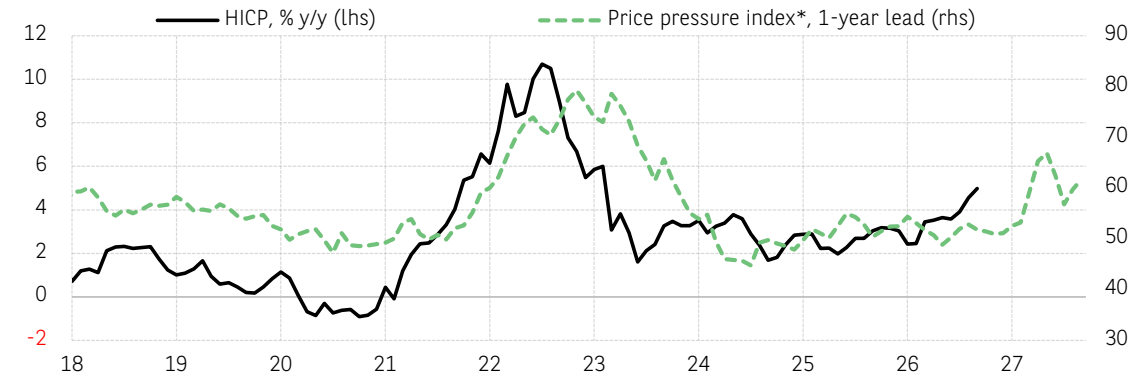


Source: Eurostat

… likely to persist in the coming months

Inflation, already rising sharply, is set to accelerate further in 2027

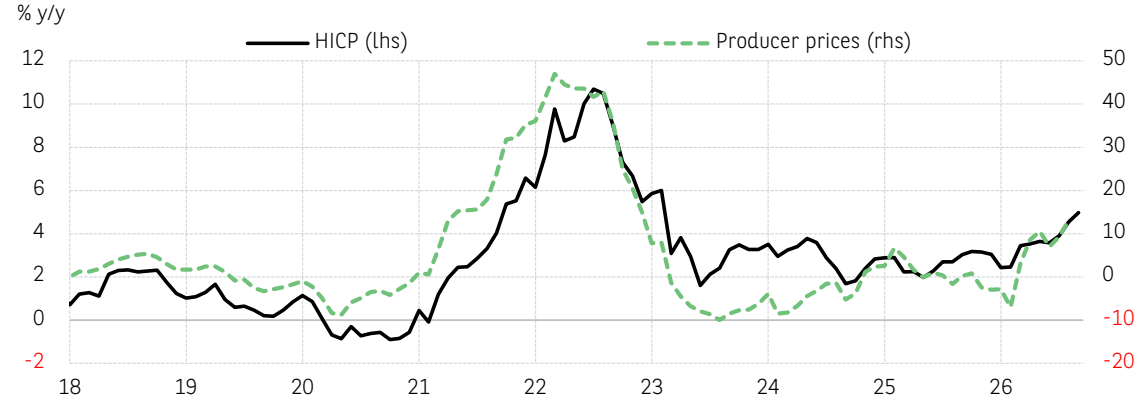
Price pressures and inflation



*Source: S&P Global, Eurostat, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Producer and consumer prices keep rising together

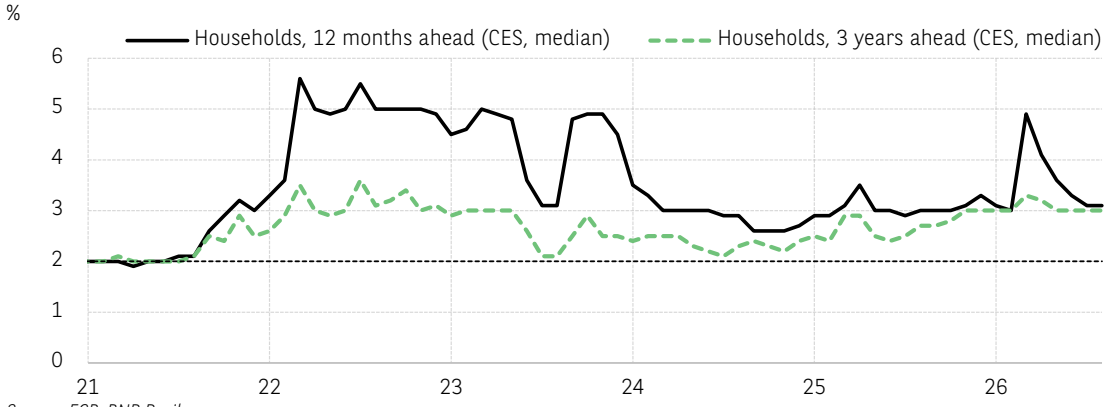
Producer and consumer prices



Source: Eurostat

Spanish households' inflation expectations are settling at around 3%

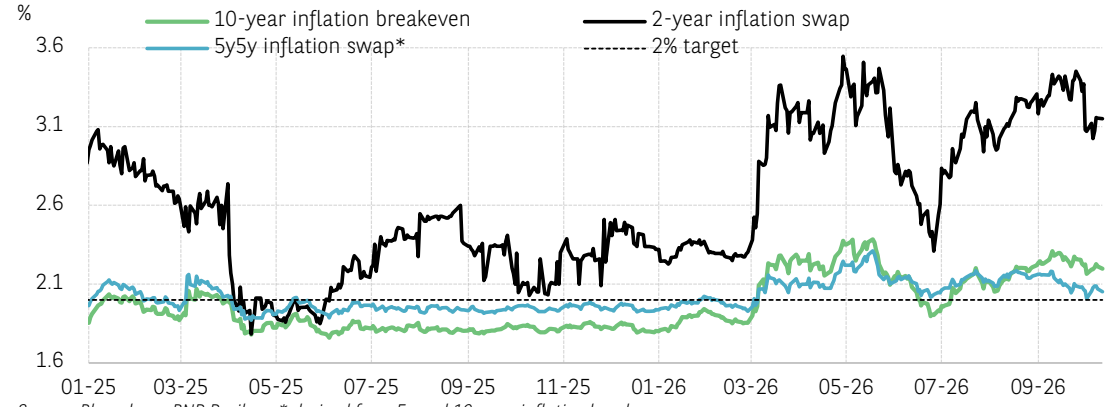
Household expectations



Source: ECB, BNP Paribas

Long-term market expectations are nonetheless easing

Market expectations

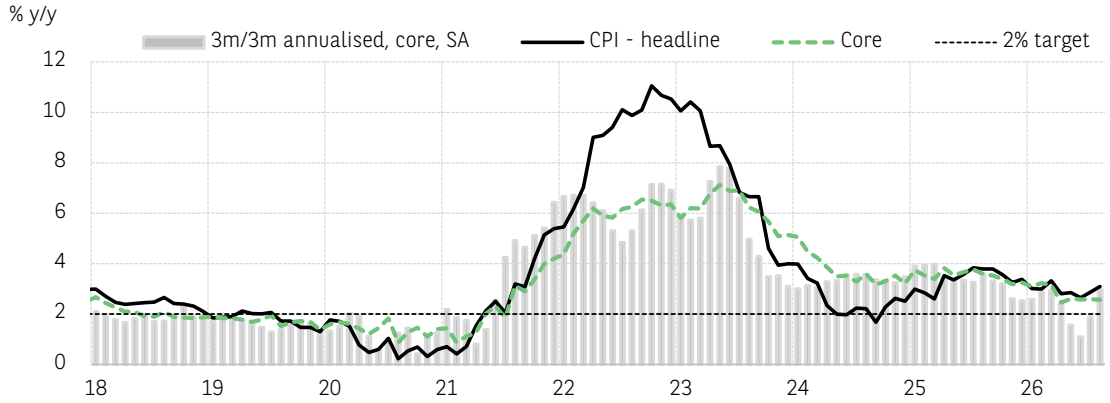


*Source: Bloomberg, BNP Paribas * derived from 5- and 10-year inflation breakevens*

United Kingdom – Energy is weighing on inflation

The higher energy price cap has triggered a rebound in inflation

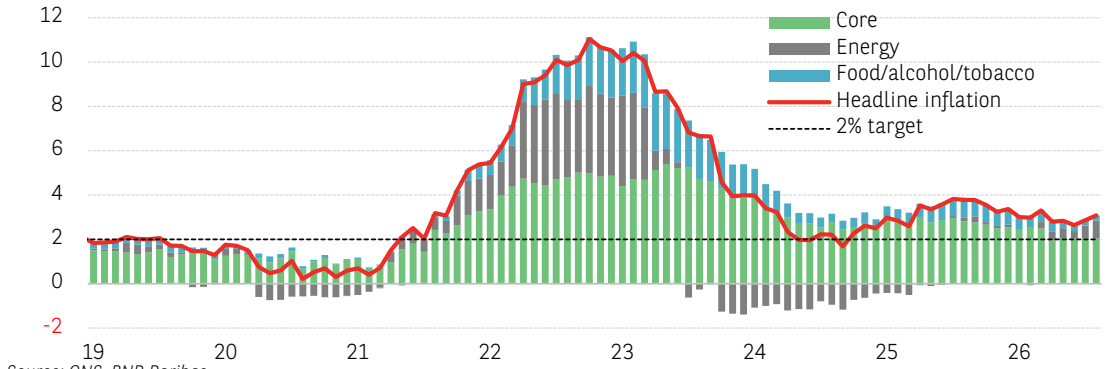
Headline and core CPI



Source: ONS

Lower contributions from core and food are offsetting energy

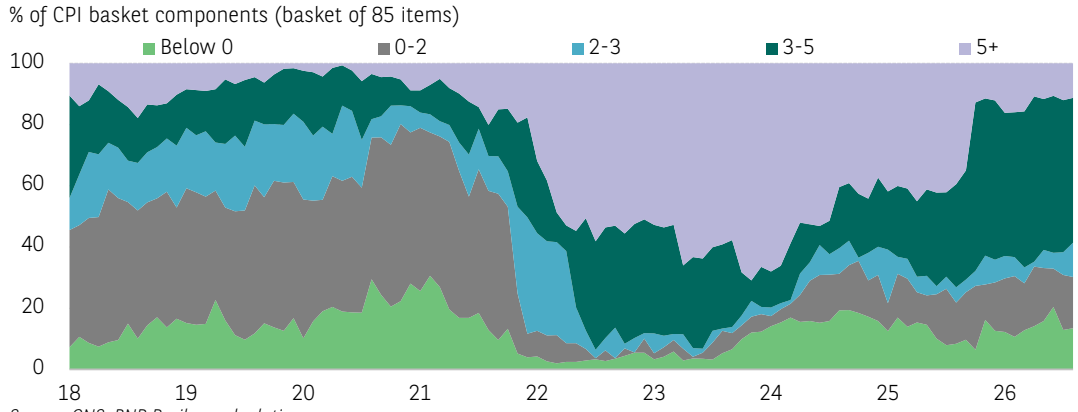
Contributions to CPI inflation



Source: ONS, BNP Paribas

Large price increases are fading, but most CPI components are running above 2%

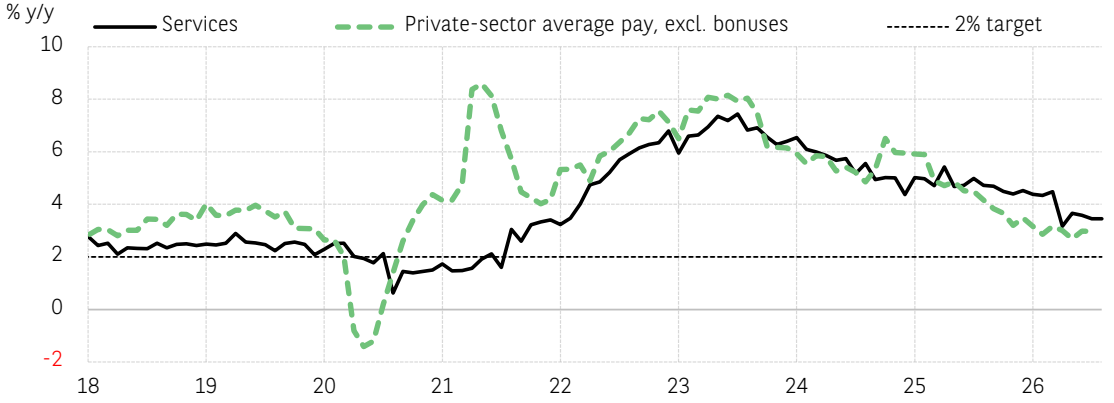
Breadth of inflation



Source: ONS, BNP Paribas calculations

Easing wage growth is pulling services inflation down

CPI services and wages

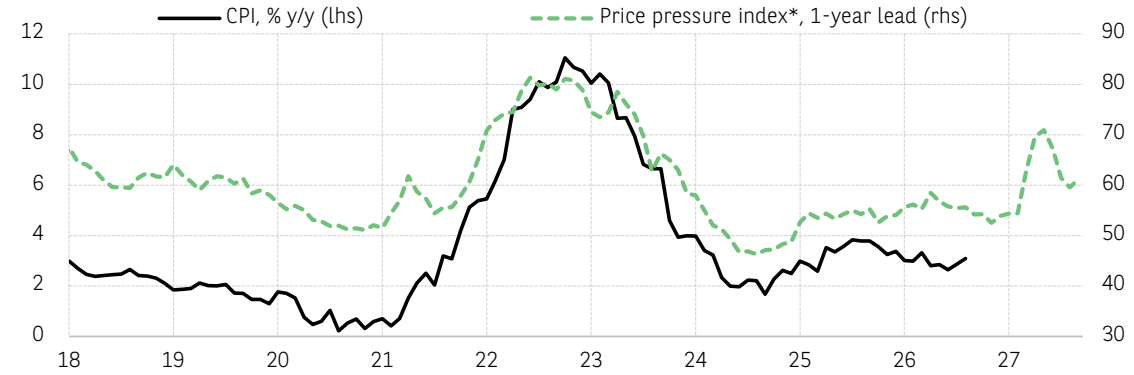


Source: ONS

United Kingdom – Behind prices, a deteriorating picture

Renewed price pressures

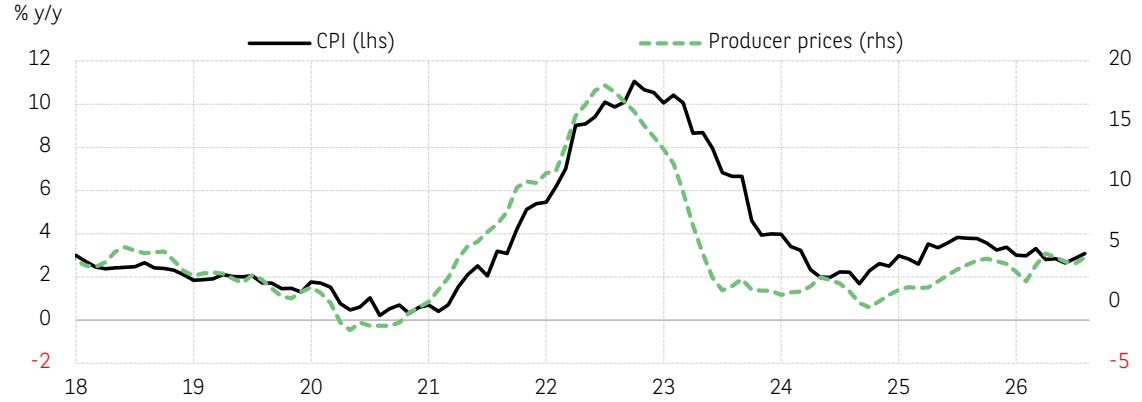
Price pressures and inflation



*Source: S&P Global, ONS, BNP Paribas. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Producer prices are accelerating only slightly

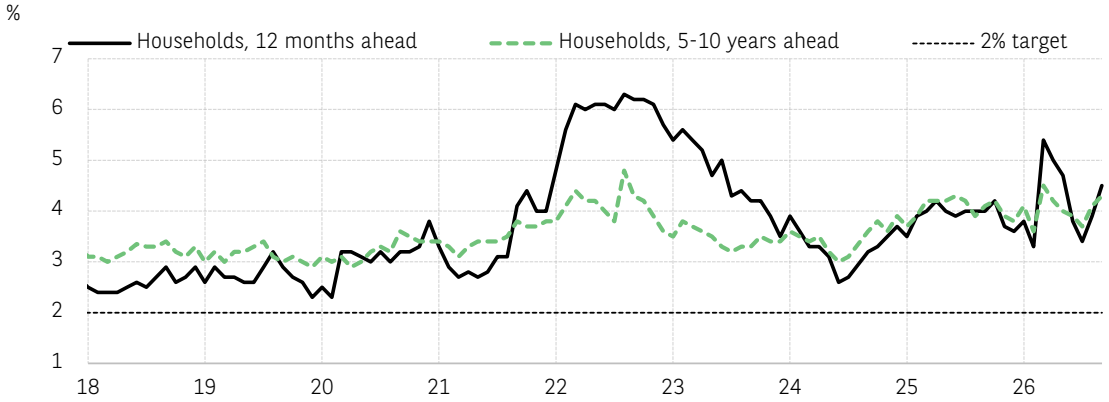
Producer and consumer prices



Source: ONS, BNP Paribas

Households' expectations exceed 4%

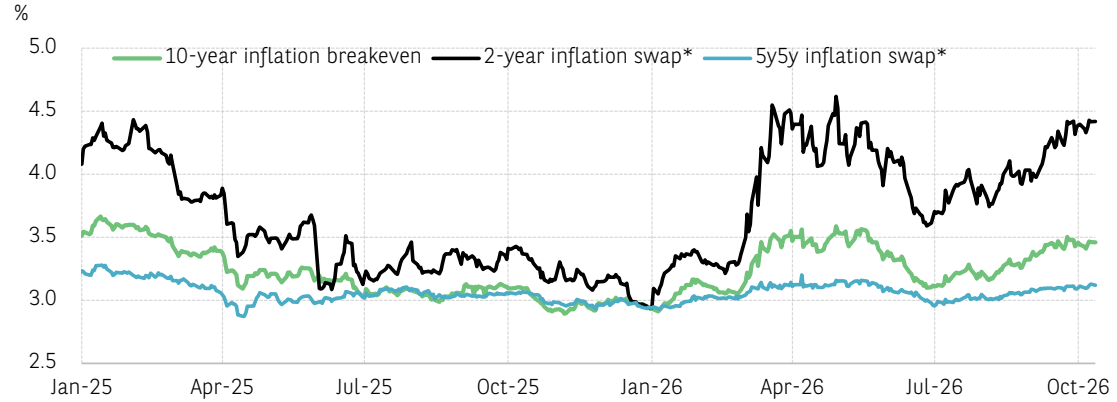
Household and forecaster expectations



Source: YouGov

Short-term market expectations are trending upward

Market expectations

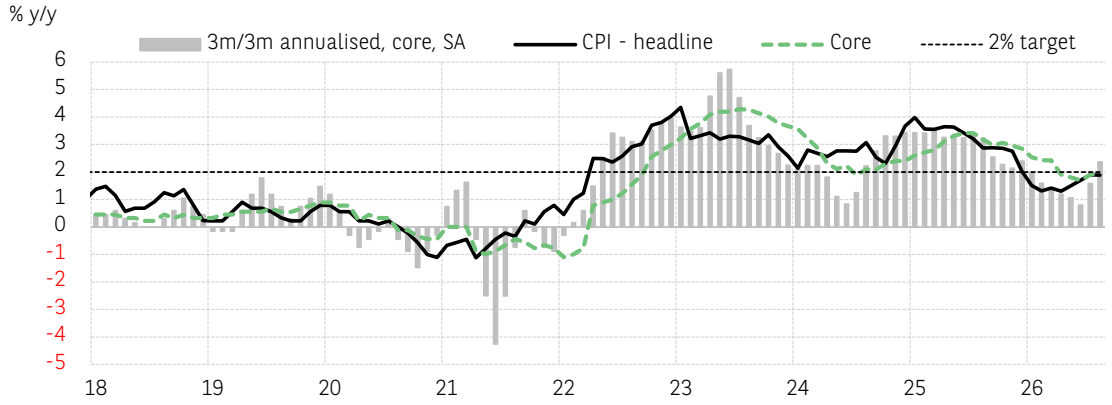


*Source: Bloomberg, BNP Paribas * Swap indexed to the Retail Price Index*

Japan – Government measures are tempering the rise in inflation

The energy rebound is tempered by policy measures…

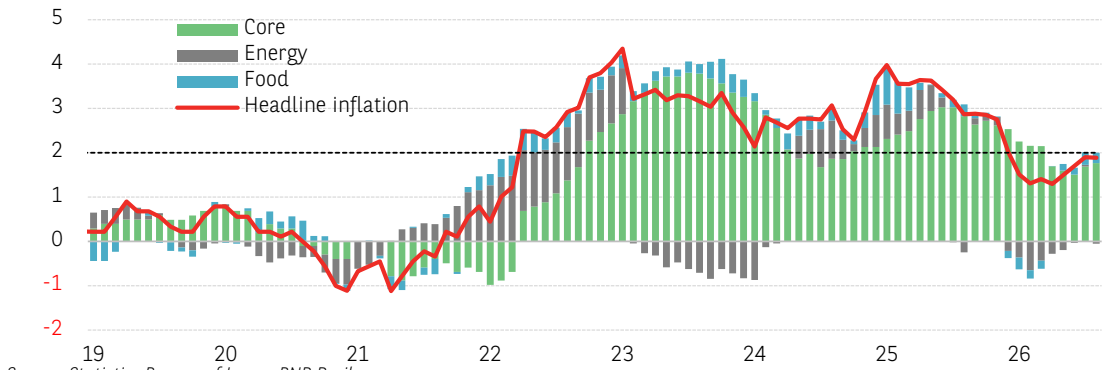
Headline and core CPI



Source: Statistics Bureau of Japan, BNP Paribas

… with administrative action limiting energy's contribution

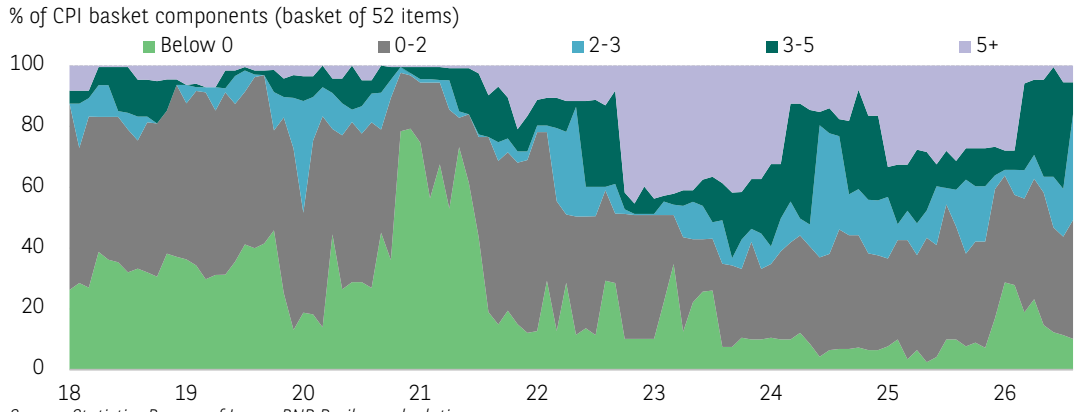
Contributions to CPI inflation



Source: Statistics Bureau of Japan, BNP Paribas

The share of items above 5% has fallen sharply

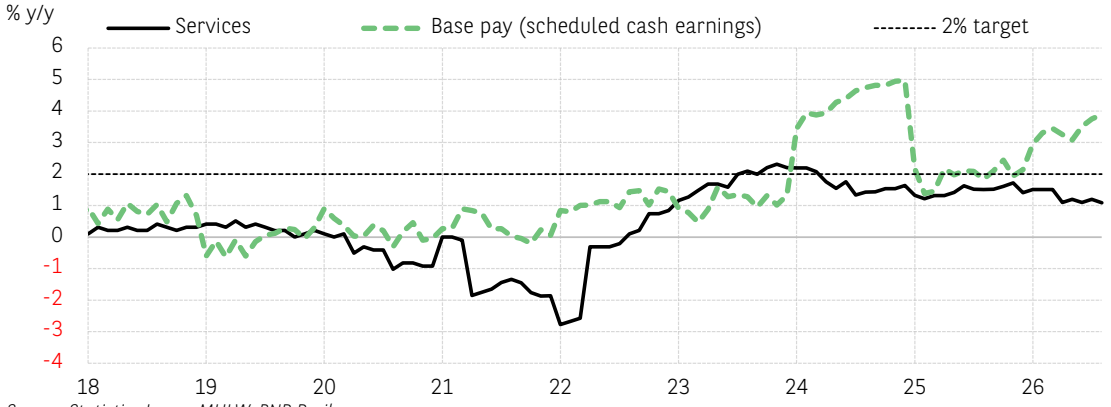
Breadth of inflation



Source: Statistics Bureau of Japan, BNP Paribas calculations

Rising wage pressures will feed services inflation

CPI services and wages

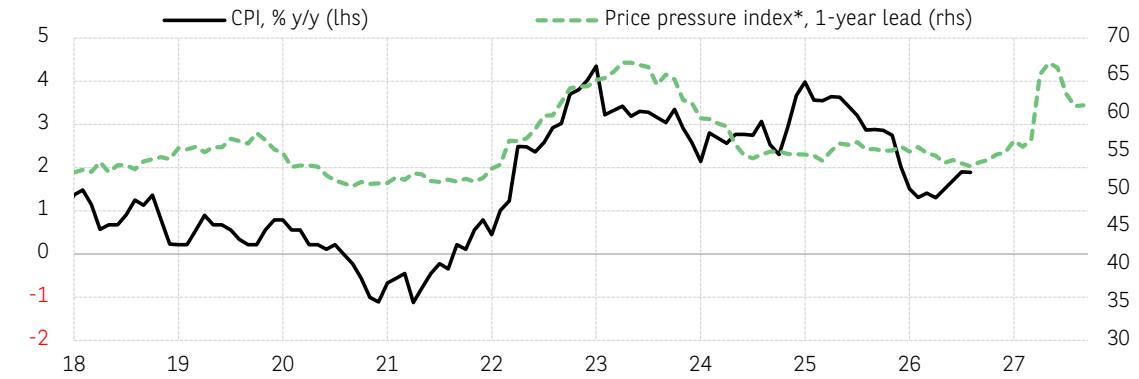


Source: Statistics Japan, MHLW, BNP Paribas

Japan – Expectations point to the end of deflation

The economy is highly exposed to price pressures

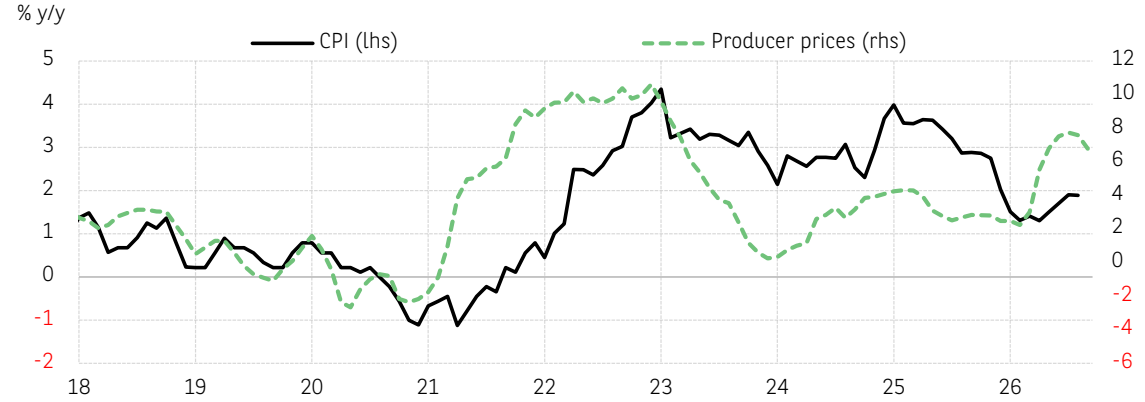
Price pressures and inflation



*Source: S&P Global, Statistics Bureau of Japan. * Average of manufacturing PMI: suppliers' delivery times (inverted), input and output prices.*

Rising producer prices are only weakly passed through to CPI

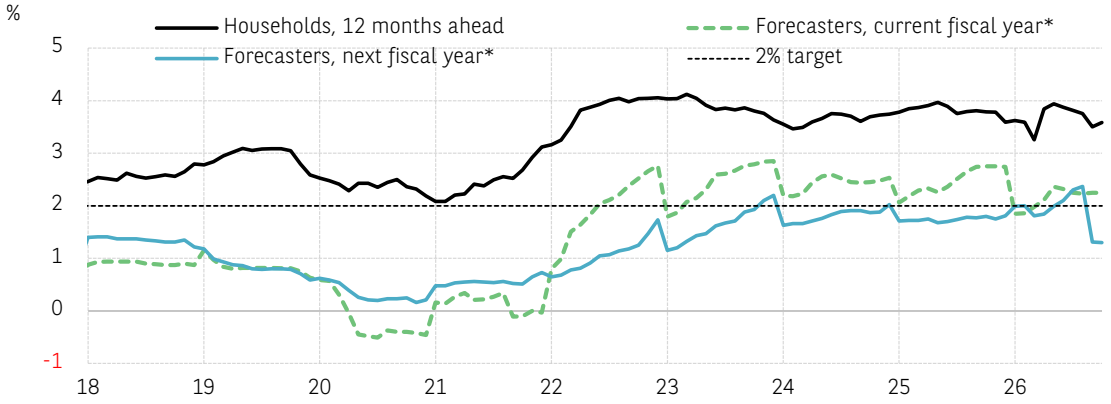
Producer and consumer prices



Source: Bank of Japan, Eurostat

Households' inflation expectations exceed forecasters'

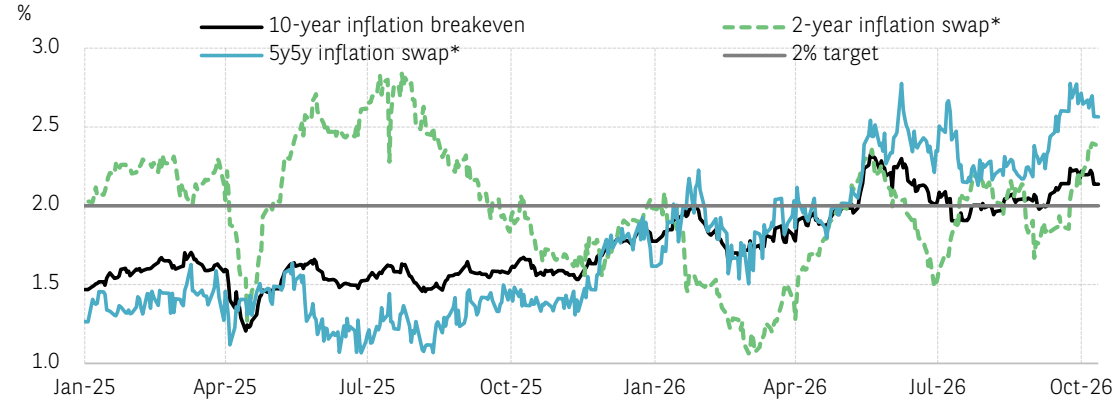
Household and forecaster expectations



*Source: Japan Cabinet Office, JCER, BNP Paribas. * Core CPI excluding fresh food, rolling horizon*

The 5y5y has been above 2% since May

Market expectations

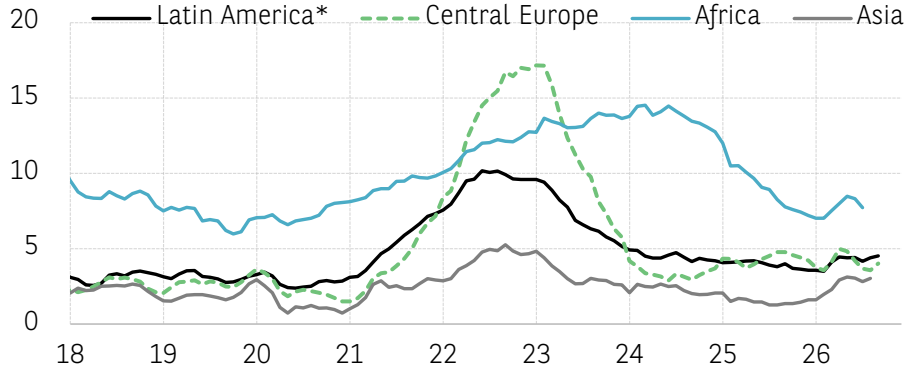


*Source: Bloomberg, BNP Paribas. * Swap indexed to CPI excluding fresh food*

Emerging economies – Rising inflation risk

Inflation eased temporarily in the early part of the summer

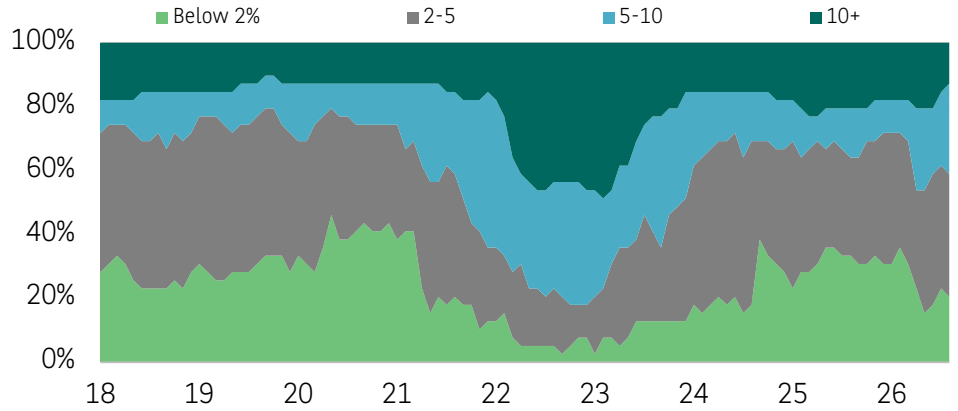
Consumer Price Inflation, y/y %, regional average



* Latin America: Brazil, Chile, Colombia, Mexico, Peru
Central Europe: Bulgaria, Croatia, Hungary, Poland, Czech Rep., Romania, Slovakia
Africa: Algeria, South Africa, Angola, Egypt, Kenya, Morocco, Nigeria, Tunisia
Asia: China, Hong Kong, South Korea, India, Indonesia, Malaysia, Philippines, Singapore, Taiwan, Thailand, Vietnam

The number of countries with double-digit inflation has not increased since the start of the energy crisis

CPI inflation rate, panel of 39 Emerging economies



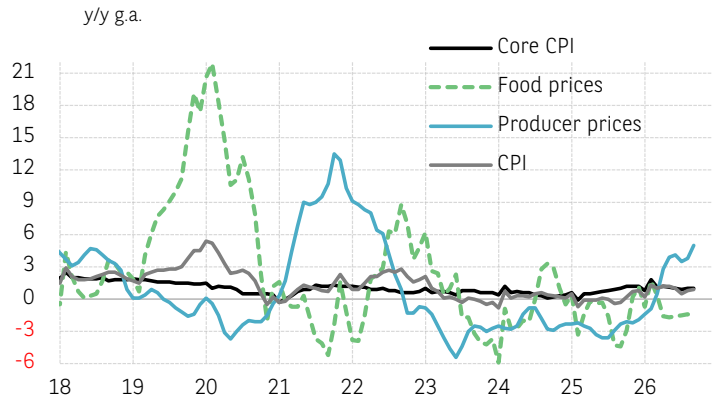
Source: Central banks, Macrobond, BNP Paribas

Available data show a rebound in inflation in September

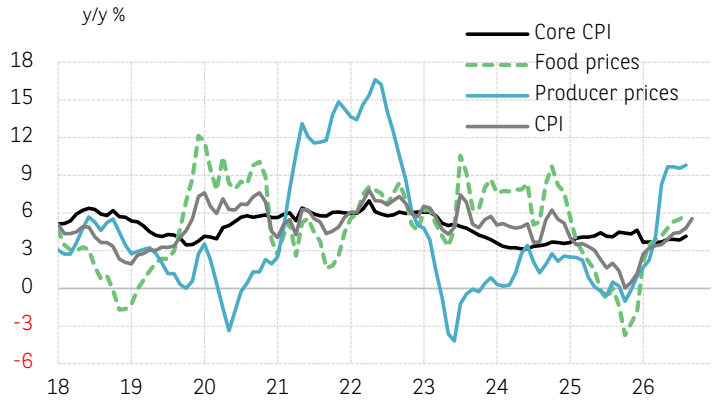
		Realised inflation (% y/y)			
Country	Month	CPI (%)	1-month change in y/y rate (pp)	Core (%)	1-month change in y/y rate (pp)
China	August	0.8	▲ +0.1 pt	1.0	— 0.0 pt
India	August	4.8	▲ +0.7 pt	4.3	▲ +0.2 pt
Argentina	August	33.5	▼ -0.2 pt	31.6	▼ -0.3 pt
Brazil	August	4.2	▲ +0.4 pt	4.4	▲ +0.1 pt
Poland	Sept.	4.0	▲ +0.7 pt	n.a.	n.a.
Türkiye	Sept.	29.7	▼ -1.8 pt	28.7	▼ -1.4 pt

Emerging economies – Inflation re-accelerated in September or remains high

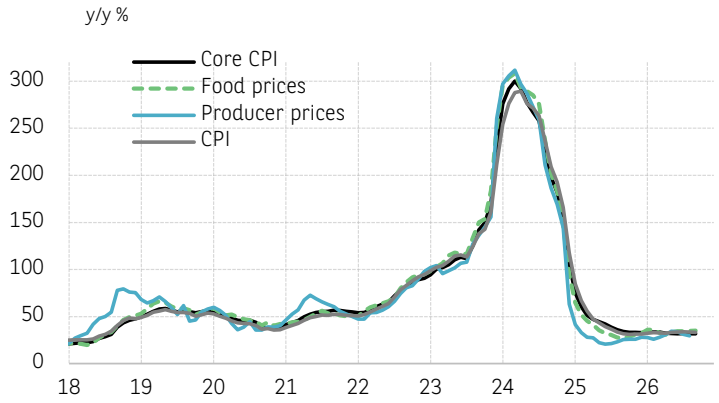
China: Inflation has recovered only slightly



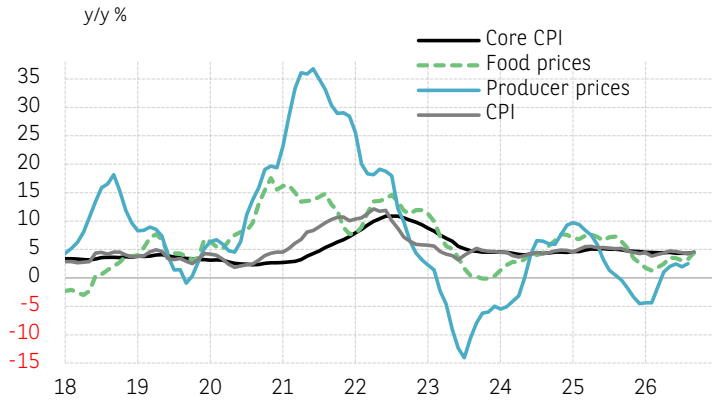
India: Acceleration in inflation is now driven by food prices



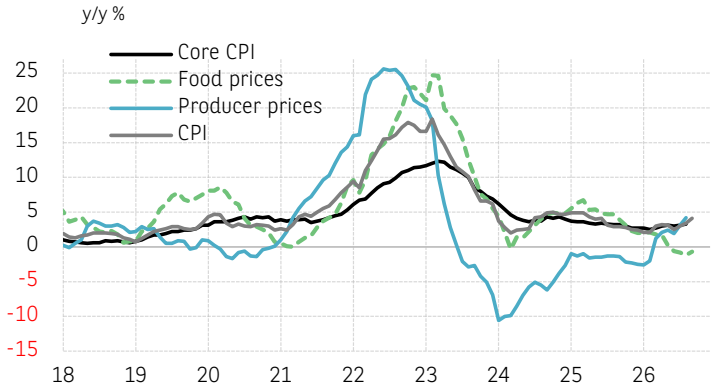
Argentina: No spike in inflation



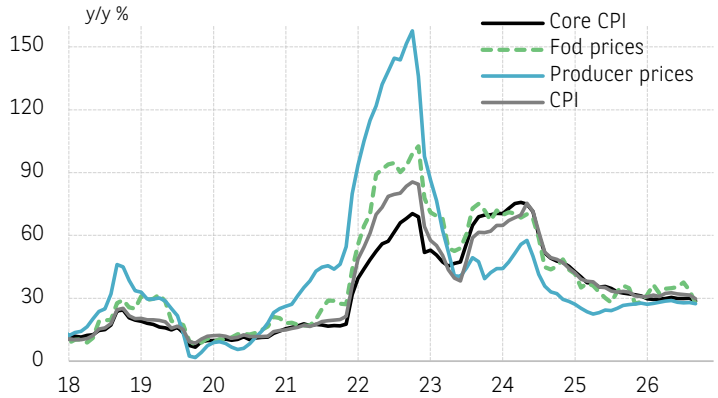
Brazil: Inflation is accelerating again



Poland: CPI inflation is rebounding, food prices are falling



Türkiye: Disinflation is slower than expected



Source: Central banks, Macrobond, BNP Paribas

CHART OF THE WEEK

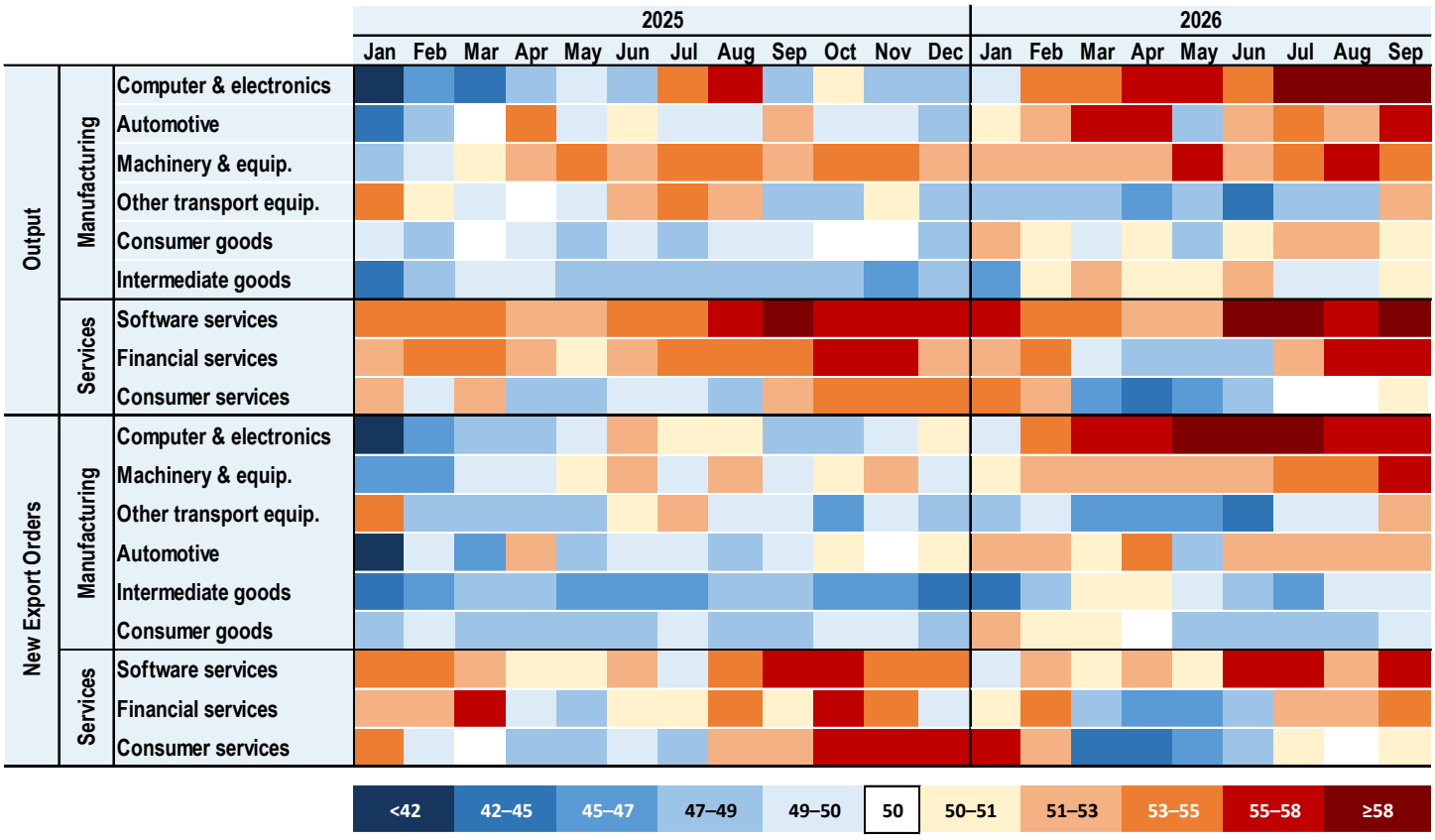
14 October 2026

EUROZONE: IMPROVING BUSINESS SENTIMENT, DRIVEN BY TECH, IS SPREADING TO OTHER SECTORS

Stéphane Colliac & Tarik Rharrab

The September PMI surveys confirm that growth in the Eurozone is getting stronger, boosted in particular by new export orders, which are still rising. Sectors that were already performing well – technology and capital goods (including for defence) – are continuing to grow, while those that had been struggling until now – aeronautics, consumer goods and financial services – are seeing their production indices recover. This strong performance is particularly noteworthy, given that it has not yet been undermined by higher inflation.

Eurozone sectoral PMI indices: production and new export orders are strengthening across more sectors



SOURCE: S&P GLOBAL, BNP PARIBAS

The heatmap shows the PMI index readings: a reading above 50 indicates expansion, while a reading below 50 signals contraction compared to the previous month. For each indicator, sectors are ranked in descending order based on their September 2026 reading.

Shades of red represent values above 50, while shades of blue represent values below 50: the intensity of the colour increases the further away they are from this threshold.

Production growth spreads to more sectors

The PMI surveys on business sentiment confirm that business activity in the Eurozone is expanding at a faster pace and spreading to more sectors. Household-consumption-related sectors (goods and services), which were adversely affected in the spring by the outbreak of the conflict in the Middle East, do not appear to be negatively impacted by the rising inflation observed since August. The aeronautics sector, where production has mainly been limited by supply constraints, is also showing signs of improvement.

These trends, although still moderate, come alongside a drive to upgrade equipment, fuelled by investment in digital technology, electrification (which is supporting the automotive sector) and defence. The momentum in technology goods and services further strengthened in September. The production index for computer and electronics hit a five-year high, while the software services production index stayed close to its July peak. Financial services are also enjoying a significant improvement, reflecting the healthy lending momentum despite interest rates starting to rise (see our analysis).

Growth driven by exports

Exports drove growth in the first half of 2026, both across the Eurozone as a whole (see our analysis) and among its key members (notably Germany). This momentum is also increasing, as indicated by the 'new export orders' component of the various PMI indices. As was the case with production, there has been a particularly noteworthy increase for capital goods (technology and machinery) and related services, particularly digital services. This trend is playing out more broadly, as, in September, new export orders rose across all sub-sectors, with the exception of intermediate goods and consumer goods, where contraction recently eased. There has been a significant improvement in the transport sector, particularly in the aeronautics industry, which has major markets in Asia. Recent data on French exports show that aeronautics exports to this region are rising once again.

The convergence between rising production and increasing export-order backlogs shows that Eurozone growth is based on an increasingly solid foundation. Inflationary pressures are not holding it back for the time being.

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With the help of Ece Usta (intern).

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ECONOMIC RESEARCH

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The bank for a changing world

Paris, 8 October 2026

EcoFlash

France: double-digit growth in business creations, a slowdown in the rise in bankruptcies and stable non-performing loans ratio

Business creations rose by 12% y/y over the first eight months of 2026[1]. This is significantly higher than the 5.3% y/y growth recorded in 2025. This increase was driven by sectors linked to information and communication technologies.

Meanwhile, business bankruptcies rose by 5.3% y/y between January and July, according to data from the Banque de France (compared with the 3.6% y/y increase for the whole of 2025). The rise was more pronounced in the 1st quarter (+8% y/y) before slowing down. This slowdown could persist, as, according to Altares, payment delays have fallen to an average of 12.3 days in the second quarter of 2026, compared with 14.1 days a year earlier (and 13.1 days for the European average).

Rising bankruptcies are more heavily affecting the services sector, which is also experiencing slightly stronger growth in business creations. This correlation is particularly noticeable in the retail sector, as business creations have risen by 13% since the start of 2026, while bankruptcies are up by 3%. In construction and manufacturing, business bankruptcies have been falling since the second quarter of 2026.

The average ratio of non-performing corporate loans has remained stable at a moderately high level for the past year (4.0% of total loans and advances in Q2 2026). In construction, where activity is more cyclical than in other sectors, the ratio of non-performing loans has reached its highest level since 2019, standing at 9.5%.

The proportion of loans that have deteriorated but are not yet non-performing ("Stage 2" according to IFRS 9 terminology) is stable, standing at 15.4% q/q, and remains below its all-time high (16.1%). This indicator, which helps to anticipate trends in non-performing loans, is relatively encouraging.

Despite a significant increase since 2021, the economic weight of bankruptcies remains, on average, below its peak in Q1 2025 (0.53 compared with 0.61, respectively). This indicator generally allows bankruptcies to be weighted based on the size of the businesses. However, the economic weight of bankrupted small businesses is at a historically high level (2.11).

Take a look at our EcoCharts on trends in business creations and bankruptcies in France and the associated risks. It will be updated on a quarterly basis.

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[1] For more details, see Business creations and bankruptcies in France: double-digit growth in business creations, lower growth in bankruptcies, and stable non-performing loans, 8 October 2026.

ECOCHARTS

October 2026

BUSINESS CREATIONS AND BANKRUPTCIES IN FRANCE: DOUBLE-DIGIT GROWTH IN BUSINESS CREATIONS, LOWER GROWTH IN BANKRUPTCIES, AND STABLE NON-PERFORMING LOANS

ECO CHARTS | BUSINESS CREATIONS AND BANKRUPTCIES IS A NEW PUBLICATION AIMED AT PROVIDING AN OVERVIEW OF THE DYNAMICS OF BUSINESS CREATIONS AND BANKRUPTCIES IN FRANCE, AS WELL AS THE RISKS ASSOCIATED WITH THE LATTER. WE WILL PUBLISH REGULAR UPDATES TO THIS PUBLICATION ON A QUARTERLY BASIS.

BNP PARIBAS

The bank for a changing world

Double-digit growth in business creations, a slowdown in bankruptcies and stable non-performing loans

- Business creations rose by 12% y/y in the first eight months of 2026, marking an acceleration compared with the growth seen in 2025 (+5.3%).
- This increase was driven by sectors associated with new information and communication technologies, where the trend is gaining momentum.
- Meanwhile, business bankruptcies rose by 5.3% y/y from January to July, according to the data from the Banque de France (vs +3.6% y/y in 2025). After a more pronounced rise in the first quarter (+8% y/y), this increase has since slowed. This moderation could continue, as, according to Altares, payment delays have decreased to an average of 12.3 days in the second quarter of 2026 (14.1 days a year earlier), compared with the European average of 13.1 days.
- The rise in business bankruptcies is most pronounced in the services sector, which has simultaneously seen an increase in business creations. This trend is clear in the retail sector, with a 13% increase in business creations since the beginning of 2026, while business bankruptcies are up 3%.
- In construction and manufacturing, business bankruptcies have been declining since the second quarter of 2026.
- The level of the average ratio of non-performing loans is moderately high and has remained stable for the past year (4.0% of total loans and advances in Q2 2026). More cyclical than in other sectors, the ratio of non-performing loans in construction reached its highest level since 2019 at 9.5%.
- The share of underperforming loans, but not yet non-performing (in Stage 2, according to IFRS 9 terminology), which provides an indication of the future trend in non-performing loans, is stable, standing at 15.4% q/q, and remains below its all-time high (16.1%).
- Despite a significant rise since 2021, the economic weight of bankruptcies – which allows them to be weighted by a proxy for company size – remains, on average, below its Q1 2025 peak (0.53 compared with 0.61, respectively). However, the economic weight of bankrupted small businesses stands at a historically high level (2.11).

For more information, please refer to our publication:

Chart of the week | French corporates: peaks in creations put peaks in bankruptcies into perspective. July 22, 2026 – Economic Research – BNP Paribas

Strong growth in business creations, moderate increase in bankruptcies

The growth in business creations accelerated in 2026 (+12%) after +5.3% in 2025

12-month sum y/y change

Business creations	Actual data	Jul-Aug 26	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Total	1 263 516	12%	10%	14%	9%	11%	3%	-2%	0%	0%	12%	13%	2%	3%	0%	-6%	6%	6%	-7%	-1%	-2%	-6%	55%	32%	17%	22%	-18%	-4%	16%	14%	14%	19%
Industry	73 387	1%	-3%	9%	7%	8%	1%	-8%	-3%	6%	17%	29%	9%	2%	11%	2%	19%	22%	6%	16%	10%	12%	68%	27%	14%	12%	-15%	15%	47%	42%	26%	17%
Construction	91 044	9%	7%	9%	3%	4%	-5%	-13%	-12%	-4%	11%	9%	-4%	-4%	-12%	-10%	8%	5%	-1%	2%	-4%	-7%	55%	17%	10%	12%	-25%	4%	22%	21%	12%	13%
Retail trade	188 726	16%	9%	14%	11%	22%	14%	1%	1%	-2%	8%	18%	6%	4%	-1%	-9%	-3%	-9%	-23%	-22%	-26%	-25%	23%	38%	34%	39%	-2%	-10%	6%	1%	5%	11%
Transports	112 686	5%	-11%	3%	-8%	3%	9%	18%	22%	16%	37%	33%	22%	23%	4%	-18%	-15%	-27%	-46%	-43%	-28%	-21%	75%	117%	67%	71%	-5%	-21%	-2%	4%	24%	57%
Accommodation and catering	49 713	6%	7%	8%	11%	7%	7%	5%	-1%	9%	22%	21%	9%	10%	5%	1%	15%	6%	0%	-32%	-32%	-31%	68%	46%	30%	34%	-44%	0%	17%	15%	14%	16%
Information & communication	97 396	51%	49%	35%	29%	18%	-5%	-1%	-3%	-9%	21%	15%	5%	16%	8%	5%	17%	19%	3%	15%	11%	12%	52%	29%	12%	13%	-9%	-1%	22%	14%	18%	20%
Financial services	28 507	-13%	-7%	-3%	-13%	-10%	-13%	-18%	-3%	2%	8%	13%	-3%	-3%	-9%	-11%	2%	6%	1%	12%	17%	15%	79%	27%	7%	8%	-16%	8%	22%	19%	12%	19%
Real estate	40 692	0%	2%	11%	12%	12%	7%	4%	5%	-4%	-6%	-12%	-18%	-12%	-8%	-8%	2%	2%	-3%	5%	2%	1%	74%	31%	20%	31%	-17%	5%	23%	19%	17%	22%
Business services	337 351	16%	19%	22%	16%	17%	3%	0%	0%	-3%	6%	6%	-2%	1%	4%	-2%	15%	21%	8%	21%	13%	3%	50%	18%	6%	9%	-19%	-2%	20%	18%	18%	18%
Education, health, social services	112 263	6%	4%	10%	6%	6%	3%	-3%	1%	0%	5%	8%	-1%	-2%	-3%	-16%	-3%	8%	2%	19%	16%	7%	59%	21%	2%	6%	-28%	-9%	12%	13%	6%	9%

Reading notes : For each individual sector, the highest increase in the number of business creations is shown in the darkest shade of green. The highest decrease is shown in the darkest shade of red.

After accelerating sharply in the first quarter, the growth in business bankruptcies slowed

12-month sum y/y change

Business bankruptcies	Actual data	Jul-26	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Total	70605	2%	5%	8%	0%	6%	5%	4%	12%	11%	21%	25%	41%	24%	41%	47%	58%	52%	51%	37%	3%	-14%	12%	-32%	-44%	-29%	-56%	-30%	-8%	-11%	-4%	4%
Industry	4442	-2%	-1%	7%	1%	10%	3%	0%	8%	2%	10%	11%	18%	22%	29%	73%	82%	62%	63%	50%	5%	-11%	10%	-43%	-45%	-33%	-53%	-28%	-23%	-12%	-7%	-4%
Construction	14351	-7%	-3%	5%	-12%	3%	-3%	1%	17%	12%	40%	35%	54%	27%	39%	50%	49%	44%	36%	27%	17%	-3%	40%	-31%	-52%	-36%	-65%	-30%	-9%	-11%	-5%	-1%
Retail trade	14073	4%	3%	6%	1%	3%	1%	-3%	5%	10%	19%	22%	36%	16%	37%	47%	56%	61%	57%	44%	7%	-14%	9%	-37%	-47%	-29%	-56%	-26%	-2%	-9%	-4%	2%
Transports	3235	-7%	-6%	12%	6%	-1%	21%	3%	21%	28%	32%	43%	58%	19%	24%	34%	39%	49%	70%	39%	9%	2%	26%	-33%	-49%	-30%	-63%	-25%	6%	-14%	9%	12%
Accommodation and catering	9721	10%	11%	5%	7%	6%	9%	14%	5%	9%	11%	12%	42%	27%	58%	68%	121%	92%	105%	102%	-17%	-36%	-31%	-57%	-48%	-25%	-51%	-32%	-11%	-13%	-6%	6%
Information & communication	2123	0%	4%	8%	-3%	1%	6%	16%	19%	16%	17%	9%	42%	37%	59%	53%	49%	32%	44%	38%	-5%	3%	15%	-29%	-25%	-32%	-51%	-10%	-4%	10%	-5%	-2%
Financial services	1767	18%	6%	19%	0%	-10%	-1%	-6%	15%	21%	38%	37%	35%	38%	34%	40%	70%	66%	38%	51%	-10%	-15%	0%	-27%	-31%	-35%	-38%	-32%	-11%	5%	-11%	21%
Real estate	2648	8%	16%	-2%	4%	6%	-3%	-6%	7%	30%	36%	63%	67%	17%	67%	36%	38%	33%	-17%	-2%	-8%	-14%	59%	17%	-29%	-7%	-52%	-37%	0%	-5%	4%	-4%
Business services	9061	7%	15%	10%	3%	12%	8%	11%	19%	14%	20%	30%	44%	32%	34%	40%	28%	37%	44%	18%	8%	-15%	24%	-21%	-34%	-22%	-56%	-28%	-9%	-22%	6%	11%
Education, health, social services	7229	4%	10%	19%	9%	16%	18%	8%	17%	4%	1%	16%	30%	26%	51%	39%	68%	53%	70%	44%	-7%	-20%	-18%	-25%	-40%	-27%	-48%	-43%	-12%	-8%	-6%	13%

Reading notes : For each individual sector, the highest increase in the number of business bankruptcies is shown in the darkest shade of red. The highest decrease is shown in the darkest shade of green. The COVID-19 period (2020–23) is not highlighted to avoid skewing the calculations

Sources : Insee, Banque de France, BNP Paribas

Non-performing loans ratio have remained almost unchanged year-on-year

The deterioration in the quality of corporate loans is limited, but the construction sector and small businesses are more severely affected

	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Non-performing loans ratio	4,0%	3,9%	3,9%	3,9%	3,8%	3,8%	3,7%	3,9%	3,8%	3,7%	3,6%	3,6%	3,6%	3,5%	3,4%	3,3%	3,3%	3,4%	3,5%	3,8%	3,9%	3,9%	3,9%	4,0%	3,9%	3,8%	3,9%	4,2%	4,2%	4,3%
o/w SMEs	5,2%	5,1%	5,0%	5,1%	5,0%	4,8%	4,7%	4,7%	4,6%	4,5%	4,4%	4,3%	4,2%	4,0%	4,0%	4,0%	3,9%	4,0%	4,0%	4,2%	4,3%	4,3%	4,3%	4,5%	4,8%	4,9%	5,0%	5,2%	5,8%	6,0%
o/w manufacturing	4,2%	4,1%	4,0%	4,0%	3,9%	4,3%	4,3%	4,3%	4,2%	4,3%	3,9%	4,0%	3,9%	4,0%	3,9%	4,0%	4,2%	4,2%	4,1%	4,7%	4,9%	5,0%	5,0%	4,8%	4,5%	3,9%	4,2%	4,6%	4,5%	4,4%
o/w construction	9,5%	8,7%	8,9%	9,0%	8,7%	9,0%	8,1%	8,3%	8,3%	8,1%	7,7%	7,4%	7,1%	7,0%	7,0%	7,4%	7,4%	7,2%	7,2%	7,6%	7,7%	7,5%	7,7%	8,3%	7,5%	8,0%	8,7%	8,4%	8,3%	8,7%
o/w retail	4,8%	5,0%	4,9%	4,9%	4,5%	4,3%	4,3%	4,3%	4,1%	4,3%	4,2%	4,2%	4,2%	3,8%	4,0%	4,1%	4,1%	4,1%	4,2%	4,5%	4,6%	4,7%	4,8%	5,2%	4,9%	4,9%	4,9%	5,0%	4,8%	4,9%
o/w services	3,8%	3,7%	3,5%	3,5%	3,5%	3,4%	3,3%	3,4%	3,3%	3,3%	3,2%	3,0%	2,9%	2,8%	2,8%	2,8%	2,8%	2,9%	3,0%	3,2%	3,3%	3,3%	3,2%	3,4%	3,4%	3,3%	3,4%	3,7%	3,7%	4,0%
Share of underperforming loans (stage 2 IFRS 9)	13,5%	13,6%	13,3%	13,9%	13,7%	13,4%	13,3%	13,6%	13,2%	13,3%	12,9%	12,8%	12,2%	12,9%	13,6%	15,3%	15,4%	15,1%	14,2%	14,4%	14,2%	13,8%	13,5%	11,3%						
o/w SMEs	15,4%	15,4%	15,2%	15,8%	15,7%	15,4%	15,2%	14,8%	14,7%	14,5%	13,6%	13,4%	13,1%	13,6%	13,6%	16,1%	15,7%	15,3%	15,0%	14,4%	13,7%	13,2%	12,6%	11,1%						
Economic weight of bankruptcies	0,53	0,53	0,51	0,51	0,52	0,61	0,60	0,59	0,56	0,47	0,45	0,43	0,42	0,37	0,32	0,28	0,24	0,21	0,20	0,19	0,20	0,24	0,24	0,27	0,36	0,36	0,38	0,38	0,32	0,32
o/w ISE and large firms	0,14	0,14	0,10	0,08	0,14	0,14	0,18	0,17	0,14	0,16	0,12	0,12	0,12	0,08	0,07	0,08	0,03	0,03	0,09	0,08	0,11	0,30	0,26	0,26	0,52	0,34	0,34	0,34	0,06	0,05
o/w medium	0,61	0,63	0,68	0,63	0,64	0,59	0,53	0,54	0,48	0,48	0,46	0,42	0,40	0,34	0,29	0,23	0,21	0,18	0,15	0,15	0,15	0,17	0,17	0,21	0,27	0,34	0,37	0,36	0,42	0,39
o/w micro and unkown	0,54	0,52	0,52	0,53	0,53	0,57	0,58	0,56	0,55	0,49	0,48	0,45	0,45	0,43	0,37	0,33	0,30	0,26	0,24	0,23	0,24	0,23	0,24	0,27	0,29	0,34	0,36	0,37	0,38	0,37
o/w small	2,11	2,13	1,77	1,83	1,74	1,72	1,64	1,63	1,52	1,44	1,58	1,47	1,42	1,31	0,96	0,74	0,57	0,42	0,39	0,31	0,33	0,37	0,46	0,54	0,63	0,75	0,72	0,75	0,72	0,68
o/w very small	0,91	0,88	0,83	0,85	0,81	1,52	1,49	1,47	1,42	0,73	0,68	0,66	0,61	0,52	0,48	0,39	0,38	0,33	0,27	0,25	0,20	0,18	0,21	0,25	0,28	0,36	0,41	0,47	0,51	0,5
Share of 90+ days past due payments	0,6%	0,6%	0,6%	0,6%	0,6%	0,5%	0,6%	0,5%	0,6%	0,6%	0,6%	0,7%	0,7%	0,6%	0,6%	0,6%	0,7%	0,7%	0,7%	0,9%	2,0%	2,1%	4,9%	2,1%	11,7%	13,3%	0,5%	0,4%	0,4%	0,5%

Reading notes : For each individual indicator, the highest level is shown in the darkest shade of red. The lowest level is shown in the darkest shade of green.

Source : Banque de France, BCE, EBA, INSEE, Urssaf

Sources

Variable	Source	Frequency	Definition
Business bankruptcies	Banque de France	Monthly	Companies subject to collective proceedings (receivership and judicial liquidation). Monthly data from the Banque de France aggregated over a quarter to minimise the risk of calendar effects
Business creations	Insee	Monthly	Survey of business creations (all types, companies, sole traders, micro-entrepreneurs). Monthly data from INSEE aggregated over a quarter to minimise the risk of calendar effects
Non performing loans ratio	EBA	Quarterly	Gross non performing loans and advances at amortised cost / Total gross loans and advances at amortised cost
Share of underperforming loans (Stage 2 IFRS 9)	BCE	Quarterly	Loans and advances in Stage 2 / Total loans and advances. Loans and advances at amortised cost and at fair value through equity
Economic weight of bankruptcies	Banque de France	Monthly	Total outstanding bank loans to newly bankrupt NFCs over a one-year period, calculated as the figure for the month in which the firm is declared bankrupt, relative to the average outstanding bank loans to both healthy and bankrupt NFCs during the same period.
Share of 90+ days past due payments	URSSAF	Monthly	Contributions still to be collected by Urssaf / Amount of contributions due to Urssaf

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CHART OF THE WEEK

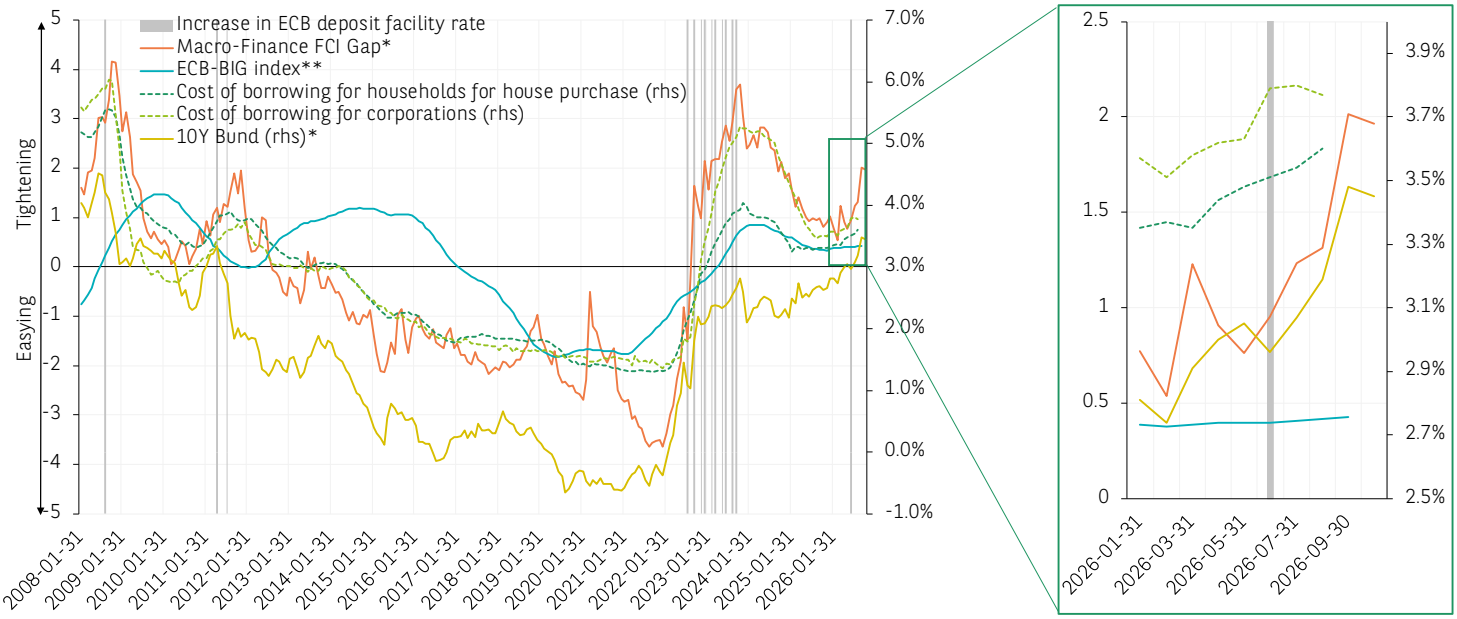
7 October 2026

FINANCIAL CONDITIONS IN THE EUROZONE: A TIGHTENING TEMPORARILY TEMPERED BY CREDIT VOLUMES

Thomas Humblot

Since June 2026, the ECB has been publishing[1] a new indicator that helps to assess the transmission of its monetary policy to the economy: the Broad Intermediation Gauge[2] (ECB-BIG). This new tool has revealed that, thus far, strong credit growth has limited the restrictive impact of tightening financial conditions caused by rising interest rates in the Eurozone. However, this offsetting effect is beginning to fade.

Credit volumes have temporarily cushioned the rise in interest rates



*LATEST OBSERVATION: 5 OCTOBER 2026 **ESTIMATE

SOURCE: ALLAYIOTI AND AL. (2026), ECB, BLETZINGER ET AL. (2026), BNP PARIBAS ESTIMATES

The ECB-BIG: a new indicator for a broader view of financial conditions

The ECB-BIG complements the range of indicators used by the European Central Bank (ECB) to assess the effective transmission of its monetary policy. This new tool provides a comprehensive view of how restrictive (or expansive) financial conditions are in the Eurozone. It stands out for its approach that focuses more specifically on intermediation conditions. Therefore, the ECB-BIG provides a more comprehensive view than most other financial condition indicators of financial conditions. In fact, it covers variables relating to the volume of bank lending to households and businesses (the 'volume' component). Traditionally, this type of indicator tends to focus more on market variables (primarily interest and exchange rates), share prices and corporate spreads. In addition, the 'price' component of the ECB-BIG is extended to include the cost of bank loans, which is another new feature.

The rise in interest rates was temporarily offset by increased lending

By aggregating the variables relating to banking and non-banking intermediation conditions, the ECB-BIG shows that rising interest rates (negative price effect) were offset in particular by lending volumes, which have continued to rise in 2026 (positive volume effect). A more 'traditional' indicator of financial conditions, the Macro-Finance FCI (MF-FCI) — which is, incidentally, included in the ECB-BIG — reveals a much more pronounced tightening over the same period (*see the orange curve in the chart*). However, this offsetting of the price effect by the volume effect is now beginning to wane, a sign that monetary policy is being effectively transmitted to the economy. Financial intermediaries are gradually passing on the rise in rates to their customers (*see the dotted green lines, which represent the composite indicators of the cost of new loans to households and businesses, combining interest rates for different maturities*), while lending volumes are falling. As a result, between July and August 2026, seasonally adjusted flows of loans to households and businesses almost halved.

1 P. Lane, 2026, The Outlook for the Euro Area Economy, Background slides for Reuters NEXT Europe, London, 16 June 2026
2 A. Allayioti et al., 2026, The ECB-BIG index: tracking credit conditions in the euro area, ECB Economic Bulletin, Issue 5/2026

In the longer term, financial conditions are expected to tighten, including as measured by the ECB-BIG

Despite the very sharp widening of sovereign spreads between 28 September and 2 October, financial conditions as measured by the MF-FCI did not tighten, with sovereign yields actually falling over this period (with the exception of the OAT and the BTP), for example. Nevertheless, the high volatility of the bond market, particularly in the sovereign segment, is likely to continue to affect financial conditions. Looking slightly further ahead, the ECB's key interest rate rises — the one that occurred on 16 September and another that we anticipate for December 2026 (both +25 bp) — are likely to result in a more pronounced tightening. With a time lag of a number of weeks, financial conditions, as defined by the ECB-BIG, are also expected to tighten. The price effect is likely to lead to a negative volume effect on this occasion.

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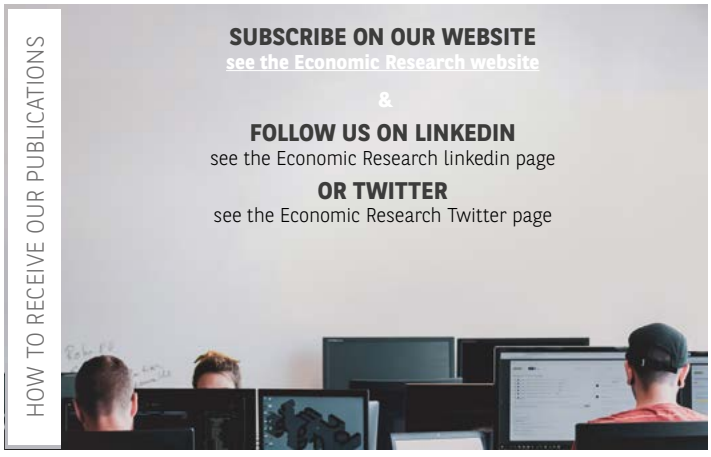

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ECONOMIC RESEARCH

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The bank for a changing world

ECOPERSPECTIVES

October 2026

Advanced Economies:
Resilience to shock after shock

By Advanced Economies Team

ECONOMIC RESEARCH by BNP PARIBAS

BNP PARIBAS

The bank for a changing world

Advanced economies: Resilience to shock after shock

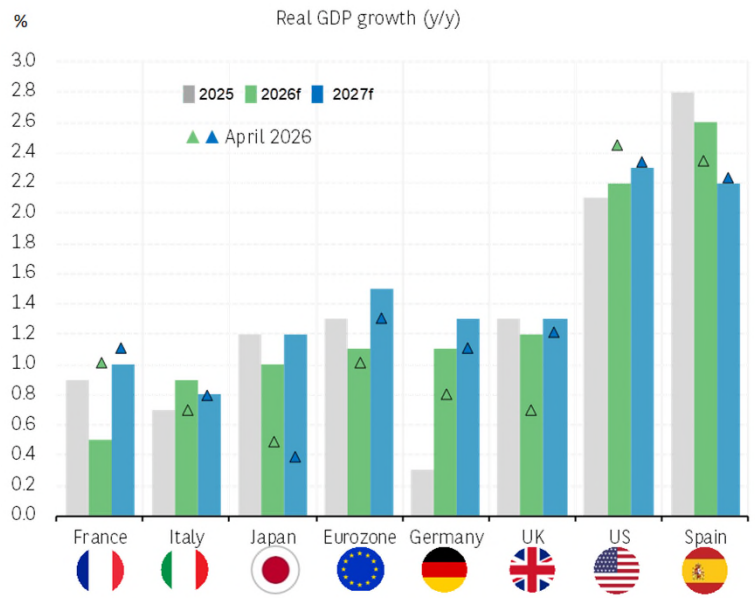
- The global economy is in the midst of a growth cycle. As a result, GDP growth is more resilient to shocks than initially anticipated.
- The figures for the second quarter bear this out, despite the sharp rise in oil prices, whose negative impact on growth is offset by a series of reflationary forces.
- The driving force behind the current growth cycle is clear: artificial intelligence (AI).
- The world's major economies are currently engaged in a broader push to expand their capital goods investment.
- While European and US households are experiencing more or less the same energy price shock, inflation and household consumption remain higher in the US.
- Higher and above-target inflation calls for monetary tightening.
- Inflation is exceeding the target set by three of the four central banks examined in this publication (the US, the UK, the Eurozone). Inflation is currently expected to peak in Q4 2026 or Q1 2027, but there is a significant risk that energy inflation will spread further to other components of inflation in the future.
- Inflation can also be a sign of (too much) economic strength (in the US).
- Monetary policies also have to offset the inflationary effects of fiscal policy (particularly in Japan).
- The outbreak of the conflict in Iran acted as a catalyst: the ensuing rise in energy prices contributes to the recent increase in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2002.
- The other issue is the high level of fiscal deficits (too high for a period of growth), reflecting different fiscal trajectories. In the US, the UK, France and Germany the public debt-to-GDP ratio is increasing, while it has stabilized in Italy and decreased in Spain and Japan.
- The rise in long-term interest rates will weigh on public finances. The fiscal arithmetic is simpler today than it will be in 2030. By 2030, the effective rate will have risen and caught up with GDP growth.

For more information, please refer to our publication:

EcoPerspectives – Advanced Economies | 3rd quarter of 2026, as of September 24, 2026– Economic Research – BNP Paribas

Advanced Economies: Resilience to shock after shock (forecasts as of September 30)

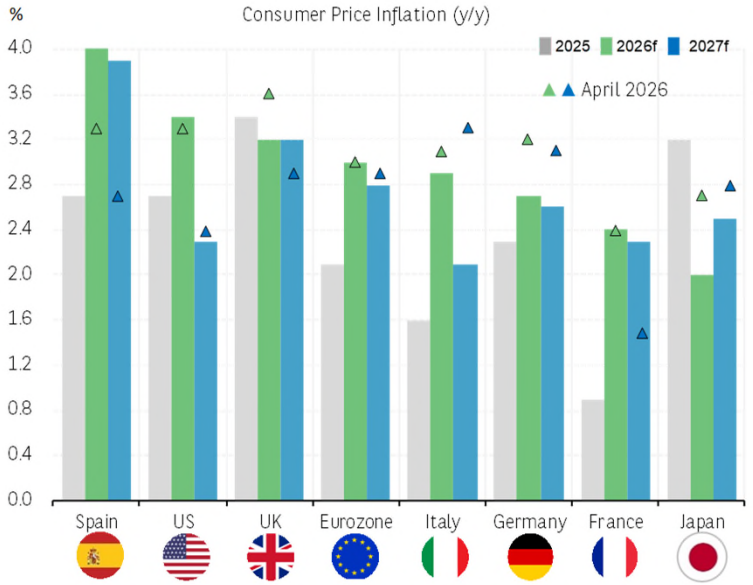
GDP growth is expected to strengthen in 2027



Countries sorted in ascending order in 2026

Source: LSEG, BNP Paribas forecasts

Inflation is expected to remain above central bank targets in the coming months



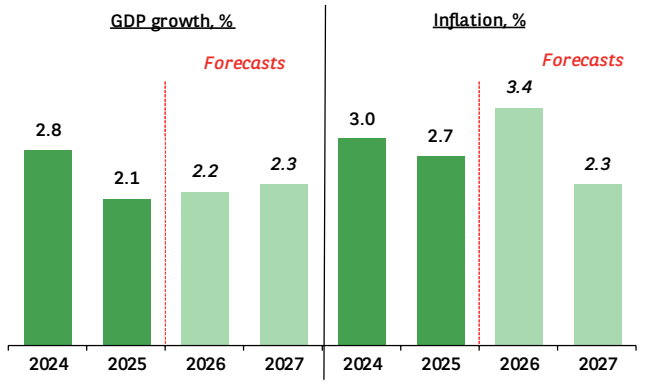
Countries sorted in descending order in 2026

Source: LSEG, BNP Paribas forecasts

United States: Expansion intact through successive shocks

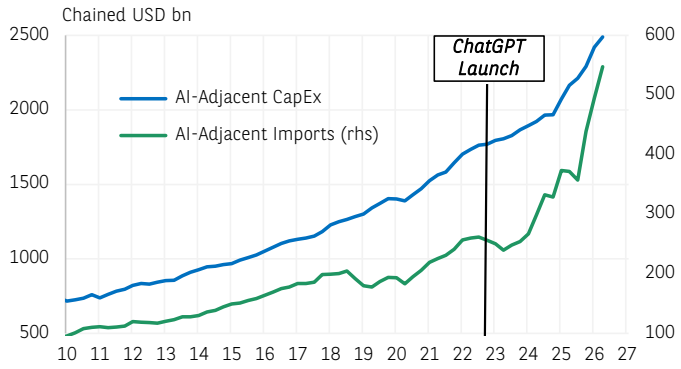
Last update: 02 October 2026

Growth holds shock after shock



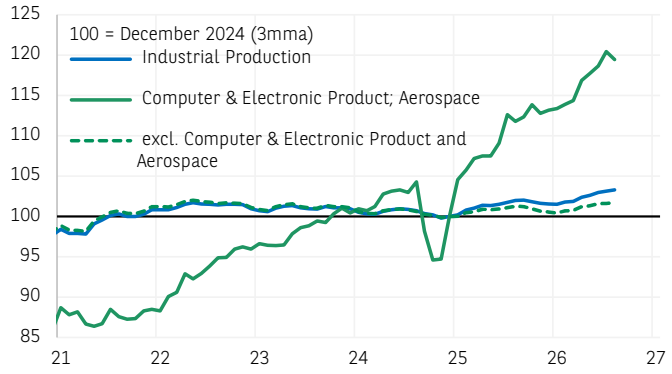
Source: BNP Paribas Global Markets

AI-adjacent CapEx powers growth… and imports



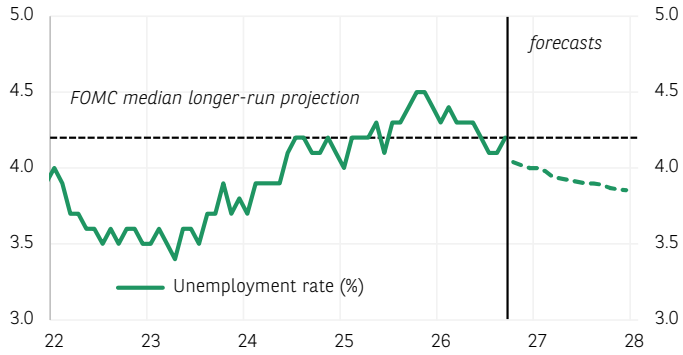
Source: BEA, BNP Paribas

A narrowly-led manufacturing recovery



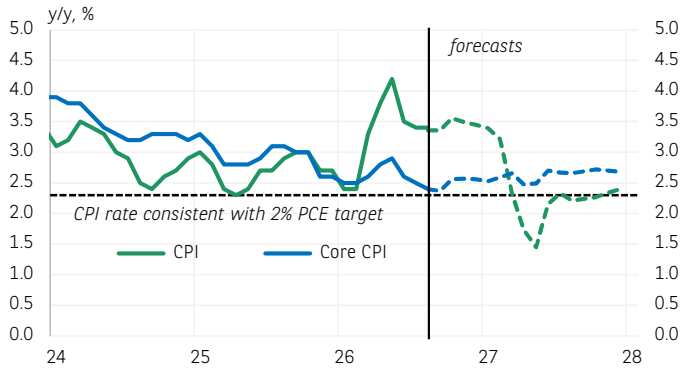
Source: Federal Reserve, BNP Paribas

Higher demand and lower supply push unemployment down



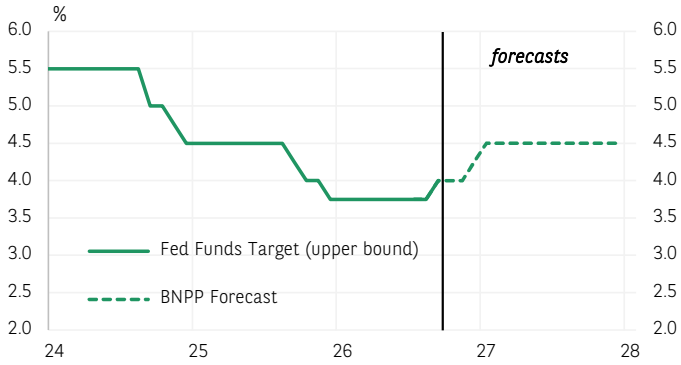
Source: BLS, Federal Reserve, BNP Paribas

Core inflation remains sticky and above target



Source: Freddie Mac, Macrobond, BNP Paribas

2025 rate cuts set to be unwound as the labour/prices balance shifts

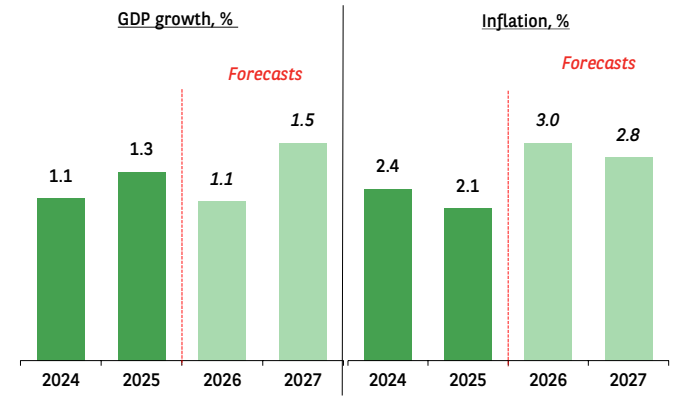


Source: Federal Reserve, BNP Paribas

Eurozone: Growth on track despite the turbulence

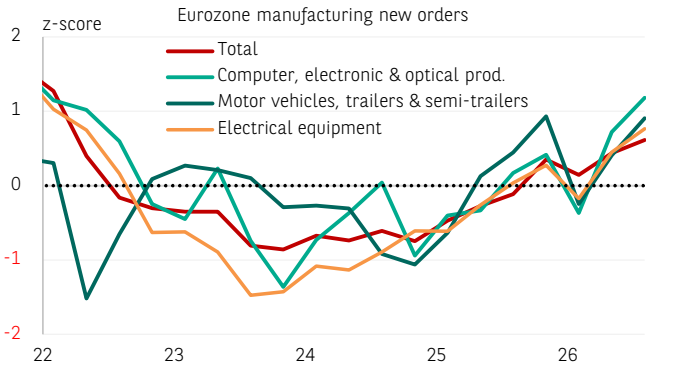
Last update: 01 October 2026

Beyond the shocks, a resilient momentum



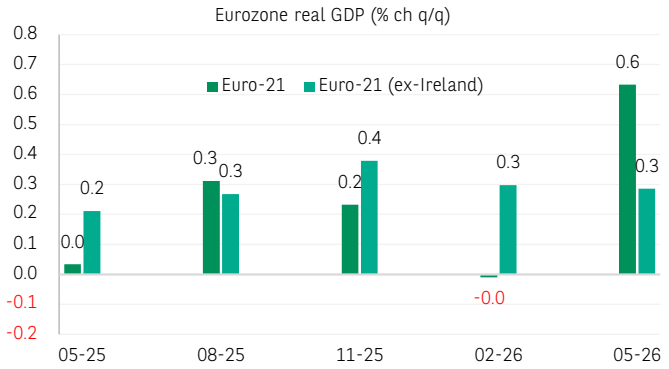
Source: BNP Paribas Global Markets

A broader recovery in industrial activity is on the horizon



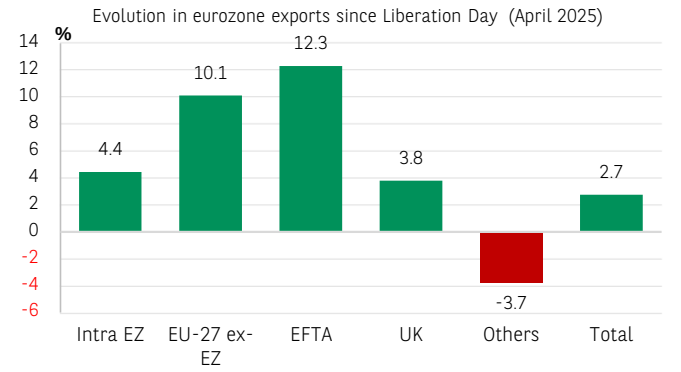
Source: European Commission, BNP Paribas

Looking beyond the Irish data: growth is holding up



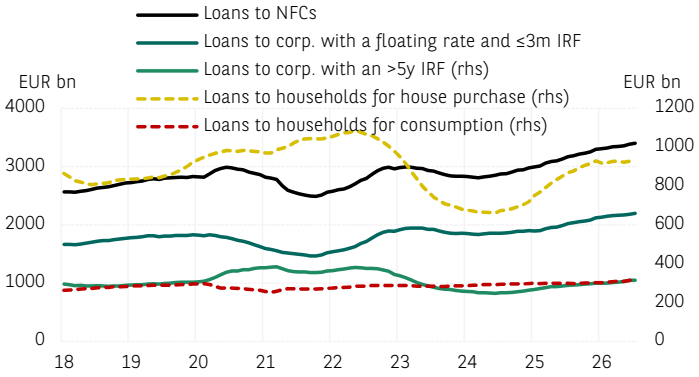
Source: Eurostat, BNP Paribas

Exports to Europe help offset weaknesses in other markets



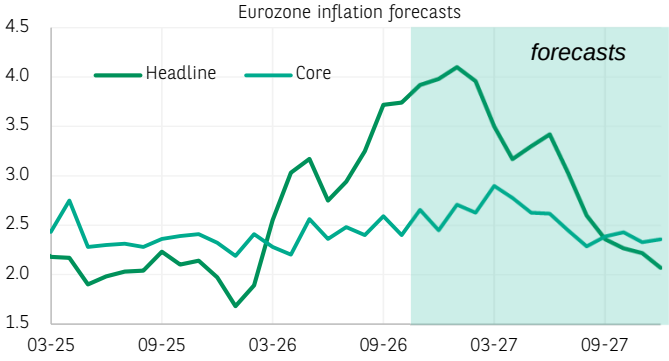
Source: Eurostat, BNP Paribas

New loans remain favorable despite interest rates' increase (cumulated over 12 months)



Source: ECB, BNP Paribas

Peak in inflation expected at the beginning of 2027

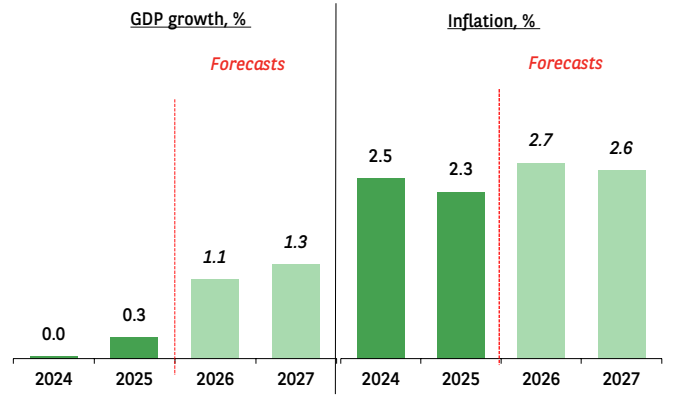


Source: BNP Paribas

Germany: An export-driven recovery

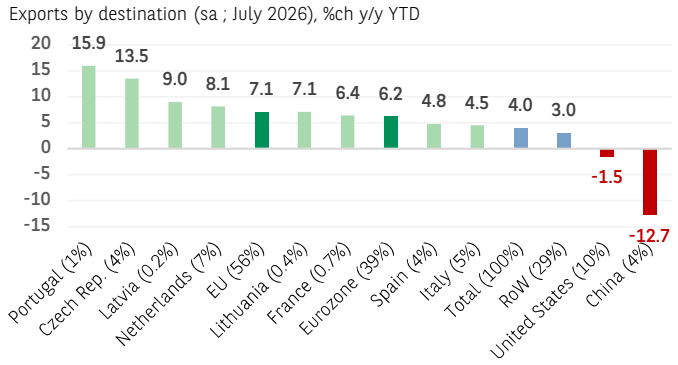
Last update: 01 October 2026

German growth should strengthen in 2026 and 2027, but inflation too



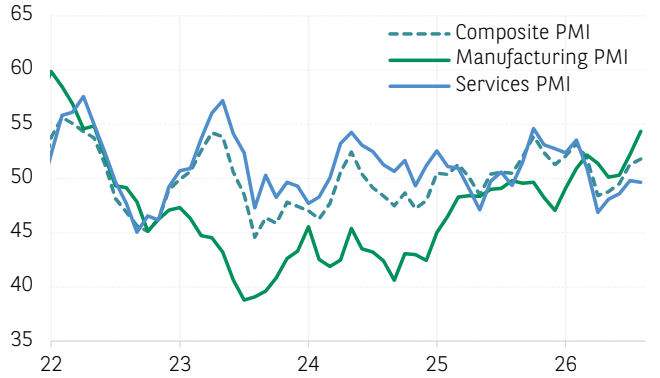
Source: BNP Paribas Global Markets

The intra-European reorientation of German exports is underway



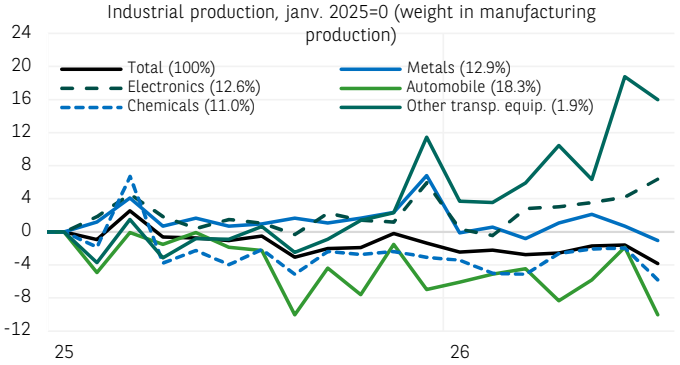
Source: Bundesbank, Macrobond, BNP Paribas

From a sectoral perspective, industry's restructuring has been leading the recovery …



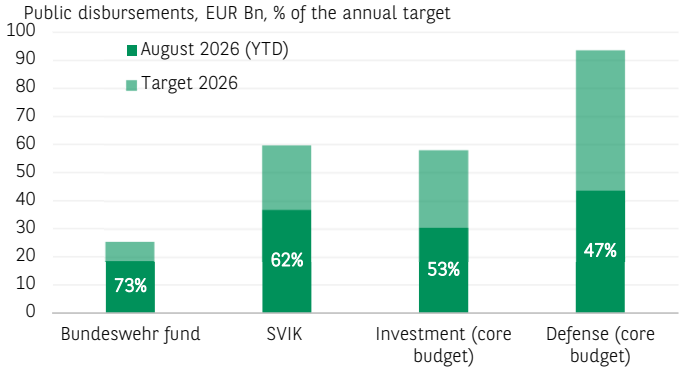
Source: S&P Global, Hamburg Commercial Bank, Macrobond, BNP Paribas

… driven by AI investments and intra-European momentum



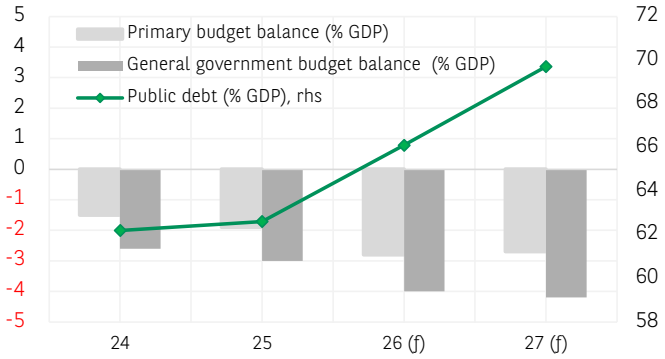
Source: Macrobond, BNP Paribas

The increase in public expenditure reflects the implementation of investment plans



Source: Bundesfinanzministerium, BNP Paribas

Fiscal stimulus continues

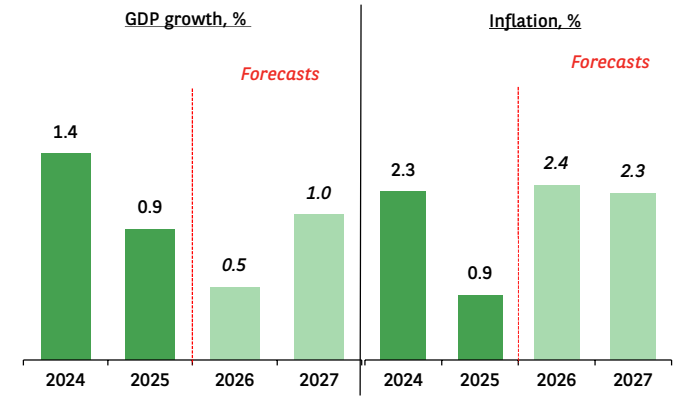


Source: Destatis, BNPP calculations

France: Growth is bending, but not breaking

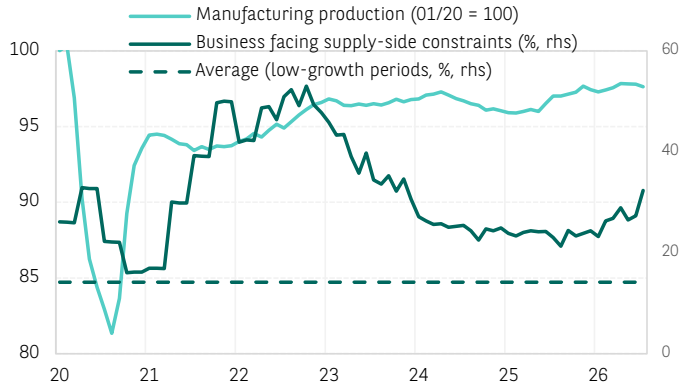
Last update: 01 October 2026

French growth should pick up



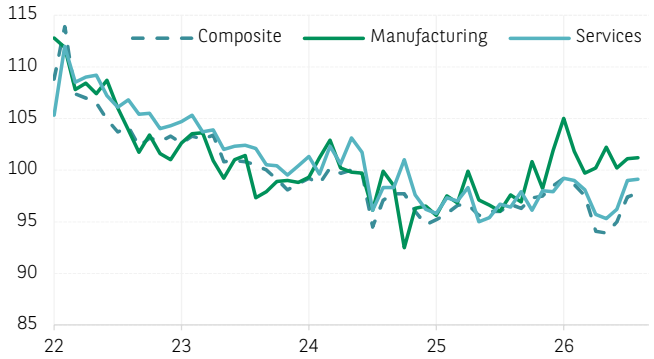
Source: BNP Paribas Global Markets

Renewed supply constraints have interrupted the industrial recovery



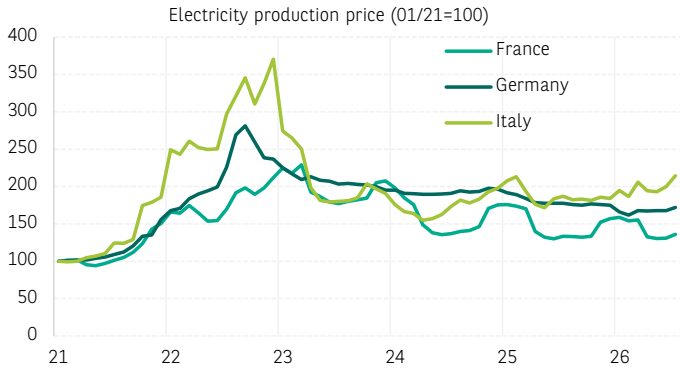
Source: Insee, BNP Paribas

The business climate has well absorbed the rise in inflation



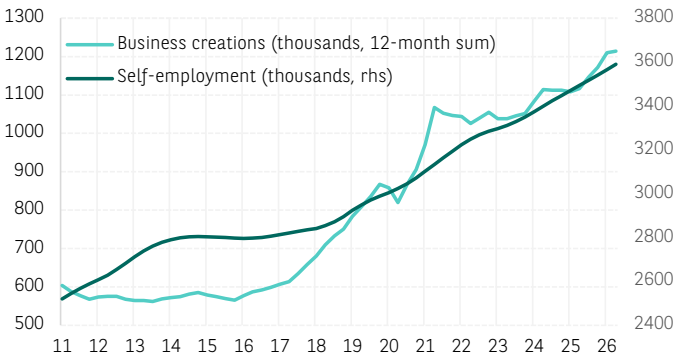
Source: Insee, BNP Paribas

France produces more abundant and cheaper electricity



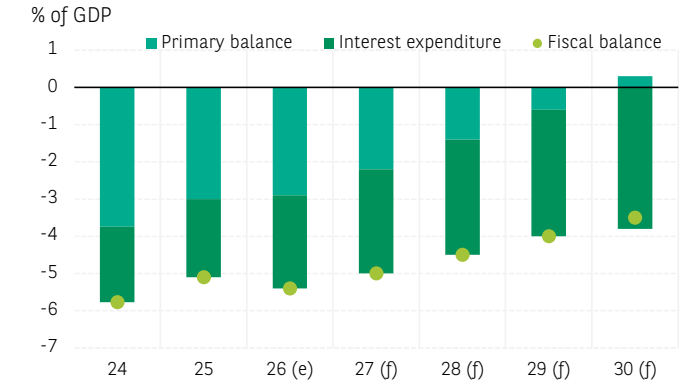
Source: Macrobond, BNP Paribas

Business creations and self-employment are developing



Source: Insee, BNP Paribas

The rise in interest payments will put pressure on the fiscal deficit

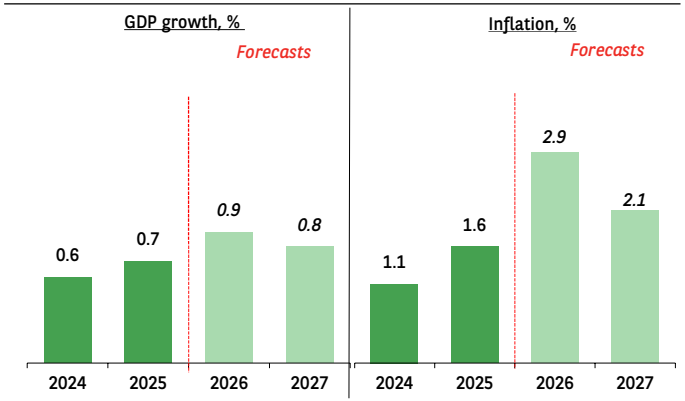


Source: Macrobond, BNP Paribas Forecasts

Italy: European funds bolster growth, while debt constraints persist

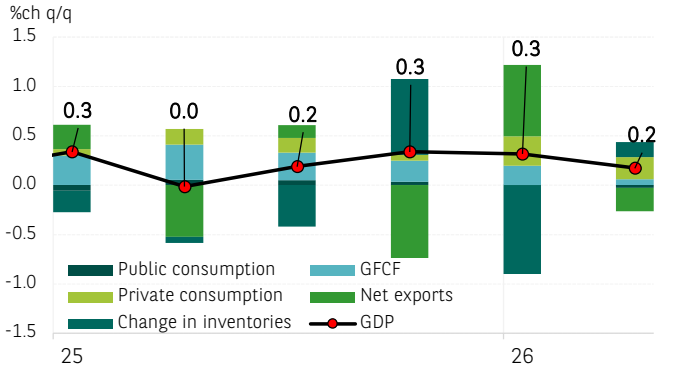
Last update: 01 October 2026

Growth is expected to remain stable and inflation to rise in 2026



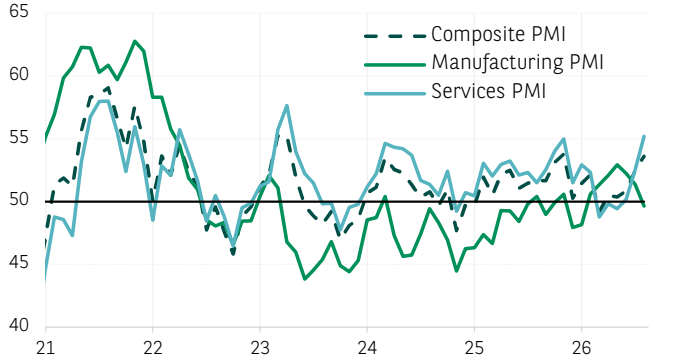
Source: BNP Paribas Global Markets

Private consumption and NRRP spending drove GDP growth



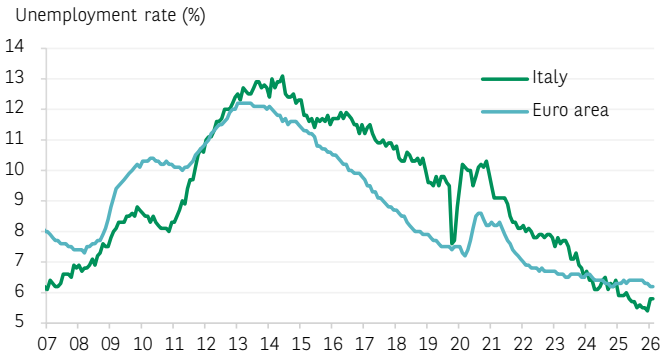
Source: Eurostat, Macrobond, BNP Paribas

The manufacturing sector lags behind



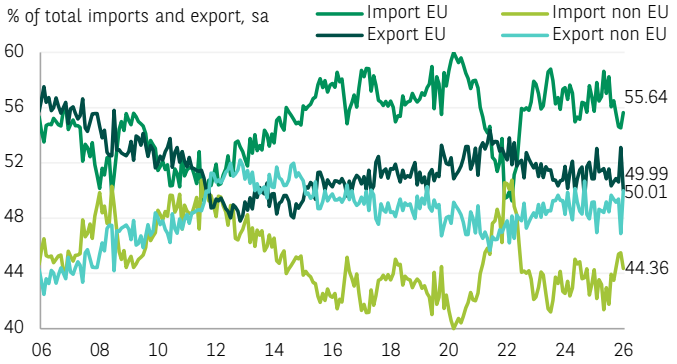
Source: S&P Global, Macrobond, BNP Paribas

The labour market is tight and demographic prospects add further constraint



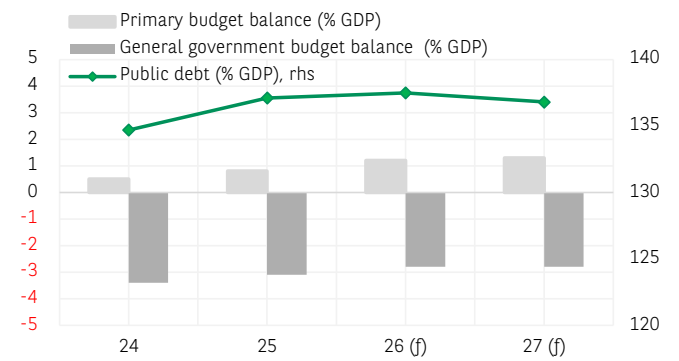
Source: Eurostat, Macrobond, BNP Paribas

Italian foreign trade is holding up well



Source: Istat, BNL Economic Research

A lower fiscal deficit, but limited room for manoeuvre

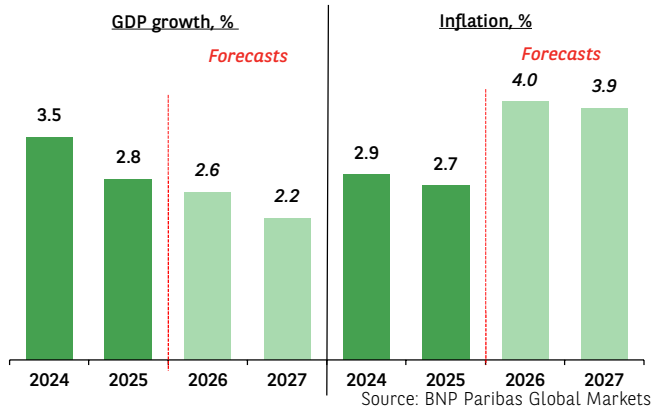


Source: Eurostat, BNPP calculations and forecasts

Spain: Robust growth

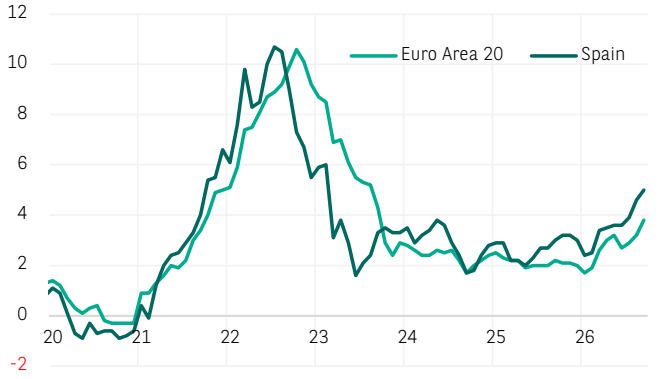
Last update: 05 October 2026

Growth is expected to remain stable at a high level



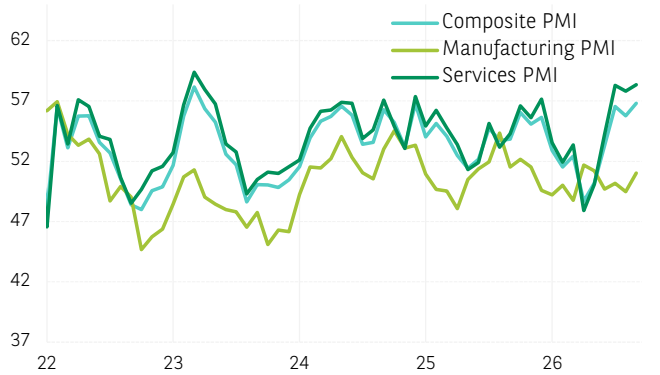
Source: BNP Paribas Global Markets

Spain inflation is above Eurozone average



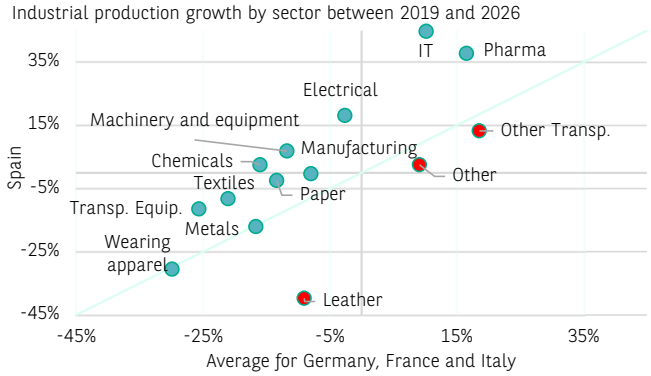
Source: Eurostat, Macrobond, BNP Paribas

Despite geopolitical uncertainty, the business climate remains resilient



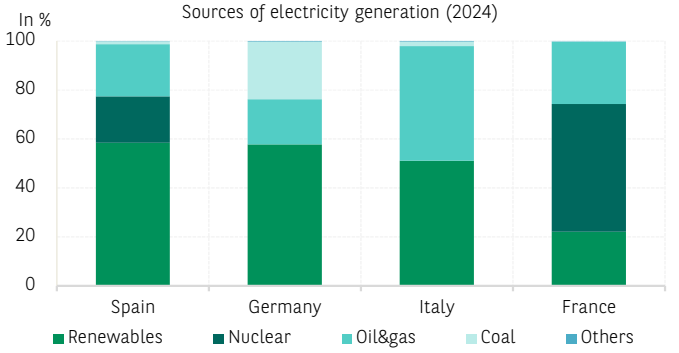
Source: S&P Global, Macrobond, BNP Paribas

Industry is more competitive than elsewhere in Europe...



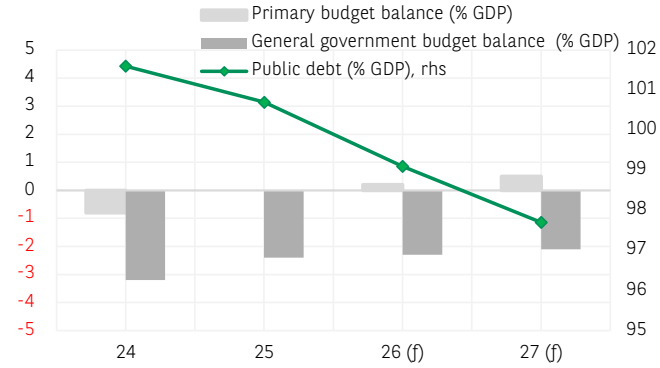
Source: Eurostat, BNP Paribas

... thanks to a sustainable energy advantage



Source: IEA, BNP Paribas

The fiscal trajectory remains favorable

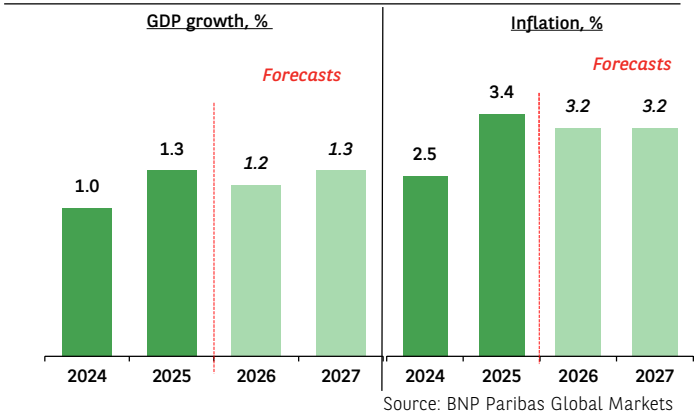


Source: Eurostat, BNPP calculations

United Kingdom: Growth remains resilient in front of shocks

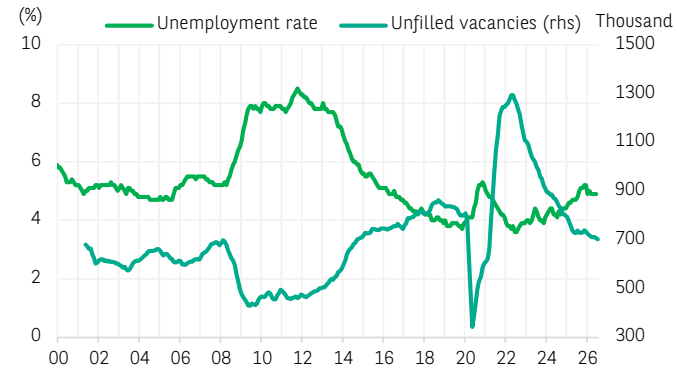
Last update: 01 October 2026

UK growth remains steady, despite a series of shocks



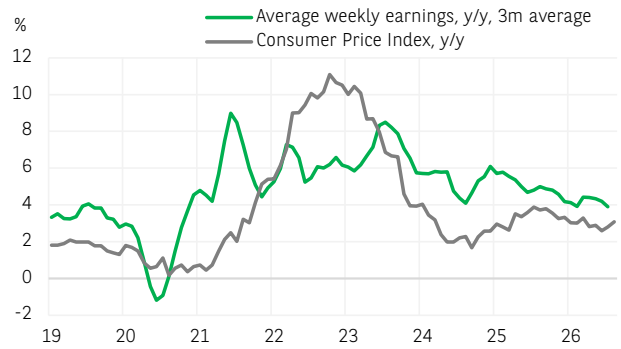
Source: BNP Paribas Global Markets

UK labor market: fragile stability amidst weakening demand



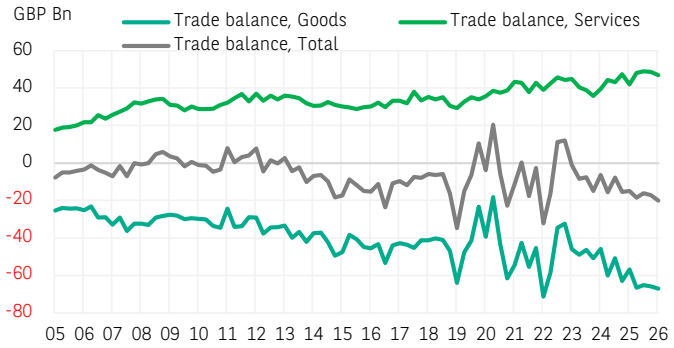
Source: ONS, BNP Paribas

Inflationary pressures are softening on the labor market



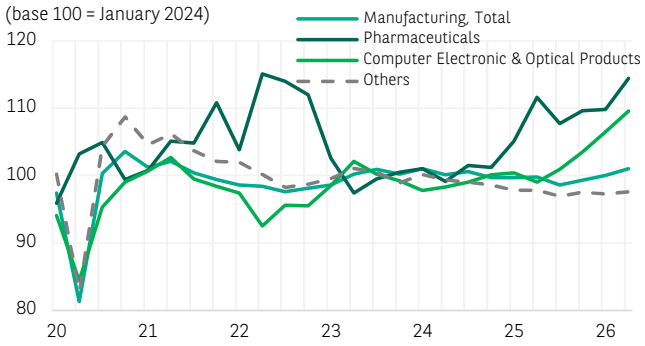
Source: ONS, BNP Paribas

The balance of goods and services remains structurally in deficit



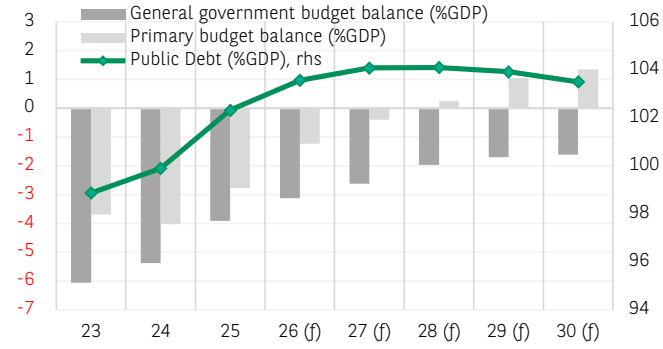
Source: ONS, BNP Paribas

Manufacturing output rebounds, driven by the acceleration of the AI cycle



Source: ONS, BNP Paribas

Room for manoeuvre to continue fiscal consolidation is limited

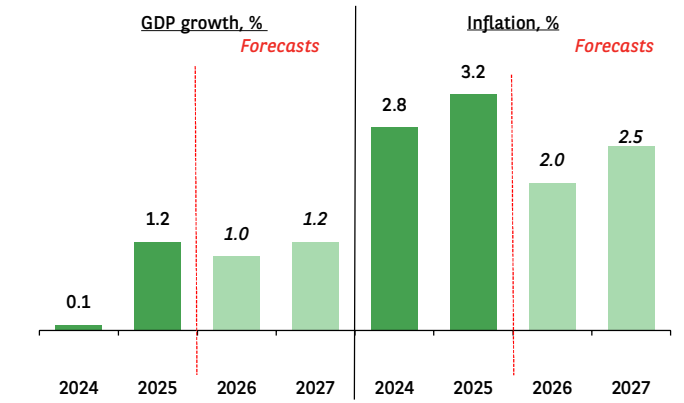


Source: IMF, Macrobond, BNP Paribas

Japan: Growth under strains

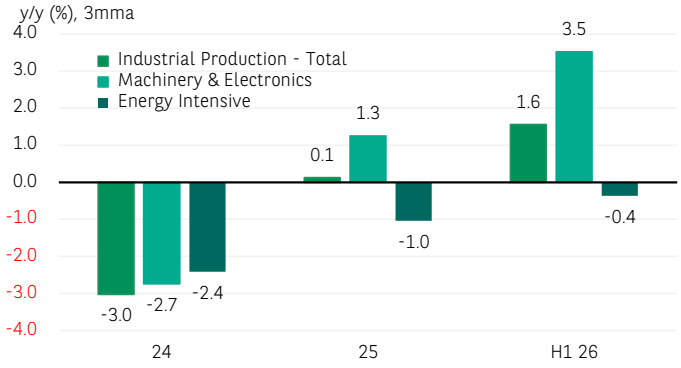
Last update: 01 October 2026

Growth above potential, inflation above target



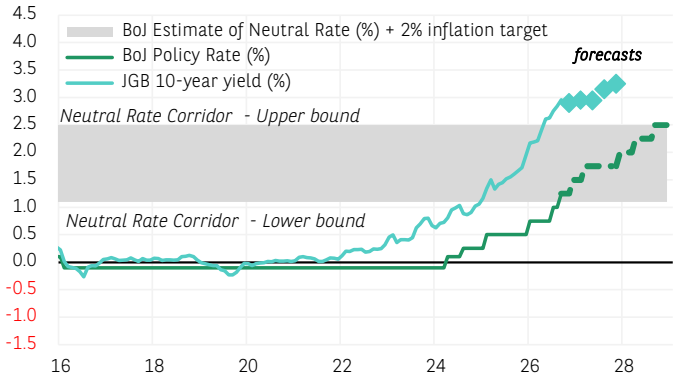
Source: BNP Paribas Global Markets

Machinery & Electronics lead the manufacturing recovery



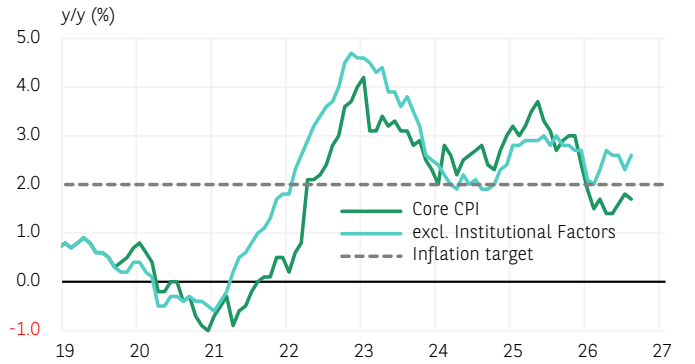
Source: Japanese METI, BNP Paribas

The bond market is tightening faster than the BoJ



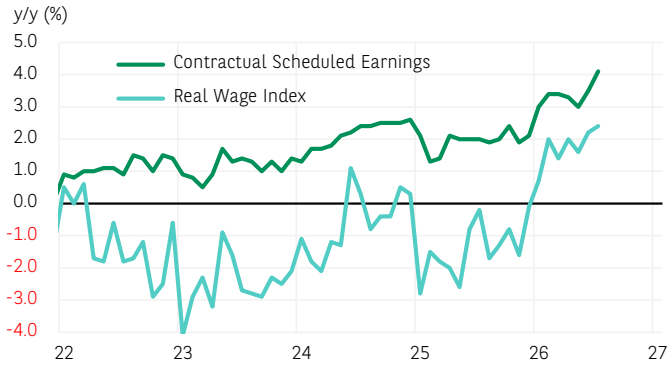
Source: Macrobond, Bank of Japan, BNP Paribas

Energy subsidies mask Japan's underlying price pressures



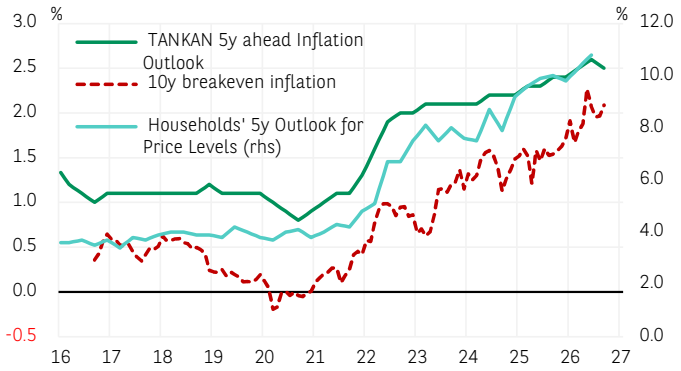
Source: Bank of Japan, Statistics Bureau of Japan, BNP Paribas

Nominal wage growth firmly anchored above 3%



Source: Japanese Ministry of Labour, BNP Paribas

Inflation expectations confirm the end of deflation



Source: Bank of Japan, Macrobond, BNP Paribas

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Energy shock: Dashboard 2026 vs. 2022

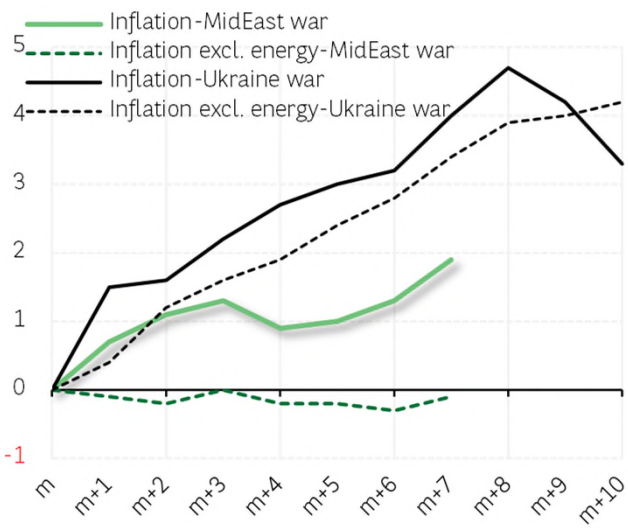
Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

Overall, based on data available through September 2026, economic activity continues to show resilience. The high levels of business climate surveys illustrate this well. Household confidence, however, is more vulnerable and sensitive to energy price pressures. Financing conditions in emerging economies also continue to hold up well against the shock (much better than in 2022) as well as against the tensions in DM bond markets, which intensified this summer, partly in the wake of the reinforcing upward pressure on energy prices. Higher energy prices are also fueling inflationary pressures and pushing inflation even higher. In particular, Eurozone inflation rose by 0.6 percentage points to 3.8% year-on-year (September flash estimate), reaching its highest level in three years.

Eurozone: Marked increase in inflation in September 2026, to a 3-year high



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

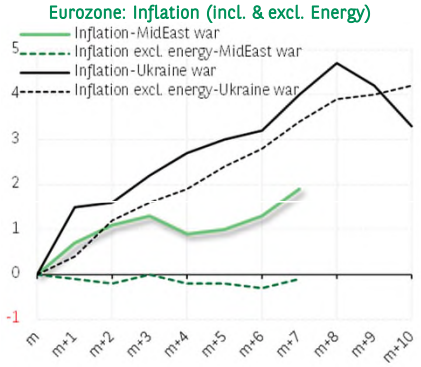
Eurozone: Amid rising inflation, the business climate remains resilient, but consumer confidence falls back

We have selected two inflation measures (with and without energy) and six survey indicators: 1/ & 2/ business confidence, as measured by the PMIs in the manufacturing and services sectors; 3/ & 4/ input and output prices components of the composite PMI (in order to identify direct inflationary pressures); 5/ the suppliers' delivery times component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); and 6/ consumer confidence (measured by the "assessment of financial situation in the next 12 months" in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The overall picture from the confidence surveys available for September is globally positive. According to the PMIs, the business climate in services has indeed seen a clear improvement, and that in the manufacturing sector remains comfortably in expansion territory for the 8th month in a row. However, consumer confidence has recorded its first decline in 5 months, likely driven by rising inflation and concerns over purchasing power. News on the inflation front is negative. PMI surveys report a strengthening of inflationary pressures: this trend is not a surprise given the tensions in energy prices, but it is nonetheless significant. As for inflation itself, it continues to rise, more markedly in September: +0.6 percentage points, to 3.8% year-on-year (Eurostat flash estimate), of which 0.4 pp du to the higher energy contribution. Inflation excluding energy increased as well, by 0.2 pp to 2.3% (of which 0.1 pp due to the rise in food inflation).

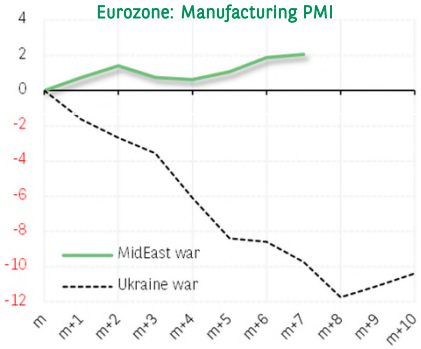
September 2026: Marked increase in inflation, to a 3-year high

Eurozone: Inflation (incl. & excl. Energy)



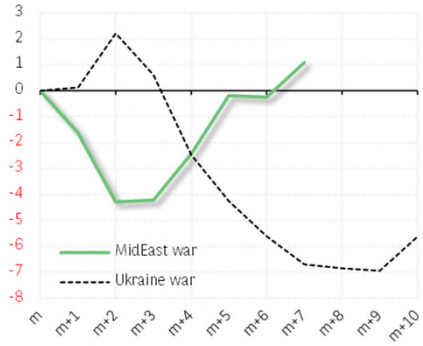
September 2026: Business climate in the manufacturing sector comfortably in the expansion zone for the 8th month in a row

Eurozone: Manufacturing PMI



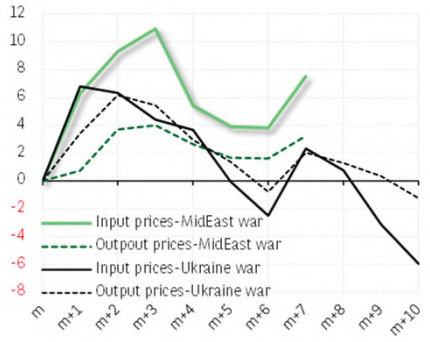
September 2026: Marked improvement in services business confidence

Eurozone: Services PMI



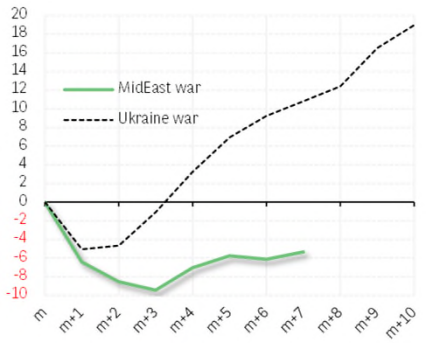
September 2026: Strengthening inflationary pressures

Eurozone: Composite PMI — Input and output prices



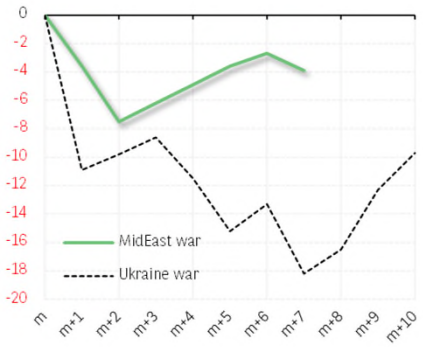
September 2026: Slight further increase in supply tensions

Eurozone: Manufacturing PMI — Suppliers' delivery times



September 2026: First decrease in 5 months of household confidence

Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

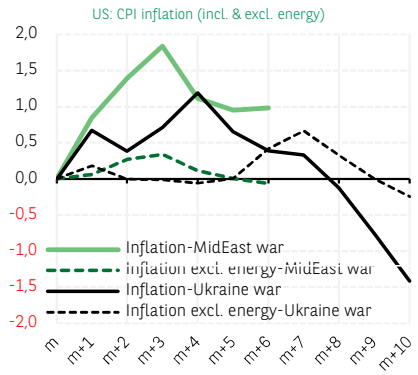
United States: Elevated inflation and high growth

U.S. macroeconomic performance has remained solid since the onset of the shock, as illustrated in particular by Q2 growth of +3.8% and +9% (annualized quarterly rate) in consumer spending and private nonresidential investment, respectively.

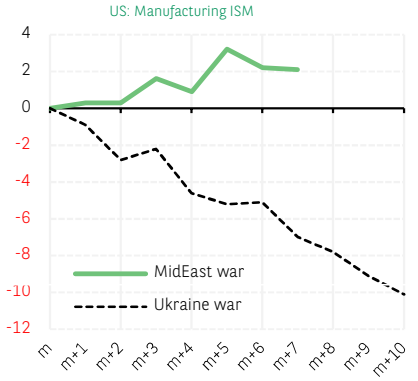
In the manufacturing sector, business sentiment has gained momentum despite the shock, while the impact of this shock on the services sector has remained very limited. The immediate reaction of consumer confidence was, however, more negative before beginning to improve, which was nevertheless interrupted in August (latest available data for households' sentiment on their future personal financial situation). The University of Michigan's composite indicator continued to deteriorate in September, due to the sharp rise in fuel prices. But declining confidence still does not translate into reduced spending—at least not at the aggregate level.

On the inflation front, the spike immediately following the outbreak of the conflict in Iran was more pronounced than in the months following Russia's invasion of Ukraine. The decline in June still left inflation at a high level, but its stability in July and August was notable (3.4% y/y), as was the latest—the third consecutive—slight decline in inflation excluding energy in August (2.5% y/y, same rate as in February). Given the existing inflationary pressures, however, inflation is highly likely to resume its upward trend in September.

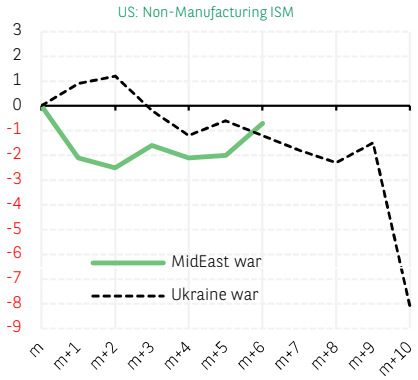
August 2026: Headline inflation resists to the upside



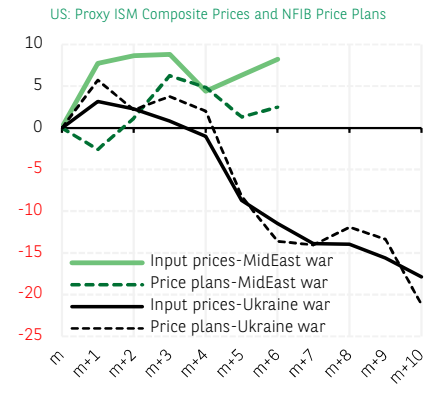
September 2026: Manufacturing business confidence remains stable at a high level



August 2026: Marked improvement in services business confidence, from an already high level

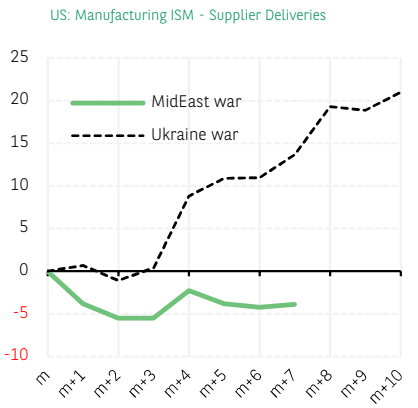


August 2026: Increasing inflationary pressures



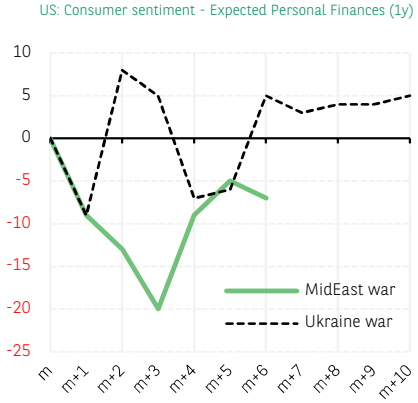
Price plans= companies stated plans to adjust their selling prices in the short term.

September 2026: Supplier deliveries do not get longer



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

August 2026: Consumers are a bit more concerned about their personal finances



Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

Paris, 1st October 2026

EcoFlash

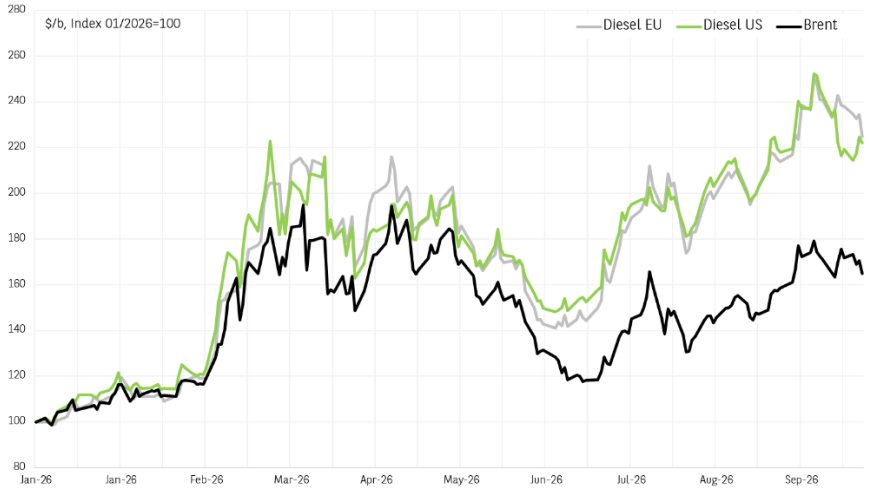
Threats to European diesel imports: risk of shortages ruled out for the time being, but increased risk of price rises

In Europe, the possibility of a US ban on diesel exports has heightened concerns about price trends for this widely used fuel[1], which has already risen significantly since the outbreak of the conflict in Iran. It has become a major political issue on both sides of the Atlantic in the run-up to decisive elections.

A particularly tight diesel market due to a shortage of buffer stocks

Following the outbreak of the conflict, diesel prices did indeed see some of the sharpest rises on the oil market due to particularly tight market conditions. Since the end of February, whilst the price of a barrel of crude has risen by 46%, diesel prices have soared by 100% in Europe and by 76% in the United States.

Rising pressure on the diesel market



Source: Bloomberg, BNP Paribas

The factors alleviating pressure on the refined products market, and more specifically the diesel market, were more limited than in the case of crude oil. Shipments passing through the Strait of Hormuz (around 17% of maritime diesel trade prior to the conflict) have fallen by around 75%. Added to this is the halt in Russian exports due to war damage, which is depriving the diesel market of around 12% of its maritime exports. Furthermore, unlike with crude oil, China has not acted as a stabilising force in the diesel market. On the contrary, the energy crisis has led to a halt in Chinese exports of refined products (including diesel) to the rest of Asia from April onwards. The resumption of Chinese exports over the last two months remains fragile, given, in particular, that diesel stocks are at their lowest level in 15 months.

The United States has eased these tensions in the diesel market by increasing its exports of refined products (up 25% on average in the first half of 2026 compared with the average over the last five years). This rise in exports has required high refinery utilisation rate (close to maximum capacity) and, to a lesser extent, a reduction in stocks (-11% compared with the average over the last five years as at mid-September for middle distillates[2]). All these factors have contributed to tightening the US domestic market and pushed retail diesel prices to record levels. Road diesel prices (US average) have risen by 68% since the end of February and by 74% year-on-year.

A structurally high level of vulnerability in Europe…

Against this market backdrop, characterised by mounting tensions and very limited room for manoeuvre, Europe would be particularly hard hit by a reduction in – or even a complete halt to – US exports. According to Eurostat, imports accounted for 46% of European demand for diesel in the first half of 2026, with 40% of these imports coming from the United States. Europe, which

[1] Diesel accounts for 17% of the primary energy mix in the EU and 7.3% in the United States.
[2] A category of refined petroleum products comprising mainly diesel and aviation fuel.

has lost a great deal of production capacity in recent years, is operating its refineries at near-maximum capacity. Its room for manoeuvre is therefore limited.

… But the risk of a shortage has been ruled out in the short term

The risk of a shortage, however, appears limited in the short term. The situation regarding European stocks is not comfortable, but it is not alarming. Commercial diesel stocks in the ARA region[3] are currently at historically low levels (around 12 million barrels), 23% below their level at the end of September 2025. As for emergency stocks (EU Emergency Stocks), these are, according to the European Commission, at a sufficient level. Eurostat estimates this figure at 270 million barrels in June 2026 (stable from a year earlier), representing approximately 60 days' worth of EU consumption. Europe imports around 0.9 mb/d of diesel from the United States, and emergency stocks would therefore cover around 60 days' consumption at 4.5 mb/d.

The rise in prices could be significant

Whatever the outcome of the conflict, diesel prices are likely to continue to rise in the short term. According to our base-case scenario, crude oil prices are expected to remain very high in Q4 2026 due to ongoing tensions in the Persian Gulf, whilst a return to normal levels of diesel exports from Russia and the Middle East appears unlikely by that time.

Among the factors likely to cause future tensions, the start of the maintenance season in Europe could affect production levels, whilst demand for diesel in the United States is typically high in the autumn (agricultural harvests and pre-winter storage). In a scenario where tensions remain low, the diesel refining margin (crack spread) could rise by 5% in Q4 compared with its level at the end of September 2026, before gradually falling back during 2027. An intermediate scenario (a 10% rise in the crack spread in Q4 2026) would result in moderate constraints on US diesel exports and a drawdown of European stocks. Finally, an adverse scenario (a 35% rise in the crack spread in Q4 2026) would imply severe restrictions on US diesel exports and a delayed European response.

What impact will this have on inflation in the euro area?

According to our estimates, the rise in diesel prices would exacerbate the expected peak in inflation in the euro area without altering its timing. In our baseline scenario for September 2026 (see our recently published EcoPerspective), headline inflation would peak at 4.1% y/y in January 2027 before gradually falling back towards 2% by the end of the year. The two least adverse scenarios would add only a limited amount to the peak: +0.1 pp in the first scenario (+5% for the crack spread in Q4 compared with the end of Q3) and +0.2 pp in the intermediate scenario (+10%), with inflation reaching 4.2% and 4.3% respectively in January 2027. However, there is an upside risk in the second scenario linked to the uncertain extent of the spillover effects. In both cases, the main impact would be felt through fuel prices (which quickly reflect rising market prices) and would fade over the course of 2027. In the case of the adverse scenario (+35%), the additional inflation would be close to 0.6 pp by early 2027, pushing inflation above 4.6%. A shock of this magnitude would, in fact, reduce businesses' ability to absorb rising costs, which would lead to price increases across a broader range of goods (food, industrial goods). Subsequently, the effect would only fade gradually.

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[3] Amsterdam-Rotterdam-Antwerp, Europe's main hub for the storage of raw materials.

CHART OF THE WEEK

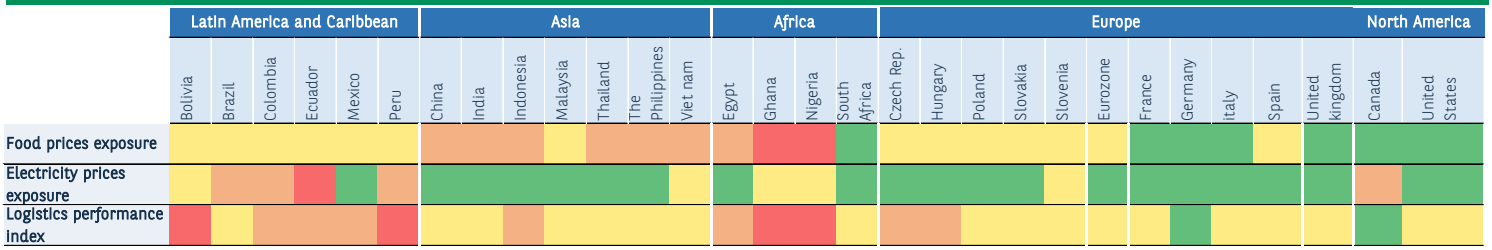
30 September 2026

EL NIÑO 2026–2027: MULTIPLE PRESSURES ON PRICES AND SUPPLIES

Hélène Drouot

The 2026–2027 El Niño climate event is expected to be one of the most intense in the last fifty years, with sea-surface-temperature anomalies potentially exceeding +3°C in the equatorial Pacific. According to the World Meteorological Organisation (WMO), El Niño is expected to persist until February 2027, with asymmetrical effects, as South-East Asia and northern Latin America will experience droughts, while southern Brazil and Argentina could see heavy rainfall. Above all, El Niño is compounding the effects of global warming and exacerbating existing extreme-weather events (droughts, floods and heatwaves). The economic effects of this climate shock mainly play out through three avenues: agricultural commodity prices, energy and logistics (*see heatmap*).

Vulnerabilities differ, depending on a country's dependence on food, energy and logistics



Exposition :
- Low (score 0-2)
- Moderate (score 2-5)
- High (score 5-7)
- Very High (score 7-10)

Reading note: Scores are standardised on a scale of 0 to 10 for ease of comparison between countries and supply channels.

- Food vulnerability: based on the weight of food in the CPI.
- Energy vulnerability: based on the share of hydropower in electricity generation.
- Logistics vulnerability: the 'Trade and transport-related infrastructure' component of the World Bank's Logistics Performance Index, which measures the quality of the infrastructure required for transport and international trade.

SOURCE: IMF, WORLD BANK, EMBER, BNP PARIBAS CALCULATIONS

Agricultural commodity prices: volatility is causing tensions, with inflationary effects

In India and South-East Asia, droughts will affect harvests, pushing up prices (particularly for coffee, cocoa, rice and palm oil). Conversely, in southern Brazil and Argentina, heavy rainfall will boost soya and maize production, putting downward pressure on prices. According to the IMF, El Niño causes global food prices to rise by between 5% (in a typical episode) and 8% (very high intensity) year-on-year, with the full impact being felt 6 to 12 months after the climatic peak.

Therefore, for a given country, the weighting of food in its inflation index (CPI) plays a decisive role. As a result, all other things being equal, an 8% rise in prices adds around 1 pp to inflation when food accounts for 13% of the CPI basket (average for countries shown in green on the heatmap), 1.8 pp when this share reaches 22% (yellow), 2.8 pp at 35% (orange) and nearly 4 pp above 49% (red).

The risks are skewed to the upside, as the 8% estimate does not take into account additional losses linked to droughts, floods and other extreme events, while policy responses to shocks (stockpiling by importers and increased export restrictions) may amplify and prolong price pressures. The rice market between 2023 and 2024 illustrates this well, as the combination of rice-export restrictions imposed by India in July 2023 (in order to protect its domestic market) and of the drought in South-East Asia contributed to a 30% average increase in the price of rice over the course of 2023 and kept global prices high for several months after the end of the El Niño episode.

Energy production sector: heavy reliance on hydroelectricity leaves the sector vulnerable to a second supply shock

Droughts will reduce hydroelectric power generation in Latin America and South-East Asia. As a result, some countries will have to turn to other, more expensive solutions, such as fossil fuels, against a backdrop of already high oil and gas prices. This shift will increase global demand for oil and put pressure on prices which, according to the IMF, could persist for up to four quarters after the initial El Niño shock. For example, in Colombia, where hydropower accounts for 55% of electricity generation, a 30% drop in output (already seen in 2023–2024) could increase the cost of electricity generation by 15 to 20% (assuming that the cost of thermal power generation is twice as high as hydropower). In Ecuador (where hydropower accounts for 70% of electricity generation) and Vietnam (30%), electricity shortages are likely to disrupt local industries.

Logistics: transport infrastructure is another point of vulnerability

The final channel relates to disruptions to freight transport against a backdrop of already weakened value chains. The variable used in our heatmap is a proxy for economies' abilities to absorb a shock (particularly a climate-related one) affecting their transport infrastructure (for example, by maintaining traffic flow, diverting or reorganising transport flows). The heatmap highlights the particularly high vulnerability of Latin America. Its capacity to absorb a logistics shock is relatively limited, and there is significant exposure at a strategic chokepoint, the Panama Canal, through which approximately 5% of global trade passes. Low rainfall in the canal basin has already led to the number of daily transits being reduced in September 2026 (as in 2023–2024); further restrictions are expected in October (to 29 transits per day, down from 36 in August), which will increase transport times and costs. Europe is also being affected, with low water levels on the Rhine and the Danube already disrupting river transport and electricity generation.

Latin America and South-East Asia are hit hardest

Therefore, the economies most at risk are not necessarily those that will suffer the greatest climate shock, but those where multiple transmission channels converge, including a high weighting of food prices in inflation, reliance on hydroelectricity, fragile transport infrastructure and limited fiscal room for manoeuvre. Latin America and South-East Asia are home to some of the most vulnerable countries, particularly due to their dependence on food prices and hydroelectricity. Colombia and Ecuador are noteworthy for their high exposure to energy risk, while Ghana, India and the Philippines are some of the economies most vulnerable to a food shock. Latin America faces a combination of vulnerabilities, such as high exposure to food and energy price shocks in some countries, which are compounded by logistics risks, as currently illustrated by the restrictions on traffic through the Panama Canal.

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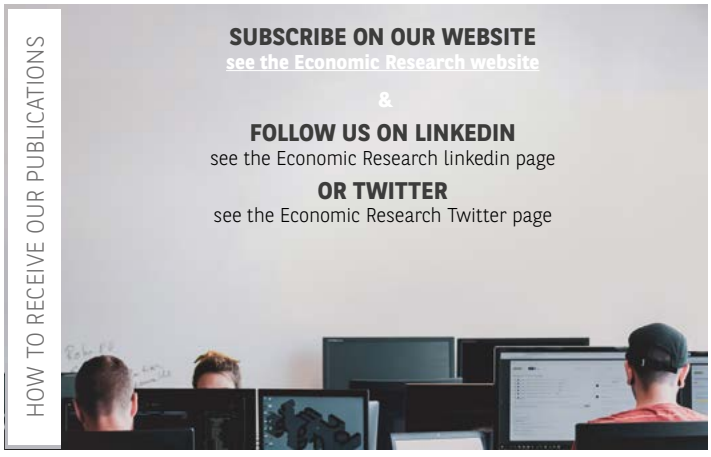

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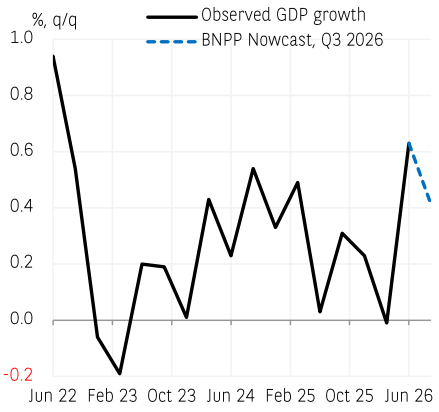
The bank for a changing world

The scenario, forecasts and nowcasts of the Economic Research – 28 September 2026

NOWCASTS OF THE ECONOMIC RESEARCH

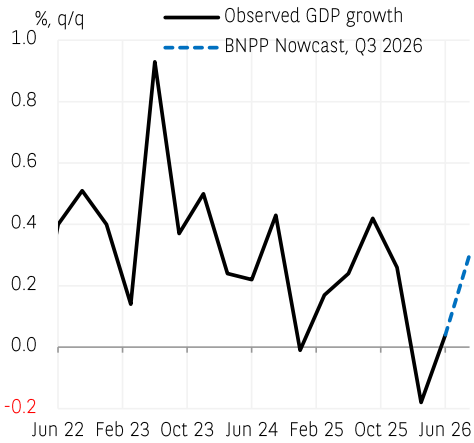
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the solid improvement in the PMI surveys.

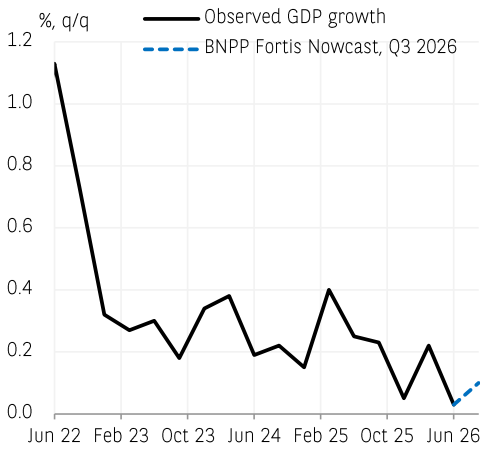
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

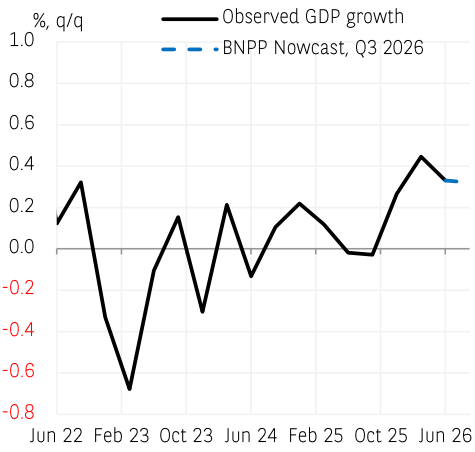
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

German growth is expected to remain stable in Q3 according to our *nowcast,* at +0.3% (following +0.4% in Q1 and +0.3% in Q2). It would remain supported by exports. Industrial production remains well-oriented this quarter according to the latest business survey results.

Read the Nowcast methodology

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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.3	2.9	2.7	3.4	2.3
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.3	1.2	1.3	2.5	3.4	3.2	3.2
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.0	2.8
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.7	2.6
France	1.1	0.9	0.5	1.0	2.3	0.9	2.4	2.3
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.9	2.1
Spain	3.5	2.8	2.6	2.2	2.8	2.7	4.0	3.9
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 14/09/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026		2027			
End of period		Q3	Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.00	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	-	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.50	2.75	2.75	2.75	2.75	2.75
	Bund 10y	-	3.50	3.40	3.30	3.25	3.20
	OAT 10y	-	4.43	4.40	4.25	4.18	4.10
	BTP 10y	-	4.38	4.33	4.18	4.08	3.98
	BONO 10y	-	3.98	3.90	3.74	3.65	3.55
UK	Base rate	3.75	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	-	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.25	1.50	1.75	1.75	1.75	2.00
	JGB 10y	-	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026		2027			
End of period		Q3	Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	-	1.14	1.14	1.16	-	1.20
	USD / JPY	-	163	163	163	-	163
	GBP / USD	-	1.34	1.36	1.38	-	1.43
EUR	EUR / GBP	-	0.85	0.84	0.84	-	0.84
	EUR / JPY	-	186	186	189	-	198

Brent		2026		2027			
Quarter Average		Q3	Q4	Q1	Q2	Q3	Q4
Brent	USD/bbl	87	81	78	79	81	80

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4,25% - 4,50%.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand has weakened significantly in recent months. Retail sales have barely increased, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), before edging back to 1.3% in 2027. The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in both 2026 and 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single *insurance* hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.

EDITORIAL

RESILIENCE TO SHOCK AFTER SHOCK

History tends to repeat itself in advanced economies. Once again, growth ultimately fell short of expectations by only a small margin in the first half of 2026, despite the conflict in Iran. As early as 2025, the impact of tariffs was less severe than feared. This is a sign that structural factors (notably AI, defence and electrification) are underpinning growth in these countries and are expected to continue to do so in 2027. However, there are significant risks to the economic outlook, primarily of a geopolitical nature, with a significant upside risk to inflation and interest rates. The other instance of history repeating itself concerns a period that those under 20 cannot have experienced: the period leading up to the 2008 crisis, echoes of which can be seen in terms of growth, inflation, the direction of monetary policy, and long-term interest rates.

Advanced economies are experiencing trends similar to those they faced nearly 20 years ago:

- **Growth remains resilient in 2025-26 despite shocks**, as it did in 2006-07, in the major advanced economies.

- **Inflation is above central banks' targets**: as in 2006-07, this calls for a tightening of monetary policy.

- **In Europe and the United States, long-term interest rates have returned to their 2006-07 levels (1996 in Japan)**: a challenging environment for public finances in a context where public debt ratios are significantly higher than those seen 20 years ago.

THE GLOBAL ECONOMY IN THE MIDST OF A GROWTH CYCLE

We are already well into 2026, and the picture so far is clear: global growth is proving resilient. Following a US tariff shock last year, growth is once again proving, for the time being, to be significantly less affected by the conflict in Iran than had been anticipated when it first broke out. Initially, however, there were fears that this new shock would hit growth even harder. As with the tariff hike in 2025, the impact was measurable, particularly in terms of consumer confidence. But in both 2025 and 2026, growth has also shown a degree of resilience.

The figures for the second quarter bear this out, despite the sharp rise in oil prices, the recessionary impact of which is not yet apparent. According to our forecasts, growth was expected to reach or exceed 1% in 2026 in the four major advanced economies (the Eurozone, Japan, the United Kingdom and the United States, where it exceeds 2%) for the second consecutive year. This had not happened (excluding the post-COVID catch-up period) since 2006-07. Growth figures are more moderate (particularly for demographic reasons), but the private sector is not (at present) showing the same excesses (at that time, the credit boom had preceded the worst crisis since the 1930s); although debt levels have recently risen in the US tech sector.

The driving force behind the current growth cycle is clear: artificial intelligence (AI). It is fuelling global trade and business investment in most countries. This is clearly the case in the United States, where business investment is growing strongly as investment plans in the US tech sector are implemented.

However, the world's major economies are currently engaged in a broader push to expand their capital goods investment. Alongside the ongoing development of services—particularly digital services—we have seen a rebound in industrial production in most countries since early 2025. The leading sectors are primarily technology equipment, machinery, aeronautics, defence and their essential inputs (energy and metals). This trend is evident everywhere, including in Europe, and is becoming entrenched over the long term, with an improvement in business climate indicators, particularly new export orders. Growth is therefore expected to strengthen further in 2027, particularly in the Eurozone, where German investment plans are set to gather momentum and whose spillover effects will have a greater impact on the economy.

Growth is more resilient to shocks than initially anticipated

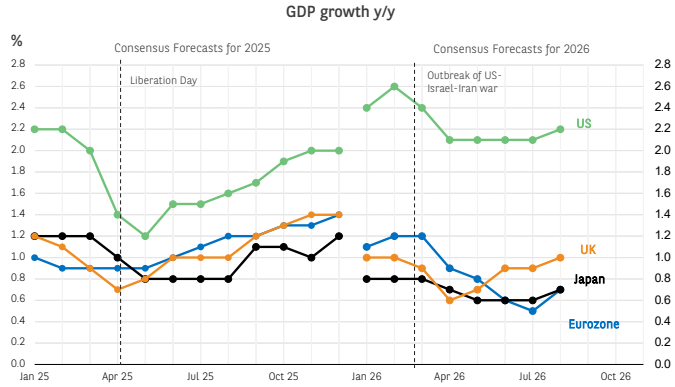

CHART 1 SOURCE: CONSENSUS FORECASTS, BNP PARIBAS

Growth is expected to pick up in 2027

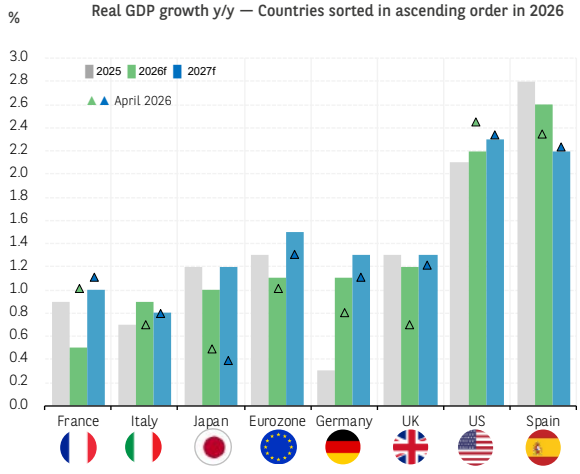

CHART 2 SOURCE: LSEG, BNP PARIBAS

However, not all sectors are experiencing the same momentum. This is particularly true for the sectors that depend on household consumption, which has shown mixed trends. Our observation that consumer spending is more buoyant in the United States than in Europe was confirmed in 2026, and the outlook does not point to a change in this ranking.

While European and US households are experiencing more or less the same energy price shock, inflation remains higher in the United States. But this has not prevented consumer spending from keeping pace, primarily because it is driven by the wealthiest households, who are less sensitive to inflation than to the wealth effect. Furthermore, while the savings rate remains high in the Eurozone, US households have been drawing down their savings. This is also true of British households, which explains why the UK has seen slightly stronger growth since the beginning of the year. In Japan, government spending has partially offset energy inflation (while other countries are doing so to a much lesser extent than in 2022), which has supported consumption growth.

However, these buffers—reduced savings or fiscal support—have their limits when shocks persist. The two major current conflicts (Iran and Ukraine) are far from being resolved, and their impact is continuing. This persistent geopolitical risk and its implications for inflation represent a significant headwind to the growth outlook for 2027.

HIGHER INFLATION CALLS FOR MONETARY TIGHTENING

Inflation is exceeding the target set by three of the four central banks examined in this publication, which is another similarity (albeit with different underlying causes) with the 2006-07 period. Japan is the exception, as government support measures for households are temporarily holding back inflation.

Apart from the Bank of Japan, which is engaged in a long-term normalisation process, no central bank was expected to raise its key rates in 2026. But they are now being prompted to do so for reasons that vary from one region to another. The first is the conflict in Iran and the resulting rise in oil prices, which triggered a rebound in energy inflation from the second quarter onwards. However, since the conflict was not resolved by the memorandum of understanding signed in June, and given that the subsequent drop in oil prices proved short-lived, inflation is expected to rise again. The rise in gas prices is expected to exacerbate the impact, particularly in Europe, where inventories are being replenished ahead of winter. Electricity prices are expected to follow suit in most countries, but at a more moderate pace than in 2022. Indeed, gas is now used less to generate electricity than it was at that time (thanks to the expansion of renewable energy), and to an even lesser extent in France.

There is a significant risk that energy inflation will spread further to other components of inflation in the future, and inflation expectations could eventually reflect this. This is why the European Central Bank has already raised its key interest rate twice (in June and September) and, according to our scenario, will likely do so again in December. For the same reason, we expect the Bank of England to raise its policy rate in November. Although the cap on energy prices was maintained for a long time, it has now been raised. As a result, inflation is expected to rise between now and the end of the year. The aim will then be to prevent second-round effects.

Inflation can also be a sign of (too much) economic strength. In the United States, it has exceeded the 2% target since 2021. The main argument in favour of a new cycle of rate hikes (following the one in 2022-2023) lies in the current resilience of growth and the improving labour market. The Federal Reserve (Fed) must balance two equally important objectives: maximum employment and price stability. However, unlike in the 4th quarter of 2025, when the decline in job creation justified monetary easing (by 75 basis points), the current sharp rebound in job creation completely reverses that analysis. According to our forecasts, the unemployment rate is expected to decrease in the coming months, which pushes back the prospect of a decline in core inflation. This situation persists due to both supply constraints

Inflation is expected to remain above the central banks' target in the coming months

Consumer Price Inflation (y/y) — Countries sorted in descending order in 2026

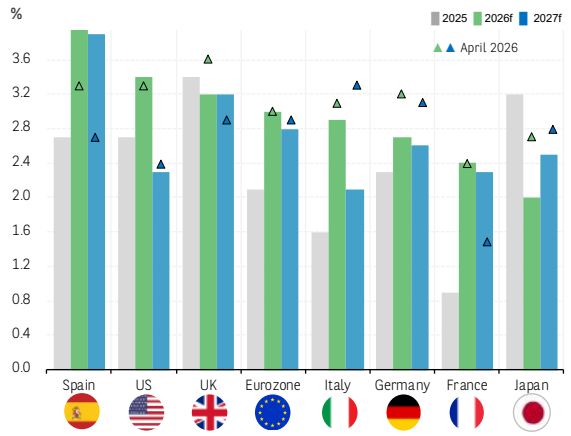

CHART 3

SOURCE: LSEG, BNP PARIBAS

(over which a central bank has no control) and excess demand (which the Fed can, however, mitigate). Consequently, the Fed raised its key rate in September and is expected to implement two further rate hikes between now and January 2027.

In Japan, finally, while headline inflation has been brought down by government support measures, core inflation remains significant. Wage pressures are mounting against a backdrop of labour shortages. The Bank of Japan is therefore being forced to accelerate the pace of its monetary normalisation.

In all these regions, inflation is currently expected to peak in Q4 2026 or Q1 2027. It is against this backdrop of temporary inflation that rate hikes could also come to an end by that time (excluding Japan). However, this assumes that once the energy shock—the course of which remains uncertain—subsides, inflation will fall. The effects of El Niño, which are still difficult to gauge at present, could take over. Inflation would then remain above the central banks' target for a longer period. Under this scenario, rate hikes would go further than is currently envisaged.

THE RISE IN LONG-TERM INTEREST RATES: A FACTOR THAT WILL WEIGH ON PUBLIC FINANCES

Monetary policies have also to offset the inflationary effects of fiscal policy, particularly in the United States (where the budget deficit is high and shows no signs of shrinking) and in Japan (where the new government is pursuing pro-growth policies). In Europe, fiscal policy is playing a much smaller role than it did in 2022. While the stimulus measures implemented at that time did help reduce the inflation rate in the short term (by nearly 2.5 pp in France, for example), by keeping demand at a high level, they delayed disinflation and increased the scale of the monetary tightening required.

The outbreak of the conflict in Iran acted as a catalyst: it triggered a rise in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2006-07. This rise is widespread, but its causes vary. Inflation expectations appear to play a more significant role in the Eurozone, whereas the rise in real interest rates seems to be the main factor in the United States and Japan.

Higher inflation and more resilient real growth than feared point in the same direction: stronger than expected nominal growth that is likely to be sustained. However, in the long term, high nominal growth tends to drive up nominal interest rates (as it is a positive sign of more profitable investment projects), in contrast to the problem of secular stagnation raised in the 2010s (which combined low nominal growth with low nominal interest rates).

The other issue is the high level of fiscal deficits (too high for a period of growth), with various situations. In several countries, the public debt-to-GDP ratio continues to rise. In the United States, deficit reduction does not appear to be a priority, to the extent that it is expected to remain above 6% of GDP at the very least until the end of Donald Trump's term of office (with little hope that the mid-term elections will significantly alter this trend). In the United Kingdom and France, fiscal consolidation has begun, but it is being hampered by the simultaneous increase in certain areas of expenditure (debt servicing, defence and healthcare, due in particular to an ageing population), which is slowing the pace of consolidation. In Germany, the implementation of investment plans is leading to a widening of the deficit. While this does not pose a sustainability problem, it does result in an increase in annual debt issuance. In Japan, the budget deficit is kept in check by interest payments that remain low, as the rise in interest rates is recent and the average maturity of the debt is high (10 years). However, expansionary fiscal policy could pose further problems in terms of debt dynamics if it were to continue through the end of the decade. In Italy and Spain, fiscal consolidation has been sufficient to stabilise the public debt-to-GDP ratio (and even to reduce it in Spain), but the high level of Italy's debt service it vulnerable to a rise in interest rates.

In all these countries, the fiscal arithmetic is simpler today than it will be in 2030. Indeed, in most cases, only half of the debt was issued after 2022 (that is, after the end of the zero-interest-rate period). The debt service has so far only partially risen, except in the United States, where most of the increase has already occurred due to a shorter average debt maturity (6 years). This means that, for all countries combined, the rate of GDP growth remains higher than the average interest rate paid on public debt (or the effective interest rate).

By 2030, the effective rate will have risen and caught up with GDP growth. As a result, in most cases, the debt service will have returned to the level as a share of GDP seen in the early 2000s. In order to stabilise public debt-to-GDP ratios, primary balances will need to have improved. This will even require the generation of primary surpluses, particularly in Italy (which is already achieving this), France and the United Kingdom. This is a crucial shift that governments will need to introduce as early as the 2027 budget; otherwise, they risk postponing the stabilisation of their public debt-to-GDP ratio once again.

Article completed on 17 September 2026

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UNITED STATES

A SHOCK-RESISTANT EXPANSION

US growth remains resilient despite successive shocks. According to our forecasts, it is expected to reach 2.2% in 2026 and 2.3% in 2027. Its main driver is still investment in artificial intelligence (AI), which has remained entirely unaffected by the energy crisis. The labour market has seen a marked improvement in job creation and a fall in the unemployment rate. Core inflation remains stubbornly high and above the Federal Reserve (Fed)'s target. Against this backdrop, the Fed has begun a hiking cycle in September, which, according to our scenario, would bring the Fed Funds target to 4.50% (upper limit) by Q1 2027. At the same time, long-term rates are under upward pressure.

THE ENERGY SHOCK IS NOT HOLDING BACK GROWTH

Driven by AI-related investment, US growth is holding up despite rising energy inflation. We forecast GDP growth at 2.2% in 2026 and 2.3% in 2027 on an annual average basis. The AI-related investment cycle[1] (+14.8% y/y in H1 2026) is expected to continue, accompanied by potential productivity gains. However, other private-investment segments (including residential property) remain sluggish. In addition, the rising cost of capital could accentuate its '**K-shaped**' profile. Household consumption is expected, on the whole, to benefit from the rebound in job creation and to remain above 2% y/y through to the end of 2027. In H1 2026, it held up against resurging inflation due to an average year-on-year increase of 11.5% in tax refunds and a savings rate standing at its lowest level since 2022 (2.8% in Q2).

RECORD CAPITAL-RAISING DRIVEN BY AI

This year, AI-related investments are driving massive capital-raising by companies through loans, bond issues or share placements. This trend is set to continue given the seemingly colossal scale of the funding requirements, even as risk premia in the bond market begin to widen. According to their statements, the five tech giants could invest nearly USD 900 bn this year and over USD 1,000 bn next year—more than double the figure for 2025. Spurred on by regulatory easing, the major US banks have announced that they will mobilise significant resources to support projects considered strategic for the United States (AI, defence, energy and infrastructure). While funding for the AI boom appears unaffected by rising long-term interest rates, these latter are likely to continue to weigh on household demand for mortgages. Since the start of the conflict in the Middle East, 30-year mortgage rates have risen by 78 bp (to 6.76% at the start of September). Conversely, consumer lending remained buoyant in H1 2026 and is supporting household spending.

TWO-SPEED GROWTH IN INDUSTRY

Industrial production rebounded slightly in 2025 (+1.1%), driven by AI and aerospace. We forecast an acceleration to +1.5% in 2026 and +2% in 2027. Investment in AI is bolstering the electronics sector, while the (civil and military) aerospace sector is rebounding as order backlogs are cleared and defence requirements rise. Conversely, sectors exposed to rising tariffs (in particular, the steel, aluminium and automotive sectors) are still on the back burner, contrary to the objective of these measures. This positive momentum in industrial production, while concentrated, is expected to continue, bolstered by the recovery in business sentiment. The ISM Manufacturing Index has been in expansionary territory since early 2026, despite ongoing pressures on prices and supply chains.

Growth and inflation

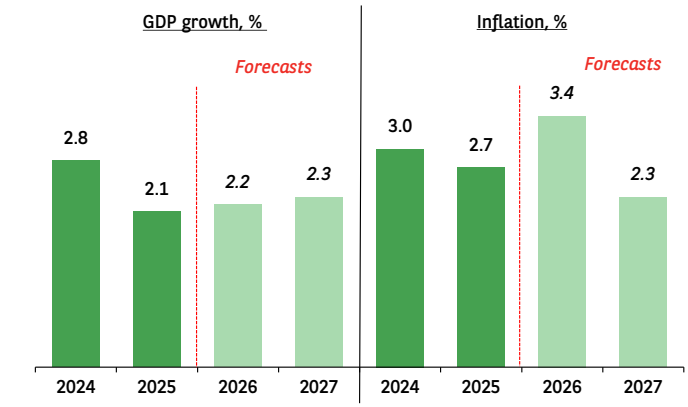

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

Industrial production is being driven by the AI cycle and the aerospace sector

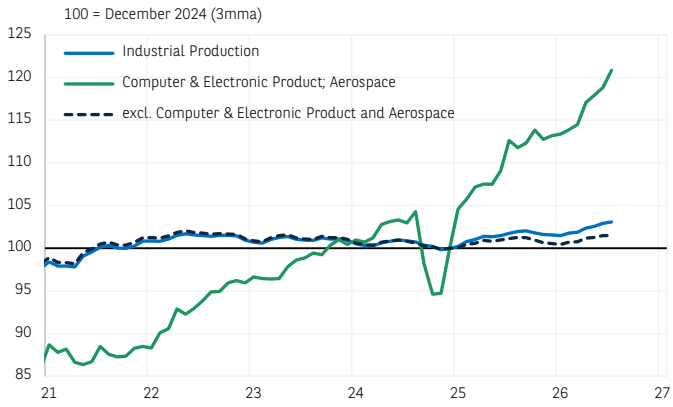

CHART 2 SOURCE: FEDERAL RESERVE, BNP PARIBAS

1 This includes: energy and communications; data centres (facilities); IT equipment and peripherals; communication equipment (equipment); software; and research and development (intellectual-property products).

LABOUR MARKET: A LOW UNEMPLOYMENT RATE ON A DOWNWARD TREND

Job creation (non-farm payrolls) has rebounded, averaging +80,000 per month since the start of the year, compared with +10,000 in 2025. This growth is no longer limited to the healthcare sector. Excluding healthcare, job creation is up by an average of +38,000 in 2026, compared with -47,000 in 2025. Manufacturing and construction, two sectors driven by AI, are contributing to this rebound. At the same time, the labour force has not grown since January 2025 due to the decline in the foreign-born workforce (down 4.2% cumulatively over the period). Excluding the impact of COVID-19, the labour force participation rate is at its lowest level since the 1970s, standing at around 61.5%. The rebound in labour demand and persistent pressure on the labour supply have brought the unemployment rate down to 4.1% in August 2026 (a 0.3 pp fall since the start of the year). The jobless rate is expected to fall to 3.9% at the end of 2027 (4.2% corresponds to full employment, according to the CBO) thanks to a job creation rate of around 40,000–60,000 per month.

INFLATION: STRUCTURALLY ABOVE TARGET

The rise in oil prices has triggered a rebound in CPI inflation. The contribution from the energy component (+1.2 pp) largely accounts for the rise in inflation since February. A slowdown was seen (from +4.2% to +3.4% y/y) between the May peak and August. This is expected to continue due to base effects on energy prices. We anticipate the trough to be +1.8% y/y in Q2 2027 before a stabilisation at around +2.3% y/y later in the year.

Meanwhile, core inflation is expected to remain above the Fed's 2% target, and above +2.5% y/y in 2027. This highlights the structural nature of inflation, beyond short-term fluctuations linked to energy. Non-housing services are expected to show significant inertia, with inflation hovering at around +3% y/y by the end of 2027. The potential for disinflation also appears limited for housing-related services, as the rise in rents shows no signs of abating. Finally, inflation on non-energy goods is slowing as the effects of tariffs fade. However, the AI cycle is exerting upward pressure through the general rise in the cost of electronic goods.

FED: GREEN LIGHT FOR RATE HIKES

The FOMC has embarked on a cycle of rate increases. The Fed Funds target was raised to 4.0% (+25 bp) at the September meeting, and we anticipate two further rises that would bring the policy rate to 4.5% in January 2027. These three rises (made possible by reassuring developments in employment and economic activity) are intended to reverse the three cuts in 2025 adopted to counter the 'downside risks' to the labour market at that time. As a result, the committee can recalibrate its policy towards 'price stability' and, through its interest rate decisions, reflect the priority given to this objective in its communications. The risks point towards further monetary tightening: in our baseline scenario, core inflation would remain sticky and the fall in unemployment would give the FOMC room for manoeuvre to raise rates further.

PUBLIC FINANCES: UNDERLYING DETERIORATION AND PRESSURE ON LONG-TERM RATES

According to our estimates, the federal deficit is set to widen by 0.7 pp to -6.6% of GDP in 2026 (by 0.4 pp to -3.1% for the primary deficit), weighed down by falling tariff revenue (refunds of tariffs already collected and lower-than-expected receipts). In 2027, the end of this one-off effect is expected to lead to a marginal improvement to -6.3% (to -2.8% for the primary deficit). The growing burden of interest payments (3.5% of GDP in 2026 and 3.6% in 2027, following 3.2% in 2025) and the conflict in Iran (affecting the military budget) are weighing on the budget balance and federal-debt dynamics. Federal debt is still on an upward trend, with no particular change in direction, exceeding 100% of GDP (101.9%, up 3.3 pp, in 2026, and 103.5% in 2027). It is expected to reach 110% by the end of the decade against a backdrop of budget deficits of close to 6% of GDP, assuming fiscal policy remains unchanged.

Furthermore, the mid-term elections (which see the entire House of Representatives and one-third of the Senate up for re-election) could result in a divided Congress or in both chambers changing hands to the Democratic Party. Should the former occur, this would increase the risk of a legislative deadlock, while the presidential veto would limit the Democrats' ability to influence fiscal policy in the latter scenario.

Against this backdrop, pressure on the bond market is likely to continue in the coming months. Treasury issuance is rising, fuelled by increasing spending requirements (in areas such as AI, defence and supply chains). At the same time, **shifts in investor demographics** are increasing demand volatility, and issuances by companies in the artificial intelligence sector are intensifying competition for capital. We anticipate a 10-year yield of 4.95% in Q1 2027, before a slight easing brought about by Fed rate rises, which would lend credibility to the price-stability objective. However, according to our forecast, 10-year yield is expected to remain close to a 20-year high, at 4.80% in Q4 2027.

THE US RELIES ON IMPORTS FOR ITS GROWTH

The US trade deficit has recently started to rise again. According to our forecasts, it is expected to account for the same proportion of GDP in 2026 as it did in 2024 (4.4%). This trend is driven by imports of AI-related capital goods, which are set to rise from 1.2% to 2.1% of GDP between 2022 and 2026. Investment in AI is, in fact, import-intensive (*Chart 2*), which dampens its positive impact on growth and highlights the US's dependence on foreign supplies in a cycle that it is nevertheless spearheading.

The additional tariffs have failed to reverse the trend in the trade deficit. Furthermore, the IEEPA tariffs struck down by the Supreme Court were replaced, in July 2026, by 'Section 301' tariffs (forced labour) ranging from 10% to 12.5%. These tariffs target 60 countries and have been introduced on top of existing sector-specific tariffs (steel, aluminium and automotive). Following these adjustments, the statutory rate (measured against the 2024 import structure) remained slightly above 10%. The main risks relate to potential new sector-specific tariffs and the renegotiation of the USMCA.

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EUROZONE

GROWTH ON TRACK DESPITE THE TURBULENCE

Growth was stronger than expected in Q2 and is set to strengthen further in the coming quarters. According to our forecasts, it will reach 1.5% in 2027 after 1.1% in 2026. This growth is expected to be driven by investment and its knock-on effect on exports. On an annual average basis, inflation is expected to stand at 3% in 2026 and 2.8% in 2027, peaking at the end of 2026. The ECB is expected to continue its monetary tightening. At this stage, a single further rate rise, aimed at keeping inflation expectations anchored, is expected in December. The impact of rising interest rates (key policy rates and market rates) on public finances and private sector borrowing conditions will be worth monitoring.

GROWTH: BEYOND THE SHOCKS, A RESILIENT MOMENTUM

Growth in the Eurozone remained robust in the first half of 2026, at 0.25% q/q in Q1 and 0.33% q/q in Q2, excluding Ireland (where economic activity is volatile). It was driven by Germany, where signs of a recovery are becoming clearer (*see* ***Germany***). Our baseline scenario forecasts growth of 1.1% in 2026, followed by 1.5% in 2027 on an annual average basis. This growth is expected to be driven by the strengthening of trends already underway in public and private investment (particularly in defence and AI) and in exports (trade in services and intra-zone trade in goods). Household consumption is likely to be resilient too. According to our forecasts, job creation would continue to underpin household incomes, thereby cushioning the impact of inflation.

A NEW LEASE OF LIFE FOR INDUSTRY

The Eurozone is undergoing one of the most profound industrial transformations in its history. This is giving rise to divergences between key sectors but, above all, to new drivers of growth whose effects are becoming increasingly apparent (***see our analysis***). Indeed, the signs of an economic recovery are growing stronger. Business sentiment indicators show a marked improvement in the economic outlook across most sectors (*Chart 2*), driven primarily by electronics (AI, digitalisation), the automotive sector and aerospace. European industry is thus benefiting from strong demand for capital goods; a structural trend that will continue to be fuelled by ongoing investment cycles in AI, defence and electrification. The introduction of minimum European content quotas in the draft law on the industrial accelerator, together with the Commission's intention to tighten the criteria for access to European public procurement markets, will provide additional support for European industry in the longer term.

FOREIGN TRADE: A REPOSITIONING THAT IS PAYING OFF

Following a decline in 2026, linked to rising energy import costs, the trade surplus is expected to rise to around 3.0% of GDP in 2027 (of which 2% of GDP for goods and 1% for services). Growth in European exports has slowed compared with its pre-Covid trend and is being hampered by the decline in Chinese and US markets. However, Eurozone exports in volume rose significantly in Q2 (+3.4% q/q).

More importantly, since Liberation Day (April 2025), Eurozone countries have found significant sources of growth amongst other European partners, which has enabled them to cushion the decline in exports to certain third markets. This is evident in exports to the rest of the EU, EFTA countries (Switzerland in particular) and, to a lesser extent, the United Kingdom, Ukraine and the Balkans (*Chart 3*). The momentum of intra-European trade therefore remains very strong. It is expected to strengthen further with the anticipated investments in defence, AI and electrification.

Growth and inflation

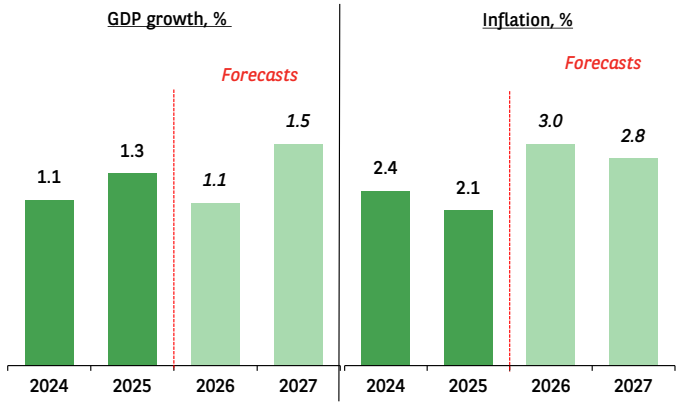

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

A broader recovery in industrial activity is on the horizon

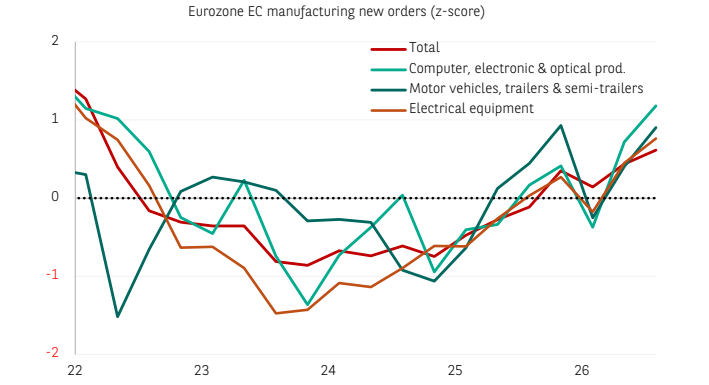

CHART 2 SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

FINANCING: FINANCIAL CONDITIONS ARE EXPECTED TO REMAIN TIGHT

Financial conditions in the Eurozone remained tight in Q2 2026, according to indices calculated by the ECB (including the BIG [Broad Intermediation Gauge]). They are expected to tighten more significantly in the second half of the year: i/ the rise in long-term bond yields, which has accelerated since the outbreak of the conflict in Iran, is expected to continue; and ii/ the ECB will continue its monetary tightening (+25 bps

Exports to Europe help offset weaknesses in other markets

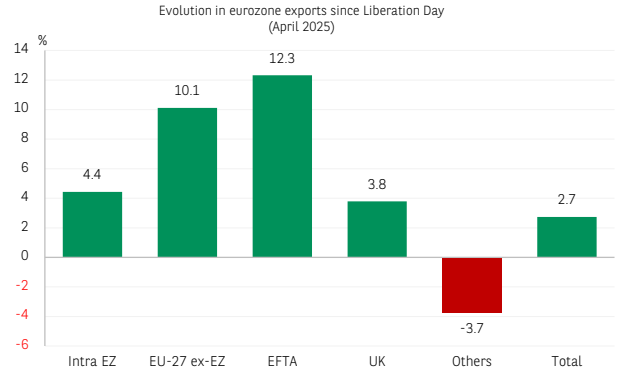

CHART 3

SOURCE: EUROSTAT, BNP PARIBAS

in Q3, then in Q4). For the time being, the debt burden is still weighing only moderately on public finances due to the long average maturity of countries' debt (8.2 years on average in the Eurozone in July), but this burden will increase by 2030.

On the corporate front, the rise in interest rates has remained contained (+2 bps since January 2026, reaching 3.9% in July), which has contributed to the strong growth in new investment loans (cumulated over one year, +9.1% y/y in July compared with 15.3% y/y in September 2025). By contrast, cumulative net debt securities issues over one year remained stable in July, whilst cumulative net issues of listed shares over one year halved month on month.

Rising interest rates will continue to hamper new variable-rate home loans to households (around 65% of new lending) more significantly than fixed-rate loans, for which rates stood in July at 3.69% (+4 bps m/m) and 3.36% (+2 bps m/m) respectively. New home loans, which are stable in 2026 on a cumulative over one year basis, are therefore unlikely to see any improvement. A fall in real-estate transactions could weigh on new consumer credit through a reduction in expenditure on home furnishings and renovations, whereas consumer credit has been fairly buoyant so far (year-to-date, +5.2% y/y in July compared with +1.4% y/y in January).

LABOUR MARKET: RESILIENCE YET TO BE CONFIRMED

Employment in the Eurozone rose again by an average of 0.1% q/q in the first half of 2026, driven by Spain and Portugal. Given the growth outlook in these two countries, this momentum is likely to continue, whilst business sentiment surveys in Germany suggest that employment is beginning to stabilise. Nevertheless, employment levels are plateauing (France, the Netherlands) or even falling in other countries (Austria, Finland), which is likely to slow the decline in the Eurozone unemployment rate, meaning it is expected to remain close to current levels in 2027. Furthermore, second-round effects of the rise in inflation on wages cannot be ruled out: the ECB's wage tracker suggests wage growth of close to 3% by summer 2027 (2.9% y/y in June 2027, compared with 2.6% in September).

INFLATION: A PEAK EXPECTED IN LATE 2026

Changes in wage dynamics will be a key factor in the inflation outlook for 2027, whilst energy price rises are picking up again, driven by the conflict in the Middle East. This rise is even sharper than in the spring for gas (linked to restocking ahead of winter) and is likely to feed through to electricity prices in several countries. We therefore anticipate inflation peaking at 3.7% y/y in Q4 2026, before easing as the energy component falls. On an annual average, headline inflation is expected to stand at 3% in 2026 and then at 2.8% in 2027.

At this stage, the pass-through of rising energy prices to other components of the consumer price index, particularly services, remains limited. The alternative core indicators monitored by the ECB, including the PCCI (Persistent and Common Component of Inflation, 2.1% in July), remain close to the 2% target. Core inflation, however, is expected to peak two months later than headline inflation (3% in March 2027).

Inflationary risks are nevertheless tilted to the upside. These are linked to food prices, which are expected to be affected by the energy shock and weather conditions (summer drought, El Niño); they could also stem from a delayed impact of energy price rises on underlying inflation. The rise in prices of energy-dependent inputs (notably chemicals and plastics) and those linked to the AI sector is expected to be sustained. Growth, which we expect to remain robust over the coming quarters, will also fuel underlying inflationary pressures.

MONETARY POLICY: TIGHTENING WITHOUT SLOWING (GROWTH)

Following two 25-basis-point rises (in June and September), we expect a third in December, which would bring the deposit facility rate to 2.75%. It would then be in slightly restrictive territory (we estimate the upper bound of the neutral rate to be 2.5%). This rise would be aimed primarily at anchoring inflation expectations and, consequently, at curbing the pass-through effects of inflation. Monetary tightening would therefore remain limited. Indeed, the overshoot of the inflation target would be temporary, and the operational framework adopted by the ECB in June 2025 allows it to tolerate this, provided it remains brief. However, it cannot be ruled out that the ECB might take further action if the decline in inflation proves slower than expected.

PUBLIC FINANCES ARE CONTINGENT ON RISING INTEREST RATES

The fiscal impulse in the Eurozone is expected to be clearly positive in 2026 due to the rise in defence and infrastructure spending in Germany. This will contribute to a widening of the country's primary deficit (from +0.9 pp of GDP to 2.8%, according to our forecasts). The improvement in public finances is expected to stall in both France and Italy, at least in 2026, due to the impact of inflation on the debt burden *via* index-linked bonds. This trend is expected to reverse in 2027 with less expansionary fiscal policies. Nevertheless, the increase in the debt service burden would fuel a further rise in the public deficit, which would thus reach around 3.3% and 3.5% of GDP in 2026 and 2027 respectively (compared with 2.9% in 2025). Against this backdrop, the Eurozone's public debt-to-GDP ratio is projected to exceed 90% of GDP in 2026 and reach 93% of GDP in 2027, according to our forecasts.

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GERMANY

AN EXPORT-DRIVEN RECOVERY

Growth, which began in the fourth quarter of 2025, gained momentum in the first half of 2026. This momentum should continue, with expected growth of 1.1% in 2026 and 1.3% in 2027. In the short term, the main driver will still be exports, particularly to Europe, which will contribute to restructuring industry. The impact of investment plans is expected to strengthen in 2027, while domestic demand is likely to remain constrained by inflation (2.7% in 2026 and 2.6 % in 2027), which will weigh on purchasing power. Fiscal stimulus and structural reforms are expected to continue to support growth. However, the rise in the deficit and debt levels means that the increase in long-term interest rates observed so far is mostly structural.

A RETURN TO GROWTH DRIVEN BY EXTERNAL TRADE

The first half of 2026 confirms the rebound in growth (0.4% and then 0.3% q/q in Q1 and Q2). This growth is driven by foreign trade (contributions from net exports of +0.8 pp and +0.2 pp, respectively, with +0.9 pp on average coming from exports and -0.4 pp from imports), following two years of contracting exports, particularly those to Europe (*see below*). The increase in public expenditure (***see our analysis***) reflects the implementation of investment plans, with the multiplier effect on growth of these plans expected to increase.

In the second half of the year, growth is expected to remain robust, pushing the annual average to 1.1% in 2026 (following 0.3% in 2025). Exports are set to remain the main driver, thanks to continued strong European demand, which is compensating for domestic demand that remains sluggish. Growth of private consumption will, in fact, remain subdued by energy inflation. Business investment is expected to be driven by dynamic sectors (defence, technology equipment and aerospace), which would limit the impact of rising interest rates.

In 2027, growth (1.3%) would be based more heavily on domestic demand, with greater spillover effects from investment plans and a likely recovery in household consumption (following a peak in inflation in Q1 2027). At the same time, external demand is expected to remain strong, but its contribution to growth would be lower than in 2026. This is because the stronger growth in domestic demand would stimulate imports to a greater extent.

INDUSTRY IS BENEFITING FROM AI INVESTMENT AND INTRA-EUROPEAN MOMENTUM

The business climate in industry improved significantly at the start of the second half of the year (the manufacturing PMI has risen by 4 points since May, reaching a four-year high in August). New export orders have even reached their highest level since early 2022. These positive signs put into perspective the risks associated with the summer's climate events (heatwaves and the historic drought on the Rhine), which disrupted industrial activity and river transport.

Since early 2025, output in some sectors has rebounded, particularly in the electronics sector (+6.4 %). Manufacturers of electrical equipment, as well as IT and electronics firms, are benefiting in particular from the wave of investment in data centres and defence. If this momentum continues, it could offset some of the losses recorded in the automotive and chemicals sectors, which have both seen the sharpest falls in output since late 2017 (-12.8% and -19.4%, respectively).

The sustained increase in military spending on medical technologies and robotics across Europe is driving a restructuring of the intermediate-goods sector. Companies exposed to struggling sectors are gradually turning towards these new markets. However, this reorientation is not fully offsetting the loss of historical markets.

Growth and inflation

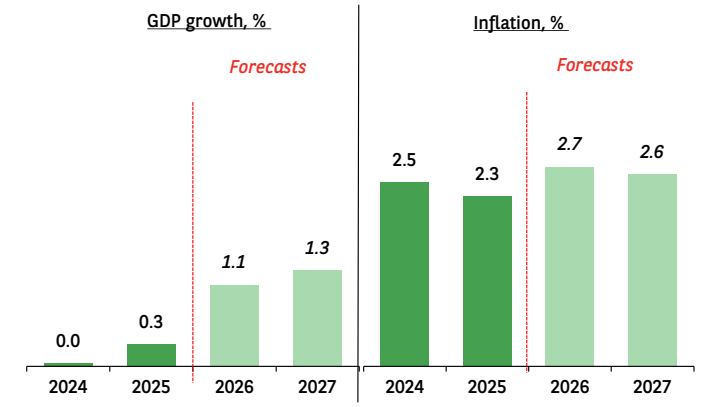

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

The rebound in German industry is also being fuelled by European demand. While exports to China (-12.7% YTD in July) and the United States (-1.5%) have certainly continued to fall, exports to a number of European Union countries have risen sharply, particularly in Southern and Central Europe. This shift is benefiting machinery and transport equipment (47.6% of goods exports, up 20.5% since January 2025) in particular. We expect this momentum to continue in 2027, creating a virtuous cycle that reinforces European growth.

A STAGNANT LABOUR MARKET

The situation in the German labour market has stabilised over the past several quarters, but it is not yet showing signs of improvement. The unemployment rate is shifting relatively little (4% in November; +0.2 pp y/y) and remains below the Eurozone average (6.4%). Falling employment in the manufacturing sector (-0.6% since Q4 2019) is offset by an increase in the services sector (+0.9%). Nevertheless, the latest business climate surveys suggest that the situation may stabilise. The gradual retraining of the workforce in struggling sectors is helping to meet some of the needs arising from new investment.

Generally speaking, in the longer term, pension reform should support the labour supply. As a matter of fact, it will help to increase the number of workers gradually, notably through the phasing out of early retirement at 63 and the indexing of the retirement age to life expectancy from 2032 onwards.

Although the unemployment rate is set to remain low, wage growth would remain limited, particularly in 2026, as negotiated wages will offset inflation to a lesser extent than they will in 2027. The planned increases in the minimum wage (+8% in 2026 and +5% in 2027, to EUR 14.6 per hour), significant as they are, will have little knock-on effect on the rest of the wage scale.

PURCHASING POWER CONTINUES TO BE SQUEEZED BY HIGH INFLATION

Wage purchasing power is expected to fall further in 2026, having already lost 4 pp since 2022, before stabilising in 2027. The reduction in income tax (by EUR 10 billion, or 0.2% of GDP), which will come into force next January, is also expected to support the disposable income of low- and middle-income households.

Inflation has been rising again since the start of the summer and is expected to remain above 2% throughout our forecast horizon. It has accelerated since June (+0.5 pp to +2.9% y/yin August) driven by a further rise in energy prices (+6.7 pp to +9.4% y/y), while core inflation remains stable at +2.6%. From spring 2027 onwards, the expected easing in energy prices (particularly gas prices) should bring down inflation. However, this decline will be limited by the inflationary effects of the wider roll-out of investment plans, as well as by the expected rise in food prices.

This inflation, which has been structurally higher since the onset of the 2022 energy shock, will weigh on household consumption. Furthermore, German households' propensity to save remains high by international standards (with a net balance 15 points higher on average over the last ten years, according to the European Commission), which is also weighing on their consumption.

FISCAL STIMULUS CONTINUES

After recording a public deficit of -3% of GDP in 2025, we anticipate a further deterioration in the public balance to -4% in 2026, then -4.2% in 2027. The primary deficit is projected to reach -2.8% of GDP in 2026 (after -1.9% in 2025) before narrowing slightly to -2.7% in 2027. At the same time, the interest burden is expected to rise gradually from 1.1% of GDP in 2025 to 1.5% in 2027. This combination will result in a rapid rise in the debt-to-GDP ratio, from 62.6% of GDP in 2025 to 66.1% in 2026 and then 69.7% in 2027, before approaching 85% by the end of the decade.

The yield on the 10-year Bund rose above 3.5% on 14 September, its highest level since 2007. In addition to the increase in issues linked to extra-budgetary funds, inflationary pressures are also contributing to this rise. A gradual easing of inflation next year would make a moderate easing of sovereign yields possible in 2027. However, yields would remain high, at 3.2% in Q4 2027, suggesting that the bulk of the rise is structural.

At the same time, the government is continuing to implement its programme of structural reforms, including measures to support business investment, health-insurance reform, pension reform and an overhaul of the tax system. A number of measures have come into force, particularly accelerated depreciation for business investment until 2027, which will be followed by a reduction in corporation tax from 2028. Administrative simplification is also set to lead to an overhaul of the tax system from January 2027[1]. The health-insurance reform has been passed, while the pension reform is still under discussion, with expectations that it will be adopted by the end of the year.

Industry is restructuring and benefting from investment in AI and defence

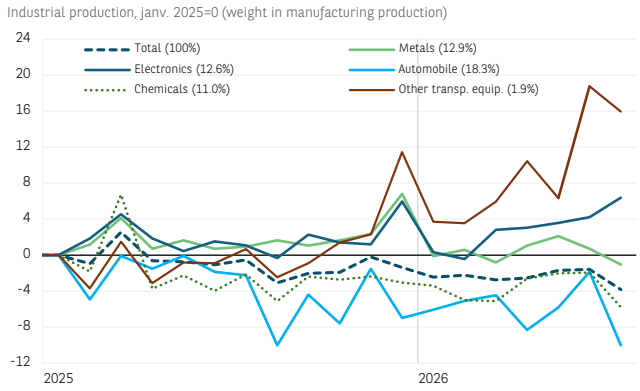

CHART 2

SOURCE: DESTATIS, MACROBOND, BNP PARIBAS

The intra-European reorientation of German exports is underway

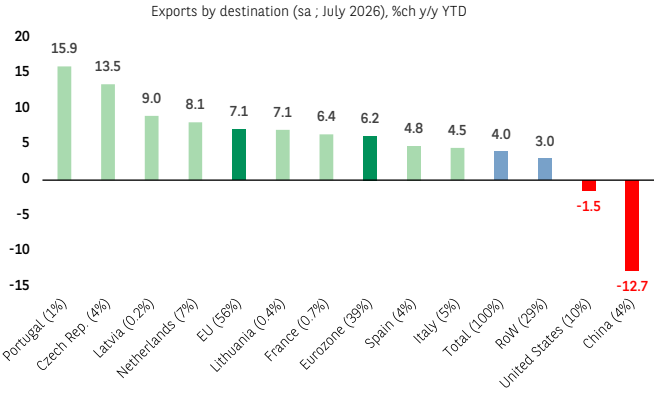

CHART 3

SOURCE: BUNDESBANK, MACROBOND, BNP PARIBAS

Article completed on 14 September 2026

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1 The main measure will be a reduction of EUR 10 billion per year in income tax for individuals on low incomes, funded in part by an increase in taxes on high earners. The bill will be submitted to Parliament in the autumn, before being implemented from 2027.

ECOINSIGHT

Issue 19
24 September 2026

COUNTRY RISK PROFILE: VIETNAM

Christine Peltier – September 2026

- Vietnam has continued to enjoy very strong economic growth, despite external shocks;
- Vietnam has not yet fixed its external liquidity problem, which is a source of vulnerability;
- Medium-term prospects are favourable;
- Risk profile: strong economic growth and low public and foreign debt vs. low external liquidity and a weak banking sector.

Vietnam – Key indicators

		2022	2023	2024	2025	2026f	2027f
External solvency	External debt / GDP (%)	35.7	32.8	28.9	26.3	24.3	22.3
	External debt service / G & S exports (%)	6.8	7.5	7.7	7.1	6.3	6.0
External liquidity	Forex reserves (USD bn)	86.5	92.2	83.1	85.6	89.2	115.8
	In months of G & S imports	2.8	3.3	2.5	2.2	1.8	2.0
Financial vulnerability	Short-term external debt / forex reserves (%)	44.1	38.1	44.6	44.4	43.7	35.5
Activity	Real GDP growth (%)	8.5	5.1	7.0	8.0	7.3	6.7
Imbalances	Inflation (CPI, average, %)	3.2	3.3	3.6	3.3	4.4	4.6
	Budget balance / GDP (%)	+0.7	-1.7	-1.5	-2.2	-3.6	-2.4
	General government debt / GDP (%)	34.9	34.3	31.2	30.3	30.8	30.2
	Current account balance / GDP (%)	+0.3	+6.0	+6.6	+6.7	+2.9	+4.5

Sources: Ministry of Finance, General Statistics Office of Vietnam, IMF, BNP Paribas

	2025	Real growth rate (average 2021-2025)
GDP (USD billion)	494	+6.2%
GDP / cap (USD)	4 829	+5.2%
Population (million)	102	+1.0%

FC Sovereign Ratings

S&P	Moody's	Fitch
BB+	Ba2	BB+

VIETNAM HAS CONTINUED TO ENJOY VERY STRONG ECONOMIC GROWTH, DESPITE EXTERNAL SHOCKS

Vietnam's economic success story has continued, despite last year's US tariff shock and this year's energy shock

- Economic growth accelerated to 8% in 2025 and 8.2% y/y in H1 2026, driven by exports, investment and private consumption. It is projected to slow in the short term, reaching a still strong level of 7.3% in 2026. External accounts strengthened in 2025, but they have deteriorated in recent months. Public and external debt ratios remain moderate.
- Vietnam is highly exposed to the global energy shock, but the consequences have been less severe than expected so far. Economic activity has continued to grow strongly, notably because the export-oriented manufacturing sector has been boosted by global demand for AI goods. Fiscal and current account balances can absorb a deterioration. Inflation has increased while currency depreciation pressures have remained manageable. Yet, as the negative impact of high energy prices is expected to persist, Vietnam could face more severe external liquidity tensions going forward.

Vietnam's export base has strengthened further over the past year, notwithstanding the rising US tariffs, notably because Vietnam has been a key beneficiary of the surging global demand for AI-related goods

- Export growth strengthened in 2025 (+17% in value), driven by electronic goods (+48%) and sales to the United States (+28%). Vietnam was one of the main targets of President Trump's tariff war in early 2025, but the tariff shock was much smaller than initially feared, and exports were boosted by surging AI-related demand. Vietnam increased its global market share (1.9% of world exports in 2025 vs. 1.7% in 2024), supported by gains in the US market (5.7% of US imports vs. 4.2% in 2024) and the semiconductor sector (Vietnam is estimated to account for 2.9% of world exports of semiconductors vs. 1.6% in 2024).
- Solid growth dynamics in industrial output and exports have continued in 2026. Exports rose by 21.9% y/y in the first eight months of the year, led by the strong increase in both volume and price of tech goods. However, Vietnam adds little value to the tech goods that it exports as it specialises mostly in assembling and packaging chips to form electronic components. Therefore, its balance of trade of semiconductor goods is negative, as imports and exports of tech goods are increasing in tandem.
- Vietnam's trade surplus with the United States has surged in the past three years and recently became the largest bilateral surplus, ahead of Mexico and China. It reached USD219 bn in the 12-month period to July 2026, up from USD116 bn in 2022 (vs. Mexico's trade surplus with the US: USD213 bn and China's trade surplus with the US: USD165 bn during the same period).
- Meanwhile, Vietnam's imports of Chinese goods have increased rapidly (+36.9% y/y in the first eight months of 2026), causing its trade deficit with China to surge. Indeed, Vietnam has played a growing role in the rerouting of Chinese goods to the US. It has also benefited largely from the reorganisation of production chains in the region and continued to attract significant FDI, mostly from Asian countries. Net FDI inflows have exceeded 4% of GDP in recent years, which has fostered continued expansion of the manufacturing sector and progress up the value chain.
- In the short term, solid export growth dynamics are likely to continue, assuming that there is no correction in the AI cycle and that manufacturing production is not hindered by energy supply difficulties.
- US trade policy remains a source of uncertainty. The US effective tariff rate on Vietnam's goods, which rose from 3.9% at end-2024 to 19.3% in August 2025, has fallen back in 2026 (as the US Supreme Court cancelled 'reciprocal' tariffs); it is now close to 10%. This is higher than some South Asian neighbours, but not high enough to undermine the competitiveness of Vietnamese goods substantially. However, Vietnam is still exposed to the risk of new US tariffs, given its connector role between China and the United States and its huge trade surplus with the United States.

Vietnam is a net energy importer highly exposed to the consequences of the conflict in the Middle East. So far, the impact of hydrocarbon supply disruptions has been more moderate than expected, but it could worsen in the coming months.

- Vietnam is vulnerable to disruptions in energy trade flows. In 2025, 88% of its total crude oil imports came from Kuwait and 49% of its gas imports were from the Gulf region. However, a few factors have attenuated the shock resulting from the Iran war, as Vietnam has reacted swiftly, finding alternative suppliers, introducing measures to contain demand and using its (low) stocks. The country produces 70% of its needs for refined products and imports the remainder from Asian countries (though the region's production is dependent on imports from the Gulf countries). More positively, oil and gas account for only 35% of Vietnam's energy mix (coal: 54% and renewables: 11%), and the country can partially switch to coal for electricity generation.
- The potential pass-through of rising global energy prices to domestic inflation is high. Yet, the government has some fiscal policy leeway (given its moderate deficit and debt ratios) and has introduced small measures to contain inflation (such as the use of the price stabilisation fund and fuel-tax suspension until the end of June). CPI inflation rose to 4.4% y/y in the first eight months of 2026, up from 3.3% in 2025. It is projected to average 4.4% in 2026 – which is still within the target set by the central bank (SBV) for this year, but also the highest rate since 2013. This will dampen consumers' purchasing power. The SBV is projected to keep policy rates stable in the short term, unless inflation accelerates more than expected or depreciation pressures on the dong intensify too much.

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VIETNAM HAS NOT YET FIXED ITS EXTERNAL LIQUIDITY PROBLEM, WHICH IS A SOURCE OF VULNERABILITY

- Vietnam's trade balance has deteriorated steadily in 2026. It turned into a deficit amounting to USD19 bn in the first eight months of 2026 (customs data), compared to a surplus in the previous year (amounting to USD14 bn in the first eight months of 2025). This rapid deterioration has resulted notably from the rising import prices of both energy and electronic inputs.
- On the one hand, the current account surplus is decreasing, but from a comfortable level. It is projected to narrow to 2.9% of GDP in 2026 from 6.7% in 2025, due to the larger energy trade deficit (which accounted for 3.6% of GDP in 2025), the larger trade deficit in semiconductors/tech goods, and lower export receipts from tourism (about 6% of GDP). Furthermore, net FDI inflows will remain strong, staying close to 4% of GDP in 2026. Therefore, Vietnam is unlikely to need to incur new foreign debt.
- On the other hand, Vietnam's forex reserves are low and do not provide a solid cushion against a deterioration in the balance of payments. Forex reserves amounted to USD88.3 bn at the end of June 2026, which is weak: it is enough to service external debt in the short term but covers less than 3 months of imports of goods and services. In particular, if resident capital outflows increase (residents' confidence in the dong may be eroded by rising inflation and the external energy shock), currency pressure could intensify and the central bank could have difficulties to defend the dong. This risk cannot be ignored, even though the VND has barely depreciated this year (the central reference rate has lost a small 2% against the USD since the beginning of 2026).

MEDIUM-TERM PROSPECTS ARE FAVOURABLE

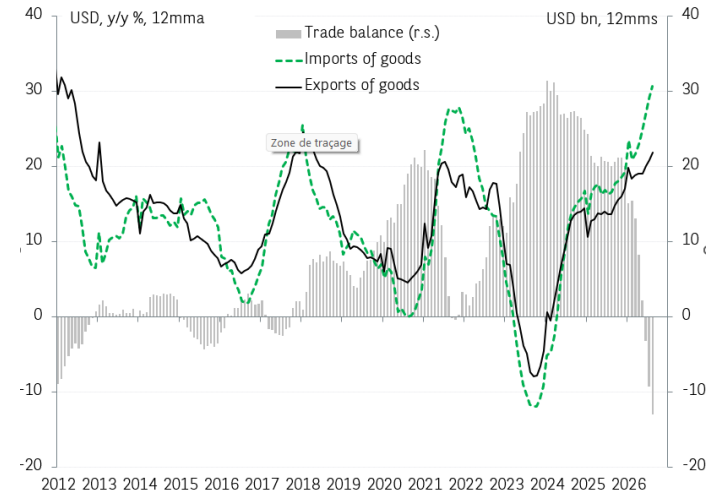
- In the medium term, economic growth is expected to remain strong. It is projected at 5.9% per year on average in 2027–2031, compared to 6.2% in the past decade. This is one of the highest growth rates expected in the ASEAN region.
- This projection is based on a rather optimistic scenario, as it assumes that:

  i) FDI continues to flow in, and the manufacturing export sector expands further. This means Vietnam's external accounts continue to strengthen in the medium term, thanks to continued current account surpluses, lower resident capital outflows, declining external debt and slowly increasing forex reserves;

  ii) Demographic trends remain favourable, even though they are projected to weaken gradually in the medium-long term;

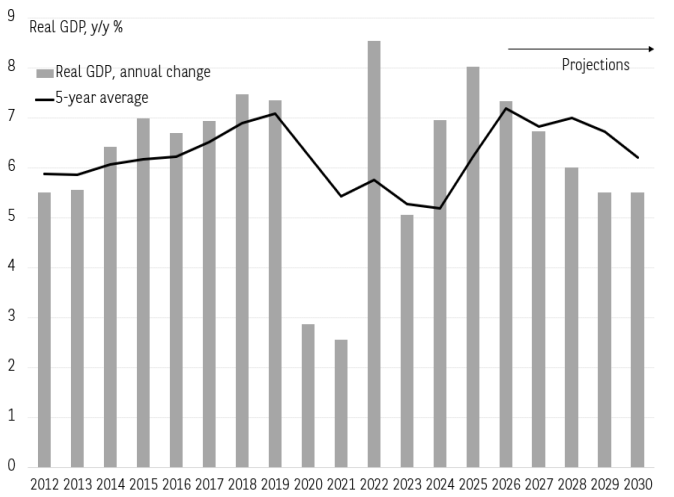
  iii) Structural reforms make steady progress, helping to improve financial-sector supervision, ease infrastructure constraints in the energy and water sectors, boost aggregate productivity (i.e. reducing the gap between high-productivity FDI firms and low-productivity local sectors) and adapt to climate change.

Vietnam's external trade: exports are rising fast, but imports are rising faster



Source: IMF, BNP Paribas

Vietnam's economy will continue to grow strongly in the medium term



Source: National Statistics Office, BNP Paribas

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COUNTRY RISK PROFILE: STRONG ECONOMIC GROWTH AND LOW PUBLIC AND FOREIGN DEBT VS. LOW EXTERNAL LIQUIDITY AND A WEAK BANKING SECTOR

- Strong factors support Vietnam's overall country risk and economic prospects:
  i) a strong manufacturing export base that is moving up the value chain;
  ii) solid comparative advantages that continue to attract large FDI inflows;
  iii) current account surpluses and moderate foreign debt;
  iv) a moderate government debt burden;
  v) gradually improving policy making;
  vi) strong medium-term economic growth prospects, assuming that the authorities will continue to implement structural reforms and strengthen productivity in the entire economy.

- On the negative side, major negative factors continue to fuel some macro-financial risks:
  i) the excessive domestic debt level of the economy (excluding the government) and fragilities in the banking sector – this is a bad combination that fuels high credit risks and financial instability risks;
  ii) low forex reserves, which have not much strengthened in recent years, despite current account surpluses and notably due to resident capital flight. Forex reserves do not provide good protection against shocks, while Vietnam is vulnerable to external shocks;
  iii) very high exposure to physical climate risk. Coastal and river-delta regions, where population and economic activity are concentrated, are highly exposed to sea-level rises and flooding.

- Non transfer risk and currency risk: Vietnam has enjoyed very favourable external account dynamics in recent years until 2025, thanks to large FDI inflows, recurrent current-account surpluses and declining foreign debt (which is moderate, at less than 30% of both GDP and exports). This trend has been interrupted in 2026 as current account surpluses are decreasing. Meanwhile, there is a persistent risk of increasing resident capital outflows fuelling some VND depreciation pressure (whereas the potential for foreign capital outflows is limited). As the forex reserve cushion is weak, it would not enable the central bank to defend the dong for a long time if there is severe currency and external liquidity pressure. However, so far this year, the VND/USD spot rate and the reference rate (Vietnam has a crawling band FX regime) have depreciated only slightly, supported by strong exports and FDI inflows.

- Sovereign risk: the government debt burden is moderate and will remain so in the short term, even if the fiscal deficit is projected to deteriorate. The fiscal deficit could exceed 3% of GDP in 2026 due to support measures in response to the energy shock (estimated at less than 1% of GDP in H1 2026), but this will not endanger public-debt dynamics. Government debt should fall again in 2027 thanks to lower deficits and fast GDP growth. Debt was only 30% of GDP in 2025 (vs. 41% in 2019) and interest payments consumed less than 5% of fiscal revenue (vs. 7.2% in 2019). The government covers its funding needs mostly in the local bond market, which is deepening gradually and not highly exposed to foreign investors. Government debt in foreign currency declined to about 25% of total debt in 2025 (vs. 38% in 2019); this is still substantial, but almost all this FC debt is made up of concessional loans from official creditors. On the negative front, high credit risks in the state corporate and bank sectors are very large contingent risks for the sovereign. Moreover, public investment needs related to climate change and infrastructure development will increase in the medium term.

- Systemic credit risk: Domestic credit to the private sector is too large and still rising (141% of GDP in 2025 vs. 108% in 2019) while the banking sector remains poorly capitalised. Credit risks and resource misallocation have long been exacerbated by opacity and supervision flaws, as well as the use of high credit growth targets to support economic growth (+15% in 2026). In 2022–2023, banks faced severe funding stress and asset-quality deterioration resulting from the property and bond market crisis. The situation has recovered gradually since then. In the short term, credit risks may increase amid higher energy costs and if there is a correction in the tech cycle. Some banks, especially small private ones, also remain exposed to VND funding risk (whereas banks do not rely much on foreign-currency financing). Positively, reforms, including stricter capital-adequacy requirements, continue to be introduced gradually in order to improve banks' creditworthiness (the SBV plans to test the removal of credit quotas for the soundest banks from 2026).

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SPECIAL EDITION | HOW BAS IS THE RISE IN BOND YIELDS?

TRANSCRIPTION

0:00:10 - Emmanuel Laborde

Everyone, welcome. As we head into autumn 2026, interest rates are reaching levels never seen for many, many years. Why is this happening? Is it sustainable? And what are the implications for the economies of different countries? All these questions will be discussed over the next few minutes with the economists of BNP Paribas. Let us begin with Isabelle Mateos y Lago, chief economist of the group. Hello, Isabelle.

0:00:38 - Isabelle Mateos y Lago

Hello Emmanuel, hello everyone.

0:00:39 - Emmanuel Laborde

Thank you for being with us today. Just to begin, a simple explanation. What rates are we talking about and which countries are affected?

0:00:48 - Isabelle Mateos y Lago

Yes, it is very important to clarify this. So, we are talking about long-term interest rates, rates at 10 years or longer maturities, 30 years, etc. The rates at which sovereign states borrow on the market. And this is primarily something that is happening in advanced countries, so United States, United Kingdom, Japan, and then the Eurozone countries. And indeed, as you said, we are seeing since the beginning of the summer, interest rates reach levels we had not seen for about 20 years. But it is important to keep in mind that up until that point, up until the mid-2000s, the level of interest rates that we're seeing now were really quite common, quite normal, so one shouldn't overdramatize.

0:01:35 - Emmanuel Laborde

Why do we find ourselves in this situation and how did we get to this point?

0:01:41 - Isabelle Mateos y Lago

Yes, so the direct cause is that investors are demanding higher interest rates in order to lend their capital to governments. But why is this? Well, there's essentially three reasons for this, and not all of them are bad, and they're not mutually exclusive either. The top reason to my mind is that there's just greater competition for capital between sovereign states and the corporate sector, who are all facing simultaneously additional investment needs, in defense, in artificial intelligence, in energy transition, in resilience. And so, you just have greater competition for capital and that pushes up the price of capital, which is the interest rate.

Reason number two is because markets have revised upwards their expectations of how high central banks are going to be taking their interest rates.

And this mechanically translates into higher rates at the long end. And then there's a third reason, which doesn't apply necessarily in every case, but which is essentially higher sovereign risk, a kind of a risk premium, in cases where there are concerns arising about the sustainability of these public debts.

0:02:59 - Emmanuel Laborde

What are the implications for global economies?

0:03:03 - Isabelle Mateos y Lago

So that's exactly what we'll be discussing in the next segments. But basically, the two key issues are, one, an adverse impact on public finances. It's higher interest rates making it harder to balance the books in terms of public accounts. And then secondly, these higher rates tend to slow down economic growth. Of course, by how much and how serious it will be, depends on how high interest rates go and how long they stay there. But that's for the next segments.

0:03:38 - Emmanuel Laborde

Yes. Thank you very much, Isabelle. Having said the scene now, let's move on to the first segment with the following question. What makes debt sustainable? And let's see what Hélène Baudchon has to say.

Hello Hélène and welcome into this special edition.

0:03:58 - Hélène Baudchon

Hello Emmanuel, hello everybody.

0:04:01 - Emmanuel Laborde

When economists talk about public debt, they often refer to the sustainability of debt. As an economist, can you explain to us what that means and what is the debt trajectory deemed unsustainable?

0:04:15 - Hélène Baudchon

To begin with, I will say that a temporary increase in debt can be seen as a normal evolution, not particularly concerning, for instance during an economic crisis or more recently during a health crisis. In such cases, it acts as a buffer. A problem arises when the debt level never comes back down. An unsustainable trajectory can be therefore defined, characterized by a continuous regular rise in the debt level, both in absolute terms and as a proportion of GDP, driven by high and recurring fiscal deficits. And sometimes interest payments can exacerbate the problem.

0:05:00 - Emmanuel Laborde

In very simple terms, you are talking about the snowball effect.

0:05:03 - Hélène Baudchon

Exactly explaining why consolidation measures are needed in order to prevent such an adverse situation from occurring and in order to prevent, in fact, a sudden loss of confidence from creditors.

0:05:16 - Emmanuel Laborde

Regarding governments, what should serve as a warning sign for them? And at what point could the situation become, let's say, problematic?

0:05:27 - Hélène Baudchon

Well, simply speaking, when interest rates rise, not so long ago, up until 2022, Eurozone countries were borrowing at very low rates and in some instance, even negative rates. And although debt levels were already at high level at that time, the low rates helped manage debt servicing. Not much fiscal effort was needed to keep the public debt ratios in check.

0:05:55 - Emmanuel Laborde

Of course, we all remember this because it was a very unusual situation, but now things are very different.

0:06:01 - Hélène Baudchon

Yes, indeed, the situation today is clearly more challenging simply because bond yields are significantly higher and they are rising at the time of our discussion. This is for the part the result of the ECB's monetary tightening in 2022-2023 aimed at addressing the inflation shock then. Then long-term interest rates have risen as a consequence and have aligned more closely with GDP growth rate. And in technical terms, this is what we refer to as a narrowing of the "r" - "g" spread.

0:06:41 - Emmanuel Laborde

Why is this spread so important? Why do you, the economists, monitor it this way?

0:06:48 - Hélène Baudchon

Essentially, you have the interest rate "r", which determines the debt burden, while the growth rate "g" determines the trajectory of fiscal revenues. And if "r" is lower than "g", and this has been the case for many years, as you can see on the chart on the screen, it means that interest payments are increasing at a slower pace than the revenue component of the equation.

0:07:14 - Emmanuel Laborde

And this provides some leeway in other budgetary areas, such as education, of course, defense, maybe pensions.

0:07:22 - Hélène Baudchon

Yes, indeed. And this is what we refer to as the primary budget. However, if and when interest rates do go up while the economy isn't growing that much faster, then fiscal leeway diminishes.

0:07:35 - Emmanuel Laborde

Crystal clear. Now, just could you provide a few last words to wrap up the sustainability segment?

0:07:43 - Hélène Baudchon

Well, to conclude, we are entering a period which demands greater fiscal discipline or, as some might say, less indiscipline in order to manage debt trajectories effectively, in particular in the countries which have high debt levels. And for instance, the Italian case is an interesting one because it is well known for its high debt level ratio. But in fact, it also has an advantageous position because it has no primary deficit. In fact, it even benefits from a large primary surplus.

0:08:22 - Emmanuel Laborde

As for the countries... For the other countries... I stop you because this will be a discussion with Guillaume Derrien during the next segment. Thank you very much, Hélène.

0:08:30 - Hélène Baudchon

Thank you, Emmanuel.

0:08:36 - Emmanuel Laborde

Hello, Guillaume. Welcome.

0:08:37 - Guillaume Derrien

Thank you.

0:08:38 - Emmanuel Laborde

Hello, Emmanuel, and hello to everyone. The flexibility of fiscal policy depends heavily on interest rates, which have increased considerably over the past few months. The question is, where do we stand today?

0:08:52 - Guillaume Derrien

So, long-term rates have increased in all advanced economies, reaching levels not seen since 2008 in Europe and in the United States, and even since 1996 in Japan. Fortunately, the effective rate that states pay on their debt is lower than those headline figures suggest, simply because the average maturity of debt is relatively long. Precisely how long are we talking about? So, it's about 10 years in Japan, 13 years in the United Kingdom, and 8.5 years in France. That means that most of the debt was raised before rates started climbing.

For example, in France, the effective rate just recently rose above the 2% mark, which is significantly lower than the 10-year bond yield, which exceeded 4% for new issuances.

That said, in the United States, which has an average maturity of roughly six years, is experiencing a more rapid increase in its effective rate.

0:09:54 - Emmanuel Laborde

And this rate increase is happening in the context of high debt-to-GDP ratios and with modest growth, correct? Yes, that's correct.

0:10:05 - Guillaume Derrien

Debt levels have reached unprecedented heights since the end of World War II. And at the same time, growth is lower, hovering around 2% on average in the United States, 1% in Europe and 0.5% in Japan. What does that mean for debt servicing costs? So, debt servicing cost is already relatively high, but it is expected to grow further as debt issue before the 2022 rate hikes mature and are replaced with new instruments bearing higher interest rates. By 2030, interest costs could rise to levels last seen in 2000, specifically in France, around 4% of GDP.

Are all the countries equally affected by these trends? Actually, no. Some countries are managing to reduce their debt level.

Spain, Italy, even Japan have sufficiently improved their primary balance to achieve this, at least for the time being. And of course, we must speak about Germany. Yes, Germany is implementing investment programs that result in a higher public deficit and debt-to-GDP ratio. But this ratio started from a relatively low base at around above 60% of GDP. That said, in this current context, German bonds have risen. And because German bonds are used as a benchmark for Europe, it raises rates across all Eurozone countries. Is France the only country seeing its public debt go up?

No, it's not, Emmanuel. This is happening in the United Kingdom and in the United States. These economies, like France, are running public deficits that are ever close or exceed 5% of GDP, which is too large for debt ratio to stabilize on its own.

France and the United Kingdom are trying to gradually reduce their public deficit so as not to compromise growth. The United States is not going on that path yet, but market pressure could eventually force them to do so.

0:12:08 - Emmanuel Laborde

Thank you very much for your input, Guillaume. Thank you, Emmanuel. Let's go to the next segment. It's about the impact of rising bond yields on financing and investments in the Eurozone.

0:12:26 - Thomas Humblot

Hello, Thomas. Welcome. Hello. Thank you for having me today.

0:12:30 - Emmanuel Laborde

We've just seen what's behind the rise in Eurozone bond yields. This rise is partly attributed to the sovereign spread. What impact will this have on the economy?

0:12:42 - Thomas Humblot

Actually, this widening of some government bond spreads is obviously not good news, but it tends paradoxically to have less impact than an increase in long-term interest rates that does not include the sovereign risk premium. for example, in France, for a very long time, it has been considered that the 10-year OAT was the relevant benchmark for fixed loans. And at that time, the spread on French government bonds was relatively stable. But since 2024, that spread increased

significantly and that renders the sovereign yield a less relevant benchmark.

And now the most relevant benchmark is the swap rate because it determines the cost of bank funding that backs new loans.

0:13:56 - Emmanuel Laborde

Since the end of 2024, we have seen a rise in long-term 10-year swap rates. What impact does this have on bank lending rates?

0:14:08 - Thomas Humblot

Fixed loans have obviously become more expensive, but to a lesser extent than if they were priced solely based on long-term sovereign rates. And what about existing fixed-rate loans?

There is no impact. An increase in rates for the entire maturity of a loan does not have any effect if it is a fixed-rate loan. Borrowers with outstanding loans are therefore protected. Obviously, new fixed loans are granted at higher rates. And this sharply contrasts with a floating-rates loans.

Because with floating-rates loans, borrowers experience regular rate adjustments throughout the term of the loan. And in terms of bank financing? Strictly in terms of bank financing, an increase in short-term rates has an immediate and widespread restrictive impact on borrowers, while for long-term interest rates, the impact is more gradual, and it comes gradually as the outstanding amount of fixed-rate loans are progressively renewed. And the thing is that since the beginning of the war in Iran, we have seen a combination of the two.

And in practical terms, the rate of new bank loans to non-financial corporations has increased about 25 basis points in the eurozone since the beginning of the year.

0:16:12 - Emmanuel Laborde

Just a few words about companies that borrow directly from the market.

0:16:16 - Thomas Humblot

Well, in that case, the impact is even more straightforward. The rate at which a company borrows from the market is the risk-free rate plus a premium.

0:16:28 - Emmanuel Laborde

Have risk premiums, known as corporate credit spreads, also increased?

0:16:34 - Thomas Humblot

Yes, they have increased temporarily at the beginning of the year but have returned to normal since. For the time being, the widening remains moderate for the highest-rated investment-grade issuers.

However, some significant bond issuance in the euro debt market due to some major US technology companies has increased spreads for longer maturities.

0:17:11 - Emmanuel Laborde

In particular terms, how does this affect the investment decisions of the companies?

0:17:19 - Thomas Humblot

Well, investments that were previously worthwhile due to returns sufficient to cover the cost of capital may no longer do so and in turn that might lead to a decrease in demand for financing.

0:17:40 - Emmanuel Laborde

Thank you very much Thomas. Now let us move on to the emerging economies. And it is with Cynthia Kalasopatan-Antoine.

Hello Cynthia, and welcome.

0:17:54 - Cynthia Kalasopatan-Antoine

Hi, Emmanuel. Hello, everyone.

0:17:57 - Emmanuel Laborde

Long-term bond yields rose significantly in advanced economies over the summer. What can we now say about emerging markets?

0:18:06 - Cynthia Kalasopatan-Antoine

Emerging bond markets held up well, which is quite unusual. The rise in long-term sovereign yields in emerging countries has been less pronounced than in advanced economies, including the United States and Germany. Now, there are two main exceptions, Turkey and Poland. Meanwhile, we did not witness any significant correction in emerging financial markets over the summer, and the main currencies appreciated slightly against the dollar or the euro.

0:18:37 - Emmanuel Laborde

Does this mean that public finances are more robust in emerging countries?

0:18:43 - Cynthia Kalasopatan-Antoine

Well, it depends. You see, in cases like the Czech Republic and South Korea, public debt is moderate and macroeconomic fundamentals are solid. However, these countries are now less frequently considered as emerging and tend to be viewed as newly advanced economies. By contrast, Brazil and South Africa have weaker public finances and investors have already incorporated a higher sovereign risk into their assessments. And this is reflected in the bond yields. And this assessment of sovereign risk did not really change over the summer.

0:19:26 - Emmanuel Laborde

When comparing the main fiscal metrics, what are the trends? What do you see as an economist?

0:19:33 - Cynthia Kalasopatan-Antoine

On average, the fiscal metrics in emerging markets are not substantially worse than those in advanced economies. The average budget deficit levels are similar, ranging from 4% to 5% of GDP in 2025-2026, according to the IMF. And as in advanced economies, the public debt is higher than its pre-Covid level. However, the average public debt to GDP ratio in emerging countries excluding China is close to 60%, whereas in advanced economies, it is above 100%.

0:20:12 - Emmanuel Laborde

Do you arrive at the same conclusion when comparing debt sustainability criteria?

0:20:17 - Cynthia Kalasopatan-Antoine

Well, there are significant regional differences. In emerging Asia, the factors that determine debt sustainability are more often favorable than those in advanced economies. In Central Europe, the gap between the interest rate paid on debt and the GDP growth rate is also favorable. However, the primary deficits in some countries are high.

0:20:45 - Emmanuel Laborde

In a few words, a brief overview of the situation in Latin America.

0:20:49 - Cynthia Kalasopatan-Antoine

Well, Brazil and Mexico are in a less favorable position. These countries would indeed need to generate a significant primary budget surplus each year in order to stabilize their debt in the medium term.

0:21:07 - Emmanuel Laborde

Economists use the term original sin, which refers to the situation when governments resort to borrowing in foreign currency to address the shortfall in domestic financing. Does this phenomenon continue to distinguish emerging countries?

0:21:24 - Cynthia Kalasopatan-Antoine

Yes, this is still the case. Emerging countries still have a significant share of their debt in foreign currency. This represents about 35 to 40% of their total debt on average. And in fact, now, this figure has decreased over the past decade, and this contributes to their resilience. However, governments in emerging markets have a less favorable position as regards their debt profile and their financing costs are also on average higher.

0:22:02 - Emmanuel Laborde

And finally, just a few words about a larger subject, China.

0:22:07 - Cynthia Kalasopatan-Antoine

China's public debt is significant and growing rapidly. That being said, it is denominated in domestic currency and issued in domestic markets. This debt is, however, sustainable in the medium term due to a very low effective interest rate and a high growth rate.

0:22:29 - Emmanuel Laborde

Thank you very much, Cynthia, for being with us today.

0:22:32 - Cynthia Kalasopatan-Antoine

Thank you.

0:22:33 - Emmanuel Laborde

It is now time to conclude, and we welcome back Group Chief Economist Isabelle Mateos y Lago.

It is time for our conclusion with Isabelle. Once again, just a final question, please. Could or should, I do not know which word is the good one, central banks intervene to curb this rise in interest rates?

0:22:58 - Isabelle Mateos y Lago

Absolutely not. The main contribution that central banks can bring to dealing with this situation is to restore price stability, as is their mandate, as promptly as possible. And in the current circumstances, this means keeping relatively high policy rates, in some cases, rising them further. And the responsibility for keeping public finances on a sustainable footing rests squarely with governments and any attempt by these governments to instead take the easy way out by pressuring central banks to lower interest rates prematurely would be enormously counterproductive.

0:23:41 - Emmanuel Laborde

Thank you very much, Isabelle. Thank you all for joining us today. Just a few words to remind you that additional economic research content can be found by scanning the QR code shown on your screen. Do not hesitate to use it with your smartphone. It is very easy. It was a pleasure to be with you today. Have a nice day and hope to see you so